Star Health Insu (STARHEALTH)

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To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
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Dalal Street G Block, Bandra -Kurla Complex
Mumbai – 400001 Mumbai – 400051.
Scrip Code: 543412 Scrip Code: STARHEALTH

Dear Sir/ Madam,
Sub: Transcript of Q 4 FY2023 and FY 2023 Earnings Call – March 31, 2023.

Further to the Company's letter SHAI/B & S/SE/12/2023 -24 dated April 25, 2023 regarding Earnings Call Intimation for Q 4 FY2023 and FY2023, please find attached the transcript of the call dated April 28, 2023 . The above information is also being hosted on the Company's website at www.starhealth.in

This is for your kind information.

Thanking You,

For Star Health and Allied Insurance Company Limited,

S.Venkataraman
Vice President & Compliance Officer

Star Health and Allied Insurance Company Ltd
Q4 & FY23 Earnings Conference Call
April 28, 2023

Management:
Dr. S Prakash – Managing Director
Mr. Anand Roy – Managing Director
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Aneesh Srivastava – Chief Investment Officer

Moderator: Ladies and gentlemen, Good Day and Welcome to the Star Health and Allied Insurance Company Ltd 's Q4 & FY23 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressi ng "*" then "0" on your touch tone phone. I now hand the conference over to Mr. Pratik Patil from Adfactors PR – Investor Relations Team. Thank you and over to you Mr. Pratik Patil.
Pratik Patil: Thank you Dorwin. Good evening everyone. From the senior m anagement we have with us Dr. S. Prakash -Managing Director; Mr. Anand Roy -Managing Director; Mr. Nilesh Kambli -Chief Financial Officer and Mr. Aneesh Srivastava – Chief Investment Officer. Before we begin the

conference call, I would like to mention that s ome of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financial and operating performances, benefits and synergies of the company's strategies, future opportunities and growth o f the market of the company's services. Further, I would like to mention that some of the statements made in today's conference may involve risks and uncertainties. Thank you and over to you, Mr. Roy.

Anand Roy: Thank you and good evening to all of you. This is Anand Roy here. Thank you for joining the earnings conferen ce call of Star Health and Allied Insurance Company for Q4 FY20 23 and also for the full 12 months of financ ial year 2023. I would like to first highlight that we have achieved an underwri ting profit of Rs. 204 crore with a combined r atio of 95.3% and an overall PAT of Rs. 619 crore , which is the highest in our history. We have achieved an EBITDA of Rs. 1,027 crore in FY23 . For Q4 FY2023 and we have achieved a combined ratio of 91.3%.

We h ave also made a very strong start to the new financial year in FY 2024 as we speak up to the date, our premium growth for the month is more than 27% and we expect to close this month with around 25% growth . And our loss rati os for the month is also b etter t han the previous year.

This being the first full year post COVID and post listing, we are happy to announce that we have been able to achieve our full year guidance that we had given to you. This also gives an assurance of the robust retail health insuran ce business model that the company has built over the last 17 years.

I will now give you a brief overview of the industry trends and the developments that we have witnessed in the last few months, as well as walk you through the company's performance in terms of premium and distribution. My colleague Dr. Prakash will cover the financial performance and aspects related to claims, including the steps that are underway to manage them.

In Q4 FY20 23, the health insurance industry (including PA) has grown by 25.4%, drive n largely by 28% growth in g roup health and 16% growth in retail health.

Now we will talk about the growth in market share o f Star Health.

1. For 12 months, FY 2023, our retail health has grown by close to 18% versus the industry's retail health growth of 15.3%. i.e. 1.17 times the industry growth rate despite a very large base.
2. In Q4 FY20 23, our reta il health segment grew by 15.2% v ersus the industries retail health growth of 16% .
3. In Q4 FY 2023 Star Health registered 35% market sh are in retail health, which is 3 times the second larges t player in the industry.
4. For FY 2023, our retail market share is 34% against 33% of the last financial year. We continue to aspire to grow higher than the market growth rate and increase our retail h ealth market share every year.
5. As far as our accretion share is concerned, Star Health has registered close to 40% retail health accretion market share in FY 2023.
6. Agency business continues to contribute around 82% of the overall business. Our agency stre ngth has increased to 6,25,860 agents with a net addition of 16,165 agents in the Q4 FY2023. For the full year FY2023, we have added approximately 76,000 new agents over the prev ious year.
7. For the full year FY 2023, our partnerships with corporate agents, bank s and other tie ups continues to grow aggressively and is very strong and premium contributed from th is channel has grown by 43% during the year.

■ Some of the highlights in Q4 FY23 for us were as follows:

1. As regards premium and distribution, we continue to focus on the digital initiatives, the digital sourc ing from our web sales and tele -sales model s has grown by 28% in FY 2023 to INR 625 crore for the over the previous.
2. Our app downloads have reached 2 million downloads.
3. Orga nic traffic to the website has grown by 95% in Q4 FY20 23 over the same period last year and 39% growth sequential sequentially over Q3 FY 2023.

■ We tied up with some leading banks namely Standard Chartered Bank, India Post Payments Bank and ESAF Small Fina nce Bank for distribu tion of Star H ealth products through their platforms . This will further expand our reach and also strengthen the sales of our higher sum assured products. With the new EoM guidelines, this provides an immense opportunity for growth and we are sure to capture on this.

■ The average sum assured of new policies has increased by 13 % on a year on year basis to Rs. 9 lakh per policy. Rs. 5 lakh sum as sured and above now constitute 70% of the health insurance portfolio which was 64% in the last financial year.

■ The premium from benefit products has grown by 53% in FY 2023 over FY2022. The share of such products within the overall GWP has i ncreased by 61 bps to 2.3% in FY 2023 from 1.7% in FY 2022.

■ We have launched 2 new products in quarter four, which is Star Special Ca re Gold and Star Group Health Benefit plus . Special Care Gold is a product tailored specifically for individuals with

disabilities and those who are HIV +. The Star Group Health Benefit Plan offers critical illness covered up to 54 critical illnesses to personal accident co ver, hospital cash cover and EM I protect due to hospitalization. It also covers health indemnity and health indemnity t op-up.

■ We are launching a new Wel lness proposition for our customers as well as non-customers who will benefit from our telemedicine expertise and also earn rewards from leading healthy lifestyles. We have already begun work with an insured tech firm to provide Wellness benefits to our cu stomers. We see this as a big opportunity area in the near future.

I will now request Dr. Prakash to talk about claims , and the financial s part of the results .

S. Prakash: Thanks Anand. I'm going to t alk about claims initiatives and the outcome . We are working on a four - pronged approach to effectively manage claims outg o.

■ Number one being , prudent claims settlement based on our rich medical expertise and insurance wisdom .

■ Number two, well negotiated volume based pricing arrangement with our netw ork hospitals, which gives us operating leverage in terms of lower average paid per claim.

■ Number three being technology enabled, fraud detection and mitigation.

■ Number four, risk based pricing through micro segmentation of portfolio.

With regard to cashless, 73% of number of paid claims in the financial year 2023 are through cashless versus 63% in the previous financial year . In terms of a mount paid t hrough cashless it is 80% in FY 2023 compared to 71% of FY 2022.

Cashless turnaround time (i.e. claims settled within two hours) came in around 90%.

We also have auto adjudication of claims and this helps drastically in improving the turnaround time and thereby customer satisfaction. 21% of hospitals representing 59% of cashless claims have been on-boarded successfully under this initiative. The number of s uch claims settled has risen to 45,000 in Q4 FY2023 a growth of 13% versus Q3 FY 2023.

We continue to improve on claims related milestones within overall cashless claims t he share of hospit als with pricing arrangement, what we ca ll as agreed network hospitals is 67% versus 64% in FY 2022.

As you will be aware, f raud control is one of the critical factors to address in a retail business . Our anti-fraud digital initiative has become operational this year and has started to produce savings in claims . There is a 1.3% incremental benefit in t erms of lower claims ratio in FY 2023 versus FY 2022. SA S platform has assisted in 55% of those cases. This is in line with our expectation of more than 1% reduction in claims ratio mentioned in the previous result call.

Let me talk about our financial performance. We are focused on sustainable profitable growth and taking decision s to achieve that goal. Ou r combined rati o for full year FY 2023 has improved to 95.3% versus what was 117.9% in year FY 2022. This improveme nt in combined ratio is achieved through claims ratio and expense ratio improvement. Combi ned ratio for the quarter Q4 FY 2023 is 91.3% versus 98 .4% in Q4

FY2022. Claims ratio for FY 2023, has imp roved to 65% versus 87.1% in FY 2022. In FY20 23 claims ratio has 0.4% impact of COVID related claims. The claims ratio in Q4 FY 2023 has improved t o 62% versus 68.1% in Q4 FY 2022. The exp ense ratio has fallen in the FY 2023 to 30.3% versus 30.8% for FY 2022 on account of efficient cost management. For Q4 FY 2023, expense ratio has reduced to 29.4% from 30.3% in Q4 FY 2022. You will appreciate that the expense ratio has improved in spite of a significant cutback in the gr oup business which has a lesser expense ratio.

Our investment assets have grown to Rs. 13,392 crore in FY 2023 versus Rs. 11,373 crore in FY 2022. With the rise in interest rates fresh investment were deployed at a higher yield leading to the fixed i ncome portf olio yield for Q4 FY 2023 rising to 7.34% versus 6.71% of Q4 FY 2022. We continue to invest in equity portfolios through ET Fs. The investment income in Q4 FY 2023 grew by 21% over Q4 FY 2022 to Rs. 218 crore o ver Rs. 180 crore in Q4 FY 2022. And for FY23 , 23 investment income grew to Rs. 835 crore versus Rs. 793 crore for FY 2022. FY2023 recorded a profit before tax of Rs. 826 crore and profit after tax of Rs. 619 crore . Adjusted profit after tax excluding non-business ESOP cost and COVID is Rs. 768 crore for financial year 2023. For Q 4 FY2023 t he profit before tax is Rs. 136 crore and profit after tax is Rs. 102 crore. Solven cy as on 31st March , 2023 is 2.14 times compared to the regulatory requirement of 1.50 tax. This solvency is achieved despite only mandato ry 4% reinsurance. To conclude, we continue to believe in the profitable growth opportunities available in the retail health segment and we are on our desired path of realizing the same. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Avinash Singh from Emkay Global . Please go ahead.

Avinash Singh: Couple of questions, first one is on rather broader growth trend. I mean, if we see the growth for March is still despite the fact that you took price hike on new products y et the growth was sort of a softer. So I mean, what sort of a growth outlook you have considering that OK from May onwards you have apply price hike on renewals. So on

the g rowth . Second is on terms of
your profitability side, if I mean so what would your kind of aspiration for FY 2024 in terms of combined and if at all any improvement versus by FY2023 or considering the market dynamics on the Commissi on and expenses and your growth. W hat sort of a n impr ovement you would expect on the c laims as well as on the opex side?

Anand Roy: On the grow th side, the company has been beating the industry as far as our retail growth is concerned. We believe that we will continue to grow faster than the industr y's growth on the retail side. And as I have already disclosed our April performance, seems to be very p romising and we expect to maintain the momentum though we are not giving any particular guidance, but we will grow faster than the industry's growth . As far as the combined is concerned, definitely as you mentioned along with the price hike and all the efficiencies that we are building and through technology and other initiatives that we are taking, the combined operating ratio will definitely be lesser than what we hav e achieved last financial year, a nd we hope to achieve that through all the initiatives that we are driv ing.

Moderator: Thank you. The next question is from the line of Sahej Mittal from HDFC Securities. Please go ahead.

Sahej Mittal : So two questions from my side. So road map on any new client ESOP issuances that is one , second is looking at the product level loss ratios. Do you plan to take a price hike in any other product?

Nilesh Kambli : So basically new ESOP s will be issued, but they will be issued at market price which will not have any impact on the profit and loss account of the company t he way it happened for t he last year, but ESOPs will be issue d at market price . On the product level loss ratios, we continue to monitor all the products and whenever the product reaches a threshold level, we go in for a price increase and that's a continuous process. We'll continue to monitor the loss ratio of every product.

Sahej Mittal: And if you could split out the 25% growth in the month of April, what is on the back of new product, new policy sales and w hat is on due to the rise in premiums?

Nilesh Kambli : We're in the mi ddle of the month, we'll get back to you with spec ifics as we are in the initial period of t his month.

Moderator: Thank you. The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: So 3 -4 questions from my side. First of all, in terms of your recent growth, so just wanted your thoughts or if you could give some colo ur on what happened in March in r etail health that resulted in a s lower months and also April number w hether this 25% kind of number which you highlighted is this in retail or the end of the group if you could give us a breakdown between retail and group even indicative number if you can share which you know which one is growing by how much? So that is the first question. Second is in the fourth quarter, the new business growth looks very strong. These are we what was in the earlier quarter. So if you could give some colo ur on any trends that you are seeing? Thirdly , I wanted to know your thoughts on the group related strategy. So what is differen t in the group related strategy r ight now vis-a-vis how it was before we had started to bring it down in the previous cycle? And lastly, a very quick small thing that I want ed to understand was that it looks that when you started the year, our share of specialized product was higher than 17% in the mix towards the end of the year, it has come down to 15 .5%. So any anything to read into that? So these are the four questions, S ir. Thank you.

Anand Roy: So t

o answer your first question, the retail growth in the month of March. I think the growth rate in the month of March was good. If you look at the pecking order of the volume of business generated by all general insuran ce companies, I think Star Health is number 1 or number 2 even considering all lines of business for others in terms of the volume. So the business continues to grow fast and April month we are looking at more of a heterogeneous growth from all lines of

business both from retail as well as from our group businesses. As I had mentioned earlier in my previous calls that the group business strategy of running down the book was up to the last financial year. We have continuing to focus on profitable groups, whi ch is largely the SME segment and so the growth is coming back on those g roup busine ss. So there is a growth across all those segments. As far as the specialized products which you asked about, specialized product continues to be our focus area. It has com e down probably because of certain underwriting calls we took on one or two products, but that is part of our overall strategy and our focus continues to be on specialized products.

S. Prakash: The decrease is also only relative because we have introduced some of new produc ts like Health A ssure and premier and women care, since people are preferring those new products, probably there is a relative decrease, but otherwise the focus is on all profit making products.

Swarnabh Mukherjee: That's helpful. Agai n just follow up on the first question in in terms of the April month growth,

so would it be fair to assume that this is like fairly broad based, right, the 25% kind of a n umber you mentioned.
Anand Roy: Yes, yes, absolutely correct.
Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services Limited. Please go ahead.
Prayesh Jain: Firstly, could you break down FY 2023 retail health growth in terms of number of policies and value growth.
Nilesh Kambli : 50%-50% value and volume.
Prayesh Jain: The number of policies would have grown by how much.
Nilesh Kambli : 50% is value growth and 50% is volume growth.
Prayesh Jain: Now, can you quantify the number of policies growth?
Nilesh Kambli : So number of policy growth is 9%, we had grown by 18% in retail health business. 9% is policy growth and 9% is value.
Prayesh Jain: OK, perfect. And in the past you have mentioned that your loss ra tios will be in the range of 62% - 65% and combined will be in 93% to 95% range and when you mentioned that f or the April month, the loss ratios are better than last year. Do you mean the exit rate of last year or the entire of last year? And wha t could be your guidance for FY 2024 o n the similar zone ?

Nilesh Kambli : So we'll improve the loss ratio compared to full last year number. I mean 65% is what we mentioned. We will improve on that loss ratio in the current year when we talk about April loss ratio it is compared to full year loss ratio .
Prayesh Jain: OK, and what about your guidance, do you t hink 63% to 65% still holds and or it can be better than that.
Nilesh Kambli : So will continue to maintain that, we'll improve it compared to last year.
Prayesh Jain: OK. And so from ou r, if we start thinking from a FY 2024 growth perspe ctive with the price hike that is being implemented, how should we think about number of pol icy growth, sum assured growth a nd price hike. How these three would have an interpla y in terms of your growth, how would you see that?
Nilesh Kam bli: So one is, as Anand sir mentioned that we will continue to go higher than the industry growth rate and continue to imp

rove on the market share. In terms of v olume and value grow th, it will be similar, slightly higher value g rowth this year because we have t aken a price hike it can be around 5 5% to 60% value g rowth and 40 % to 45% volume growth .
Prayesh Jain: OK. And just in in the past you have also mentioned about getting into more affluent categories in terms of population. What are the initiatives that we're taking there and how is that progress happening?
Anand Roy: So the fact that our a verage sum assured of our policies has gone up by more than 10% this last financial year which gives an indication that the c ustomers that we are now targeting are more affluent than what they were earlier and also the awareness of health insurance an d appropriate coverage has also kind of been established in the socie ty at large. So I think a combination of both these things will help us to keep growing our aver age ticket size as well as the average sum insured , which we hope to achieve this year also.
Moderator: Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.
Shreya Shivani: I have two q uestions. First is on the sh are of agr eed network hospital . So this number has varied quite a lot this year, like it was a 56% in first quarter and first half it was 66 %, 9 months it was 76% and now it's 67 %. So I just want to understand how frequently do you rearrange your agreement with hospitals? Why did this number vary so much this year versus last year, e very quarter it didn't vary so much, so, that's my first question? The second is on the wellness program. Just wanted to understand how elaborate would this program be? Are you just partnering with your — with some other fintech or are you planning to launch your own separate web portal or if you can give us a little more details about this. And also one last question is, can you share the share of longer -term policies in your entire book, as in the policies which are more than one year, two years or three years — the two year, three -year policy, the share of that? Thank you.

S. Prakash: With regard to share of agr eed network hospital to t he overall hospital every month y ou should understand that there are lot of hospitals showing interest to be part of our empanelment. We get around 200 plus applications from different hospitals so naturally, the number keeps increasing when the overall n umber increases. The share of AN H to the overall number will definitely alter . Apart from that, there is an exclusive team in Star to talk to hospitals and arrive at a fare pricing for identifying surgical procedures and also to fit a proper price for medical management, room rents, professional charges, common diagnostic tests and all that. Our pricing arrangement with the hospitals will depend on the geography, the nature of hospital, whether there are physical oriented or medical oriented. There are lot of formulas involved to arrive at a pricing with the hospitals, so the summoned substances, new hospitals show lot of interest in part of our panel. There is a constant increas e in the number of hospitals. Our empaneled hospitals have crossed 14,000. There is a constant effort to convert most of these empaneled hospitals into our agreed pricing. And this strategy is also continuing that is the reason why you are seeing a differen t percentage. But overall the financial transaction and turnover as we could trade it is more with hospitals where we have a pricing arrangement. More number of claims are processed in hospitals where there is a proper pricing arrangement. Second, with reg ard to Wellness. We are having a programmed structured way of organizing Wellness rewards for young customers who want to be our policyholders. We want to recognize, manage maintenance of good heal

th and give them discount on the premium based on the score s that they could achieve. Second thing is the number of people who are with the elderly people, people who are with suffering from lot of comorbid conditions. We have condition management programs and structured Wellness program to educate them, to rehabi litate them. And encourage them to have proper diet and lifestyle changes so that they don't fall victim to disease. Through this strategy we have also found that our readmission rates are coming less and we could address areas like geographies where our c ustomers live with multiple coma bits and we are trying to decrease the frequency rate of claims in those areas. So there is a structured and organized way of conducting our Wellness program and we are closely monitoring the outcome.

Shreya Shivani: My question here on t he Wellness program is that this program is for your existing insurance, the policy holder, it's not like you're opening a platform to all set of customers and from there you may want to convert them into insurance holders, which way is it?

Anand Roy: So see, it is a mix of both the things that you mentioned for our policyholders. We have a structured Wellness program as part of the policy as Dr. Prakash mentioned by which if they are taking care of their health and their able to demonstrate those results on our application they we give th em our p remium discount at the time of renewal. But even for non-customers who are not yet with Star Health, we have a wonderful free telemedic ine ser vice which gives advice and guidance to anybody for various kinds of ailments that they may have and it is absolutely free of cost. T his definitely is a channel by which we are able to generate leads for potential customers and we intend to scale that up e ven significantly. We also do have tie up

with a F intech firm for the services of all our Wellness related program in case of how they can have the te chnology integration of their Io T devices into our app so that they can submit their data.

As far as your question of the long term policies is concerned about 2 .5% of our policies are coming from long term plans, which are more than one-year -old. But this is an area where we are going to focus more and we have seen that on the online platform or digital channels, almost 50% of our new customers in the recent past is coming from long -term plans. So, we will be focusing on these plans going forward.

Moderator: Thank you. The next questio n is from the line of Anirudh Shetty from Solidarity Investment Managers . Please go ahead.

Anirudh Shetty: So my question was more on our re turn on equity which for FY 2023 is around 12 .5% which is very cl ose to cost of capital , despite us getting our loss ratio to our the upper end of our target of 63 % to 65%. The thing so my question is for us to get to a healthy ROE at least 15%, what needs to improve for us and also if you could give us any timelines on by when do you think you can get to that numbe r?

Nilesh Kambli : This ROE of 12.4% is basically after the ESOP cost which is the one-time non-business cost. So we exclude that the ROE is a much higher . So next year again will be one full year with price increase that we have taken we should return to healthy ROEs of 16% to 18% that we have been talking about.

Anirudh Shetty: Got it, so 16% to 18%. And sir, right now there is also a bit of an accounting anomaly because of the mismatch. So this 16% to 18%, if one were to look at it at a — there is a p roper matching, or say if there was IFRS implemented, how would this ROE look like in that scenario?

Nilesh Kambli : So once we implement IFR S where the cost is defe

rred over the policy period today only the premium is deferred there as the cost is upfront . If we defer the cost also over the policy period, this should improve by another 300 to 400 basis points. The ROE will further improve.

Anirudh Shetty: And could ther e also be an implication of say risk based kind of solvency is introduced then given t he nature of the business that you are in very granular, could that also be ROE accretive ?

Nilesh Kambli : See, the risk -based solvency will ensure that the solvency for us will be very, very comfortable. I mean indirectly, it will benefit us because today, it being a growth business, and to keep on doing the business we need to keep capital. But once the solvency come in, and we are profitable, we will be in a position to pay dividend as well. This will — that is we can maintain

a healthy solvency. We can pay out dividend as well.
Anirudh Shetty: And j ust one final question, at this point in time, how much of our portfolio w ould be in equities and over time, where do we see that number heading to?

Aneesh Srivastava: So a s of now 4.1% of the portfol io is in ETF. We have decided to increase the ETF exposure, maybe that we would go to go up to 7% and then decide what comes later .
Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark . Please go ahead.
Sanketh Godha : Anand, you said that the growth in April is coming from both group and retail. And probably in FY23, the Group contribution was all — is at the lowest level in the last five, six years. So, is the Group going to contribute around 10% to 11% on the total GWP in FY ’24? Then, is it safe to assume because Group invariably has a higher loss ratio that 65% loss ratio could be, still be maintained in FY ’24 because sheer change in the product mix?
Anand Roy: So see. As I've mentioned in the past, our bus iness strategies very clearly focused on growth with profit. So we do not intend to write groups which are loss making in nature. So our f ocus on groups are also on the SME segment which I mentioned, it's a quasi -retail model. The group business also comes through our tradi tional channels like agency and d igital channels. So we are very confident that even with the 10% group that we intend to write, our loss r atios should not go beyond what w e are envisaging .
Sanketh Godha: So is i t safe to assume Anand t hat in previous when we di d it that business in around 10 %-11% the loss ratio experience in Group is very similar to retail or it was tad higher . OK. Yeah, I should look at combined because of the opex costs associated with the business.
Moderator: Thank you. The next question is from the line of Ansuman Deb from ICICI Securities. Please go ahead.
Ansuman Deb: My question is first on the combined ratio guidance. So, we’re saying it is lower expected compared to FY ’23 for FY ’24. Is it backed by any improvement in experience as far as severity and frequency is concerned? And maybe, some of the fraud prevention practices that we have been incorporating because is it an industry -level phenomenon, or a company -level phenomenon, if you could help us under stand that?
And secondly on the growth that you are expecting in FY ’24, does it factor any benefit from expansion of tie -ups with new branches or any regulatory benefits are being factored within this assumption? These are the two questions. Thanks.
Niles h Kambli : So basically the combined ratio improvement will happen on account of the strategic initiatives that we have been taking and that will bear fruit s in terms of the financial outcomes, the product mix, business mix change that we have done over th e last year and we c ontinue to do.
As we have been saying the EoM regulations will be beneficial because

EoM regulations as well
as the opening up of the Ban ca and Ban ca business to 9 players, that is something which we

look as big opportuni ty areas, which will help us to g et into newer channels and conti nue to grow our profitable mix of business .
Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark . Please go ahead.
Sanketh Godha: Doctor Prakash, y ou said that around 1.3 % improvement in the loss ratio h appened because of the fraud detection in FY 2023 which was new initiative, Sir, just wanted to understand that the low hanging fruits with respect to the fraud detection exercise is almost exploited or there is in your opinion how much hea droom is further available to reduce the loss ratio just by better fraud management .
S. Prakash: See one cannot determine the headroom be cause there is always newer trends of fraud that are emerging in the market. We are keeping our eyes open with our experience of handling more than 90 lakh claims. We have identified probable areas which are prone for fraud, abuse and leakage and using those intelligence we ha ve created a ru le engine and we are able to identify those vulnerable claims which are more prone for fraud and deep dive, and study them so that we can filter those fraudulent claims as they come to us .
Nilesh Kambli : Yeah, to just add one more thing, y ou know this initiative started in the secon d-half of the year, so FY20 24 will be the first full year of benefit tha t will come through on account o f the fraud initiative.
Sanketh Godha: And the last one if you can resp ond to this that in your experience, what is the average tick et size claim difference for ANH hospital versus other hospital and related to it today 67% is ANH.
What you aspire that number to be in FY 2024, like maybe upwards of 70 % or any internal target you h ave to achieve that particular number ?
S. Prakash: See, this cannot be an apple to apple comparison because the average network for hospitals

based on speciality. I should compare the average decrease in outgo between hospitals of AN H, doing only cardiac, doing only ca ncer treatment, doing only trauma and orthopedics , something like that. It will be very difficult for us to arrive at, what is the v alue additi on but there is a greater fina ncial benefit that we could see when like more and more transactions happen through an agreed network hospitals.

Sanketh Godha: Got it, Sir. I mean this 67% what you expected to be in FY20 24 given its benefits in loss ratios ?

Nilesh Kambli : This will keep on improvin g on that initiative. W e have not set any target for a one year period because these benefits, som e of them are tangible, some of t hem are intangible. So it's very

difficul t to measure. Overall, we are seeing a lot of improvement and benefit on that.

Mod erator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: So it looks like the URR to constant URR for the year FY ’23 to the NWP, that ratio is around 58%. And you had previously dictated that would be around 56%. So just wanted to understand what resulted in this higher ratio in FY2023? .

Nilesh Kambli : See basically URR is a function of growth in business, so it's dynamic, it's not a constant number. If the growth is constant, i t will be constant number, but depending upon the growth being higher or lower compared to last year it will keep on fluctuating.

Supratim Datta: So is it fair to assume that you had faster growth , maybe in the la

ter weeks of March? That's why they incre ased?

Nilesh Kambli : Yes

Supratim Datta: And on the same point you talk about 1% in the loss ratio. Just wanted to understand what are the initi atives that you have going on that front and then your initiative and improvement further improvement, do you expect from those?

Nilesh Kambli : So you're talking about the fraud initiatives, which has resulted in incremental, 1.3% improvement right in quarter four ?

Supratim Datta: Yes.

Nilesh Kambli : So it's an ongoing initiatives that we improve on the fraud control and management the ANH network that we continue to improve. We continue to negotiate ra tes with the hospitals that's an ongoing initiative and it will continue to gi ve benefits to us.

Supratim Datta: And what proportion of your ANH hospitals would be having packages with those ones which will not be having packages?

Nilesh Kambli : So basically the ANH network is hospitals where we have packages, that's 67% the ratio that we have commented on .

Moderator: Thank you. The next question is from the line of Devansh Nigotia from SIMPL . Please go ahead.

Devansh Nigotia : In case of Family H ealth Optima after the price increase is ta ken, we are seeing that our pricing is actually at 15 % to 25% premium to our peers, so. What do we think with such high pricing, do we see a risk of dropout being more than 5% that we are expecting for FY 2024? And also what we are seeing is that the company itself is actually pu shing Star Comprehensive Instead of the family floater policies, which is actually at a 12% to 13% discount to Family H ealth optima. So I mean, if you could just share some perspective over here or how you see the family health policies mix evolving for FY 2024?

Anand Roy: So see our family floater portfolio c ontinues to grow well and overall at a company level, we are tracking that , how does the family floater portfol io perform a nd there are four products that constitute this portfolio. So Family Health Optima price revision initial response we have not seen any negative outcomes . We are including the four products that I mentioned about as long as the portfolio is growing we are ok with that .

Devansh Nigotia : And in case of so from first step then the experience that we have seen for the new sales, how will the mix evolve within family floater ? Has there been a tilt towards the Star Comprehensive instead of F amily Health Optima or the portfolio share ? Because their pricing is actually a 12 %-13% discount. So it's been actually 2 -3 months since the price incr ease has happened. So any data point i f you can share.

Anand Roy: We are seeing a b alance between these products, S tar Comprehensive , Star A ssure , Family Health Optima. As we have region based pricing, so some regions Family H ealth Optima is more attractive for the customers . For some regions Assure is more attractive to the customers. So it's being sold on those basis. But as I told you, at the portfolio l evel, the company continues to grow on the fam ily floater portfolio and that's what we are more interested in .

Devansh Nigotia: And Family Health Optima pricing, price increase has happened from first April or from which

date that has happened for the re newal portfolio.
Anand Roy: So it's bound to happen from 2nd of May onwards.
Devansh Nigotia: So that we have to see the experience in the in case of renewal, how it will shape up? And in case of a bancassurance , since now that the wallet share is with now 8 insurers can be onboard instead of three. So are you are we l ooking to target some large banks which can actually create a meaningful difference in our benefit based book which currently is negligible? So any thought process if you can share and wha t can be t

he constraint here to empanel ourselves with the large banks?
Anand Roy: So there are no constraints. All banks who are i nterested in growing the health insurance portfolio are talking to us. And now as you understand that with the new EoM regulations,

which has been now brought in by the regulator, we are also engaging in discussions with them. As I've already mentioned in my speech that we have signed up three banks in the last quarte r like India Post Payments Bank , Standard Chartered Bank and ESAF small finance bank. We will continue to add more and more banks as we go forward.
Devansh Nigotia: So are we trying for large banks? I mean, Sir, because all the banks that we mentioned for banca tie up are actually relatively small. So that is why the question was targeted towards large size banks.
Anand Roy: We are interested in part nerships where Star Health is also gain ing, we are not interested in any partnerships which is not viable f or us. So, we will continue to talk to them and we'll see how it goes. So we're also now talking to some large NBFCs. I think some of them will be announced very soon.
Devansh Nigotia: And the investment yield that we shared for the quarter was 7.34 %. So does that include some MTM gains that we have booked in our bond book? And what is the yield we are working with for FY 2024 and FY20 25?
Aneesh Srivastava : So obviously this does not include any mark to market or any book profits. It is slightly difficult to give guidance , but yeah, what you understand is that perhaps yield curve would remain somewhere here only given the fact that RBI is on a long pause. So I think we would keep getting interesting opportunities for deployment.
Devansh Nigotia: So 7.34 % sustainable for the year if considering the interest rates are constant.
Moderator: Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha Capital . Please go ahead.
Pallavi Deshpande: Just wanted to know on the num ber of agents you mentioned. How many of those 96,000 would be exclusive agents that you added this year compare d to the same number last year?
Anand Roy: So the exclusive agents that we have added this year is close to 18,000 and it would have been the similar number last financial year also. So IC -38 agents are a focus area. We are also looking at growing this channel very, very fast, so we will continue to focus on this.
Pallavi Deshpande: And the target for this year would be how many?
Anand Roy: So we aspire to do at least double this, but I think we should do better.
Pallavi Deshpande: And so secondly, you mentioned about overall this on the fraud reduction, so that was half year period that you got this benefit and so just on that side, if you want to estimate that for

the next year, we just we can assume some j ust double that up. Or I mean, how do we look at it?
Nilesh Kambli : So whatever work we have done will continue to get the benefit for the full year next year, this year it was only available for six months period, but next year it will be full year and. We'll continue to improve on that numbers.
Moderator: Thank you. I'd now like to hand the conference over to Mr. Nilesh Kambli for closing comments. Over to you, Sir.
Nilesh Kambli : So thank you everyone for joining the call and we are really very happy to announce profitable results with improved operating profitability for the full year . Thanks for the trust and confidence and we assure you, we'll continue to do well. Thank you all.
Moderator: Thank you. On behalf of Star Health and Allied

Insurance Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.
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Call: Aug 2023

Date:August2,2023
Place:Chennai
Ref:SHAI/B&S/SE/95/2023-24
To, To,
TheManager TheManager
ListingDepartment ListingDepartment
BSELimited NationalStockExchangeofIndiaLimited
PhirozeJeejeebhoyTowers ExchangePlaza,5thFloor,PlotC/1,
DalalStreet GBlock,Bandra-KurlaComplex
Mumbai–400001 Mumbai–400051.
ScripCode:543412 Symbol:STARHEALTH
DearSir/Madam,
Sub:TranscriptofQ1FY24EarningsCall–June30,2023.
FurthertotheCompany'sletterSHAI/B&S/SE/86/2022-23datedJuly25,2023regardingEarningsCall
IntimationforQ1FY2023-24,pleasefindattachedthetranscriptofthecalldatedJuly28,2023.
TheaboveinformationisalsobeinghostedontheCompany'swebsiteatwww.starhealth.in
Thisisforyourkindinformation.
ThankingYou,
ForStarHealthandAlliedInsuranceCompanyLimited,
JayashreeSethuraman,
CompanySecretary&ComplianceOfficer

Star Health and Allied Insurance Company Limited
Q1 FY'24 Earnings Conference Call
July 2 8, 2023

Management:
Mr. Anand Roy – Managing Director & Chief Executive Officer
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Amitabh Jain - Chief Operating Officer
Mr. Aneesh Srivastava – Chief Investment Officer
Mr. Aditya Biyani – Chief Corporate Strategy and Investor Relations Officer

Moderator: Ladies and gentlemen, good da y and welcome to the Star Health and Allied Insurance Company Limited's Q1 -FY2024 Earnings Conference Call .
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone.
I now hand the conference over to Mr. Pratik Patil from Ad factors PR - Investor Relations Team. Thank you and over to you, Mr. Pratik Pat il.
Pratik Patil: Good evening everyone. From the senior management we have with us, Mr. Anand Roy – Managing Director and Chief Executive Officer. Mr. Nilesh Kambli – Chief Financial Officer , Mr. Amitabh Jain – Chief Operating Officer, Mr. Aneesh Srivastava – Chief Investment Officer , Mr. Aditya Biyani – Chief Corporate Strategy & Investor Relations Officer.
Before we begin the conference call, I would like to mentio n that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financial and operating performances, benefits and synergies of the company's strategies , future opportunities and growth of the market of the compan y's services.
Further , I would like to mention that some of the statements made in today's conference call may involve risks and uncertainties. Thank you and over to you Mr. Roy.
Anand Roy: Thank you and good evening to all of you. T hank you for joining Star Health's earnings call today. My name is Anand Roy , I'm the MD and CEO of the company.
I will first give you a brief overview of the industry trends and the developments that we have witnessed in the last few months, as well as walk you through the company's performance in terms of premium and distribution. Later on, I will cover the financial performance and aspects related to claims, including the steps that are underway to manage them .

In Q1 FY24, the health insurance industry, including the personal accident business has grown by 21%, driven by 23% growth in group health and 18% growth in retail health .
Now we will talk about the growth and market share of Star H ealth .
For 3M-2024 , that's the quarte r one , our overall growth is 20%. Our retail growth rate is 19% versus the industry's retail growth rate of 18% during Q1FY24.

In Q1FY24, Star Health registered a 32 % market share in retail health, which is more than 3x the second largest player in the industry. We a spire to grow higher than the market growth rate and increase our retail market share in the future.
As far as our accretion share is concerned, Star Health has registered 33% retail health accretion market share in Q1 FY24 .
Our agency business continues to contribute around 81% of the overall business. Our agency strength has increased to 6,42,588 agents with a net addition of 16,728 agents in the first quarter as compared to FY23 .
In Q1 FY24 our corporate agents, that is banks and other tie -ups continues to remain very strong and the premium has grown by more than 35% from this channel over Q1FY23 .
Some of the highlights in the first quarter for us were as follows :
As far as premium and dist ribution is concerned, we have taken a price hike in the Family Health Optima plan, where the renewal pricing was effective from 1st May ,2023. We are very happy to inform that the policy renewal in terms of both volume and value are in line with our expectation.
We continue to focus on our digital initiatives and we continue to make substantial strategic investment in the digital areas. The outcomes are :

■ Our fresh digital business has grown by 26% in

first quarter over the previous year
first quarter .

■ We have relaunched our Star Power app as the Star Health app. The key features of the Star Health app differentiated journeys of policies for policyholders and non - policy holders. Instant and scheduled call with our free telemedicine services which we ca ll as Talk to Star. The management of family members of the policyholders are also made very simple. The network hospital search has been made simple for customers to access the nearest network hospital to them .

■ The organic traffic to the website grew by 48% in our first quarter over the same period last year.

■ Our brand campaign saved the savings, was well received and it has led to a 3.5% uptick in the buying consideration of the target segment.

■ The dynamic QR code introduced on all our policy renewals and also on our digital platforms will ensure that the customers can now renew policies at the click of a button and it will also lead to cost savings in terms of collection cost .

We have tied up with AU Small Finance Bank , Bank of Maharashtra, and Godrej Housing Finance during the quarter which will further expand our reach and also strengthen sales of

our higher sum assured policies . With the new expense of management gu idelines provided by the IRDAI, t his provides an immense growth opportunity for us .
In order to reach newer geograph ies, w e have identified almost 1000 sales manager stations which are located in semi urban and rural areas. These are small individual service cent res of which 410 have already become operational during the first quarter. The expenses of management regulation gives us a lot of flexibility to gain in the Ban ca and alternate channel business areas along with our agency channel .
The average sum assured of our new policies has increased by 10% on a year -on-year basis which now stands at Rs. 9.5 lakhs on average . Five lakhs and above sum insured now constitutes 76% of the retail health portfolio versus 69% in the first quarter of last year.
The premium from benefit plans have grown by 29% in the first quarter. The share of such products within the overall GWP has increased by 17 bps to 2.5% in the first quarter of FY24 .
I will now talk about the claims initiatives and the outcomes :
61% of the number of paid claims in the first quarter are through cashless , versus 56% in the first quarter of last year. In terms of claims amount, 84% of the paid claims in Q1 FY24 were cashless versus 80% in Q1FY23 . Cashless claims settled within two hours came in at aro und 94%.
Auto adjudication of claims through our investments in tech has helped in drastically improving turnaround times and thereby improving customer satisfaction. 28% of our agreed network hospitals representing 67% of cashless claims have been onboarded under these initiatives.

The number of such claims settled has risen to 60,000 in Q1 of FY24 , a growth of 34% versus Q4 of FY23 . So, on a sequential basis, it has grown by 34%.
We continue to improve on the claims related milestones . Within overa ll cashless claims the share of hospitals with pricing arrangements that is agreed network hospitals, cashless claims is 61% versus 56% in the Q1 of FY23.
As you will be aware, fraud control is one of the critical factors to address in a health insurance business, especially in a retail health insurance business like ours . Our anti -fraud digital initiative has started to produce savings in claims outgo. There's a 0.9% incremental benefit in terms of lower claims ratio in the Q1FY24 and SAS has assisted in 80% of those cases.
Claims initiatives plan to bring efficiency or reduction in readmission , home health care initiative , it is a very innovative initiative that we have taken . First notice of loss initiative throug

h app for remote and virtual survey , which will help us to advise customers on appropriate hospitals nearest to their homes.

Our financial performance , we are focused on sustainable profitable growth and taking decisions to achieve that goal. Our combined ratio for Q1FY24 has improved to 97. 80% versus 98.24 % in Q1 of FY23 . Improvement in combined ratio is achieved through claims ratio improvement . The claim ratio for Q1FY24 has improved by around 1% to 65.4 % versus 66.3 % in Q1FY23.
The expense ratio has slightly increased in Q1FY24 to 32.4% versus 32.0% in Q1FY23 mainly on account of the Fixed cost vis a vis Q1 -2024 being a smaller quarter in terms Gross premium.
Our investment assets have grown to Rs. 13,303 crore in Q1 FY24 versus Rs. 11,463 crore in Q1FY23. With a rise in interest rates, fresh investments are deployed at a higher yield and realization of profits on ET Fs, t he yield for Q1 FY24 rising to 7.45% versus 7.11% in Q1 of FY23.We continue to invest in equity portfolio through E TFs. The i nvestment income in Q1FY24 grew by 23% to Rs. 250 crore over Q1 of FY23 of Rs. 204 crore .
Q1FY24 recorded a profit before tax of Rs. 384 crore versus Rs. 288 crore reported in the Q1 of FY23. Our profit after tax in the first quarter of FY24 came in at Rs. 288 crore versus Rs. 213 crore in the first quarter of FY23 , representing a growth of 35% in our PAT numbers . Non-annualized ROE for the quarter has increased to 5.2% compared to 4.6% in Q1 of FY23.
Solvency as on 30th June is 2.18 times compared to the regulatory requirement of 1.5 times.
This solvency has been achieved despite availing only the 4% mandatory reinsurance.
To conclude, we at Star Health continue to invest in the profitable and sustainable growth opportunities available in the health insurance segment and we a re on our desired path of realis ing the same. Thank you so much and now we are happy to take your questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Swarnab Mukherjee from B&K Securities. Please go ahead.
Swarnab Mukherjee: So, I have two, three questions. First on the new business side, new business numbers ha ve not come up yet. So, I just wanted to understand whether we are facing any kind of challenges in terms of new business , whether is this in terms of where the pricing of our policies are? Or is there any other kind of headwind that are there, i f you could explain that . And what are the steps you are taking regarding that?
Also, the second question is in terms of the renewal rate. So, while you have given the renewal rate number in the presentation, I wanted to understand that in terms of number of policies, how should we see it or if you could give us the growth in the overall number of policies , it could also be very helpful.
Also, thirdly, it terms of the cost side , I see that there has been a jump in the advertising cost . As you had mentioned that the increase in the cost ratio is primarily due to the fixed cost base.

So, should we then expect that advertising cost run rate to be similar for the remaining part of the year . And on the employee cost base also if you could expl ain what the run rate could going ahead and h ow the variable cost is accounted for ? So, whether it is apportioned over the year or it is taken in the fourth quarter?
And lastly on the commission ratio, it has come down. So, how should we read this? If you could highlight whether this is the reason of the mix of group versus retail .
Anand Roy: As far as new business is concerned; the company has registered a growth of 15% in our new busines

s. We have taken some strategic shifts in our new business and in business planning.
We have kind of tightened our underwriting standards in certain areas. We have taken a risk based price hike in our FHO product . We are incentivizing our channels for better outcomes.

So, that will be the long -term strategic shift that the company has taken. But having said that, the new business continues to grow fairly for us and we are very confident that we w ill continue to grow at a good rate.

As far as our renewal rates are concerned , we have seen very good retention rates as I mentioned already in my opening remarks . The FHO price hike which we had taken , we had anticipated a drop of 4 -5% in our number of policies, which typically used to happen when we took a price hike earlier in FY17 but we are seeing the initial results are very encouraging and the drop -off rates are much lower than what we had anticipated so, in that context, it see ms to be a good beginning.

Nilesh Kambli: We are doing strategic investment in people and technology which is a part of the digital initiative that we're taking , so this advertisement and publicity are part of the digital initiative and we continue to invest in this channel . The absolute amount of fixed costs , it's on a sequential basis. The investment in people that we have done , and the salary increments , typically which happens as the new year has begin s, that has led to a n absolute cost increase com pared to last year. One needs to compare Q4 versus Q1 , because fixed cost is sequential. We are well on target to achieve the full year fixed cost budget. So, it's more a temporary Q1 phenomen a, because the GWP end s up lower , in the beginning of the year .

Swarnab Mukherjee: In terms of the commission ratio ?

Nilesh Kambli: See commission ratio again , with digital business also picking up now, it will slightly trend lower.

Swarnab Mukherjee: Can this be the run rate that we assume for the rest of the year.

Nilesh Kambli: See what has happened , with this is EoM regulations coming in , we are looking at a new structure. So, while the overall expense ratio will be similar, while we continue to invest, the re can be structural shift between opex and commission , but the overall cost structure will be in line with our targets .

Moderator: We have the next question from the line of Avinash Singh from EMKAY Global.

Avinash Singh: Couple of questions. The first one is on the claims ratio . Given that from May , 2023 you took price hike in renewal as well and you had already increased prices of FHO . So, with some kind of adjustment in prices, why is still the sort of a claims issue , again, it's not the way of, but one would have expected claim r atio to improve a bit better on annual basis , because the price hike is also coming into picture and then of course, your more or less normalization in claims are very normal , you are now coming into picture .

So, can you explain , I mean despite the price hike , I mean claims ratio , they are still a bit on the sort of inflated side , that’s one.

Second, o n the retail health, of course you have repriced. Can you sort of comment on competitive intensity in the market, whether , you know , either it's the pricing or the payouts are concerned , because now of cou rse other new EoM regulation . Of course, earlier also there were certain practices , but you are officially -- the commission cap is now moved to overall cap . And also, everybody is chasing , I mean from SAHI’S to multiline, everybody chasing retail health. So, how is the pricing environment as well as the, you know, the competitive environment of the distributors ?

Nilesh Kambli: To answer the first question in terms of c laims rat

io while we have taken the price increase which is effective 1st May , 2023 the benefits in terms of earnings, we follow the 1/365 approach . So, the earning benefit will come only second half onwards. In fact, we are very happy that in spite of price rise kicking in only in 1st of May , 2023 we are able to reduce the loss ratio by almost 1% compared to last year. Inflation has moved by one year, but since we're able to reduce the loss ratio , this is a good achievement, is what we believe.

Anand Ro y: As far as the competitive intensity is concerned in retail health, we have been seeing extremely intense competition in this business for the last two to three years. It's not something new . Of course , now with the new EoM structure kicking in, I think Star Health has a benefit , because we have the levers now to enter into segments where we were not very active earlier, while at the same time our competitors may have to bring down their cost structures to comply with the regulations. So, I think you know we are already operating in a very highly competitive environment and we are able to grow faster than the industry and maintain our market share and in fact improve upon it. So, we don't see that as any particular challenge right now. In fact, I think it will be beneficial for us.

Avinash Singh: You have a lot of large public sector bank as your bank a partner. Do you see sort of a potential for higher growth in that , because that would be generally under penetrated channel, but at the same time the channel performance is somewhat lower . And do you sort of offer just a retail product or offer certain kind of a group product for their customer that is basically kind of a in nature retail , but offered as a group? So, do you see any sort of growth improving there by tweaking products?

Anand Roy: We are very lucky to have some of the leading public sector banks with us as our partner s. There's a lot of opportunity to engage with them even closely and increase our book size there. The strategy for us is mostly on the branch banking on these banks. I t is largely retail products , but offered on a group platform. So, individual customers buy it, but the product is constructed on a group platform and I think that will continue. What we are seeing is very high levels of engagement with all of these banks, the management of the banks are extremely happy. We are the largest player in all these bank relationships as far as health busi ness is concerned. Most of the banks have renewed their contracts with us for three years or even six years, like Punjab National Bank. So, this will be a good avenue of growth for us as w e go forward.

Moderator: The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: I have three questions. First is on the loss ratios and I'm sort of repeating this question over here. So, apart from the price hike, the way I was trying to understand was that , last quarter we had a loss ratio of 62%. First quarter generally doesn't have any seasonal diseases etc . In second quarter, third quarter, we will have some impact of seasonal diseases. So, what one would expect was that the loss ratio s should have been higher in second quarter and third quarter and this quarter should have been a much more normalized , if not as close to fourth quarter, because I understand the reserve accounting, the way it functions . It shouldn't have been significant ly higher than fourth quarter. And I also want to understand why the IBNR reserves has also increased much more than what you have generally seen in the previous 1Q. Second question is on the growth rate. So, the retail book last year, not the overall book, just the retail book last year was growing at 18% without any price hike, only the ne

w business got a price hike last year. So, now this year when you are growing retail book, the retail book is only growing at 19 -20% in spite of the price hike that we have taken. So, shouldn't the price hike have added a few more percentage points to the growth rate ? I mean I'm just not able to match the numbers between the growth that is coming in and the better improved renewal ratios that you're talking about or t he improved retention ratios that you're talking about.

And the third question is simply , one of the peer private general insurer reported their result and for them the commission ratios and the other opex ratio has sort of switched places . And it seems li ke that you know the impact of EoM guidelines have finally come in and the commission ratios are rebasing everywhere. So, I was just wondering whether that didn't happen for the health insurance segment , because your commission ratios are largely in line with what we've seen historically. And since when do we expect that commission ratio to start reflecting the change.

Nilesh Kambli : In terms of loss ratio, we have always mentioned that Q4 is our best quarter because of the non-existence of any epidemics, the loss ratio is better . When it comes to Q1 typically, there are no epidemics, but there are elective surgeries which t akes place . And you know while the frequency is lower, the severity is higher. We have seen that the loss r atio is typically

higher compared to Q4 . But that's the primary reason of Q1 loss ratio , which is higher. But if you see for us it's an improvement compared to last year as well, which is a good sign. In terms of IBNR and outstanding result s, you know IBNR we have a reduction this time , because the cashless claims have proportion ate increase d. As we had mentioned in the script from 80% to 84%. On an overall basis, you know, claim outstanding is a function of cash settlements in the hospital. So, that's an ongoing , number depends upon when the due dates for this hospital payments come through.

In terms of the commission ratios, y ou know we are an agency heavy business. So, while other GI players it can shift between opex and commission. But for us, it's an agency heavy business, which is always, you know, Commission were always paid. So, for us there will not be much of an impact going forward in this . There's a slight movement between OPEX and commission, but nothing major will kick in.

Moderator: The next question is from the line from Prayesh Jain from Motilal Oswal . Please go ahead.

Prayesh Jain: Firstly on t he Opex front, you know while you mentioned that you are making investments . So, you know whether this kind of run rate will sustain , even if you look at the employee cost on a YoY basis, it's a higher by around 29% right . And that's some significantly high number or 29% jump in employee cost. Could you break it down for us in the sense that , you know , how many employees you would have added over this period and what kind of hikes that you would have given and what is the variable cost jump that you woul d have given in this period? So, that will help us understand better as to what could we expect going ahead from here on .

Second is, with regards to the network hospital agreed rates , what would be the trend that you

would have seen with regards to all these charges or surgery cost that would have happen ed to increase , that would have happened say in the last couple of quarters particularly . And would you say that whatever increase that would have happened would have been adequately priced by you guys .
And lastly with all the movements in the growth , possibly being on a slightly on the lower side and what we are working with expenses on the higher

side, would you still maintain your
guida nce of 20% YoY growth in premiums and loss ratio of 63 -65% and a combined of 93-95% ?
Anand Roy: As far as the employee cost is concerned, we have invested a lot in our digital business and when I say digital, it's not only about the digital marketing , it's also about the digital operations of the company. We have on boarded close to 30 engineers and very senior leaders on the technolog y side and these are investments that are being made for the long -term structural shift which the company is going through in terms of digitizing its processes to improve the customer experience and also lower cost. But if you look at it sequentially, I don't think the employee cost has gone up so much. If you look at it qua rter-on-quarter to previous

year, definitely it look higher . But having said that, we are very confident on the growth which we have committed in terms of 20% YoY growth for this year . In fact on the 6 3-65% and combined ratio of 93 -95%, we believe that we should definitely deliver on the lower side of both of these bands . So, the business is on track and we are very confident of achieving those goals.
Prayesh Jain: On the network hospitals ?
Anand Roy: What was the question on the network hospitals ?
Prayesh Jain: What has been the change in the agreed rate in the past six months ? And would that have been , because the channel checks suggests that it has been anywhere between 10 -12% for private insurers , the increase in the agreed rates . So, whether that would have been adequately priced in in your price hike or you would say that that would not really be priced in.
Anand Roy: I think it is definitely priced in adequately in our price hike . And to be very f rank, you know , the rate agreement that Star Health has with its network of hospitals is very different to what probably other companies are able to command or demand. Our agreements are very proprietary in nature and definitely better than what most indus try players are able to attain . But to answer your question, yes the rate hike has been priced in.
Nilesh Kambli: One more thing, I think what you're referring to is only big, listed players. You know the proportion of those players in our whole portfolio is still lower. So, that impact will not flow in the way we're talking about.
Moderator: We will take the next question from the line of Sahej Mittal from 3PInvestment Managers . Please go ahead .
Sahej Mittal: So, first is on the number of policies. So, if you could quantify the number of policies in Q1 at the end of Q1F Y24 versus Q4F Y23, yeah, that would be helpful. Then I'll take my second question .
Nilesh Kambli: You're talking about the number of policy growth ?
Sahej Mittal: The number of retail policies.
Nilesh Kambli: Count of policies we'll get back to you on one to one basis.
Sahej Mittal: And the second one is, has there been a price revision with the agreed network hospital chain.
Nilesh Kambli: It's an ongoing process Sahej , we are not seeing any steep price increases in our network. In fact, we are able to better negotiate prices with some of the larger hospitals.

Sahej Mittal: So, nothing in the last three odd months or maybe last six months? Nothing material ?
Nilesh Kambli: Nothing material .
Sahej Mittal: And the last one is on Opex . So, once this IFRS gets implemented, if you can quantify what proportion of our Opex is fixed in nature in a sense that what proportion of Opex then will not get up-fron ted and then will get appropriately recorded in terms of the premiums being recorded for that parti

cular year . If you could quantify that number. So, for the last year, the
OPEX was close to about Rs. 2000 odd crore . If you can just give out that number.
Nilesh Kambli: So, Sahej one thing is that, the insurance industry, especially the listed players, you know the regulator is looking at implementing IFRS effective 1st April 25 . I talk in terms of ratios of , you know , last year our OPEX ratio was 30% , out of which around 7.5 -8% is fixed cost , balance is variable cost, which will be deferred over the policy period roughly 22 -23% cost. And that will

be applicable both for the commission as well as the reinsurance commission receivable .
Moderator: The next question is from the line of Nischint Chawathe from Kotak. Please go ahead.
Nischint Chawathe: Just two small questions on group business. Have we finally sort of, kind of said that group business starts growing from here on? And given the fact that the employer -employee segment has seen significant price hike, is it kind of more accretive at the combined ratio?
Anand Roy: So, Nischint the group business strategy continues to remain focused on the SME segment and that's our sweet spot. We have ta ken a very, very steep target of increasing our group business this year. Last year it was constituting -- I'm talking purely on the employer , employee corporate business, not on the Banca groups. We expect that you know this year we should be able to double what we did last year. 2X is what we are planning to do. Let's see how that pans out. As far as large corporates are concerned, we continue to remain very, very selective. We are not very bullish about that, but we will evaluate as we go along.
Nischint Chawathe: So, your 20% premium growth target includes you know, group 2X, and then the rest of it retail, is that the way I should read it ?
Anand Roy: 20% growth targets include the group business , yes.
Nischint Chawathe: And just one clarification, the Banca group business or the group business that you're doing under the Banca , the Banca business is growing under the group design , that in your presentation gets reflected in the retail?
Anand Roy: No, it gets reported as per the product filing which is under groups.

Moderator: The next question is from the line of Supratim Dutta from Ambit Capital. Please go ahead.
Supratim Dutta: So, the first question is on the renewal premium ratio. So, I just wanted to understand whether if a customer shifts from Family Health Optima to a lower premium policy with Star Health will he or she still be considered in that renewal premium basket or will that be considered as a new policy? So, that's one. The ne xt question was on the Banca side. You know, you laid out your strategy. Just wanted to understand what proportion of your premiums is currently coming from the Banca channel alone ? And yeah, I understand that you had a target of increasing that to 10% over the medium term, does that strategy still remain in place or you have revised those targets ?
Anand Roy: The renewal of FHO customers, if they migrate to any of our other products within the Star Health franchise, we count them under renewal itself. We do not count them as new business. And the second question is Ban ca, I had guided for maybe 10% some time back, but now we are already clocking at 15% of our fresh business and we hope that you know we will end the year with even better numbers than that.
Supratim Dutta: So, just one follow up on that. So, could you give us the breakdown that , you know , how many people have actually shifted from Family Health Optima to some other products, is that something that you would give?
Anand Roy: No, unfortunately I'm not able to disclose that number but what I can tell you is our retention ratios are better than what w

e had thought about.
Moderator: The next question is from the line of Sanketh Godha from Avendus Spark . Please go ahead .
Sanketh Godha: My simple qu estion is that if you look at ANH contribution has increased from 56 % to 61%, which should improve your loss ratio . We have a price hike , which everyone else has alluded to. But still the quantum of improvement which happened in the loss ratio has not happened. So, in my view, is it because your specialized policies contribution has come off a bit compared to the previous quarter ? And then also the mix -- even if you're growing 15 percentage kind of in new and then the mix is more moving in the favo ur of renewal rather than new in the entire GWP of retail and that is dragging down the loss ratio . So, just wanted to understand that part , little in a better way how it will play out?
Anand Roy: Sanketh as already mentioned that , you know , our improvement in loss ratio as compared to the last year itself showcases that the strategies that we are following are working out well for us. Now wha t you're talking about , the price hike will take some time to eventually derive the benefit for us , so it will play out over the next 12 to 15 months. So, I think it will only get better from here.

So, as far as the renewal to fresh mix is concerned, we keep tracking that very closely. As we continue to invest in our distribution channels, we are opening, as I told you, more than 1000 locations in the semi -urban and rural markets, we expect that our fresh to renewal mix will continue to be similar or bett er.
Sanketh Godha: But Anand in the call you have been saying that that we are investing into people and the

channel. You give the distribution mix on the total premium . Maybe if you can allude to something on distribution mix with respect to new business . It means, has it moved away from agency , more Banca or more direct or more digital is contributing more ? Just to understand that part a little better , that investment is even getting reflected into the diversification in the distribution mix.
Anand Roy: Yes, sure. So, one number I can give you today is that our non -agency new business is now more than 30% contribution which includes Banca , digital and , you know, these two are main channels. We are seeing very fast growth in both of these channels . Now with the new guidelines under the expense of management, which we have got, I think you know we are going to go very aggressive in these two channels .
Sanketh Godha: Anand this number 30 %, if you can disclose , how it was last year and how it has, we just wanted to understand the trajectory .
Anand Roy: Sanketh, we can take that offline . Maybe you can talk to us later.
Sanketh Godha: The last one from my side . We started the call year, or in the fourth quarter ca ll, we guided that the group health might go back to 10 -11% percentage of GWP which was before 2023. But still if I look that number it’s around 6 -7%. And it is believed that group health is seasonally strong in first quarter. So, just wanted to understand still the 10 -11% guidance remains or that number might tone down a bit for the entire year?
Anand Roy: So, the group health, t he number that we have taken will be somewhere around 10 -11% , but that will include the bancassurance group.
Nilesh Kambli: See Sanketh first business is typically large corporate. As mentioned, we are focusing more on SME businesses and Banca Group. You know , the group business has grown for us by 30%. And you know, this is only the first quarter. So, we're confident as we move along the overall mix will keep on increasing.
Moderator: The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh: First, you mentioned you know in

terms of strategic shift for your new business towards non -
agency, an d you gave some colour on 30% coming from that Channel. Just wanted to get some

idea of how the pay-out structures on these non -agency channels differs from your agency , especially for the new business and how the trajectory is shaping up incrementally from a competitive pay-out perspective. And secondly, if you can give some colour on how the claims frequency differs between your metros versus smaller markets or basis sum assured, I mean if you can give some colour on that?
Anand Roy: So, first thing is we are not shifting our business from agency to non -agency. It is just that the contribution of non -agency business is increasing because of our renewed aggression in that segment. Agency continues to be the largest contributor for us, around 70% of new business and 30% plus comes from the non -agency channels. As far as the frequency and all is concerned, these are data that we are not able to disclose. These are very proprietary to us, so unfortunately we cannot do that.
Dipanjan Ghosh: Just to follow -up on the first one, I was asking more from the perspective of how the distribution pay-out on the new business vary between your agency versus non -agency, some qualitati ve colour on that?
Nilesh Kambli : See, we are incentivizing our channels based on outcomes. We look at the overall profitability of the business, the product segment that the channel is contributing. It's a mix of loss ratio and expense ratio and what we look at is the combined ratio, we don't look at pay-out ratio separately . We consider the combined ratio in terms of profitability of the channel.
Moderator: Thank you. We have the next question from the line of Devansh Nigotia from SIMPL . Please go ahead.
Devansh Nigotia: Clarification on the IFRS application . It is -- you mentioned 1st April ‘25.
Nilesh Kambli : Yes, for listed player it will be 1st April ’ 25, you know , the IRDA chairman himself had conducted call with the listed players and large life insurance players and he has mandated that , you know , prepare yourself and be ready by 1st April ’25 .
Devansh Nigotia: So, it's still a directional guidance that he has given. It's not a formal announcement yet.
Nilesh Kambli : There is no formal announcement, but you know there is a weekly update from the regulator in terms of where are you in terms of the impact analysis, the technology . We conducted a call last week with a technology partner. We have given a mandate that the first impact analysi s should be done by 30th September for all the players. So, there are very specific directions that are coming in.
Devansh Nigotia: And what is the MTM gains booked in our investment book?

Aneesh Srivastava : MTM gains, so in the overall book , there are no gains as such .
Devansh Nigotia: 7.4% yield is what we should work with for the year.
Aneesh Srivastava : As we have disclosed back, there were some profits booked in ETFs. So, this quarter yield is marginally higher. But there is a continuous optimization of an asset allocation , you know, keeping in mind the relative valuations. So, let's see. I mean it would be certainly reasonably higher than the previous year. So, this is what we expect, but let's see. It depends on the opportunities that we get.
Devans h Nigotia: So, what is the employee cost we should work with for the year FY'23 ?
Nilesh Kambli : The employee cost, you know, has two components, the fixed cost and the variable cost. Sales manager's s alaries are variable and there is incentive based on the growth in business. So, very diffic

ult to give a number to it.
Devansh Nigotia: You mentioned that we have added 30 engineers, but the step up that we see for the base quarter June also there was a Rs. 56 crore ESOP cost . Adjusting for that the run date was Rs. 220-230 crore and this quarter is Rs. 358 crore . And June is actually a dull quarter with lower variable cost. So, considering that the employee cost increase excluding is actually 62% YoY, June on June, that is my --.
Nilesh Kambli : ESOP cost is not part of the employee cost, ESOP cost is part of the P &L. The Rs. 55 crore ESOP cost is not part of the employee cost last year . You cannot exclude that from the employee cost. The employee cost is comparable last year and the current year. I just hope we have done investment in people, you know, Banca channel, which is growing, there are relationship managers we have deployed. The s ales manager has an incentive based on fresh business. So, all this will lead to a n increase in variable costs and the fixed cost for the first quarter will be higher , because it's sequential. The people we have deployed in digital technology , that's the fixed cost, which will come month on month . And there is an increment element also effective 1st April .
Devansh Nigotia: The variable cost and the employee cost, we've not classified it under commissions, unlike General Insurance Compan ies?
Nilesh Kambli : The commission is purely IRDA I registered intermediaries, the sales manager are internal employee s of the company.
Devansh Nigotia: So, in case of Ind AS implementation, will that -- how will that number play out then f or the variable cost of employee ? It will stay as it is or it will be then apportioned over the year , how will that work?

Anand Roy: The sales manager cost , because it is variable and it is linked to the business that it will be apportioned over the policy period . The fixed cost of business , the account s, the claims team, which are fixed in nature that will not be apportioned. T he sales related variable cost will be apportioned .
Moderator: Thank you. The next question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited. Please go ahead.
Prakash Kapadia: If I were to look at the GDPI of Star Health, c ould you give us some sense , how much of that is in the top ten cities as of now . And directionally, as we are trying to penetrate and go deeper, what kind of trends we see for us and the industry in terms of health insurance . And secondly, what is our stated investment policy in terms of debt equity , in terms of percentage of net worth or how do we assess -- to optimize returns between debt and equity?
Aneesh Srivasta va: So, from the perspective of optimizing the returns between debt and equity, see large part of investment patterns are as per the regulations which defines that minimum what we have to do. So, if you look at it minimum 65% has to be in government security , state government securities and AAA rated papers . So, now beyond t hat, 35% of portfolio is that which can be allocated in various asset classes where we feel that by investing there depending upon relative valuations, how we can maximize the yield.
You would also see that most of the insurance companies do not take very aggressive risk s. So, in our case for example, a non -fixed income book as of now would be around 6% and our intent is that we would increase it to say 10 % or so. Going beyond 10% p erhaps would be a very gradual and very opportunistic kind of thing. If we get a very interesting opportunity, perhaps then we can it. So, this is what the broad thought process is.
Prakash Kapadia: Does t his book say when markets were low, has it ever crossed 10% or no?
Aneesh Srivastava : No. We are building this non

fixed income book and we are not in a hurry to really just go ahead and very actively do this.
Moderator: The next question is from the line of Manish Gupta from Solidarity Investment Managers.

Please go ahead.
Manish Gupta: So, just wanted to understand that as you go deeper into rural India or Tier-3, Tier-4 India , would your combined ratio or would you be able to share what your combined ratio by geography is?
Nilesh Kambli: No, the combined ratio by geography we'll not be able to present it so early. I mean that will take some time , because that is all proprietary information.

Manish Gupta: But directionally, one would imagine that competitive and density in Tier-3, Tier-4 towns should be lower than Tier-1, Tier-2 cities. So, would your hypothesis be that as you go in Tier-3, Tier-4, your combined ratio would improve?
Nilesh Kambli: Yeah, absolutely. I mean, the combined ratio in rural areas is lower compared to urban areas and that will definitely help in the overall combined ratio of the company.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I now hand the conference over to Mr. Nilesh Kambli for closing comments.
Nilesh Kambli: Thanks for joining the call late in the evening and listening patiently to us . We had a very good first quarter and we are optimistic about the remaining nine months achieving the growth and profitability targets for FY24. Thank you very much.
Moderator: Thank you. On behalf of Star Health and Allied Insurance Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.
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Call: Nov 2023

Date:November04,2023
Place:Chennai
Ref:SHAI/B&S/SE/148/2023-24
To, To,
TheManager TheManager
ListingDepartment ListingDepartment
BSELimited NationalStockExchangeofIndiaLimited
PhirozeJeejeebhoyTowers ExchangePlaza,5thFloor,PlotC/1,
DalalStreet GBlock,Bandra-KurlaComplex
Mumbai–400001 Mumbai–400051.
ScripCode:543412 Symbol:STARHEALTH
DearSir/Madam,
Sub:TranscriptofQ2&H1FY2024EarningsCall–September30,2023.
FurthertotheCompany'sletterSHAI/B&S/SE/135/2023-24datedOctober26,2023regardingEarnings CallIntimationforQ2&H1FY2024,pleasefindattachedtranscriptofthecalldatedOctober31,2023.
TheaboveinformationisalsobeinghostedontheCompany'swebsiteatwww.starhealth.in
Thisisforyourkindinformation.
ThankingYou,
ForStarHealthandAlliedInsuranceCompanyLimited,
JayashreeSethuraman
CompanySecretary&ComplianceOfficer

Star Health and Allied Insurance Company Limited
Q2 & H1 FY24 Earnings Conference Call
October 31, 2023

Management:
Mr. Anand Roy – Managing Director & Chief Executive Officer
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Amitabh Jain - Chief Operating Officer
Mr. Aneesh Srivastava – Chief Investment Officer
Mr. Aditya Biyani – Chief Strategy and Investor Relations Officer

Moderator: Ladies and gentlemen, good day and welc ome to the Star Health and Allied Insurance Company Limited's Q2 & H1 FY 24 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on a touch tone phone. Please note that this conference is be ing recorded. I now hand the conference over to Mr. Pratik Patil from Adfactors PR, Investor Relations Team. Thank you and over to you, Mr. Pratik Patil.

Pratik Patil: Thank you Jacob . Good evening, everyone. From the senior management we have with us, Mr. Anand Roy – Managing Director and Chief Executive Officer Mr. Nilesh Kambli – Chief Financial Officer, Mr. Aneesh Srivastava – Chief Investment Officer, Mr. Amitabh Jain – Chief Operating Officer, and Mr. Aditya Biyani – Chief Strategy & Investor Relation s Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financial and operating performances, benefi ts and synergies of the company's strategies, future opportunities and growth of the market of the company's services. Further, I would like to mention that some of the statements made in today's conference call may involve risks and uncertainties. Thank y ou and over to you Mr. Anand Roy .

Anand Roy: Thank you and good evening to all of you. Thank you for joining the Star Health earnings call . I will first give you a brief about the overview of the industry trends and the developments that we have witnessed in the last few months , as well as walk you through the company's performance in terms of premium and distribution. Later on, I will cover the financial performance and aspects related to claims, including the steps that are underway to manage

them .
In quarter t wo 202 4 the health insurance industry, including PA business grew by 26% on the back of 30% growth in group health and a 19% growth in retail health.
Now we will talk about the growth in market share for Star Health.
In the first half of FY 24 our retail growth rate of 18% versus the industry retail growth rate of 18% , we are growing in line with the industry . In H1 FY 24, Star Health registered 33% market share in retail health, which is more than three times the second largest player in the indus try.
We continue to aspire to grow faster than the market growth rate , an increase our retail health market share in the days to come.
As regards the accretion market share, Star Health registered 32% retail health accretion market share in H1 FY24. Agency business contributed around 82% of our overall business in the first half of this year. Our agency's strength has increased to 6,65,000 agents with a net addition of close to 40,000 agents in the first half of FY 24.

The contribution of fresh busines s from non -agency has grown to 32%. The bancassurance growth in fresh business is at 57% in the first half of this financial year, fresh business through bancassurance and the digital business has grown by close to 40% in the first half of this financial y ear.
Some of the highlights in H1 FY 24 for us were as follows :
We had taken a price revision in one of our leading products, Family Health Optima where the renewal price increase was effective from 1st May , 2023. The policy renewals in terms of volumes and in terms of value are in -line with our expectations when we filed this product.
We launched four new products during the quarter . Our digital first produ

ct Star Smart Health
Pro is available on our online platforms where the customer can avail online discounts by providing health information , which is required as per the policy. We are also augmenting our existing product suites by launching various add on covers, such as YoungStar Extra Protect , Home care Treatment covers and Flu V accination covers .
Our existing bank and corporate agents tie up continue to show good traction . With the new open architecture and the expense of management guidelines which provides an immense growth opportunity for us and we have so far 44 tie-ups, and the full effect of these tie ups will be seen in the coming months.
The new Star Wellness app has been launched with our addition of new condition management programmes . The number of customers who have availed of the wellness services in quarter two has grown by 77%. The home healthcare program is now live in 11 cities and Star Health customers can now avail home health care services by speaking with our doctors, and medical professionals will visit their homes to provide them service.
In order t o increase the penetration in semi urban and the rural geographies, we plan to open 1000 sales manager stations; these ar e small individual service cent res and sales di stribution cent res of which 753 have already become operational in the first half of thi s financial year.
With 869 branch offices, we now have a total of 1,622 customer touch -points to ensure better services and distribution in all parts of the country . Of the 19,000 PIN codes in India, we are now present in 16,9 00 odd PIN codes via our agency network.
The average sum assured of our new policies has increased by 10% on a year -on-year basis to about 9.6 lakhs per policy. Policies with sum assured of five lakhs and above now constitute more than 77% of our portfolio versu s 69% in the last financial year same period.
The share of long -term policies with in retail GWP has increased to 6% in the first half of this year versus 4% of last year. The premium from benefit products ha s also grown substantially by close to 30% in th e first half of FY 24 as compared to last year.

Organic traffic to our website grew by 52% and this is directly reflecting in our digital business growth over the same period last year.
Coming to the financial performance of the company. I would like to r eiterate that at Star Health we are focused on sustainable and long term profitable growth , we are taking decisions to achieve that goal by focusing on quality business . We have also tightened some of our underwriting processes relating to recalibration of some of our portfolio mix.
The combined ratio for H1 FY 24 was 98.4% versus 97.9% in H1 FY 23. The claim ratio in the first half of the year improved to 67.1% versus 67.3 % in H1 FY23. The cl aim ratio for quarter two of FY24 was 68.7 % versus 68.2 % in the quarter t wo FY 23.
The expense ratio for H1 FY 24 was 31.3 % versus 30.7 % in the previous year . The exp ense ratio in quarter two of FY 24 was 3 0.5% v ersus 29.7 % in quarter two of FY 23.
Our investment assets have grown to Rs. 14,020 crore in Q2FY24 vs. Rs. 11,653 crore in Q2FY23 showing a growth of 20%. The yield for H1 FY 24 rose to 7.4% versus 7.1% in H1 FY 23. The investment income in first half of this financial year grew by 23% to Rs. 506 crore versus Rs.

411 crore in the last year.
H1 FY24 recorded a profit before tax of Rs. 551 crore versus Rs. 409 crore representing a growth of 35% . The PAT for H1 FY24 was Rs. 413 crore versus the PAT of Rs. 306 crore in H1 FY 23 thereby showcasing a growth of 35%.
The quarter two recorded a PBT of Rs. 167 crore versus Rs. 121 crore in the last year. The quarter t wo PAT came in at Rs. 125 crore versus Rs. 93 crore PAT representing a growth of 35% . The n

on -annualized RO E for first half of this year was 7.3% versu s 6.5%. The non -annualized ROE for quarter two was 2.2% versus 1.9% in the last financial year .
We have provided the reconciliation from IGAAP to IFRS in t he investor presentation for FY 23. The PAT, excluding the ESOP cost , would have increased by Rs 168 crore , as you know very well the IRD A is closely monitoring the implementation of IFRS very soon, and we believe that this will be very positive for Star Healt h. The PAT, excluding ESOP cost , would have increased by Rs. 168 crore coming in a total of Rs. 897 crore , the RO E would have increased substantially by 3.1%, reaching 17.7% under IFRS .
Solvency as on 30th of September 202 3 is 2.13 times compared to the regulatory requirements of 1.5 times.
I will now talk about some of our claims initiatives and the outcomes . 66% number of paid claims in H1 FY 24 are through the cashless mode versus the same percentage in the last

financial year. In terms of the claims amount paid , 84% of the paid claims are cashless versus 79% in the last financial year first half.
Cashless TAT came in around 90% i.e. claims settled within two hours' time .
The auto adjudication of claims helps us in drastically reducing the tur naround time . 33% of agreed network hospitals representing 71% of the cashless claims have been on boarded under our authorized adjudication initiative.
Our anti -fraud digital initiatives have produced good savings in the claims out , there is a 1.2% incre mental benefit in terms of lower claims ratio in H1 FY 24, and the total savings are 2.9% through these measures .
Based on our recent claim experience, our claim ratio may be pushed beyond our guidance due to high er incidence of fever and respiratory diseases across the country. We have tightened our underwriting standards to enhance our focus on quality business, leading to recalibration of some geograph ies and portability business, which have poor LTV (lifetime val ue).
To conclude, we continue to believe in the long term profitable growth opportunities available in the health insurance segment. And we are on our desired path of realizing the same. Thank you very much.
Moderator: Thank you very much. We will now be gin the question -and-answer session. The first question is from the line of Shreya Shivani from CLSA . Please go ahead.
Shreya Shivani: Sir, I have t wo questions. First is on the loss ratio side , in the second quarter higher on Y-o-Y basis , so is it fair t o say that, since the seasonal diseases are a little worse this year than last year and if you can help us to understand any provisional numbers for Oct ober loss ratios . And my second question is on your conflict with the Ahmedabad H ospital Association sir it will be helpful if you can help us understand , how much progress has happe ned on that space and any views on the same . Thank you.
Amitabh Jain: Hi, this is Amitabh. On the Ahmedabad Association, we had reached out to the association members and have discussed all the issues thoroughly , in the end what came out was , some concerns they had on some of the excluded hospitals , we explained them our process of how the hospitals are put on t he excluded list, which is a well -defined process and something that is approved by the regulator . Post that , we have had a couple of interactions and the matter stands amicably resolved. As far as , the October numbers are concerned, at this point in time we don't know how long this persist to estimate the impact of the fever, infectious diseases and how it will pan out but we have take n initiatives like telemedicine, home healthcare and other wellness measures to ensure that the impact is minimized. Thank you.

Shreya Shivani: Sir, just a follow up on the Ahmedabad issue. So, when you say that the matter is amicably resolved, is it on have you guys taken any what do you call hike on your hospital prices or something like that, what would include in amicable resolution over here, some colo ur around that would be helpful ?
Amitabh Jain: No, we've not taken any hike or anything. It's just that they want ed to unders tand some of our processes and how things are done. And what we have done is that , we have assured them that we will keep them informed about some of the actions that we take against hospitals , also we will work closely with them in terms of identifying fr audulent hospitals, et cetera . In fact

they encouraged us that if there are fraudulent network providers they will help us in taking action.
Shreya Shivani: Got it sir. So, there is no chance of any suspension of cashless or anything in Ahmedabad for Star, that matter is closed for now ?
Amitabh Jain: There was never a situation of suspending cashless for Ahmedabad as a city . There were specific hospitals, this is an action we keep taking or whenever we find any such activities or fraud or ab use in any hosp ital across India, this is no t specific to Ahmedabad.
Moderator: Thank you. Our next question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh: Couple of questions. So, t he first one, I would sort of try to go more aroun d this claims ratio , particularly because we have been taking price hike on new policy starting February and on renewal starting March, for a significant part of portfolio. Now, even in this backdrop of f course seasonality is there, but at the Y -o-Y basis seasonality is taken care of, and it is not also that you are sort of growing very fast. So, there could be some kind of , if at all for growth sector is facing some sort of profitability or underwriting compromise. So, that is not the case you are growing in-line with the industry , have taken price hike. And of course, you are big enough, you have processes and better sort of claims processing or fraud control, yet the claims cost is sort of surprising on the higher side. Now, the question is does this raise sort of some kind of a challenge in terms of the business model itself, because now in a pretty normal, because now COVID or delayed impact from COVID everything is behind, yet I am a +68% claims ratio and of course combined is 99%, that sort of raises s ome concern around the 95% combined kind of a business model, because I'm saying that all the things that should have been there or you can do you have already done . So, is that something that there is kind of some challenge around the business model of retail health insurance in India or what is it , because 99 %, of course I would say sort of a comfort zone for you, I will ask next question after this .
Anand Roy : So, Avinash couple of things, as far as the price hike is concerned, we have taken that, but the reflection of that will play out over 12 months ’ time because as you know, the renewal portfolio price revision has started this financial year and so, it will play out over the next 12 months up

to next May 24 and only then it will reflect in our tota l books , so price hike, we will continue to take some risk based pricing not only on FHO we have taken but we may take on other products also as and when necessary. As far as the elevated loss ratio is concerned, if you look at the performance of Star Health versus the industry, we have done fairly well to manage our loss ratios , given the efforts that we have taken in various initiatives on our wellness side , on our telemedicine , on the home healthcare. Otherwise, the delta of the loss ratios which has bee n showcased

by the industry has gone up substantially due to the fever and epidemic like malaria and dengue which happen ed during this monsoon season. As you know that this second quarter is always on an elevated loss ratio in terms of high incidences of f ever and respiratory diseases. This year, we have seen huge amount of outbreaks in various parts of the country. So, there is an impact there , but there is nothing that we are not confident of the model and the model is well proven. We believe that as this slowly dies down, we'll be back on track as far as our business model is concerned.
Avinash Singh: And so now sort of, where would you like to sort of guide at least for FY24 your claim s ratio, and also if I were to break down again your H1 experience , can you help us understand, what sort of average claim ticket size increase, or if there's any sort of a change in claims frequency vis-à-vis last year. So, how much of the claims cost going up has been due to claims frequency change or claims severity.
Amit abh Jain : The impact due to frequency change was close to about 2% and from severity about 6% , so overall about both p ut together the range of about 7% to 8% over last year quarter two.
Avinash Singh: And for claims ratio n ow the target o r guidance for FY24?
Anand Roy : So, Avinash based on the recent experience that we have seen, the claims ratio that we are guided might be pushed beyond our guidance given that the higher incidence of fever and respiratory diseases which we are seeing across the country. We are taking all efforts to ensure that it does not go beyond the guidance and to the level possible but in the last two , three months; we have seen the inflow of fever and respiratory claims on a higher side.
Moderator: Thank you . Our next question is from the line of Swarnab Mukherjee from B&K Securities. Please go ahead.
Swarnab Mukherjee: My question revolves around the renewals and the fresh business. So, if you could share I can see that in terms of the premium , for the second quarter you have almost got back the whole renewal book of last year second quarter was 99% odd is the renewal number which I can triangulate . What that would be in terms of number of policies, how much , what proportion of policies would you have been able to retain given that you have taken a price hike . So, that is one, and also if I try to understand the new business growth specifically in the retail health space excluding the group business that you h ave started to scale up also, that number

compared to last year is lower right now, and I just wanted to understand that two elements

of it, one is that you have mentioned that the new business is growing from the ban ca and the digital channel. So, how are the ticket sizes in th is newer channels vis-à-vis, how we were used to write it earlier when it was primarily agency driven indemnity product. So, is there a hit coming from a lower ticket size say in the digital or the ban ca side and also given the fact that we have consistently been adding new agents, what is the activation levels of these newer agents and why is it not translating into relatively large ticket size retail health indemnity products. So, if you could give some colo ur on that , what is going on and in conjunction to this, if you could help us understand how we would plan to as your growth target of around say higher than industry growth? So, I would assume that maybe upwards of 18% for next financial year.

Anand Roy: Internally we have permission for ourselves to grow at, there are three numbers that we are pricing which is 20% growth, 20% RO E and 200% solvency. These are the three mission statements that we are driving internally not for this year but for the year s ahead also. We would like to have a consistent and long

term profitable growth story rather than anything else.

As far as the bancassurance and digital business, our digital business ticket size is actually larger than our agency ticket size, much better and also the overall operating performance of the vertical is also quite very highly profitable. We are investing a lot of time and money and efforts to make th at business larger and larger. The bancassurance partnerships that we have recently signed , are goin g to give us a mix of both indemnity health as well as group health products , on indemnity health we sell obviously something which is similar to our retail health products through the bancassurance branches and on the group health there are attachment pro ducts which we offer to the customers of the bank.

On a ticket size we are quite comfortable both on the digital and on the bancassurance space . As far as our renewal retention is concerned, we have guided earlier that we expected a drop off of up to 5% customers in the FHO renewal which we are noticing somewhere around that and we are quite comfortable with that and our premium retention is as per our expected lines. Overall growth of Star Health , right now we are at 18% growth we hope to end this year better than the industr y's growth rate. All our channels are firing , we have consciously taken some calls to recalibrate our low LTV geographi es where we are not seeing loss ratios coming down over a period of time , some internal underwriting strategies have been calibrated, which is resulting in slower growth in some of the markets, but that is by design and that is not something that we are no t aware of.

Swarnab Mukherjee: So, still I have not, if you could provide some more clarity, if the ticket size is not a concern and you are confident of growing also why is like in the last two quarters we're seeing around say maybe Rs. 500 to Rs. 550 odd crore of fresh business coming in which was a bit higher last year, and how we can kind of drive that ahead, what would be the factors that will kind of take this to a higher scale?

Aditya Biyani : Swarnab, can you just rephrase the question again please?

Swarnab Mukherjee: So, I just wanted to ask that, the fresh business which I can triangulate from the renewal premium ratio that you have given that has been muted vis-à-vis last year. So, my initial thought was that maybe the average ticket size of some of the newer channels is lower , now that you have mentioned that the ticket size is also comparable and better . Just, I was trying to understand that, is there any kind of say , extreme competition that is there in this space or some other challenges which are ?

Aditya Biyani : Swarnab , you have got it right. T he average ticket size of banca will be lower than the other vertical which is there, but our average ticket size overall in the portfolio has grown by almost 10% and right now we are almost around 17,000 odd which is our average ticket size currently.

Moderator: Thank you. Our next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just extendin g this question on the growth of premium , we have taken a 25% hike in both new business and in terms of your renewal business, we have seen a very strong growth in banca, we have seen a very strong growth in digital possibly the ratio would have gone down in terms of number of policies would have been 5%. So, still in that sense, is there a n industry wide issue where , even the industry also has grown by 18% on retail health, is there a slowdown that is being seen where the demand for the heal th insurance on the retail side is kind of and after the pandemic has slowed down a bit because the price hike also has been across the industry for most players. So, a large portion of the growth seems to be

coming from price hike rather than customer add itions.

Anand Roy: Definitely the elevated demand which was there during the pandemic or immediately post pandemic the industry has seen a scale down in the high growth which was noticed duri ng the pandemic and after that. B ut overall there is a sustainabl e demand for the health insurance retail products as you can see from the market behavior also almost all insurance companies including Star Health continue to focus on the retail side of things, the penetration levels of health insurance still is a big op portunity for companies like Star Health and others to increase their portfolio. We do not see any challenge in the demand for the product, at least for many years to come, what we are doing at Star Health is we are, recalibrating some of our strategies to make the business more profitable and mo re sustainable in the long run. T here are pockets where even on retail health the business may not be having a good LTV so we have identified such areas and we are trying to be more calibrated in those pockets. Probably that is leading to some amount of lower growth for us other than what would have been an ideal situation but then this is a short term pain that we are willing to take for the long term gain , rather than just doing a quantity business over quality , so that has been our strategy.

Prayesh Jain: Interesting. Just a couple of more questions. Firstly, on the revenue, if I look at the loss ratio, you have seen around 120 basis points benefit coming in from the claim fraud detection mechanism which you have implemented. And in spite of that, you've seen an increase in loss

ratio. So, is the severity so high and rightly asked by someone , how is the October experience we've almost gone through the entire month of October now, whether it was kind of sustain what we've seen in the month of July, August, September, or that has kind of waned down a bit. And lastly on the specialized health products that again seems to have declined in terms of share, is there that is a more profitable product just an element of th e price hike on FHO or is there a slow down there. Those would be my questions.

Aditya Biyani : As far as the loss ratio goes, if you compare the H1 of last year to this year ’s H1, there has been a significant improvement from 67.3 % to 67.1 %. , it's almost 20 basis points which is positive in terms of loss ratio. And Prayesh w hat was the next question?

Prayesh Jain: Just before going to the next question. So, 120 basis points benefit gets absorbed by the severity and frequency ?

Aditya Biyani : Yes, absolutely that's what Amitabh also mentioned a few minutes back.

Prayesh Jain: And second was on the specialized health products where the share has seems to have come down ?

Aditya Biyani : You've answered the question yourself , basically the focus is s till there but because of the FHO price hike , the share is looking a bit lower as compared to last year but it's still a health y of 15% odd.

Prayesh Jain: Nothing else, that some of the products would have seen some slowdown in terms of growth or demand , nothing of sort right?

Aditya Biyani : No, absolutely not. In fact, we are trying to push all the specialized products through various channels.

Moderator: Thank you. Our next question is from the line of Supratim Dutta from Ambit. Please go ahead.

Suprati m Dutta: My first question is I just wanted to understand is how has the lives covered grown during this quarter. And, a corollary to that would be, is there a slowdown in the new life added , which is resulting in losses from the back book now becoming more evident, because typically in the new policy we have a wait period of four years, and hence the claims are lower that compensates for older policies. So, is that also a

n element which is playing out in this higher loss ratio? If you could answer that before I move to my second question?

Nilesh Kambli : Yes, i n terms of value and volume growth, the value growth is roughly 65% and the volume growth is around 35% and as mentioned, the loss ratio in second quarter was mainly impacted because of the epidemics, it has nothing to do wit h the quality of the portfolio, the impact o f epidemic was severe. The impact of dengue was also severe , which led to higher length for

some of our customers that we have seen , so it's mainly on account of the medica l cases that loss ratio is higher.

Supratim Dutta: Got it. A lso just wanted to understand given this year itself you have taken a 25% price hike , then during the price hike wouldn't you be factoring in that there could be the claim or the experience could be different because, from the start of the year itself it was evident that customer trends have changed, people are visiting hospitals more frequently. So, just wanted to understand despite the price hike how was this such a surprise ?

Nilesh Kambli : See the price hike is effective 1st May 2023 and it's only five months , the earned premium is over a 12-month period and there are still seven months left for the portfolio to be re-priced on the renewal piece. While we have taken the price hike, the impac t in the earned premium is still only for five months of portfolio , it will play out over the next 12 to 18 months.

Supratim Dutta: Got it. And last question from my side. So, do you see more price hikes coming forward now

that, the experience this year could be worse now, do you see more price hikes coming in the next year and which products could be up for price revision ?
Anand Roy : We definitely follow a risk based pricing mo del, where we keep evaluating all the products on a regular basis. We may be looking at a few more products other than FHO for a price revision in the short term.
Moderator: Thank you. Our next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh: A few questions from my side. First on the new business if you can give you r growth for the quarter and also split it between core retail growth through the agency in terms of fresh business. Second, if you look at a premium growth on the retail health side , ex of the banca led business for 1H, which is around 18%. Now a good chunk of it is a mix of premium growth because of FHO offset by some amount of loss in renewal rate. But going into FY 25 or FY26, in the absence of this re-pricing of the product in the back book, how you would kind of justify the 20% growth target that you are kind of building in. And lastly, you mentioned something on change in strategy based on LTV of the customer and also some portability related chang es. If you can elaborate on how are you kind of reducing the LTV today on the back book, on specific geographies or, what are the key parameters you are considering , all is there any change in strategy of payout to the agent based on the claims ratio that we are witnessing . If you can give some colo ur on the strateg ic changes that we are implementing on the underwriting processes out there , those are the three questions.
Anand Roy: We are recalibrating our underwriting strategies . Definitely, we have taken s ome decisions based on the long -term profitability of the book and certain segments and certain geographies where we have seen that there is a huge amount of non-viable business; we are slowing down our growth in those markets. And you are right , the strategic level we also have taken some

calls on the agency commission payouts where we hav

e linked our agency commissions and rewards to the performance of the agents as well as their profitability and based on that, there are certain calls tha t we have taken , some of the good performing agents have really got motivated and they are working harder, but some of them who have very high loss ratios have probably moved away from us or have slowed down their business, but that is part of the design o f the strategy that is not something which is happening without our knowledge. We are looking at a long term sustainable, profitable growth, we are not trying to do something which is not going to be sustainable in the long run . Our group business str ategy that is excluding the banca and all of that , the corporate groups, we have still not been able to make enough inroads, hopefully second half will be better because we are sticking to our pricing strategy, we do not want to undercut prices and grow the top line it is not very difficult to do so but it is definitely not good for the long term business. We are taking some calibrated calls and we are very confident with all the strategies that we have in place that we will grow our business by 20% for many yea rs to come.
Dipanjan Ghosh: Sir, t he first question on your retail health growth through agency, fresh business for the quarter and first half?
Anand Roy: These data points we don't publish in the public domain. You can connect with us offline and we can d iscuss this.
Moderator: Thank you. Our next question is from the line of Nidhesh from Investec . Please go ahead.
Nidhesh Jain: Sir on the new retail premium growth is it negative for Q2 Y-o-Y and if you look at the trends on the new premium growth for las t couple of years, so that growth has been quite weak. So, what is the strategy going forward so if you can verify that whether the number is negative Y-o-Y for Q2 and what is the strategy to improve the new premium growth on an overall basis ?
Anand Roy: For new premium growth the strateg y is to improve the numbers , we have already added close to 40,000 agents in the first half of the year, we hope to add another 60,000 agents in the second half. In the long term, every year we will add 1 ,00,000 new agents , we are opening as I mentioned in my speech a lot of offices in the semi urban and in the rural markets we are seeing good quality growth in those markets also . But at the same time , in my earlier comments we are also taking some calibrated calls on marke ts which are not profitable for us in some geographies. It is a mix of both this year is a kind of recalibrating plan , but we believe that given the brand of Star Health, given the products that we have and the services that we offer we are going to grow strongly at +20% for many years to come.
Nidhesh Jain: Sure. And sir what will be the difference in c ombined ratio of agency and non -agency channel ?
Anand Roy: I can't give you the data , but I can tell you that our bancassurance and digit al businesses have a significantly better combined ratio and we are focusing on that , on the group business,

though the business hasn't picked up too much to our expectations , the corporate group I am talking about, we hope that in the second half of the y ear we will be able to do better performance .

Moderator: Thank you. Our next question is from the line of Madhukar Ladha from Nuvama Wealth Management . Please go ahead.
Madhukar Ladha: A couple of them. I'm not sure whether you answered this question or not , on the Star Family Health Optima what was the renewal rate in terms of numbers, so I understand that the average price hike is 25%. But in terms of volume, what would be the renewal rate , second there's a lot of news on the industry coming together and forming a cashless network for all the health insurance

and private insurance companies together even the PSU ones. So, how would that impact the industry especially , see one of your moats is that you have this strong hospital network and cashless network would that reduce your competitive advantage given that now all players would have access to that network and could offer that to customers . So, those two would be my questions.
Aditya Biyani : So, Madhukar, on the FHO the volume number as envisage whenever we have taken a price hike the number of policies are not being renewed, works around 3% to 5% , so even in this time it was absolutely as per what we have envisaged while taking a price hike.
Madh ukar Ladha: Understood.
Anand Roy : And on the industry level coming together for a uniform network . So, there are two initiatives that is being envisaged, one is 100% cashless which is also the vision of the IRDAI Chairman and this will be something very unique and beneficial to all customers. Basically the concept is that , the customer should be able to avail cashless facility in any hospital which is registered as per the norms in India irrespective of whether that hospital is in the network of the company or not. Of course, this also has a condition where the customer has to inform the insurance company in advance before going in for the hospital admission. It is beneficial for both the insurance company and the customer in that context. Definitely, we welcome this and if it happens, soon it will be quite useful for all of us. T his will help us in prior intimation, engaging with the hospital in negotiation in a more effective manner, and also improving the customer experience. Second point is , uniform standard tariff for a hospital network , that is still in the concept stag e we will have to see when that comes into being , there is a committee that has been formed we are also part of that . We understand that there is significant moat that Star Health has in terms of our direct negotiations with the hospital , we would obviousl y want to protect that moat b ut since this project is still in the concept stage we will see how it pans out, and then we will work it out. We are very confident that all of these initiatives will be beneficial for the industry and the customers and also to us.

Madhukar Ladha: So, j ust a follow up on the first point that you made, that customers would have access to the hospital also provided they let you know in advance, and that may be an out of network hospital. So, how would pricing work in that case and, it would still mean that practically any insurance company would have a access to any hospital, with all the hospitals for a cashless sort of settlement. So, wouldn't it sort of dilute your edge because you have a higher number of hospitals, you'll be like a preferred name, to buy health insurance from.
Anand Roy: No, we don't look at it that way. We think that, definitely this will improve the perception of health insurance industry and that will help all the companies including Star Health. W e do have a network of 15,000 odd hospitals, many other companies have 10,000 , 8,000, whatever numbers they have , so, there is already a pool of hospitals, which is common to most of the insurance companies. There are many hospitals who are not in the network and right now we'll have to see how we can utilize their services, to bring them into the network of the insurance companies. This project is in the right direction, we do not see that this will affect our competitive advantage in any way.
Madhukar Ladha: So, how far along are we in the first case, like the first one that you mentioned where you could go to any hospital and the person just has to inform in advance, the tariffs are the second part of it, which is still in conceptual stage the first leg how fa r along are

we .
Amitabh Jain: This is being done through the GI Council as a nodal body for the entire general and health insurance industry and, as an overall body that's driving it , we are also a member of that committee and working along with the other members to make this happen as soon as we can. But obviously project of such nature you can understand it's very mammoth in its proportions and it will take time for it to fructify.
Mod erator: Thank you. Our next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh Godha: I have basically two questions. First question is that , if I do the math of new business contribution to the total retail GWP it se ems to be around 17%. So, the company when we came with an IPO, the new business contribution was almost 29 %, 30% of the total business. Today, it has fallen to 17 %, honestly just wanted to check from your perspective at what number 15 % or 17 % or 12 % will make you a little worried given a new business growth is not

happening and the contribution is not there because it has to budget it reduces the figure system to the renewal. And then it can potentially have a negative impact on the claims if the price hikes are not taken on regular basis. That's the first question. The second question is, honestly you said that your new business 32% of the contribution came from non -agency channels, if new business for the half has declined, which means that agency ch annel has made significant decline because other channels have grown positively banca or your digital so if agency you are adding more people , specialized agents strengthen has increased , you have added more branches, but honestly the new business decline despite making investments into

the capacity not happening seems to be a litt le worrying trend. So, just wanted to understand what exactly will lead to reversal of this basically?

Anand Roy: So, Sanket as I mentioned, we are running after quality rather than quantity right now. We believe that there are certain steps we have to take along the way to recalibrate our portfolio to make sure that the long term profitability of the portfolio is sustainable. We hav e taken some calls, some tough underwriting calls on some segments like portability business, we have taken some calls on certain geographies where we have closed down few offices, we may probably do that in few other areas also so these are decisions as I mentioned, it's a short term pain for long term gain, we have to live with this, but we are not at all concerned about the new business growth, we are growing quite well. We expect that the growth will only pick up going forward , so, these numbers, which you are talking about is an impact of certain calibrations that we have done consciously.

Sanketh Godha: Anand then honestly when you can expect given you have taken already the measures. So, at some point in time, you will see that now everything is done , and now you will see a revival. So, can you just guide us by which quarter or how many months away we are away from seeing that thing to revive back?

Anand Roy: We are guiding for 20% growth, and we expect that to happen from this year and as well as fo r the future.

Sanketh Godha: Okay, which means that effectively the second half the new business growth should be strong. And what are the corrective measures you have taken are almost done and dusted and then it's no w like a growth part, is it a fair assumption to make?

Anand Roy: Yes, you are right.

Moderator: Thank you. Our next question is from the line of Anirudh Shetty from Solidarity Investment Managers. Please go ahead.

Anirudh Shetty: Sir I have two questions. My first question is, over long period of time we're looking to do 20% growth which is above the industry and 20% ROE

, do you think that could be any sort of inherent conflict between achieving these two outcomes, because to achieve that 20 % ROE, there is a certain loss ratio we would like to kind of maintain, which would mean we need to take price hikes, exclude certain customers to achieve that number. And so by definition, our ability to grow ahead of the industry would be constrained to that extent, or do you feel that this is something that is manageable wanted , your thoughts on that?

Aneesh Srivastava : No, it is very well manageable, because Star Health has always been growing profitably. As long as you are growing profitably, and your denominator in terms of net -worth remains same, your ROEs would improve there is no reason why ROE should not improve. It's absolutely doable ,

there is no problem we don't se e any reason why it's not doable, there may be some cyclicality here and there, but ultimately it would be doable .

Anirudh Shetty: Got it and do you believe that once the price hikes that we take are fully in the book, our price competitiveness versus the industry is that something that we will be able to maintain ?

Nilesh Kambli : Price hike is a continuous process, we keep on evaluating the products as mentioned in the call we are looking at price increases in part of our p ortfolio . We are focusing on qua lity growth and ensuring long -term sustainability of the business, which will improve price increase , quality of the business to achieve the profitability .

Aditya Biyani : And Anirudh the price hike is never taken with the v ision of showing the growth , the price hike is taken because we have an envisaged loss ratio for every product and as and when we reach that number we go back and start doing the risk based pricing again .

Anirudh Shetty: Right. I understand that , my second question is, off late in the news there's been a couple of reports around claim settlement ratio and the claim rejection ratio , I understand that there's no standardized number and product mix can be different for peers, but can you just elabora te on whether at least for a genuine customers, what is the right claim settlement ratio to look at for the genuine claims?

Anand Roy: We would not comment on the media reports, but what I would like to tell you is that, at Star Health we are very sensitiv e to customer service, we have a very strong grievance redressal mechanism in case any customer is not satisfied with our services. What we have seen is, we track two metrics one is the retention of our customers in our franchise, and second is our NPS scores at various levels, and we have seen that both of these are tracking very much in trend with whatever we are expecting. We are quite comfortable with what is being done here. Of course, there is always scope for improvement and we will keep doing that.

Moderator: Thank you. Our next question is from the line of Neeraj Toshniwal from UBS India. Please go ahead.

Neeraj Toshniwal: One question , how many customers in FHO would have shifted to other policies from FHO at the time of renewal?

Aditya Biyani : What's more important is the renewal rate is as per what we have envisaged for FHO and the growth rate of this .

Neeraj Toshniwal: No, I understand that would have impacted your average ticket size to some extent.

Aditya Biyani : No, so if I had to give you a number almost 90% of the existing policies got renewed in the FHO portfolio and probably around 8% to 9% would have got transitioned to a new product within Star Health .

Nilesh Kambli : And that is a choice we give to the customers.

Aditya Biyani : And that's the choice we have given proactively to the customer to decide .

Neeraj

Toshniwal: And any impact on average ticket size from that 10% of pool, I know it will be very small about 45% of that 10%.

Nilesh Kambli : No, there is no impact because , whe n there is an upgrade to the customer in terms of sum assured of the Star comprehensive, the average ticket size is higher than FHO itself , but there is no compromise on the premium.

Neeraj Toshniwal: A follow up on this if , you increase the price of these products again as you mentioned you would be looking at increasing the price e x of FHO, will these customer again have a higher pricing from next renewable is that understanding correct?

Anand Roy: Insurance price hike is a function of the inflation that we see in the medical side and as you might be aware, the industry is looking at very high medical inflation for many years now. Unfortunately, the loss ratios in case they hit the comfort level that we are operating at, we have to take a price revision , but as mentioned that it is never the first choice of port of call , it is however the last option, we try various measures of keeping the our severity under control through negotiation with the hospital but beyond a point we do go for a price hike. So, yes, we are looking at a couple of products in the near term for a price revision.

Neeraj Toshniwal: Got it and one more question on the sum assured given the increase 10% for a new , and 11% for overall which implies that the older portfolio people are looking for increasing their sum assured at the time of renewal . So, how many percentage of customer would be actually increasing the sum assured or between the cover, between the pool?

Adit ya Biyani : I'm sorry, I wasn't able to get that question. Can you repeat it?

Neeraj Toshniwal: So, increasing sum assured is higher new business which would mean that the older guys would have been increasing their sum assured by increasing the cover from Star Health, so how many customers would have availed that facility ?

Aditya Biyani : So, I have mentioned, the objective of making the customer aware of a higher sum assured is to mitigate the medical inflation , it's a win -win for all the three parties which is the customer so that he can beat the inflation in the coming days. We ensure that our agents are trained in order to give the right advice , for the agents also , the average ticket size increasing, which actually leads to a better commercial for them also and for us obviously the loss ratio is much better i f the higher sum assured is there so , that's a win -win situation which we want to create in the ecosystem.

Neeraj Toshniwal: I got it . My question was little different, in the sense overall sum assured seems to have increased higher in the new business. So, there is a disconnect because of the fact that , older customers are increasing the sum assured on their older policies at the time of renewal?

Aditya Biyani : No, absolutely as the customer start buying the policy, the customer awareness goes up. And then he actually decides what the right sum is assured in the coming days. So, the more he spends time as a health insurance customer, he understand s that this is the standard of living which he would like to avail of when he gets hospitalized.

Neeraj Toshniwal: So, how many percentages of the customer of the pool would be on an average , who would actually go for an upgrade?

Aditya Biyani : So, it's a lmost , so what we can do is, this is a question which we would like to take it offline. But a lot of a good amount of customers, majority of the customers are being trained and made them aware of this feature.

Moderator: Thank you. Our next question is f rom the line of Nischint Chawathe from Kotak Institutional Equities . Please go ahead.

Nischint Chawathe: Just a small one, how far do yo

u think we are from another tariff hike, I believe if your claims
ratio remains like this. And you are guiding that , this year could be a little tough year . Are we
sort of looking at another hike in the later part of the year ?
Nilesh Kambli : I've mentioned we are looking at some other products which have r eached the threshold level
and we will continue to take price hi ke based on the performance of the product, what we have
to see is the price hike that we have taken, the benefit of it has not come through, it's only five
months and five months of portfolio, and this five month also it will come out 12 month's
period. We have to see the full impact of earned premium benefit in our portfolio which should
come by March end coming period .
Nischint Chawathe: So, that's what my question is that would you want to wait for the entire impact or given the
fact that probably it l ooks like that things are a little tough to kind of go ahead and do a hike
sooner than that ?
Nilesh Kambli : Nischint, so what we are talking about is, other products which are reaching the threshold we
are in the process of getting the price hike in this q uarter.
Moderator: Thank you. Ladies and gentlemen, due to time constraint that was th e last question of our
question -and-answer session. I now hand the conference over to Mr. Nilesh Kambli for closing
comments.
Nilesh Kambli: Thank you all for joining t he call. What we have seen is a good growth in the banca , digital
business, our proprietary IC 38 agents and majority of our preferred geography for the agency

channel. We continue to focus on growth and long term profitability in the near future as well
as coming period s. Thanks for joining the call .
Moderator: Thank you. On behalf of Star Health and Allied Insurance Company Limited that concludes this
conference. Thank you for joining us . You may now disconnect your lines.

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Call: Feb 2024

Date:February06,2024
Place:Chennai
Ref:SHAI/B&S/SE/194/2023-24
To, To,
TheManager TheManager
ListingDepartment ListingDepartment
BSELimited NationalStockExchangeofIndiaLimited
PhirozeJeejeebhoyTowers ExchangePlaza,5thFloor,PlotC/1,
DalalStreet GBlock,Bandra-KurlaComplex
Mumbai–400001 Mumbai–400051.
ScripCode:543412 Symbol:STARHEALTH
DearSir/Madam,
Sub:TranscriptofQ3&9M-FY2024EarningsCall–December31,2023.
FurthertotheCompany’sletterSHAI/B&S/SE/182/2023-24datedJanuary24,2024regardingEarnings CallIntimationforQ3&9M-FY2024,pleasefindattachedtranscriptofthecalldatedJanuary31,2024.
IncompliancewithRegulation46oftheSecuritiesandExchangeBoardofIndia(ListingObligationsand DisclosureRequirements)Regulations,2015theaboveinformationisbeinghostedontheCompany's websiteatwww.starhealth.in
Thisisforyourkindinformation.
ThankingYou,
ForStarHealthandAlliedInsuranceCompanyLimited,
JayashreeSethuraman
CompanySecretary&ComplianceOfficer
Encl:asabove.

Star Health and Allied Insurance Company Limited
Q3 & 9MFY 24 Earnings Conference Call
January 31, 2024

Management:
Mr. Anand Roy – Managing Director & Chief Executive Officer
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Aneesh Srivastava – Chief Investment Officer
Mr. Amitabh Jain - Chief Operating Officer
Mr. Aditya Biyani – Chief Strategy and Investor Relations Officer

Moderator: Ladies and gent lemen, good day and welcome to Star Health and Allied Insurance Company Limited Q3 & 9MFY24 Earnings Conference Call. As a reminder, all particip ant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * then 0 on your touch tone phone. I now hand the conference over to Mr. Pratik Patil from Adfactors PR - Investor Relations team. Thank you and over to you , Mr. Patil .

Pratik Patil : Thank you, Nirav. Good evening everyone. From the senior management, we have with us Mr. Anand Roy - Managing Director and Chief Executive Officer , Mr. Nilesh Kambli - Chief Financial Officer, Mr. Aneesh Srivastava - Chief Investment Officer, Mr. Amitabh Jain - Chief Operating Officer and Mr. Aditya Biyani - Chief Strategy and Investor Relations Officer .

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financial and operating performances, benefits and syne rgies of the company strategies, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's conference call may involve risk and uncertainties. Thank you and over to you, Mr. Roy.

Anand Roy : Thank you so much and a very good evening to all of you. Thank you very much for joining us today . As we connect for the first time in this New Year 2024, let me begin by wishing all of you a healthy and prosperous 2024.

The Indian Insurance Industry is going through a very rapid transformation. We all know that the Insurance Regulator IRD AI has put customer at the cent re of every decision and moved away from a Rule -Based Regime to a Principle -Based Regime with an overarching focus to provide insurance for all by 2047 and the entire industry stands committed t o this vision.

The Indian demography combined with the low levels of insurance penetration , today offers a large opportunity to insurance players. While 37% of our population is covered under health and various health insurance programs, the R etail Health C overage remains very low at 4%, implying a long runway for growth.

Health Insurance business is the most preferred business segment within the General insuran ce landscape, thanks to the lower retail penetration rate, higher customer engagement that ensures confirmed renewals, high lifetime value of customers and the higher ROE that the business offers. As a key stakeholder and a leader in the health insurance e cosystem, Star Health remains fully committed to support every initiative that is undertaken to ensure a robust development of the Indian Insurance Industry.

Having talked about the opportunity in the market and our commitment to make health insurance available to every Indian, Star Health is best positioned in the market to play a very pivotal role in the industry. Star Health has continue d to lead the segment , demonstrating our leadership on various fronts of business. On the retail front, we continue to be the largest player with the size that is 3X the size of the second largest player in the industry. On the distribution front, Star Health has the largest a gency network with the highest agent productivity amongst all SAHI companies . The third most important measure where Star Health stands distinguished is that we operate at the lowest EOM (Expense of Management), which is significantly lower than the mandated limit of 35% by IRDAI.

I would like to reiterate here

that at Star Health we focus on sustainable and long -term growth with our emphasis on profitability by ensuring quality business. ‘Risk First, Growth Later’ is our defined mantra and going forward I would like to highlight some strategies and measures we have chalked out so far in this direction.

- Realignment of group strategy that we have done towards profitability through stringent underwriting guidelines
- Adopting a risk -based pricing mechanism
- Changing the distribution and product mix towards better combined ratios
- We have recalibrated our portability strategy,
- Increas ing share of higher sum insured policies
- Consistent rise in network hospitals and pricing arr angement s with our network partners.

While growth, profitability and managing risk is quintessential to our business, one significant factor that goes a long way is ensuring the sustainable value creation by customer experience and customer delight. We are able to deliver the same through various initiatives such as Teleconsultation, Wellness and various prevention programs that we run apart from our efficient Claims Management under which digitization and increased au tomation has led to better turn around times, benefiting our customers . Initiatives such as Anywhere Cashless and Home Healthcare Solution provided to customers at their doorstep are examples of our customer centric approach .

Coming to our business performance on the business side, in 9MFY24 our Gross Written Premium (GWP) grew at a rate of 18% to Rs. 10,286 crore compared to Rs. 8,753 crore during the same period last year . As a largest standalone health insurance company in India, our share of GWP is close to 46% of the entire SAHI Industry. In fact, our market share in 9MFY24 amongst all general insurance company is up by 14 b ps from 4.68% to 4.82% this year. Our market share in Retail health for 9MFY24 has remained stable at 33% versus the previous year.

Our Agency business contributed around 82% of our overall business in 9MFY24 . Our Agency strength has increased to 684,000 agents with a net addition of around 19,000 agents in the December 2023 quarter and 63,000 agents in the last 9 MFY24 .

Regulatory changes have ushered in an era of equal opportunities for insurance players. The opening up of the Bancassurance segment set up an open architecture, continues to add muscle to ou r growth with 48 tie ups in the banks and NB FC segment, this cha nnel now contributes to around 5% of our GWP and is growing at a healthy pace of more than 40% in

fresh business. We expect this growth to accelerate as we move forward.
Digital business contributed to around 7% of our overall GWP . Digital channels, includ ing our own channels and 3rd party aggregators have been growing at a healthy rate of 33% in fresh premium growth. To put numbers in perspective, 5% of our GWP comes from our own d igital channels and web aggregator s account s for close to 2% of our GWP. For 9MFY24, contribution to fresh business from all non -agency channels is 33% .
In order to increase penetration in semi urban and rural geographies, we plan to open 1 ,000 plus Sales Manager s Stations , which are small individual service cent res of which 859 hav e already become operational in the first 9 months. With 877 branch offices, we now have a total of 1,700 plus customer touch points to ensure better service . Of the 19,000 plus PIN codes in India, Star Health is present in 17,000 PIN codes via our sales distribution network. A larger presence across sales channels calls for a wider range of service points to cater to our customers. With this in mind, we have 20,000 customer touch points for servicing.
I will now talk about some of our claims initiatives a nd the outcomes . In terms of claims amount, 84% of the paid claims

in 9MFY24 were cashless which were 80% in the previous
financial year. Our Cashless TAT has improved to 94% , claim settled within 2 hours' time. The auto adjudication of claims helps us i n drastically reducing the turn around times . 34% of agreed network hospitals representing 74% of the Cashless Claims have been on -boarded under our authorized auto adjudication initiative . Our anti fraud digital initiatives continue to yield good savings. We have upgraded from the SAS platform based triggers to an in -house system equipped with dynamic functionality to fine-tune the rules to show effectiv eness in our claims management.
On our financial performance , the combined ratio for 9MFY24 was 98.2 % and the combined ratio for the Q3FY24 was 97.8 %. The claim ratio for 9MFY24 was 67.3 % and 67.7 % for Q3FY24 . Our expense ratio for 9MFY24 stood at 30.9 %, for Q3FY24 it was 30.1 %. Our investment assets have grown to Rs. 14,450 crore in Q3FY24, showing a growth of 20% year -on-year . The yield for 9MFY24 rose to 7.6% versus 7% in 9MFY23. The investment income during Q3FY24 grew by 39% to Rs. 285 crore versus Rs. 205 crore in the previous year.

Our PBT of Rs. 388 crore for Q3FY24 was up 38% from last financial year. The Q3 FY24 PAT came in at Rs. 290 crore , registering a growth of 38% over the same period last year. The 9MFY24 recorded of PBT of Rs. 939 crore a growth of 36% over same period of last year and the PAT for 9MFY24 was Rs. 703 crore also a growth of 36%. The non -annualized ROE for 9MFY24 was 12.1% versus 10.4% in the previous financial year.
Solvency of the company as of 31 December 2023 was 2.2 times compared to the regula tory requirements of 1.5 times.
The key highlights of quarter three are,
■ The average sum insured of new policies has increased by 10% to Rs. 9.65 lakh per policy . Rs. 5 lakh and above sum insured policies now constitute 77% of the retail health portfolio versus 69% of the p revious year.
■ The share of long -term policy is within our overall retail GWP has increased to 6% versus 4% in the last financial year.
■ Our Home Healthcare program is now live in 11 cities, customers can now avail Home Healthcare services by speaking to our doctors, and medical professi onals through telemedicine who will visit their homes if necessary to provide them service .
■ Our customer NP A on claims has improved to 63 points versus 55 points in the previous quarter.
■ Our Star Health App launched during the initial quarters with new features , sees accelerated traction in terms of registered users availing the benefits of the app. The number of app downloads is more than 5 million as of December 2023 and has shown a 12% growth versus September 2023 quarter.
■ Organic traffic to the website grew by 39% in 9MFY24 over the same period last year.
To summarize, I would like to reiterate again that we follow the Risk First , Growth Later strategy . This is our mantra to ensure a sustainable long -term profitable growth in the fores eeable future. Thank you so much and we are now open to questions.
Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Shreya Shivani from CLSA India. Please go ahead.
Shreya Shivani : I have two questions. It is on the seasonal diseases and the impact which dragged second quarter margins. How many months of third quarter did that persist? And what about COVID cases? Where should we expect the loss ratios of fourth quarter to be ? Or shou ld we expect some one-offs in fourth q uarter as well because of COVID? And what would be your guidance be for the next two years on loss ratio? Second is on the Health Insurance policy that you are selling via Ban ca channel , so now Banca is only a 5% of your channel mix , where do

you expect
in the coming two years Banca channel to grow to ? What mix would it become? And is the loss ratio trend any different in the Banca channel versus your agency channel?

Amitabh Jain : This is Amitabh. I am taking the first part of the question. You are right, we had a significant increase in the incidence of fever and infectious diseases in the month of September 2023 and October 2023 that weighed on the overall ICR that we witnessed in Q3 , but since then i t has calmed down, and even January 2024 seems to be normal.

Shreya Shivani : The COVID cases?

Amitabh Jain : COVID cases, th ere is no significant increase, so there is no concern or worry on that aspect.

Shreya Shivani : So, sir should we expect that after fourth quarter is over for at least for the next two years, our guidance on loss ratio goes back to 63 % to 65%, right?

Anand Roy : We are not giving any guidance as such , but yes, our endeavo ur is to keep improving our loss ratios by various measures , as we mentioned , in our call — including various strategic measures like price increases at the significant times , our efforts on Home Health care and other such measures . To answer your second question, Banca , as you rightly said, is an interesting channel for us which we are growing. It is right now contributing 5% of our books we hope to make it larger as the years go by . Many of our partnerships are only now taking shape in terms of the system integrations and product launches. We expect this to be a very signi ficant contributor in the future. We already, as I mentioned in my speech, that almost 33% of our new business is coming from non -agency channel which is Banca and digital largely. We expect this to keep growing faster.

Shreya Shivani : Sir is there any dif ference in the quality of customer or the loss ratio trend between your main channel which is Agency and the Banca channel?

Anand Roy : Banca as you know has a very different b usiness mod el. There is a n attachment business contribution, which is quite significant, which the banks give out on their loan book . But, we also do a reasonable amount of indemnity policies through our public sector bank partnerships. It is going to be a mix of both and as far as l oss ratios and combined ratios are concerned, we are very clear that we will do business where it is profitable for us , so we make sure that it is tracked very closely.

Moderator : Thank you. Next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Firstly on, if you look at the Star thinking about Q4 from here on you mentioned that the loss ratios are significantly better and you would have a full benefit of renewal price hike of the Family Health Optima because a larg e portion of it was sold possibly in Q4 of last year. So, big benefit of that should come in at least on the GDPI front , some of it will go through the URR , but how should we look at Q4 from a profitability perspective ? And then I would extend this to FY25 as well , so your share of Group Premium has gone up to 6% today and the price hike that will happen in Q4 of Family Health Optima that quite a bit of that portion will go into the UR R

and will kind of unwind into FY25, so both the long term policy as well as the price hike of Family Health Optima that should unwind into FY 25's Net Earned Premium without any OpEx against it, right ? So, from a profitability perspective, how should this kind of transpire into FY25? That would be my first question.

Nilesh Kambli : You are right , the full benefit of price increase will come by 30th April , with Q4 being the biggest quarter, the earned premium will improve in FY25. Th

at is why we are saying that we will
ensure that the loss ratio keeps on improving as we keep on moving forward along with the price rise and the various initiatives that we have taken . In terms of Group business it is a combination of SME as well as Banca group business, which is very efficient when it comes to loss ratios and that should also help us in terms of overall profitability.

Prayesh Jain : Sir is it fair to assume that given the severity and the frequency of claims that we have seen in this year, if that would have sustained, possibly we can come within the guidanc e range of 93 % to 95% ? Would that be a fair assumption and with your Reinsurance treaty in place ?

Nilesh Kambli : We do not want to comment on the guidance, but yes, we see that there will be improvement as we keep on moving forward with the various initiatives that we have taken.

Prayesh Jain : Secondly, if you could break down your Reinsurance treaty and could you explain that a bit such as the rational e for it? And if you could just give us for nine months as to how this has impacted each of the line items like the Premium ceded and your claims that would have come and the commission that you would have received on it?

Nilesh Kambli : Basically , we choose the risk which we want to retain in our books. We have always wa nted to be risk averse for long -term treaties. We already have a RI arrangement for our long -term benefit policies. Even previously , we have mentioned that we want to look at Reinsurance as long as it is efficient , so since now long -term indemnity is a mean ingful portion of our portfolio. We are choosing to keep a certain portion of our risk in the books as well as balance is reinsured , so that is a part of our long -term strategy on long term policies. In terms of impact of Reinsurance , NWP gets impacted because we cede the portfolio out, we get certain Reinsurance commission s, the earned premium goes down because the NWP reduces , so it impacts th ese 3–4-line items.

Prayesh Jain : So, can we get the quantum of each of these line items, commissions, claims and NWP?

Nilesh Kambli : RI arrangements are confidential and not in public domain , so we cannot give each and every line item.

Prayesh Jain : And secondly, from a growth perspective Anand, what would be the number of policy growth that you would have seen in nine months ? And what has been the Family Health Optima

renewal ratio in terms of number of policies so far ? And how would you see that for say Q4 as well?

Anand Roy : The Family Health Optima is the biggest portfolio in which we took a good price hike . When we took the price hike, we were expecting about 5% approximate drop off in customers because that was based on our historical trend when we had taken price hike earlier and happy to let you know that that is where it is right n ow we have been able to retain our customers on our books and overall retention premium is almost 105% in terms of the Family Health Optima Premium. As far as our overall growth is concerned, we remain very optimistic around our growth, we see that the growth is driven both by new policies as well as by our price revisions and upgrade s in terms of sum insured during renewals. It is a healthy mix and we are quite confident of keeping this going.

Prayesh Jain : Last question from my side , but if you look at the growth in the last couple of months, that has been significantly lower than what your other players and in fact that gap has only widened in the last couple of months , what has been causing that in the sense that the growth which you had guided for around a 20% kind of growth on the Retail Health is now trending more towards 15%, 16% kind of range and in spite of the fact that there is so many levers that place a sum assured has gone

up . All those elements have been at play for some time now, but we still do not see the growth coming in. So, how should we think about growing from a longer term perspective more of 15% kind of a range or 20% is something that we sho uld look for? How should we think about this?

Anand Roy : If you look at the growth we have been growing almost equal to the industry's growth rate, but as I have mentioned earlier our philosophy is Risk First Growth Later we are looking at the quality of book rather than only the quantity of growth . I think that is something that we are very mindful about , because we are building a business for a long term and health insurance is a business where you onboard customers and you stay with them for life so, that is what we intend to do and we are not going to run behind growth at the cost of quality of growth . We still have absolute conviction that we will be able to grow closer to our internal aspirations of course are to grow close to 20%, but at the same t ime we are calibrating areas where we see that the quality is not so good, we are slowing down there, but we are growing fast in the profitable areas where we are seeing good momentum.

Moderator : Next question is from the line of Madhukar Lad ha from Nuvama Wealth , please go ahead .

Madhukar Ladha : Congratulations on the good perform ance . First, on coming back to the retention question, so there is definitely some rethink here, right, because your retention has reduced, you were doing about 95% and now it is at around 87%, so what has driven this? And I wanted to get some sense because of this your NWP has actually grown only 7% this quarter, right , so would mean that this trend sort of continues, what should we expect our NWP growth to be like because that is wha t will ultimately flow into NEP? Second, I also noticed that your expense

ratio has gone up to about 19 % this quarter and obviously Commission ratio has been aided by some Reinsurance Commission that you have got, so why are the expense ratio elevated? And how should like a normalized sort of Commission ratios look like ? So, these would be my two questions I will come back with any follow up.

Nilesh Kambli : This reinsurance treaty that we have done, it is retrospective from 1st April 23, what 87% that you are seeing is only for Q3 the correct number to look at is for nine months which is 92%, so from 95 % It has shifted to 92.3 %, which is not a significant change and it is in line with our strategy as we mentioned on the long -term policies. Coming back to your question on expense ratio and Commission ratio, while it is aided by the Reinsurance Commission , expense ratio what happens is while the numerator is the same, the denominator has gone down , it is more a technical thing. The correct measure is the overall expense ratio, which is constant in line with last year as well as it has improved compared to H1 as well .

Madhukar Ladha : This is helpful. And finally, I just have one more question on your investment income , so the yield has shot up in this quarter, is it because some capital gain booking has happened in this quarter? Is a result of that or? What is going on with that?

Aneesh Srivastava : Yes, we have booked some profits in this quarter , but the objective of boo king profit was not that we have to take the profits, but we saw certain opportunities where we felt that the evaluation would be such that we should exists some positions. As far as booking profit is concerned, it is not that this is the first time that w e have booked profit we have booked profits in earlier quarters as well. This is a very calibrated and conscious approach that we are taking on the investment book . For yields to go up , actually , you know that in general yields have hardened in the market, even sho

rtened the yield curve is relatively elevated , so all that basical ly flows into the overall yield of the portfolio.

Madhukar Ladha : What is the kind of duration and yield that you are running right now like approximately ?

Aneesh Srivastava : On fixed income book, we are running our duration of approximately slightly below 4 , say somewhere around 3.9 and on the Core Fixed Income portfolio , if we set aside the liquidity that we maintain , that is approximately 7.71 .

Moderator : Thank you. Next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh : Couple of questions. The first one more on sort of industry with this latest kind of announcement on this Cashless E verywhere , how does this came so rt of, the network hospital concept or agreed Network hospital I mean, because now with this concept at least for accessibility point of view, every policy holder from any insurer has cashless access to hospitals. So, I mean, how does this sort of thing changes? Does it change anything in terms of the positioning of a Health Insurance as far as the network hospitals are concerned and if at all anything in terms of pricing which you agreed Network Hospital, so that is one? Second

question sort of what kind of a medical inflation you are seeing, I mean in so far say or calendar 23 or FY24 and has sort of changed towards up or down in the post COVID what you were seeing in the post COVID era? And related to that, based on this claim inflation or medical inflation trend and also that you and the industry has undertaken multiple price hik es in Retail Health . Going forward, you see that prices to be stabilizing or still some need to take price hike ?

Amitabh Jain: The Anywhere Cashless is a great initiative led by the regulator and we believe that the consumers appreciation towards Retail Health Insurance will only increase and enhance the customer experience because of this easy access to cashless services . Generally, we have seen that the reimbursement claims come with higher incidence of fraud , waste and abuse , so increase in uptake of cashless is overall welcome d for the industry and for us as well. We have already launched this initiative for which we are getting go od response. On the second question on medical inflation, the medical inflation remains high as far as the overall industry is concerned , but we are managing that through efficient claims and network management and that remains at levels that we believe we can manage. On price hike , yes, this is something that we will keep doing as per the requirement of a particular product , the portfolio overall yield and price requirements, we are expecting to have price hikes coming up in this quarter for a couple of products which are contributing to about 10% of the portfolio .

Moderator : Thank you. Next question is from the line of Supratim D atta from Ambit Capital. Please go ahead.

Supratim Datta : So, could you give me the loss ratio difference between the long -term indemnity policies and the regular indemnity policies? That's one and two, what I would like to understand is how does the ROE profile now for the long -term indemnity policy differ compared to previous regime, when you did not have the reinsurance, the 50% reinsurance ? And thirdly, I understand you talked about growth and your philosophy on focusing on Risk First and Growth Later, however, as an insurance company you have always been focused on growth and you are focused on risk and you are growing much fas ter now in the Banca and in the group channels then why is the core agency channel not being able to drive growth ? What are the challenges there if you could help us understand that and how you are addressing that ? That would be very helpful. Thank you.

Nilesh Kambli : On th

is long term indemnity , as we said this portfolio has started to grow now and it has become substantial portion of our portfolio. The experience on whatever previous portfolios that we have is good , the loss ratios are better because al l the customers are retained for two years or three years , so it is generally good in terms of loss ratios and hence the ROE profile of the custom er is also good. As we have beaten a substantial portion now we will have a better experienc e as we keep on moving forward.

Anand Roy: The Core Agency business contributes 82% of our portfolio, so we are absolutely doubling down on agency there is no question of slowing down there. There are certain strategic steps that

we have ta ken on focusing bit more on quality in certain areas where we were seeing consistent bad quality business coming in, for example, certain parts of North India, certain parts of Western India, so we have kind of calibrated our strategy there but let me assu re you that Star

Health is an aggressive growth focused company we are not going to slow down growth as such, but quality of growth will be a major driver in our plans. Just to put it in context, we have really slowed down our inward portability business i n those markets which we saw that they were a loss leader in our overall books for a long period of time so those are the steps that we have taken, and we are not shying away from taking so me aggressive steps to build a better quality of book. As you know, last year we took a conscious call to slow down our Corporate Group business, so we will continue to keep evaluating business basis on its merits and not do growth for the sake of growth.

Supratim Datta : Could you give me the ROE differential now in these long -term indemnity policy that you have put in place on reinsurance contract?

Nilesh Kambli : Long term is a very small portfolio until last year and it plays out over the next 2 -3 years. Since the loss ratio for this portfolio is good, the customer remains with us , the ROE profile of this customer is also very good.

Supratim Datta : But how does it change now that you have put in a 50% reinsurance contract?

Nilesh Kambli : Nothing changes. Reinsurance contracts you know there are certain parameters, there is a loss ratio understanding , there is a commission understanding , these are all sliding scale basis. There is a certain cost associated with it.

Moderator : The next participant is Nilesh Saha from Julius Baer . Please go ahead.

Nilesh Saha : I joined the call a bit late , so I am not sure if you spoke about this earlier, but I was hoping if you can comment a bit over like this growth that you reported this quarter could you give some colour on the new customer volume growth part A ? And Part B what is your retention metric looking like f or your customers whose policy is completed a year in the quarter gone by ?

Nilesh Kambli : We had answered this previously .

Nilesh Saha : I will just go on to the next question which I had. So, over the last three quarters, what I have heard a lot from you guys on the call, it is a lot of emphasis on managing risk , right improving the what you also spoke of on the call, right, making sure th at the insurance policies that are live there of good loss ratios. Could you comment a bit on what you are doing at the back end , in terms of how your sales in terms of how you manage your agency, that is where you are implementing these sort of changes , and if that is having some sort of impact either on the growth side or on the cost side ? Thank you , that is all from my end.

Amitabh Jain : This is a continuous sort of evolving exercise and training of agents and our own sales teams is something that we kee p improving upon , some of the risk based selection criteria, underwriting guidelines, scoring models, those are the things that we are working on improving our analytics based on geography, customer segmentation, micro segmentation of risks and so on and that is something that we are training our teams as well as our agency force on a continuous basis. We expect that as we will sort of continue this and put more and more emphasis on the overall mantra that we have that Risk First and a Profit able on growth on that , is what we are going to continue to work up on.

Nilesh Saha : Just one small follow up . Have you been able to implement anything either at the level of your agents or the managers who handle your agents where you have tied commissions or payouts on the basis of the loss ratios of the policies that they sell. I remember that long back there were some plans on this front, but have you impl emented something of this kind?

Anand Roy : All our branch managers and sales managers and above have their KPIs on profitability. We do ensure that they are well aware of the profitability of their business on a monthly basis. They have dashboards on which they are able to evaluate their business regularly available to them. As far as the payouts and commissions are concerned, we did roll out something, but we have made some changes based on market feedback and we will keep evaluating and making changes as and when necessary .

Moderator : Next question is from the line of Nidhesh from Investec . Please go ahead.

Nidhesh : Sir, firstly on the agency channel, if I just do some rough calculation, my guess is that the agency loss ratio will be around 70%. And we are taking steps to curtail loss ratio there. And last two quarters I have heard that you have taken a lot of steps to curtail loss making geogr aphies. So, whatever the steps we are taking by when do you think that those will be visible in our portfolio, will it take full twelve months? The book s have to run down and then the new book that we are building out, so whether it will take twelve months, or do you think that the stuff s that we are taking the benefit of that will be visible quite quickly?

Anand Roy : The agency loss ratio is not 70% and to answer the second question, the steps which we are taking, we are seeing good positive results as we talk . November , December , as Amit abh mentioned are trending well even January , 2024 we are seeing a good result. We have taken the price increase for which benefit is expected to come , has come in Q 3, Q4 and for the next nine months to twelve months as well. The quality business that we are talking about, the reduction in portability, we are seeing some good benefits out of that as well. It has already started to be reflected in our portfolio and we see some good benefits coming in the future .

Nidhesh : And second is what is the fresh premium growth for Q3 and nine months on an overall basis ? And in the agency channel if you can talk about these two numbers ?

Nilesh Kambli : We will not like to comment channel specific, but the other growth in fresh business is in double digits as we speak.

Moderator : Thank you. Next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh : Star is probably only one of the few companies on the SAHI side and excluding the PSU which have been in operation for almost more than a decade . So, given that your growth has kin d of slowed down from pre -COVID levels on the gross premium side and you are seeing vintage of the book also rising. You are also taking some price hikes here and there. So, can you giv e some colour on how the vintage -wise loss ratio is shaping up, not quanti

tatively, but maybe if you can give some colour qualitatively, let us say what it was five years back versus what it is now ? Will give us some understanding of both medical inflation and how the portfolio is behaving ? Second, I think more from the FHO product where you have incurred the price hike and just wanted to understand for the customers who have fallen off or where you have seen persistency loss because of the price hike versus the customers who are still retained in your portfolio , how would be the claims ratio between these two cohorts ? Or in other words just trying to understand is it higher claims ratio customer which falls off or the better -quality customers? S ome kind of understanding on that ? And lastly just going back to the previous participant question, if we do the back calculation schemes that fresh business through agencies probably has declined by a good margin compared to, let us say, your agency growth should be better. Also if you look at this growth on a 2 year basis, I mean because you have been adding agents also at a very sharp phase, it seems that the growth does not look that great , so what are the steps you are taking ? And by when can we expect the agency growth to really kind of revive? So, those are my 3 questions.

Anand Roy : Let me take the question on Star H ealth being a 15 -year -old company and about the vintage of customers, the fact that we are the only company, probably one of the few companies in the entire industry, which is making underwriting profits should answer your question about the quality of book and the selection and the way we are managing the portfolio , so cohorts and vintages do not make any significant impact as long as you are managing it scientifically and re - pricing the product at intervals when necessary so, that should be sufficient to say . We are not going to give obviously detailed cohort based data to you . As far as our FHO customers are concerned, we do not differentiate any customer with as a good customer or a bad customer we would like to retain all customers. Our target was to retain customers with a minimum drop off and we are very well within that range of our target , so I think that is what how we are looking at it.

Anand Roy : There is no decline in fresh agency busines s or as I told you that business is being calibrated based on profitability of the regions. We are seeing very high double digit growth in regions where we want to grow and we have kind of reduced our growth by design in certain areas. There is no compulsi on for us to reduce our growth there technically speaking, but we are doing it in the long term interest of the business. That is how I would put it.

Moderator : Next question is from line of Swarnabha Mukherjee from B &K Securities. Please go ahead.

Swarnabha Mukherjee : I had one technical query that for the longer term policy, if you could explain why a reinsurance support is required ? Because if I understand correctly, I mean these are also quite gradually underwritten businesses , so how different would be the expected experience between their one-year policy and the two -year policy that would warrant some risk pass out to the reinsurer ? So, that is the first part of the question. The second thing was that you mentioned that I think fourth quarter t he retention level would be 92 %, would I be correct in assuming that as we go ahead and our share of long -term policies increase, this retention level will also kind of go down in time length with that ? So, that is on the reinsurance side. And if you could also give me couple of additional data points , so first of all this 10% business in which you are re -pricing, what would be the increase ? What is the quantum of re -pricing if you could highlight that ? And if you could

also give us the share of non-agency channel in the fresh business last year during third quarter , that would be very helpful ?

Nilesh Kambli : On the reinsurance philosophy, we have a particular strategy to give an example for non - proportional risk or some there are philosophies of one in a 100-year event , one in 250 year event and companies buy one in 500 year event as well each has a different cost element , so this is the philosophy of the company. The long -term policy for two year s and three year s we have a philosophy of reinsuring it , so that is based on our philosophy that we have taken this decision to reinsure this risk. Y our second question on 92% , see this is the nine month s number as we keep on growing the long -term portfolio on an overall basis, it should remain constant or slightly reduced, but there will be no significant difference to this 92% that is reflected in the nine month s number .

Swarnabha Mukherjee : Follow up for the next couple of years should we build in a number close to that 92 only or shall we maybe take it down slig htly more as your share of long -term increase in the mix?

Nilesh Kambli : Yes, it is our strategy , so we will continue with as long as the terms are favo urable , based on strategy will continue with this reinsurance arrangement that we have .

Swarnabha Mukherjee : Sir I think you mentioned it is a 50% quota share kind of a policy, right? So, can there be design for that kind of things ?

Nilesh Kambli : It is very difficult to comment now, but based on our philosophy will continue to have reinsurance now 40%, 50%, 60% it depends upon the reinsurance arrangement that we get in the market. We would like to be stable as far as possible .

Swarnabha Mukherjee : Sir, I have requested for couple of data points which is how much will be the quantum of price hike in the products th at you are going to hike prices? And mix of non -agency channels in the fresh premium last year same quarter, if you could share that?

Amitabh Ja in: On the price increases, we covered that in an earlier question that we are planning to take price hikes in couple of our products in this quarter, which amount to about 10% of our portfolio .

Moderator : Thank you. Next question is from the line of Sanket h Godha from Avendus Spark. Please go ahead.

Sanketh Godha : You in the initial remark said that from a risk management point of view you started porting in lower compared to what you have done in the historical past , so just wanted to understand how much it has changed say couple of years back or last year to current ? And how much has it impacted maybe on growth ? And second , have you seen in your premium policies a little more port out happening in the current year compared to historical past ? I just wanted to understand that trend how is your experience? Because I am coming from this point because of the growth and that is the reason I am asking this question?

Anand Roy : To answer your second question first, FH O, which was a big portfolio for us and if there is a 5% drop off because of the price revision, definitely some of those customers have ported out to other companies at their convenience , so there is a port out which is otherwise not seen in other times . This is a one off event and but e very time we take a price hike we do see this happening once in 3 -4 years . So, that is about porting out .

Sanketh Godha : But Anand this number of 5% drop off, I am just asking from a usual business trend point of view this number is relatively higher compared to what you have experienced in the previous years ?

Anand Roy : Yes, of course. That is what I was trying to say , if we were doing on an average let us say 90% retention policy wise and if you are doing 85% this year on F HO, that is the 5% drop off w

hich we have seen. Some of them might have gone to other companies, some of them might have not gone out of the insurance franchise itself, but that is possible. Porting in is concern ed we have really tightened our underwriting standards in porting in be cause of two reasons , one is we have seen that there is significant amount of difference between loss ratios in terms of portability customers and new customers and second thing is we have also seen that porting customers, sometimes there is lot of dissona nce in terms of expectations and it also leads to bad experience in customers and s ometimes intermediaries will not give the true picture of the porting policies and conditions so we are kind of really tightened that area and we would like to keep it that way .

Sanketh Godha : But Anand if you can quantify the number means for example, it was porting by 5% of total premium was porting in say last year whether that number has reduced to say like one odd percentage means just wanted to understand that how much you have tightened this?

Anand Roy : It has come down to low single digits is what I can tell you .

Sanketh Godha : And second question I have one on data , see this long -term policy is when you say 6%, first I want to understand how is your comfort level because as you highlighted that this business also comes with the risk of higher claims because you are married to the customers for three years and don't have a choice to take a price hike . Then to what extent you want to get it to be as percentage of your total book, and then this 6% what you have told in the call or in initial remarks is only indemnity or you have included benefit based also in this 6%? That is my question . And second on data keeping with this I want 2 data points , what is the exact amount of capital gain you have booked in the current quarter ? And what is the exact gross commission number you have paid in the current quarter and nine months ?

Anand Roy : Long term, we never said it is in terms of adverse experience. In fact, it is better experience we say because these are customers locked in for the first few years of the engagement with the company and hopefully they will renew for future also so these are definitely better experience customers in terms of loss ratios. As far as capital gain is concerned, I will request Aneesh to add.

Aneesh Srivastava : We have booked approximately Rs. 30 crore of capital gains.

Sanketh Godha : Commission number for nine months and current quarter. Means in our release we have the Net Commission Number, I was looking for the Gross Commission Number.

Nilesh Kambli : Gross Commission Numbers will share separately . Sanket h it will come as part of our public disclosure on the I RDAI website.

Sanketh Godha : Anand to your answer the 6% I just wanted to check how much you want to take it to ? And whether the 6% is completely indemnity or benefit based is also included in the 6%?

Nilesh Kambli : 6% includes indemnity and benefit and we want to grow this portfolio because this is a good portfolio .

Moderator : Thank you. Ladies and gentlemen, we will take that as a last question. I will now hand the conference over to Mr. Nilesh Kambli for closing comments.

Nilesh Kambli : Thank you everyone for joining the call. We see that this quarter e nded well for us and we see lot of positives as we keep on moving forward and we are confident of improving for the next coming years. Thank you very much.

Moderator : Thank you very much. On behalf of Star Health and Allied Insurance Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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Call: May 2024

Date:May04,2024
Place:Chennai
Ref:SHAI/B&S/SE/32/2024-25
To, To,
TheManager TheManager
ListingDepartment ListingDepartment
BSELimited NationalStockExchangeofIndiaLimited
PhirozeJeejeebhoyTowers ExchangePlaza,5thFloor,PlotC/1,
DalalStreet GBlock,Bandra-KurlaComplex
Mumbai–400001 Mumbai–400051.
ScripCode:543412 Symbol:STARHEALTH
DearSir/Madam,
Sub:TranscriptofQ4&FY2024EarningsCall–March31,2024.
FurthertotheCompany'sletterSHAI/B&S/SE/15/2024-25datedApril18,2024regardingEarnings CallIntimationforQ4&FY2024,pleasefindattachedtranscriptofthecalldatedApril30,2024.
IncompliancewithRegulation46oftheSecuritiesandExchangeBoardofIndia(ListingObligationsand DisclosureRequirements)Regulations,2015theaboveinformationisbeinghostedontheCompany's websiteatwww.starhealth.in
Thisisforyourkindinformationandrecords.
ThankingYou,
ForStarHealthandAlliedInsuranceCompanyLimited,
JayashreeSethuraman
CompanySecretary&ComplianceOfficer
Encl:asabove.

Star Health and Allied Insurance Company Limited
Q4 & FY '24 Earnings Conference Call
April 30, 2024

Management:
Mr. Anand Roy – Managing Director & Chief Executive Officer
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Aneesh Srivastava – Chief Investment Officer
Mr. Amitabh Jain - Chief Operating Officer
Mr. Aditya Biyani – Chief Strategy and Investor Relations Officer

Moderator: Ladies and Gentlemen, good evening and welcome to Star Health and Allied Insurance Company Limited's Q4 & FY '24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
I now hand the conference over to Mr. Pratik Patil from Adfactors PR - Investor Relations team. Thank you and over to you, sir.
Pratik Patil: Thank you, Sagar. Good evening everyone.
From the Senior Management, we have with us Mr. Anand Roy - Managing Director and Chief Executive Officer, Mr. Nilesh Kambli - Chief Financial Officer, Mr. Aneesh Srivastava - Chief Investment Officer, Mr. Amitabh Jain - Chief Operating Officer and Mr. Aditya Biyani - Chief Strategy and Investor Relations Officer.
Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward-looking in nature, including those related to

the future financial and operating performances, benefits and synergies of the company's strategies, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's conference call may involve risk and uncertainties.

Thank you, and over to you, Mr. Roy.

Anand Roy: Thank you so much and a very good evening to all of you. Thank you very much for joining us today for the Earnings Conference Call of Star Health and Allied Insurance Company for Q4 'FY24 and for the entire twelve months of the Financial Year '24.

It gives me great pleasure to interact with all of you as we closed another successful financial year in which we gained three spots over the last financial year to become the seventh largest non-life insurance company in the country.

The Indian economy has continued its growth trajectory, suggesting a healthy economic growth for FY '25. Despite strong economic growth, we still have significant part of our population uninsured and underinsured, which poses a financial risk to households and potentially limits their access to quality health care. This offers a huge opportunity for the sector to work towards the stated vision of ‘Insurance for All’ by 2047 by the regulator.

In line with the IRDAI's vision and to be future ready, Star Health has successfully completed all milestones of National Health Claims Exchange and Ayushman Bharat Digital Mission platform

integrations. Star has custom-built the entire NHCX and ABDM stack with its in-house engineering team.

In the last two financial years, we had embarked on a conscious journey of putting risk first and growth later. Some of the key initiatives that we undertook were:

■ Focus on growth in profitability through robust underwriting guidelines.

■ We realigned the distribution and product mix to cater to the emerging verticals along with our core agency vertical.

■ We built multiple operational efficiencies that focused on productivity improvement and cost optimization measures.

■ We recalibrated the portfolio across verticals and locations and portability and pricing etc.

■ Our hospital management network management measures were diligent and our efforts in rationalizing the empanelment of network hospitals and focused on increasing the agreed pricing arrangements in network hospitals.

■ On technology, we made multiple investments. We are one of the leading companies in terms of tech investments in the General Insurance space. Our investment in technology, digital and analytics have improved our customer experience

.

■ Prevention of fraud, waste and abuse by deploying new-age technologies has resulted in better management in these areas.

The above initiatives have helped us in chalking out a path towards secular growth for the years to come. This is reflected in our retail health market share of 33% for FY '24. We continue our leadership as the largest player with a size that is 3x the size of the next largest player in the retail health segment.

On the service and distribution front, our agency network with 701 thousand agents, 881 branches, 20,000 plus healthcare footprint including 14,200 network hospitals stands testimony to our mission to provide the best services to our customers.

One more important measure where Star Health stands distinguished is on cost leadership with an expense of management, which is well below the 35% norm as mandated by the IRDAI.

I am happy to share that as a customer-centered organization, we have settled more than 1 crore claims since our inception in 2006, a first for any health insurer, amounting to a disbursal of Rs. 44,000 crore over the last 18 years.

Our in-house claims management system and adoption of new edge technologies has enabled us to process 95% of our claims in less than two hours and a 24 by 7 availability for a seamless experience. With strengthened fundamentals, we are now poised to focus on growth with profit.

Let me now elaborate further on the performance of the company:

Coming to the premium and distribution, for the twelve months ended March '24, our gross written premium grew at a rate of 18% to Rs. 15,254 crore compared to Rs. 12,952 crore during the same period last year. We are the largest standalone health insurance company in India and our share of GWP is up close to 46% of the entire SAHI insurance space. Our market share for the twelve-months ended FY24, amongst all general insurance companies, is up by 22 basis points to 5.26% versus 5.04% in the previous year.

Our agency business contributed around 82% of our overall business for the twelve months ended March '24. Our agency strength has increased to 701 thousand agents, with a net

addition of 16,000 agents in the March quarter and 75,000 agents in the last twelve months.
As accessibility is the key to providing exceptional customer service, we have synergized our presence in Bancassurance and digital channels with our existing physical presence, which empowers us to cater to the needs of India, including rural India, i.e., Bharat. In order to increase penetration in the semi-urban and rural geographies, we have 1,154 sales manager stations, which are small individual service centres. With 881 branches, we have 2,000-plus customer touchpoints to ensure better service. Of the 19,000-plus PIN codes in India, Star Health is present in 17,106 PIN codes via our sales distribution network.
As regards our corporate agency tie-ups, we have now 58 tie-ups in the banks and NBFC space. This channel has contributed to around 5% of our GWP and is growing at a healthy pace of more than 39% as far as fresh premium is concerned. We expect this growth to accelerate as we move forward.
Our digital business contributes to around 6% of our overall GWP. The digital channels, which comprises of our own channels as well as third-party aggregators, have been growing at a brisk clip of 34% in fresh business. At a more granular level, 75% of our digital GWP comes from our own digital channels and the balance 25% comes from our online brokers and web aggregators.
For FY '24, we have grown by 108% in the fresh employer-employee group segment. With improvement in pricing and prudent risk selection, this segment also offers opportunities for substantial growth in the coming years.
We have received approval to start our Gift city operations, which will help us serve th

e needs
of NRI customers as well as underwrite business for foreign countries. This will further boost our growth prospects in future years.
I will now talk about some of our claims initiatives and the outcomes:

■ In terms of claims amount, 87% of the paid claims in twelve months FY '24 were cashless versus 80% in the previous year.
■ Auto adjudication of claims through technology has helped us in drastically reducing our turnaround times. 34% of agreed network hospitals that equate to 75% of the overall cashless claims have been on-boarded on our auto adjudication platforms.
■ Our anti-fraud, waste and abuse AI/ML models, which are proprietary to Star Health, continue to yield savings for us in terms of claims outgo. In terms of savings, we were able to attribute 1.5% of the gross earned premium as a direct result of these measures.
I will now talk about our financial performance:
■ Combined Ratio: The combined ratio for twelve months ended March '24 was 96.7% and the combined ratio for the fourth quarter of FY '24 was 92.7%. Claim ratio for the twelve months ended March '24 was 66.5% and 64.1% in Q4 of FY '24.
■ Expense ratio for twelve months stood at 30.2% and for the fourth quarter of FY '24, it was 28.6%.
■ Investment income: Our investment assets have grown to Rs. 15,491 crore in Q4 of FY '24, showing a growth of 16% year-on-year. The yield for twelve months FY '24 was 7.7% versus 6.9% in the previous year. The investment income during FY '24 grew 34% to Rs. 1,084 crore versus Rs. 835 crore in the previous year. The investment income during Q4 also grew by 34% to 293 crore versus Rs. 218 crore in the previous year.
■ Profits: Our PBT of Rs. 190 crore for Q4 of FY '24 was 39% higher than the same period last year. The Q4 PAT came in at Rs. 142 crore with a growth rate of 40% over the same period last year. The twelve months FY '24 recorded PBT of Rs. 1,129 crore, displayed a growth of 37% over the same period of last year. The PAT for twelve month FY '24 was Rs. 845 crore. This is the highest in our company's history and represents a growth of 37% over the previous year. The ROE for twelve months ended March '24 has increased to 14.4% versus 12.4% for the previous year.
■ On an IFRS basis our PAT for FY '24 stands at Rs. 1,080 crore with a ROE of 17.7%.
■ On solvency, we have a very strong capital base and our solvency as of 31st March '24 is 2.21x compared to the regulatory requirements of 1.5x.
A couple of key highlights of Q4 and FY '24 business highlights, with this I will end my speech:
■ We registered a growth of 41% in agency fresh business in Q4 FY '24 over Q3 versus 21% of the same corresponding period of last year.
■ The average sum insured of new policies has increased by 10% on a year-on-year basis to Rs. 9.87 lakhs. Rs. 5 Lakhs and above sum insured now constitute 77% of our retail portfolio versus 70% of the previous year.

■ Our digitally native policy, Smart Health Pro, is showing good progress and the

quarter-on-quarter growth is approximately 33% in this product.
■ The share of our long-term policies within the retail GWP has increased to 6% in FY '24 versus 4% in FY '23.
■ Furthering our customer-centric approach, an external agency has measured our overall NPS for the company at 56 points.
■ We are about to complete one full year cycle in our FHO price hike, and the renewal numbers are holding as per our envisaged plans.
■ Home Health Care program is now live in 50 cities. Star Health customers can now avail home health care services by speaking with our doctors and medical professionals who will visit their homes to provide them services.
■ Prevention and wellness: Our engagement with customers on our pre

vention and
wellness programs has seen a significant jump. Preventive Health Checks (PHCs) have increased by 250% in FY '24. Our customers are using telemedicine like never before. There has been a 45% increase in telemedicine services this year. Our condition management programme has found wide acceptance across the country.
■ Customer app: As regards our Star Health customer app, we have launched a new version of this app in August of '23. Our customer app downloads have increased by 174% in FY '24 to more than 5 million plus downloads, and our monthly active users are now more than 7 lakhs average users per month. Our app rating is 4.4 on the Google Play store and 4.6 on the iOS store.
■ The average age of our customers over the number of lives covered is 31 years in FY '24 as compared to 32 years in the previous year.
■ Organic traffic to the website grew by 46% in FY '24 over the same period last year.
■ Star Health is a certified ISO:22301 company for Business Continuity and Management Systems, BCMS, and ISO:27001 for Information Security Management Systems, ISMS, which clearly depicts a robust governance framework at an enterprise level.
■ To demonstrate our ESG focus, we are able to score 43 points in the first year of active participation in the 2023 S&P Global Corporate Sustainability Assessment.
I would really like to thank all my Star Health family members for their immense dedication and the strong support from our shareholders and Board members. And last, but most important, the massive trust placed on us by our valued customers and partners that has enabled us to achieve this success.
Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.
Madhukar Ladha: I had a couple of questions. First, on the claims ratio, so we have seen some improvement in Q4 after Q3, but it's still higher than Q4 FY '23 levels. So, what is our sense in terms of how this

number should be over the next couple of years given what happened in FY '24? That's my first question. Next, just the data-keeping question. Can you split the GWP between travel and PA for the full year? I think you used to give that, but it's not given this time around. That's the other one. I will come back in the queue later.
Anand Roy: So, Madhukar, on the claims ratio, see, let us all be clear, we are in the business of paying claims and we try to make sure that our claims processes are best in the industry. As we speak, our claims ratio for the fourth quarter has definitely is at 64.1% and the full year is at 66.5%. We are very confident with all the measures that we are taking in terms of our technology intervention, in terms of our network management, we will be able to bring down this claims ratio actually going forward, but we are not going to compromise our customer services when we are doing that and that is the direction given to the team.
As far as the GWP is concerned, our travel business is still very nascent. We are growing this book. We have less than, I think, Rs. 10 crore in travel insurance and our PA business is around Rs. 220 odd crore. We expect to double down on personal accident business and grow it faster.
Moderator: Thank you. The next question is from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.
Swarnabha Mukherjee: So, I have three questions. First, sir, I just wanted to understand from the net earned premium. So, net earned premium has lacked the GDPI growth in this financial year. Now that we are moving into FY '25, I just wanted to understand that assuming that say the GDPI growth remains stable at where it is around 17%, in that case how should we think about the net earned premium growth? Would it be higher than

the GDPI growth this year around as the
benefits of the price hike comes in or it will be something in the similar range? If you could highlight that, that is the first question.
Second is also wanted to understand what internal targets you have for this year in terms of

how you want to grow and where you want to take the combined ratio for FY '25? And in terms of growth so that FY '24 had a large component coming from value growth, so how are we planning to accelerate our growth on the volume side next year, If you can give some colour? And lastly, I have a data keeping question. There has been a reserve release on the IBNR side. So, if you could highlight what it was that for, and if this is a one-time thing, or should we expect something like that to recur in future?

Nilesh Kambli: Swarnabha, good evening. On the earned premium growth, if you see for the full year, the earned premium has gone by 15% and it's an average of growth of last year. Last year, we had grew our business by 13%. This year, it is 18%, next year, it will be an average of the growth of the two years so, we are expecting growth in line with the growth in business for next year.

In terms of value growth and volume growth, this year we have taken a substantial price increase in our flagship product, which has led to higher value growth. But with the expansion that we have done in our agency footprint with focus on digital business, Banca businesses, we expect volume growth to pick up in this year.

Swarnabha Mukherjee: Sir, would it be possible to maybe give a split between how much for the full year, the value and the volume components were in the growth, and how we can think about it in the next year?

Nilesh Kambli: Traditionally, the value and volume growth in a year where we are also going to price increase, it is typically 50-50%. This year, it was more towards value growth, but typically it will be 50-50% in terms of value and volume.

Swarnabha Mukherjee: On the growth and combined ratio aspiration, if you could give some colour?

Nilesh Kambli: The aspiration is to grow higher than the market growth rate. We expect the market to grow in mid-teens when it comes to retail health business. In the group health segment, we are focusing a lot on the SME and MSME segment. We have a 2% market share, and that segment offers a huge opportunity for growth. In terms of combined ratio, as Anand sir mentioned, currently we are at 96.5%, both on the expense ratio as well as the claims ratio, we have taken numerous initiatives, which will ensure that we will improve on this combined ratio.

Swarnabha Mukherjee: So, just to rephrase the question, so this year there were, I think, higher than anticipated claims that had come in the second quarter, I think partly in the third quarter. If we were to strip that out and try to understand what would be a normalized number of combined ratios, where would that number be?

Nilesh Kambli: I think it's very difficult to comment on that, but I mean, you know the historical loss ratios for us and this year was an exception.

Swarnabha Mukherjee: And lastly, on the IBNR review, if you could help?

Nilesh Kambli: What we published is the claim outstanding and IBNR number, which has shown a reduction compared to December. It's a function of the claims ratio. You know, December, we have seen a higher claims ratio of 68% in March, it's 64%. You know, as the inflow of claims reduces, there is a decrease in the outstanding claims because we pay the claims in less than one month and in terms of cashless claims, these are settled on a 30 days basis with the hospitals. It's a function of the claims ratio, the outstanding claims in IBNR.

Swarnabha Mukherjee: So, if I understood correctly, it is basically the provisions have now resulted in actual claims which has,

where the flow has happened.

Nilesh Kambli: That's correct. The outstanding claims have got paid over a period.

Moderator: Thank you. Our next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Sir, I have two questions. First is on the reinsurance side. So, last quarter, the reinsurance as a percentage of probably the gross premiums was at about 13%, I think. This time it's lower. The percentage has slipped. So, I'm not sure because you had said that you have changed your plan and now a bigger portion, because of the higher long-term policies, you have increased the amount of book that you are re-insuring. So, where will that percentage settle down? Whether it will be at 5%, 10%, 13%, if some clarity on that would be useful.

Sir, second is on the reserve ratio. So, you have guided earlier that usually your reserve ratio will be at about in the range of 57%, maybe 58% of the net premiums. But for this year also, it's come in a little higher at more than 59%. So, is that a steady state we should expect, or this was just one-off? Where would the reserve ratio as percentage of net premiums?

Nilesh Kambli: Last December, it was a nine-month financials. We had done a retrospective treaty effective 1st April. So, that's the reason for the quarter the ceding was higher, but on a nine-month basis, the ceding ratio was 92%, which is maintained for the full year as well, because Q4 we have ceded a similar percentage. Based on the current mix of business of long-term and benefit products where we have reinsurance arrangement, it should be in the range of around 8% to 8.5% when it comes to re-insurance ceding.

Shreya Shivani: So, on overall book for annual year, 8% to 8.5% is something that we should continue to

assume, right?
Nilesh Kambli: Correct. On the reserve ratio, I understand what you are referring to is the URR outstanding compared to the NWP.
Shreya Shivani: Correct, URR divided by net written premium.
Nilesh Kambli: Net written premium. So, it was 59% last year. It continues to be 59% in the current year as well. While we have a higher growth in the long-term policies, because we have done a treaty for the long-term business, the ratio has been constant at 59%.
Shreya Shivani: Sir, this 59%, we should assume that this is the run rate, right? Because earlier I think at the time of IPO or something, I remember we had built in 57% and we were working with 57%. So, I just wanted to understand why 57% has moved to 59% and whether this will persist.
Nilesh Kambli: Basically there are two things. One is our proportion of group business was around 12% and group business is done typically in the first half of the year that's the reason the reserve to NWP ratio was lower. With the higher proportion of retail business and long-term policies, it has slightly shifted in the favour of 59% compared to 57% two years back. It's a function of the products and the business that we are writing.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Sir, just a follow-up question on one of the previous participants. So, if you look at your long-term policy, how much would you have accounted for it in FY '24? And also, in conjunction with the price hike that we have taken and the impact of which would have been seen in the fourth quarter largely on the renewal policies, I would ideally assume that the unwinding would happen from URR to NEP at a much higher pace in the next year. So wouldn't the ratio be better, NEP to GWP or NEP to NWP would be on the higher side? That would be one.
Second, on the loss ratio again, in the 3Q call we had highlighted

that there is a significant
improvement that we had seen, and the loss ratios were much lower, but eventually the quarterly loss ratios have come in at 64% probably higher than what you would have been thinking. Any adverse movement that happened towards the later part of the quarter that kind of impacted the loss ratio? And lastly, any thoughts on growth and premiums and combined ratios for FY '25, how should we think about them? And those will be my questions.
Nilesh Kambli: On the loss ratio, you mentioned there was an improvement. So, from 68% in quarter three, it has moved to 64%, which is a 4% reduction when it comes to loss ratio. In terms of NEP and the correlation to the price increase, whatever price increase we do, it gets reflected in the GWP and NWP as well, which flows into the earned premium. It's a function of the growth in business which will be reflected in the earned premium.
In terms of growth, I think we mentioned that we want to grow higher than the market growth rate. We expect market to grow in mid-teens and we will continue to improve our market share. There are huge opportunities in the group health business as well and we will continue to improve on the combined ratio as well. This year it was 96.5% with our expense initiatives as well as loss ratio initiatives, we will have an improvement in both these segments.
Prayesh Jain: Nilesh, just on that, on the URR bit, so I definitely agree to the point that the GWP or GDP definitely and even for that matter NWP is the benefit of the price hike, but a large part of it would go into URR, right, in the month of March and that would kind of unwind into NEP next year. So, that was the question even on price hike as well as the share of long-term policy that you would have written through the period. And added to that, would it also benefit the combined ratio in any sense for next year?
Nilesh Kambli: Absolutely, Prayesh, any price increase is done to have an improvement in the earned premium which results in a lower loss ratio because the claim strength follows the actual experience in the market whereas price increase gets affected in the earned premium. It will definitely have a benefit in the coming year.
Moderator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: Firstly, if you can share the data on new premium growth for the quarter and followed by year? And secondly, what is the price hike you have taken, if any, in this year or you are planning to take in FY '25? These are the two questions.
The first question is the new premium growth for FY '24 and Q4 FY '24.
Anand Roy Our new premium growth is very, very strong in Q4 of FY '24. We don't disclose the data. We can talk on a one-to-one basis. But right now we are seeing very strong new business growth both on the retail side in mid-teens and also on the corporate group business side we are seeing substantial growth.
There are multiple channels which are firing for us. One is the agency channel then we have our digital channel, and of course, our Bancassurance channel. We have also strongly activated our broker channel, the retail broking piece, which we call as alternate channels, which is also

shaping up well and we expect that these four verticals, which is driving growth for us, will give
us good performance for the years to come.
As far as the re-pricing of any products are concerned, yes, we do have some plans to re-price
couple of our products. We had thought about our Senior Citizen Red Carpet Policy and another
product called Young Star Insurance Policy both of these products combined contribute to close
to 10% of our GWP. We expect to take a price hike in both of these products in the first quarter
itself.
Nidhesh: What would be the quantum of price hike on these pr

oducts?
Anand Roy: Typically, as we have seen in the past, our price hikes varies between 15% to 25% odd percent,
we expect something in that range. We are working it out right now.
Moderator: Thank you. Our next question is from the line of Nischint Chawathe from Kotak Institutional
Equities. Please go ahead.
Nischint Chawathe: First of all, the price hike that we took effective this year, how much of this benefit has flown
in this year and how much will probably, some of it roll over next year? If you could kind of give
some colour on that?
Anand Roy: On a portfolio basis, we would have April as the last month, which will have a direct impact on
the price hike but as far as the net earned premium is concerned, that will flow throughout this
financial year also because of all the policies that got renewed over the last twelve months so,
there will be some positive impact on the NEP, but on the GWP basis, April would be the last
one because we launched the price hike in May of last year, if that answers your question.
Nischint Chawathe: If you could give some colour in terms of proportion of business that you kind of got ported in
and some colour in terms of proportion of business that got ported out to peers?

Anand Roy: We are very selective about inward portability and unlike many other peers in this business,
our focus is more on expanding the market and creating fresh business opportunities rather
than porting insurance from other companies.
Having said that it's not that we do not accept portability. We do, but less than 7% of our new
business book is coming from portability and more than 90% is actually new to insurance
business, which we believe is a better underwriting strategy in the long run to make it a
sustainable growth.
Nischint Chawathe: And any sense in terms of how much would be ported out, I mean, if let's say this was not
ported out, how much could your growth be or some colour on that? I am sure there is a way
you track that.
Anand Roy: We do have internal trackers, but we do not have any official information, but let me just give
you some picture of this. Star Health has the best persistency rates in the industry. Last year
also it was no different. We were able to secure more than 98% in terms of value of our renewal
book. As far as our volume-wise retention is concerned, we had predicted that because of the
significant price hike we had taken on the Family Health Optima Product that there would be
a drop off. We saw that drop off happening between 4% to 5% as we had predicted. So, how
many of them got ported out and how many of them did not renew itself, that data, though
we have some internal understanding, unfortunately we will not be able to disclose here
because we don't have the data right now.
Nischint Chawathe: No issues. Just one small technical question finally. You know, I am looking at Slide 17 on IFRS
disclosure and what I see is that the deferred expenses on procurement cost, now this amount
has gone up, I think, almost 32% year-on-year. So, when your overall business is growing at
18% and this is growing at 32%, how should we really think of it? I see your overall expenses
with commissions this year has gone up by 14%.
Nilesh Kambli: Yeah, so Nischint, here it is a function of FY '22 expenses which were booked in FY '23 and FY
'23 going further to FY '24, so, it's like an earned premium thing something coming from last
year, something going from this year as well. It's a technical thing and this also shows our
investment in the business. While 18% is the overall growth in digital business, Banca business,
we have grown much, much faster and that requires investment in terms of acquisition cost.
Nischint Chawathe: So, deferred expenses on procurement cost is essentially what? Essentially means that the
expenses t

hat under IFRS, I mean, what you have spent this year and what technically has life
which you can kind of defer over a period of time. So, I believe this pertains to the business
that you have done in this year, right? It has no opening balance and sort of no growth forward.
Nilesh Kambli: That's correct, Nischint, but whatever was deferred last year comes to this year and whatever
business we have done in the current year, we can defer to next year so the growth in business

that we have seen in quarter four, the digital business that we have done, it requires a huge
upfront investment. Those can defer to for the future period.

Nischint Chawathe: So, these are net numbers is what you are saying?
Nilesh Kambli: Exactly.
Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.
Supratim Datta: Sir, just wanted to understand the group business has increased as a proportion of your overall GWP. If you could give us some colour how the loss ratio in the group business is currently and how different is it from FY '22 when you bid this business pretty frequently? So, if you could give us some colour on that, and what are your aspirations of building this group business as a proportion of overall GWP going forward? That's the first question.
Coming to my second question currently we have seen over the last few months a number of changes on the product design, be it lower waiting period for PEDs or lower moratorium. Wanted to understand what kind of new product development opportunities does this give and how does this change the profitability of the product? That would be my second question.
And lastly, when it comes to investment this year has been very strong when it comes to investment income. Just wanted to understand what proportion of your book is now equities and what is the tenure of your bond book? That would be very helpful.
Anand Roy: I will take the group business question and I will request Aneesh to handle the investment question. Group business actually is divided into two portions, we do underwrite employer-employee groups, mostly focused on the MSME and SME segment and that's where the aspirations to grow the business is and we have seen very, very healthy loss ratios and very profitable book. Most of this business comes from our agency channel currently, but as we speak we are really opening up the Bancassurance and broking channels as well as this particular vertical is concerned and also our digital channels.
So, as you rightly put it, we have a very significant experience of handling large corporates and group businesses in the past. We definitely are very calibrated in our strategy not to go down any loss-making in business opportunities. We will focus on the profit making opportunities in the SME, MSME and probably in the mid-corporate segment. That is going to be the sweet spot we will operate in.
Aneesh Srivastava: Our investment book which is there in equities as of 31st March was approximately 4.5% and over and above that we had around 2.2% investment in REITs and InVITs and some exposures in AIF so, that is how the book is around 6.5%. And in terms of, as I understand you are asking

about the duration of the portfolio, so our core fixed income portfolio duration is 3.7 years and if we include the liquidity, so duration would be around 3.3 years.
Supratim Datta: And just one follow up here. What would be the unrealized gain sitting on the book?
Aneesh Srivastava: Unrealized gain as on 31st March is approximately Rs. 95-99 crore.
Supratim Datta: And on the regulatory side, if you could just give some clarity there?
Anand Roy: Yes, there are multiple regulatory

developments happening as we speak. Many of them are in draft stages and consultation. As far as products are concerned, the regulator is keen to reduce the moratorium period from 8 years to 5 years. There is some discussion about reducing the pre-existing disease waiting periods, reduction from 4 years to 3 years and so on and so forth.
So, I think all of these changes, we are obviously watching them closely and we are designing our strategies. The regulator also does allow insurance companies to take price revisions more freely nowadays. So, if that is needed to recalibrate these coverage, we will definitely evaluate that at that point of time.
Moderator: Our next question is from the line of Anirudh Shetty from Solidarity Investment Managers. Please go ahead.
Anirudh Shetty: So, my first question was essentially, we aspire to grow faster than the industry like we have done in the past. But given the current context is that we are a very dominant leader with 33% market share. And over time, there is a possibility that composite licence comes through the industry to get more competitive with life insurance getting in. So how does one think about just the levers of ability to keep growing faster on this base and the industry dynamics change?
Anand Roy: We are growing in line with our expectations. We do want to improve our market share, but as I have already articulated, we are growing with a very conscious approach of putting underwriting quality first and growth later. As you can imagine, it's not a very difficult business to showcase growth for the sake of growth. It is not very difficult for us to do that but how do you grow with quality and on a sustainable basis is the question in front of us. We believe that we have got the right formula to keep doing that.
We do have, as I mentioned earlier, four major channels which we doubled on. One is the agency channel, which is the main contributor, and we have the digital channel and, of course, the Bancassurance channel. This year, we are also looking at the group channel, the GMC channel in a larger way.
As far as the composite licence is concerned, I think this has been going on for a long time now and we have articulated our views in the past. We believe that this may happen, may not

happen, we will not comment on that, but if it does happen, Star Health will be prepared to grab opportunities that comes along with this change in regulations.
I think, the kind of distribution that Star Health has, the kind of brand recall that we have and the affinity with our distributors and customers across the country, we are quite well positioned to look at other lines of businesses also because we believe that if this opportunity does arise, we will grab it with both hands.
Anirudh Shetty: And my second question is in our group business of, say FY '24, about Rs. 1,100 crore, how much would be SME vis-a-vis the large corporates?
Anand Roy: Very insignificant because we are not a large player in the large corporate space. As I mentioned earlier, we are a SME, MSME and mid-corporate player. And that Rs. 1,100 crore, which you are talking about, also includes our Bancassurance groups, which are largely retail businesses but reported under groups.
Anirudh Shetty: And just one final question is, we have done a lot in terms of using fraud analytics to reduce our claims ratios. Do you see further scope for improvement here to just using these analytics going forward or we have maxed out on our ability to make it out there?
Amitabh Jain: Yeah, so as you rightly said, this is a continuous activity and endeavour, right? As we get deeper into various layers of our business and understand where the opportunities could be to further either improve our claims' assessment quality or our efficiencies in managing those claims

or
our network management abilities. I think we keep discovering new aspects and this will be a journey and this is not the end.
Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh: So, just one or two questions. First, on this non-agency led retail sales business that you are originating incrementally, just trying to get some sense of how you envisage the combined ratio in this business a few years out. I would assume that the current origination cost in this business will be higher, but probably you would be expecting a favorable claims trend incrementally, which should probably offset that. So, just wanted to get some colour on how you see the combined evolving in the non-agency segment for the retail that is getting originated incrementally.
Second, data keeping question, if you can give the data on the share of business or number of policies with the vintage of more than four years currently versus let's say what it would have been, let's say, in 2021 or 2022, two, three years back?
And lastly, you alluded to the fact that you will be focusing on underwriting quality versus growth, and we have also seen you kind of ramping up on some of the channels out there. So,

just wanted to get some sense, while you may not give a guidance, but is it fair to assume that as the vintage of the book increases, and given that the quantum of price hikes will be taking in, let's say, the next 18 months will be lower than what you took in the last 18 months, is it a fair assumption that the overall gross premium growth numbers can be dented on the growth aspect from what we have seen currently in the last, let's say, two, three quarters? Those are my three questions.
Anand Roy: Non-agency led growth largely comes from our digital channels, D2C and web aggregators partnerships it also comes from our Bancassurance and alternate channels to retail brokers. As far as the combined operating ratios of these channels are concerned, they are very, very healthy. In fact, we are investing a lot of our time and energy in growing our D2C piece because it has the best ROEs amongst all our business channels. We believe that these are definitely worth investing for a long period of time and we will continue to do so.
As far as the share of business of policy greater than four years is concerned, we don't disclose that data, but we do disclose what is our persistency. I'm sure you can figure it out. But having said that, we track different cohorts very closely. We make sure that every cohort is profitable on a combined ratio basis, and we take necessary interventions whenever it is needed in terms of price hikes, in terms of calibrating our commissions and incentives and so on and so forth.
We are an 18-year-old company, we have all kinds of cohorts already built into our business.
We don't really worry about renewal cohorts. What we worry about is how do we make sure that customers have a good experience with us and how do we make sure that we keep servicing them better, the regulations today allow us enough flexibility to price our products as we need to and I think that is something that we will keep doing as we go forward.
Dipanjan Ghosh: Sir, on the growth part, how should one think of it given that next year, the year after the quantum of price hikes will be lower than, let's say, the last 18 months?
Anand Roy: Our growth has always been led by value growth 50% and volume growth 50% so, we are back to that. We expect that with the strategies that we have put in place in terms of our agency business as well as our Bancassurance and digital business, we expect that growth will be higher than the industry and definitely we hope that with our strategies, if we execute well, we

will keep improving our market share as

we go every year forward.

Dipanjan Ghosh: Just one follow up on the first question. You said that the return ratios on these new channels are more profitable than your legacy channels. So, when you kind of make this statement, it's adjusted for vintage. I mean, on a similar like-to-like vintage cohort basis, you are kind of making this statement, right?

Anand Roy: Absolutely.

Moderator: Thank you. Our next question is from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Shobhit Sharma: Sir, I have two questions. One is on the number of policies growth. So, for the nine months period, the number of policies growth reported was close to 2%. Wherein we have seen agency channel has shown a growth of only 4% as the digital channel seems to have a flattish growth. So, what kind of growth are we looking towards these kind of channels?

Anand Roy: As I mentioned in my opening speech, our digital channels have grown at close to 40% plus in terms of fresh premium. So, that number what you are quoting is wrong.

Shobhit Sharma: Second question, sir, is on the loss ratio. We have reported a better loss ratio down 4% quarter-on-quarter. So, can you give us the sense that why this loss ratio is down? Is this because of the claim cost inflation which has reduced or is there a fall in incidence rates?

Amitabh Jain: There is an overall increase, yes, but the loss ratio also consists of our expenses on things like preventive health checkup, wellness initiative, the OPD business and claims. Also, the share of group health business has grown where it works on a higher loss ratio while on the combined still works for us because the expense ratios there are lower. So, all of those have contributed to the increase in loss ratio and some of these are like the numbers you would have seen in the initial address on preventive health checkups and tele-consultation, there are very, very significant increases that have happened and this is all an investment in the future so that our future book can be much better and those are the kind of things we are doing. So, nothing really is a major cause of worry.

Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. Nilesh Kambli for closing comments.

Nilesh Kambli: Thank you everyone for joining the call. It was a year of transition for us with the new CEO starting FY '24 and the significant price increase that we took in the FHO segment, the introduction of EOM regulations and the various initiatives of the regulator as well. With the 37% growth in PAT, in FY '24 we are fully geared up to deliver stronger growth and a strong financial performance for FY '25. Thank you very much.

Moderator: Thank you. On behalf of Star Health and Allied Insurance Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2024

Date: August 05, 2024
Place: Chennai
Ref: SHAI/B & S/SE/85/2024 -25

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra -Kurla Complex
Mumbai – 400001 Mumbai – 400051.
Scrip Code: 543412 Symbol: STARHEALTH

Dear Sir/ Madam,
Sub: Transcript of Q1 - FY 2 025 Earnings Call – June 30, 2024 .
Further to the Company's letter SHAI/B & S/SE/74/2024 -25 dated July 25 , 2024 regarding Earnings Call Intimation for Q1 - FY 2025, please find attached transcript of the call dated July 31, 2024.
The above information is being hosted on the Company's website at www.starhealth.in

This is for your kind information and records.

Thanking You,

For Star Health and Allied Insurance Company Limited,

Jayashree Sethuraman
Company Secretary & Compliance Officer

Encl: as above.

Star Health and Allied Insurance Company Limited
Q1-FY2025 Earnings Conference Call
July 31, 2024

Management:
Mr. Anand Roy – Managing Director & Chief Executive Officer
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Aneesh Srivastava – Chief Investment Officer
Mr. Amitabh Jain - Chief Operating Officer
Mr. Aditya Biyani – Chief Strategy & Investor Relations Officer

Moderator: Good day and welcome to the Star Health and Allied Insurance Company Limited Q1 FY2025 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode. And there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assis tance during the conference call, please signal an operator by pressing the "*", then "0" on your touch tone phone.

I now hand the conference over to Mr. Pratik Patil from Adfactors PR, Investor Relations team. Thank you and over to you, sir.

Pratik Patil : Thank you, Steve. Good morning, everyone. From the Senior Management we have with us, Mr. Anand Roy – Managing Director & Chief Executive Officer; Mr. Nilesh Kambli – Chief Financial Officer; Mr. Aneesh Srivastava – Chief Investment Officer; Mr. Amitabh Jain – Chief Operating Officer; and Mr. Aditya Biyani – Chief Strategy & Investor Relations Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financial and operating performances, benefits and syner gies of the company's strategies, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's conference call may involve risks and uncertainties.

Thank you and over t o you, Mr. Anand Roy.

Anand Roy: Thank you, Pratik. And a very good morning to all of you on this Wednesday morning. Thank you for taking time and joining this conference call of Star Health Insurance.

At our company, we continue to focus on our planned j ourney of growth with profit, while maintaining the leadership in the health insurance domain. These are very interesting times for the industry with multiple regulatory changes being brought about focusing on customer centricity and also how to be improvi ng the services of the industry in general. We are gearing up for meeting those regulatory changes and we are already ahead of the curve on many of those areas. We are totally committed to delivering on the “Insurance for All ” guideline, which the regulato r has set for the industry. We are taking multiple steps to increase our distribution and penetration .

I will now request my colleague, Aditya, to give you a brief about the company's performance in the Quarter 1 , and then we are open to questions and an swers from your side. Thank you so much.

Aditya Biyani: Thank you, Anand. A very good morning to all of you. Thank you very much for joining us today for the Q1 FY2025 Earnings Conference call of Star Health and Allied Insurance Company Limited.

Before delving into the company specific s, I would like to give you a brief overview on the industry trends and developments that we have witnessed in the last few months, and then walk you all through the company's strategic vision and our performance.

The RBI' s Economic Survey has pegged India's GDP growth at 6.5% to 7% for the current financial year, which is a testament to the India growth story. On the other hand, for a burgeoning nation on track to become an economic powerhouse, there is a hidden vulnerabil ity. While the nation is rapidly surging forward, a majority percentage of individuals and households are exposed to financial risk by virtue of being uninsured or underinsured. On an individual level, this potentially limits access to quality healthcare, thus giving an opportunity to the health insurance segment with a long headroom for growth. However, there are further complications, which are likely to become more acute as we move forward. Like for example, climate change, which is th

e biggest challeng e that we all are facing today. A very carefully glance at empirical data shows the increase in climate change related diseases across the globe. This has to be proactively addressed by the healthcare industry through innovative products and services.

Having said that, the Indian insurance industry is quite resilient and ready to face these challenges. The initiative of Insurance for All by 2047, driven by the Insurance Regulatory and Development Authority of India, coupled with the steadfast growth of the Indian economy provides an opportune period for the expansion of the insurance sector. In line with this vision, IRDAI has issued a master circular on insurance. This emphasizes on customer centricity by mandating insurers to design and offer products tha t are fair, transparent and easy to understand, ensuring that customers are well informed about the features and benefits of their policy. This approach aims to enhance customer trust and satisfaction, promoting a customer - first culture within the insuranc e industry. We have welcomed this change to invest more on customer -centric projects.

In the last couple of years, we had consciously embarked on the journey of putting risk first and growth later. Our CAGR of 23% between Financial Year ‘1 9 to Financial Y ear ‘2 4, and overall business performance of gross written premium and the underwriting profit which grew at the rate of 24% during the same period demonstrates the effectiveness of the execution of strategy we had adopted. This thrusts to performance at a calibrated risk undertaken has enabled us to shift towards growth with profit very effective ly. As outlined previously during our Analyst Day,

we have four engines of growth, namely ABCD.
A is for Agency:

Our agency business contributed around 80% of our overall business for the three months ended June '24. Our agency strength has increased to 718,000 agents with a net addition of 17,000 agents in the June quarter.
B is for BANCA :
As regards B anca partnerships and corporate agencies, we now have 61 tie -ups in the banks and NBFC space. This channel contributes to around 8% to our GWP in Q1 FY '25, including Alternate C hannel s.
C is for Corporate:
The corporate business comes via individual agents, banks and brokers. This channel contributed 5% of our overall business in Q1 FY 25. As most of the top brokers, bank s are already our partners, along with our agency force; we are getting an opportunity to work with SMEs and MSMEs for corporate business.
Lastly, D is for Digital:
The digital business comprising of our own direct -to-consumer and online brokers a nd web aggregators contributed around 7% of our overall GWP in Q1 FY '25. At a more granular leve l, 70% of our GWP comes from o wn direct -to-consumer channel , and the balance 30% comes from online brokers and web aggregators.
In lockstep with our four growth engines, we have three competitive advantages :
■ The first competitive advantage which we have is of cost leadership. Streamlining internal processes, leveraging technology and fostering cost consciousness has resulted in maximizing efficiency and minimizing waste. These tests have ensured that we are ab le to keep our expenses of management well below the 35% now, as mandated by IRDAI.
■ The second competitive advantage we have is of unparalleled distribution. Along with agency, which is our core competence, our diversification to B anca , corporate and digi tal is our four -pronged distribution strategy to service the insurance needs of all customer segment s.
■ And lastly, we have the best in -house claims servicing. Our in -house claims management system and adoption of new age technology has enabled us to proce ss 92% claims in less than two hours and a 24x7 service availability for a seam

less
experience, along with a 30,000 -plus healthcare provider net work .
With the aid of the four growth engines and three competitive moats, by FY '28, we aspire to double our G WP to Rs. 30,000 crore and triple our PAT to Rs. 2,500 crore .

Coming to our Q1 FY '25 Performance for the three months ended June '24, our (Gross Written Premium) GWP grew at a rate of 18% to Rs. 3,476 crore compared to Rs. 2,949 crore during the same period last year. We are the largest standalone health insurance company in India, and our share of GWP is close to 42% of the entire standalone health insurance industry. Our market share for Q1 FY '25, amongst all general insurance compa nies, is up by 20 bps to 4.8% versus 4.6% in the previous year.
In Q1 FY '25, we ticked all the boxes as far as fresh business is concerned. The ratio of fresh to renewal business in Q1 FY '25 improved to 25:75 as compared to 23:77 in the same quarter las t year. Retail fresher premium and agent activation rate also grew in the mid -teens in Q1 FY '25. Coming to B anca , fresh business grew by 25% with an uptick in the partner count to 61. We expect the share of this channel to keep increasing in the coming qu arters. As regards the corporate channel, other than Banca , the fresh business growth was 110%. The digital channel grew by 25% in Q1 FY '25 in fresh business terms. With 50% market share in the direct -to-consumer space, we will continue to leverage this channel for further growth.
In order to increase penetration in semi urban and rural geographies, we have added 165 sales manager stations during the quarter, taking the total to 1,319 sales manager stations, which are small individual service cent res. Dur ing the quarter, the total number of rural agents has gone up by 30% on Y -o-Y basis. The number of rural agents active on retail fresh is also up by 40%. With 887 branches, we have 2,000 -plus customer touch points to ensure better service. Off the 19,000 plus PIN codes in India, we are present in 17,253 PIN codes via our sales distribution network.
While keeping our focus on growth levers, we will continue our focus to further strengthen our customer centricity and take pride in staying true to our belief that all citizens have a right to get access to affordable health i nsurance. In line with this, we have recently launched our home healthcare service segment. This facility will be available to our policyholders at no extra premium. However, the expenses incurred will be deducted from the sum insured. We have

collaborated with four home health care service providers, which has enabled us to provide this facility in more than 50 cities in the country.
I will now talk about some of our claims initiatives and outcomes :
In terms of claims, 90% of the paid claims in Q1 FY '25 were cashless versus 84% in Q1 FY '24. The auto adjudication of claims helps us in drastically reducing the turnaround time. 33% of agreed network hospitals that equate to 76% of the cashless claims have been onboarded under our authorized adjudication ini tiative. Our anti-fraud rate and abuse, AI and machine learning models continued to yield savings for us. In terms of claims outgo, we were able to save 2.4% of the reported claims as a direct result of these measures.
Let me now elaborate further on the financial performance of the company :

The combined ratio for Q1 FY '25 is 99.2% versus the combined ratio for the same period last year, which was 97.8%. The claims ratio in Q1 FY '25 was 67.6% versus 65.4% in Q1 FY '24. The preventive health check, teleme dicine, OPD and wellness contribution in the claims ratio was 0.66% in Q1 FY '25. The expense ratio of Q1 FY '25 stood at 31.6% versus 32.4%

for the
corresponding quarter last year.
Coming to our investment income , our investment assets have grown to Rs. 15,802 crore in Q1 FY '25, showing a growth of 19% year -on-year. The yield for Q1 FY '25 was 7.5% versus 7.4% in Q1 FY '24. The investment income during Q1 FY '25 grew by 18% to Rs. 295 crore versus Rs. 250 crore in the same period last year.
Coming to ou r profitability , our profit before tax of Rs. 426 crore for Q1 FY '25 was up by 11% from the same period last year. Our PAT for Q1 FY '25 came in at Rs. 319 crore , and this represents a year -on-year growth of 11%. The non -annualized ROE for Q1 FY '25 has come in at 4.9% versus 5.2% in Q1 FY '24.
Coming to our solvency , we have a strong capital base and our solvency as on 30th June, 2024, is 2.29 times compared to the regulatory requirement of 1.5 times .
Now, for some key highlights of Q1 FY '25 :
■ In Q1 FY '25, the average sum insured of new policies has increased by 8% on a year -on-year basis to Rs. 10 lakhs approximately. Rs. 5 lakhs and above sum insured now cons titute 81% of the retail health portfolio versus 76% in Q1 FY '24.
■ The share of the long -term policies within retail GWP has increased to 7% in Q1 FY '25 versus 5% in Q1 FY '24.
■ Furthering our consumer -centric approach, our NPS score stands at 60 for the quarter ended June '24.
■ The digital issuance as a percentage of premium collection stands at 72% in Q1 FY '25 versus 66% in Q1 FY '24.
■ The proportion of cashless claim with agreed network hospital has gone up to 74% versus 61% in Q1 FY '24.
■ Coming to prevention and wellness , our engagement with customers on prevention and wellness has seen a significant jump. Preventive health checks has increased by 156% in Q1 FY '25. On customers using telemedicine, there has been a 51% increase this quarte r over Q1 FY '24. On wellness enrollment, there has been 100x jump in Q1 FY '25 over the same quarter last year.
■ As regards Star Health App, our customer app downloads have increased to 6.6 million plus in Q1 FY '25 versus 5.7 million as of FY '24. Our mo nthly active users have increased by 26% compared to FY '24.
■ The organic traffic to the website grew by 57% in Q1 FY '25 over the same period last year.

Lastly, if the regulator goes ahead with the rollout of composite licenc es, we would certainly like t o explore offering newer protection plans in life and non -life segments in the future. We would be well positioned to cater to the strong customer adjacencies and would be able to expedite leveraging our proprietary distribution for cross sell and upsell t o our existing customers. Our vast network and footprint will help us in greater monetis ation of assets and tap new customers as well. Our extensive experience and understanding of the customer needs will help empower us to innovate on integrated products. We are already working with a leading consultant to explore various strategies on the opportunities ahead of us.
To conclude, we at Star Health continue to believe and invest in the profitable and sustainable growth opportunities available in the health insurance segment. And we a re on our desired path of realis ing the same.
Thank you for attending the call. We are happy to take your questions now.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee: Sir, three questions. Sir, my first question was on the claims part. The claims numbers have seen some inflation, I think last q uarter it was around slightly lower than Rs. 2,200 crore , now this is almost as much as Rs. 2,400 crore . So, is there any one -off here or is this something steady state? And should we think about the upcomi

ng three quarters of this financial year based on this number? And consequently, what would be your expectation on the loss ratio for the remaining three quarters of the year? That is my first question.

Second is on the NEP growth. So, this quarter still NEP growth lags the overall GWP growth. So, wanted to understand when do you expect this NEP growth or basically the price hike impact in NEP to flow in in this year?

And lastly, in terms of the renewal premium, the retail health renewal premium ratio has gone down to around 93%. So, what is playing out here? Is there any challenge in renewals? And would like to get your comments on that. Those will be my questions.

Amitabh Jain : On the claims part, what we've seen is that more than expected frequency as far as the medical claims go, for example, fevers a nd related cases, which never used to be part of the Quarter 1 experience earlier , this is the first time occurrence that has happened and therefore we see a slightly higher than expected number.

Let me also give you a context about the overall increase of the loss ratio. So, what has happened is that, if you look at the non -health part of the portfolio, that has contributed to about close to 1% of the overall increase, it is a reason because of some of higher PA cost ratios, personal accident cost ratios , as well as our spends going out further on our wellness and

prevention activities. Overall if you look at on the health side, the actual increase is just above 1%. That's how the claims stack up.

Swarnabha Mukherjee: Just a follow -up on that, this looks like that this could be a steady state sector, and that way should we expect that loss ratios in second, third and fourth quarter be slightly above what we had recorded last year, given that this seems like a trend? And also wanted to understan d the rationale of this higher expenses in the wellness side of things so that why this is booked under the claims part as opposed to the expense part, if you could explain that also?

Amitabh Jain : Yes. See, so how this will sort of trend down, we are still to see that but clearly it seems that the cycle has moved up in terms of what we used to see earlier starting from sometime in end of June and July and going further. Maybe this time it has started sometime in May so, if that is the case then this might just get over by August or September, which earlier, for example, last year it went up to October and some part of November. We still have to wait and see how it pans out. We are obviously getting ready in terms of, given this increase, how to deal with this for the rest of the year, we are getting ready for that. As far as our spend s on wellness and prevention is concerned, the costs are much lower than the benefits that we are seeing, the initial trends that are there but these are long term investments, and they pan out over a period of time . But the cost versus benefit is clearly favo uring us.

Swarnabha Mukherjee: Yes, sir, the rest of the query if you could address.

Nilesh Kambli : The NEP growth for the quarter is 16%. The NWP growth after ceding is 13 % so, what we see there is clearly an improvement in the earned -premium growth this could have been slightly higher . But for the long -term reinsurance arrangement that we have done , for the long term business we have a 50% reinsurance ceding , which is impacting the earned premium, but the benefit is coming to the reinsurance commission. If you see the reinsurance commission again st last year of Rs. 34 crore , we have reinsurance commission of Rs. 117 crore . So, there is a benefit coming throug h the expense ratio.

Swarnabha Mukherjee: And in terms of the renewal premium ratio, what is happening in case of renewals?

Nilesh Kambli : See, renewal ratio is 93%. If you remember, last

year there was FHO which has taken the renewal ratio up to 97%. Our historical averages are between 96%, 95% and we continue to maintain that. What we are seeing is growth in terms of number of policies and that continues to see a good improvement, because there is no price increase this is in line with our historical aver age.

Moderator: Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: Yes. The new -to-renewal policy breakup is 25:75, the 25% policies are new, and 75% policies are renewal. If I go and look in premium terms, you have a 15% retail premium growth and you have 92% renewal premium coming from your existing. So, basically in this 115 the break up will be something like a 23 premium is coming from you r new and 92 is coming from your existing book. So, basically this is a 75 % existing policy contributing to Rs. 92 of premium and this 25% contributing Rs. 23, so that broadly ballpark gives me that new fresh policy ticket size is 20% lower than existing. That's partly possible because, I mean, typically your acquisition is younger. But just I want to understand that, yes, is the understanding correct that broadly the average ticket size of new policy is 20% lower than my stock, or average ticket side of my stock or renewal policy? That's the first question.

Aditya Biyani : Avinash, as we mentioned, the fresh numbers have ticked in all the boxes including agency, including B anca , including corporate and digital. Coming to your particular thing, we can always take it offline and we can deep dive into this question. Can we have your second question, please?

Avinash Singh: Yes. Now second is that given where sort o f the claims or issues are moving, the price hikes are largely done and dusted, and there are some kind of, I would say, tweaking around some of the parameters in this new master circular around health business product, there's some kind of tweaking in parameter that might have some just at the margin, some impact on cost and all. In this backdrop, do you see, I mean, if this claim situation continues and all, are you okay with your usual pricing? Or again you will have to sort of look for a fresh price hike?

Anand Roy: So, Avinash, we have planned for a couple of products price increases already, as yo u are aware, which one product has gone live, two more products will go live in the next one month's time. So, we have already planned for that. Given the new master circular which has come in, we are still evaluating the impact of that. On a cursory glanc e, we see that most of them are related to operations and turnaround times and stuff but there are certain conditions, which may have long -term impact on the pricing, for example, reduction in the moratorium period, reduction in the pre -existing disease period and so on . We will take price increases if required, looking at the impact of these changes in the larger products. As we speak, we are lo oking at two three products we repriced already.

Avinash Singh: And just finally, I mean, with this Q1 in backdrop and now Q2 development one month you will have an idea, is sort of the 50 basis points claims your im provement and 50 basis point Ope x impro vements Y -o-Y very much on track or will there be some rethinking on that?

Anand Roy: No, we remain on track, Avinash. When we spoke to you about that in the end of June, we were aware of the situation and we are remaining on track as far as that particul ar commitment is concerned.

Moderator: Thank you. The next question is from the line of Supratim from Ambit Capital. Please go ahead.

Supratim Datta: Now, coming back to the question of reta

il health renewal premium ratio, now if I see in FY '22 -
'23 you h ad a ratio of around 94%, 95%. Compared to that this time it has dropped to around 92.8%. And if I take into consideration that you had the price impact, price hi ke that you were taken in May, one month of that price impact also flowed into this quarter. So, the renewal ratio would have been even lower. Now just wanted to understand here, which cohorts are actually moving out where you are seeing porting happening outwards?

Two, my second question was that when I look at your retail health new business growth, that improvement in trend which started in the fourth quarter has continued in the first quarter. Now wanted to understand here what would be the breakup of indemnity policy? And within that if you could give us what is the kind of growth you're getti ng from porting inwards that's happened for you, that would be very helpful.

And lastly on commissions, like you rightly pointed out that the reinsurance con tract that you entered for long -term policies, that has contributed to the reinsurance commission s going up significantly. Despite that , the commission ratio moved up by around 40 basis points for the quarter. So, wanted to understand, has there been any renegotiation with respect to commission structure? Or is the new business that you are acquiring coming from higher cost channels?

Anand Roy: So, a couple of things. One is, as far as retention is concerned, we are happy to let you know that our policy -wise retention remains constant , and in fact it has improved by a percentage point. We track policy -wise retention, which is a true picture of customers believing in our services and products.

As far as the drop in GWP retention is concerned, our averages have been around 94% to 95%, we hope to get there by end of the year. As the business mix is changing, moving more towards digital and alternate and bancassurance, these channels typically have a little lower retention rates as compared to our traditional agency channel so, there may be a little bit of a drop given the business mix change. However, we are very mindful of customer retention and we ensure that we are up there. We are happy to report that more than 50% of our customers are renewing their policies online through our digital channels without any intervention of any human being. We are investing a lot in technology and processes to improve our retention.

As far as our commission rates are concerned, those are largely driven because the new business growth is higher, and it might be a reflection of that. There is no specific negot iation in terms of higher commissions or anything. In fact, our aim is to reduce wherever the opportunities arise, not go higher.

And what was the other question, I'm sorry? Does that answer your question?

Supratim Datta: I had just one last question th at in the fresh business growth that you are reporting that there has been an improvement. Just wanted to understand what would be the proportion of porting inwards within that space?
Anand Roy: Inward porting, honestly, as we have articulated in the past , we have been a little conservative as far as inward portability is concerned. It is still less than 10% of our overall new business coming in but having said that, we are definitely creating strategies to go more aggressive in this area given the changes in the regulations, especially in the markets where we are comfortable with the loss ratios so, that is what we are planning to do and you will see some action in this area going forward.
Moderator: Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.
Shreya Shivani: Sir, I have one question regarding the larger healthcare ecosystem. So, last year we had heard that the hospital rates ha

d revised upwards after the COVID and they never corrected, and they remained eleva ted. Has there been any movement in hospital rates, hospital prices that you are seeing this year, this quarter, any trend that you can help us understand? And as in, is that one of the reasons why you're taking another price hike? That's my question, yes.
Amitabh Jain : I feel a very, very relevant question in terms of the overall ecosystem in which we operate. We see continued activity rather focus by the healthcare industry on this side in terms of attempts to boost the revenue and come across cases of ab use as well as efforts in smart billing a nd inflation of bills and so on. B ut we are up to the task, and we've been managing it , yes, there is a concern on this side and therefore, the larger issue of pricing of products effectively has to be addressed and that's what we are doing with the kind of plans we have on some of these products. At the same time, if you look at some of the other activities that we've been doing on the wellness and prevention side is a way to ensure that we can keep our customers healthier and keep them out of the hospital so, that's what the overall attempt is, and keep working on these efficiencies.
Shreya Shivani: Sir, is there any colo ur that you can give us on whether the hospital prices are worse or increasing in the metro, Tier-1 cities, more in Tier-3-4 cities, or does it vary by geography? Or do you see all India pan-India there is an increase in pricing or jack up in pricing for hospitals? Is there any colo ur you can help us with on this?
Amitabh Jain : There are multiple factors that go into it. We see it happening more in the metros than in sub-metros as of now but it's also a function of the demand and supply, right. So, there are specific geographies where there could be monopolistic situations of on e good hospital or two good hospitals being present in the geography and they trying to dictate terms so, all of that happens, but then there are ways of managing that , we also are trying to work for influencing our customers to choose wisely as to which n etwork to go to.

Shreya Shivani: And sir, just trying to understand if the health insurers like the PSU health insurers have this one group where they negotiate with the hospitals, I think it's called GIPSA or something. So, do the private health insurers, private general insurers, do you guys also have certain, or are you planning to have like a, I don't know what to call it, like a group which can negotiate with the hospital bodies? Because if you individually keep negotiating, obviously, the negotiating power decreases. But yes, is there anything of that sort in plans?
Amitabh Jain : Yes. So, you would be aware that the GI Council has taken this initiative and as an industry we want to sort of take this up across the segment and work on a common platform. Some progress has happened on that but given the nature of the complex issue, it will take some time for it to sort of start manifesting , but yes, that's an effort that we are making a long with the GI Council .
Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.
Madhukar Ladha: First, in volume terms, can you tell me what is the renewal rat e? And second, what is the total volume growth year -over -year? Yes, that's my first question.
And second, can you tell me what is the equity percentage in the investment book? And what were the capital gains this year versus last year? And lastly, you've reclassified the channel mix, you've got ABCD now. So, if you could give me comparable numbers on a year -over -year basis and also similar numbers for FY '23 and '24, that would be helpful.
Aneesh Srivastava : Let me answer this question on equity. Our c

ur rent non -fixed income book is approximately 12% of the portfolio and this is having approximately 11% to 12% kind of gains mark -to-market.
Madhukar Ladha: So, 12% of portfolio and gain, so this is on cost basis you are saying, and then 11%, 12% additional? I didn't understand that, I'm sorry.

Aneesh Srivastava : So, market price divided by cost price, so the gain which we calculate, the gain divided by the cost price is 12%.
Madhukar Ladha: And on market value basis it is 12% of the portfolio?
Aneesh Srivastava : No, not market value. When we calculate, we calculate based on the book values. All the calculations are on book values. Book value basis is 12% of t he AUM and mark -to-market gains are approximately 11% to 12% of the book value.
Madhukar Ladha: And what is the capital gains proportion in the P&L?
Aneesh Srivastava : In the P&L capital gains proportion would be, put together, slightly less than 25 basis points.

Madhukar Ladha: Can you give an absolute number, sorry, for this quarter versus last year's quarter?
Aneesh Srivastava : I don't have the data in front of me. This quarter absolute gains in the book put together is approximately Rs. 1 2 crore .
Madhu kar Ladha: Then moving to the next question.
Nilesh Kambli : The retail business we have grown by 15%, the volume and the value growth is 50%, 50% and though we have taken a price increase in the last year, it was in favo ur of value, but we see volume growth coming in for the current year.
Madhukar Ladha: So, you're saying, total volume growth is about 7.5% year -over -year?
Nilesh Kambli : Yes, 7.5%, and 8% of value growth.
Madhukar Ladha: And in renewal business, what is th e volume renewal percentage, if you could give that?
Nilesh Kambli : The historical average is around 86% to 88%. We continue to be in that range of renewal growth. Last year it was slightly lower because of FHO outcome, but this year again it is back on track.
Madhukar Ladha: It's 86 to 88%?
Nilesh Kambli : Correct.
Madhukar Ladha: And finally on the ABCD, if you could give, like historical reclassified numbers?
Nilesh Kambli : The channel mix will continue to be the same , agency which was 82% is now 80% for this quarter, B anca and alternate is in the range of 6% to 7%, while the se smaller channels have grown faster, the proportion is still in the range of last year. There is a 1% or 2% shift between agency, B anca and retail.
Moderator: Thank y ou. The next question is from the line of Aditi Joshi from J P Morgan . Please go ahead.
Aditi Joshi: Just I have one question. And actually, it was very interesting to hear from you that you have started planning for the composite licensing scenario, if at all it happens. So, just firstly, can you please help us elaborate more as in what sort of product structure you are planning under this scenario? As in likely in terms of let's say duration or just broadly mortality morbidity sort of structure, what can y ou share at this point? And secondly, related to this one, in terms of timeline, can you please share your thoughts as in by when, if at all this happens, could happen? So, these are my questions. Thank you.

Anand Roy: Thank you for the question. I think, see, as far as the composite business opportunity is concerned, we are very seriously evaluating our adjacencies, because we believe that amongst all insurance companies, Star Health has the maximum engagement with its customers, knows its customers well, customers know the brand well. And so, if there are any opportunities to cross -sell and sell additional protection plans to give a more comprehensive protection, we are definitely up for it.
As Aditya ment

ioned in his opening remarks, we have engaged BCG to develop the strategy for us, and we are looking at the overall strategy and various profit pools available in the life insurance business or the general insurance business where we can have a play. I think this is work under progress so it may take a few months for us to give you more insights about what we intend to do.
As far as the regulations are concerned, see, this has been under discussion for the last two years or so and the expect ation is that it will come into Parliament very soon, the bill will be presented but we do not know, that is only for the government to act upon. We are keeping our preparedness totally ready and whenever it becomes a reality, we will be ready to go.
Moder ator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.
Nidhesh: So, first is, what is the growth in fresh premium in this quarter?
Aditya Biyani : So, as mentioned, the retail health fresh premium g rowth was in the mi d-teens. And the overall growth was in the range of 18 odd percent.
Nidhesh: And secondly, the cost of 66 basis point that we have allocated in the claims, so does it mean that claims ratio has structurally increased by 50, 60 basis points because this cos t will always be in claims versus previous years?
Amitabh Jain : Sorry, I couldn't get the question fully. You mean the cost of the wellness activities you mean?
Nidhesh: Yes, the cost of wellness activities that we are allocating to claim ratio, does it mean that the claims ratio will be 60 basis points higher than the previous years because of this allocation?

And the like-to-like comparison is 60 basis point lower, is that right way to look about it or?
Nilesh Kambli : See, the increase that is shown compared to last year Q1, we had increased the ratio in the later part of the year. So, on a year -on-year basis the increase will not be that much, it's Q1 versus Q1.
Nidhesh: So, on a year -on-year basis, last year 66 basis points for there was no wellness cost which was allocated to claims, this year there's 66 basis point allocated to claims, right?
Nilesh Kambli : For the Quarter 1 .

Nidhesh: And going forward also the similar co st will be allocated to that, right?
Anand Roy: So, yes, as we keep investing in this wellness and prevention activities, there will be allocation of these cost in claims as we keep investing. But we will showcase this separately to give a better clarity o n actual claims and investments in prevention and wellness.
Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citigroup. Please go ahead.
Dipanjan Ghosh: Sir, just two or three questions from my side. First, it has been almost 14 months now since you took price hike on the FHO, and in this quarter you have at least two full months of where the NEP has flowed into your books. Now, have you done some back testing in terms of how the customer cohort that stayed back with you is be having compared to, let us say, pre -price hike versus post price hike, just from a P&L claims ratio perspective? The reason I ask this is because this will give us some idea as analysts or investors to really understand how price hike cycles really behave from a P&L standpoint for a 12-to-24-month period.
Second, your renewal ratio on the retail side, what you mentioned is that your policy persistency has gone up by 100 bps, and while your overall persistency numbers are down, which basically means that the high -ticket customers or high sum insured customers are coming into either B anca or maybe digital has kind of gone. So, can you give some colo ur how this changing dynamics on the persistency side versus also on the new business growth side really have an implication on your claims ratio g o

ing ahead?
And finally on your porting strategy, you mentioned that you have devised a new strategy where you will be refocusing a bit for inward porting. Now wanted to understand that your historical view on that has been that porting can lead to some of the profitability dilution given that there is no waiting period on all those things. So, what's the new strategy you're devising? Which channels will be driving it out there?
And one data keeping question, you used to give a number of SME mix within your group health business as per MIS. Can you share that data?
Anand Roy: What was the last point, please repeat?
Dipanjan Ghosh: You used to mention the SME business mix within your group health called business, that used to be a presentation in the sli de historically. So, I just wanted to get that number for the first quarter.
Anand Roy: Yes, we'll share that number with you. As far as our renewal retention are concerned, I think I've clarified, we are very watchful of our renewals, and we do not see any deterioration in our renewal book. In fact, we are seeing an improvement in the number of policies because the

GWP renewal value growth is largely because of the price increase that we had rather than the base effect , and that is playing out this year. But as I mentioned, traditionally the digital channels and the bancassurance channels have a little lower retention rate persistency for the entire industry as well as for us. So, as that book is becoming larger, it is showing some effect on the overall persistency. But we are very confident that our customers' retention is on track and we do not see any threat there.
As far as the porting strategy is concerned, we continue to maintain our stand that portability is a hi gh risk business but with the data and the learnings that we have and the distribution we have in all parts of the country, we are quite aware of areas where we should avoid portability and areas where we can go ahead , we are planning to go ahead in those areas where we believe the loss ratios will not be adverse. Our business strategy is very clearly growth with profits, and we are not going to dilute that strategy at any cost.
Dipanjan Ghosh: On the FHO question, the first question?
Nilesh Kambli : On FHO price increase, we have seen an improvement in the earned premium. Now if we see, look, the increase in loss ratio was an industry -wide phenomenon. We see that the loss ratios have increased anywhere between 3% to 6% but on our health portfolio, the overal l loss ratio increase is 2.2%. Split between health and personal accident, health loss ratio has increased by around 1.3%, which is also part of measures that we have taken in terms of preventive healthcare so, we see a good benefit coming in terms of gros s business improvement. And that is when we are able to control the loss ratio vis -a-vis the market.
Dipanjan Ghosh: Sir, my question was basically, let's say if you were to, just hypothetically, we are done with

expiry on back testing, if you just kind of let's say superimpose a similar sort of claims incidence on the existing customer cohort that remained with you, and now that you are seeing a 14 month window, would the portfolio behavio ur be better after the price hike or significantly better? Any qualitative comments without going into the numbers?
Nilesh Kambli : On the like -to-like basis, with the price increase, the loss ratio has come down but if you talk only about FHO as a product, there are certain ways the portfolio behaves, it's a function of new and old. And what we have been maintaining is, earlier we only had FHO as a single family floater product , now we have comprehensive to Star Assure among health family floater products. The new business is coming into this product when the old busin ess conti

nues to be
in FHO . There are some certain changing dynamics of the product portfolio as well , so, to just pinpoint the number of FHO and loss ratio, is a very difficult thing. We see an improvement in the overall loss ratio because of the price in crease that we have taken .
Dipanjan Ghosh: And just on the SME mix, would you give it now or I can take it later?
Anand Roy: We'll give it to you later.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh Godha: Sir, I have three key questions. So, Anand, you said that the porting is closer to 10% of the of new business premium, and you also highlighted that new business premium growth is around 18 odd percentage. So, if I remove porting from your new business numbers on like -to-like basis ex of porting compared to the last year, whether the growth will be lower than the overall growth what you have reported in retail of 15 odd percentage?
Anand Roy: No, Sanketh, last year also we had some share of porting. We are not totally zero on porting, right. Our books were always less than 10% but continues to be that way. As we speak, I think we are going to go a little aggressive in certain markets where we see the opportunities and the loss ratio s more comfortable .
Sanketh Godha: When you say the geographies, largely it will be South India? Because it is believed that South India is relatively healthy compared to North on claims at least I mean to say.
Anand Roy: Yes, you are right. South India, E ast India, North India porting is like an industry that is how it is going on there and so, that's not what we want to get into. We are more selective in our business onboarding.
Sanketh Godha: And you said that your claims have increased to 66 bps, or your wellness cost is 63 bps of your claims ratio. So, if I do a back calculation, it is around Rs. 23 crore , Rs. 24 crore . So, if I annualize that number, it is like Rs. 95 crore to Rs. 100 odd crore. So, sir, just wanted to understand, how you want to see this number to behave? I mean, this Rs. 100 crore number, if it is annual number, how it will play? And eventually this will increase the claims on the top line but improvement in the claims? I m ean, how you will compensate these Rs. 100 crore what you are going to spend on wellness going ahead?
Anand Roy: Wellness and prevention is a long -term play. We do not expect any immediate returns but what we track is, are we able to get data which can hel p us in better customer engagement in terms of making sure that the health profile of these customers improves that's what the team tries. Second thing is, are we also able to make sure that our condition management programs are reducing repeat hospitaliza tion? These are the numbers that we are tracking right now , in the long term, I think these investments will pay off. Right now we are not looking at an immediate ROI on what these investments are going to deliver, but we believe that in the long term interest of the business, this is essential.
Sanketh Godha: And one more, Anand, you said that you will take two, three products' price hike in the current year, so if you can quantify what proportion of your total premium comes from the products where you wil l take price hike?

Anand Roy: Approximately 30% of our product portfolio.
Amitabh Jain : We are planning to take the price hike at about 30% plus of our current portfolio. And the average price hike we are looking at between 10% to 15%. So, roughly about anywhere around 4% on the overall portfolio.
Sanketh Godha: But just wanted to understand, though it is today 30%, but typically customers switch from one p

articular product to another product when the price hike happens. So, if I factor in that impact which you might have historically done it, so whether this price hike will be even still 4%, 4.5% or it will be marginally lower than that benefit?
Amitabh Jain : This is the realized hike that we are looking at , we've had our lessons basis the last year's experience, so we are going to optimize the increase so as to maximize the yield out of the overall increase.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Securities. Please go ahead.
Nischint Chawathe: Thanks for t aking my question. This 0.66% of OPD, telemedicine, etc., does this also include claims management expenses?
Amitabh Jain : Sorry, could you be a bit louder please?
Nischint Chawathe: Does this also include claims management expenses?
Amitabh Jain : Yes. You mean the overall loss ratio, right?
Nischint Chawathe: No, I mean the 0.66% where you say that this is OPD, telemedicine, wellness, etc. Does this include claims management or is that separate?
Nilesh Kambli : No, Nischint, claims managemen t is separate, that is 1% of our GWP. This is over and above .
Nischint Chawathe: And that 1% would have been sort of almost similar last year and this year?
Nilesh Kambli : Yes.
Nischint Chawathe: And this 0.66% is completely additional this quarter, which was probably not there last year, is that what you're trying to say?
Nilesh Kambli : Yes. I mean, a very small percentage last time because we had started with this initiative in Q1. But yes, I mean, in comparison to last year this is additional.

Nischint Chaw athe: And just one, you seem to have stepped up on the group business, so the increase in group business numbers that we can see, this is all employer -employee?
Nilesh Kambli : This is the combination of employer -employee, as well as non -employer -employee f rom the Banca segment. There is a lot of focus on the benefit products through the NBFC sector, which are profitable. It's a combination of employer -employee and non -employer -employee.
Nischint Chawathe: If I have to sort of look at the loss ratios, in bo th the products the loss ratios would be more or less similar. If you can quantify the impact of this product portfolio change on the loss ratio for the quarter.
Nilesh Kambli : There is some impact, because whilst the loss ratio has been higher in the employer -employee segment, the expense ratio is lower, it's around 0.1, 0.2 when it comes to Quarter 1 in terms of shift between loss ratio and expense ratio.
Nischint Chawathe: Sorry, so the point what you're trying to say is that probably your claims would have been lower by 15 basis points if the product portfolio had been similar, is that what you're trying to say?
Nilesh Kambli : Correct.
Nischint Chawathe: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today's conference call. I would now like to hand the conference over to Mr. Nilesh Kambli for closing comments.
Nilesh Kambli: Thank you very much for joining the call early morning. We co ntinue to grow our business with the focus on profitability and ensuring healthy India. And we look forward to the coming quarters. Thank you very much.
Moderator: On behalf of Star Health and Allied Insurance Company Limited, that concludes this conferenc e. Thank you for joining us. And you may now disconnect your lines. Thank you.
This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such error s, although an effort has been made to ensure high level of accuracy.

Call: Nov 2024

Date: November 04, 2024
Place: Chennai
Ref: SHAI/B & S/ SE/142/2024 -25

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra -Kurla Complex
Mumbai – 400001 Mumbai – 400051.
Scrip Code: 543412 Symbol: STARHEALTH

Dear Sir/ Madam,
Sub: Transcript of Q2 & H1 – FY2025 Earnings Call
Further to the Company's letter SHAI/B & S/SE/ 129/2024 -25 dated October 14 , 2024 reg arding Earnings Call Intimation for Q2 & H1 – FY2025 , please find attached transcript of the call dated October 30,2024 .
The above information is being hosted on the Company's website at www.starhealth.in

This is for your kind information and records.

Thanking You,

For Star Health and Allied Insurance Company Limited,

Jayashree Sethuraman
Company Secretary & Compliance Officer

Encl: as above.

Star Health and Allied Insurance Company Limited
Q2 & H1 -FY2025 Earnings Conference Call
October 30, 2024

Management:
Mr. Anand Roy – Managing Director & Chief Executive Officer
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Aneesh Srivastava – Chief Investment Officer
Mr. Amitabh Jain - Chief Operating Officer
Mr. Aditya Biyani – Chief Strategy & Investor Relations Officer

Moderator: Ladies and gentlemen, good day and welcome to Star Health and Allied Insurance Company Limited Q2 & H1 FY2025 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" then "0" on your touch tone phone.
I now hand the conference over to Mr. Pratik Patil from Adfactors PR, Investor Relations Team. Thank you and over to you, sir.
Pratik Patil: Thank you, Steve. Good morning, e veryone. From the senior management, we have with us, Mr. Anand Roy – Managing Director & Chief Executive Officer, Mr. Nilesh Kambli – Chief Financial Officer, Mr. Aneesh Srivastava – Chief Investment Officer, Mr. Amitabh Jain – Chief Operating Officer and Mr. Aditya Biyani – Chief Strategy & Investor Relations Officer.
Before we begin this conference call, I would like to mention that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financial and operating performances, benefits and synergies of the companies strategies, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's confere nce call may involve risks and uncertainties.
Thank you. And over to you, Mr. Anand Roy.
Anand Roy: Thank you, Pratik, and a very good morning to all of you. Thank you for joining Star Health's Q2 & H1 -FY2025 Conference Call today. I would like to wish all of you and your family members a very happy and prosperous Diwali.
I will now hand over this conference to my colleague, Aditya, to take you through the company's presentations and then we will open up for questions.
Aditya Biyani: Thank you, Anand. Firstly, we would like to set the context for health industry in India. In a growing economy like ours, we believe individuals and families will experience an increase in disposable income which enables them to consider lifestyle enhancements, savings and investments in security measures like insurance, especially health insurance.
Post -COVID there has been a tremendous increase in awareness about health coverage, positioning the health insurance sector as the highest contributor to the general insurance industry. This growth has been driven by several factors like the adoption of technology, product innovation and an expanded reach alongside the rising risk of lifestyle diseases. In line with this, the regulator has envisioned insurance for all by 2047. Sta r Health insurance aims to ensure that every Indian citizen has access to quality healthcare through comprehensive coverage. The regulator's consumer -friendly approach while balancing all stakeholders interest, has made the environment conducive to profita ble growth.

Coming to the industry overview:
The health segment remains largest in the overall GI, contributing almost 39% to the total GWP of the industry. For H1 FY'25 health insurance including personal accident industry has grown by 9.6% to reach 65,6 00 crore majorly driven by growth of 11.5% in Group Health and 18.3% growth in Retail Health. For Q2 FY'25 health insurance including personal accident industry has grown by 3.3%.
Star Health is committed to create innovative, affordable products for all s ocio -economic segments, leveraging technology and partnerships with healthcare providers to enhance service delivery.
Some of the key highlights of our business
The fresh growth is gaining strength. While the overall GWP has grown by 17%, outperforming the average industry growth, fresh growth for same period is 31% over last year's H1. The number of policy growth in fresh has been 14%, with overall number of policy growth of 9%.
Agency fresh business in Q2 FY ‘25 versus Q2 FY ‘24 grew by 23%.
Fresh to re newal ratio in H1 FY'25 is 25:75. The average sum insured of new policies have increased by 6% to Rs.10.3 lakhs per policy. Rs.5 lakhs and above sum insured policies now constitute 82% of the retail health portfolio versus 77% in Q2 FY'24. Our renewal grow th is also picking up. In H1 FY'25 overall renewal increased by 7% by volume, which is number of policies and by 13% by GWP compared to H1 FY'24. Price increases have been absorbed well and renewal persistency has also increased because of our wellness ini tiatives such as telemedicine, PHC, condition management program and continual engagement with customers on various fronts. We will continue to take calibrated price increases in products for the appropriate risk.
All the channels are firing and continue t o grow.
Coming to our “ABCD Engines of Growth, ”
A is for Agency:
Our agency vertical contributed around 80.4% of our overall business in H1 FY'25. Our agency

strength has increased to 7,42,000 agents with recruitment of almost 25,000 agents in the Septemb er quarter. We have also seen a strong 17% increase in fresh GWP in H1 FY'25 over last year through this channel. Agency activation for H1 has grown by 12% over H1 FY'24.

B is for Banca

Our Banca channel includes banks, NBFCs and alternate channels, which contributes to around 8% to our GWP in FY'25, with a fresh GWP growth of 25%.

C is for Corporate

Our Corporate Business has contributed to 4% of our overall business in H1 FY'25. As we have recalibrated our corporate business, we have seen significant grow th of 231% in corporate business though over a low base.

Lastly, D is for Digital

Our digital business comprises of our direct -to-consumer and online brokers, web aggregators. This business contributed to 7.4% of our overall business in H1 -FY25. Our own direct -to-consumer channel contributed 72% to GWP and balance 28% comes from online brokers and web aggregators. We have also seen a robust growth of fresh business from this channel of over 41% in H1 FY'25.

I will now talk about some of our Claims Initiat ives and Outcomes,

We continue to see elevated frequency and severity, especially in medical claims. We are working on several initiatives to have the most efficient claims processing engine in the industry like hospital rate negotiations, fraud detectio n measures and improved cashless turnaround metrics.

The PHC contribution to total claims outgoes stands at 0.6%. We track this as an investment in wellness initiative, which will support us in the coming years with improved renewal retention, enhanced cus tomer engagement and reduction in hospital readmission of customers. Our preventive health checks have increased by 38% in Q2 FY'25. Our anti -fraud digital initiatives which are proprietary to Star Health have yielded savings of 3% of the claims outgo as a direct result of these measures. The proportion of cashless claim with agreed network hospitals have gone up to 74% in Q2 FY'25 versus 66% in Q2 FY'24. In terms of claims amount, 79% of the paid claims are cashless in Q2 FY'25. We continue to have one of the largest hospitals networks in India and have on boarded over 14,000 plus hospitals.

Our app downloads have reached 7.4 million as on Q2 FY'25 from 4.4 million as on Q2 FY'24. Our monthly active users have increased by 115% compared to Q2 FY'24 and orga nic traffic to our website has grown by 27% in Q2 FY'25 versus Q2 FY'24. Our NPS score stands at 59 as of September 2024.

Coming to our New Product Launches:

We have launched a modular product, “Super Star Plan, ” a personalized long -term health insurance solution aimed at providing greater value and flexibility for individuals and family. This product feature

s a five -year policy term with modular coverage that attach to customers ’ needs throughout different life stages, allowing for customization and scala bility.

Coming to our Financial Performance for H1:

Our combined ratio for H1 FY'25 stood at 101.1% versus 98.4% in H1 FY'24. Our claims ratio for H1 FY'25 stood at 70.2% versus 67.1% in H1 FY'24. Our expense ratio for H1 FY'25 stood at 30.8% versus 31.4% in H1 FY'24. For H1 FY'25, our profit before tax stood at Rs.575 crore and our PAT for H1 FY'25 stood at Rs.430 crore. Our non -annualized ROE for H1 FY'25 stood at 6.5%. Investment income in H1 FY'25 has grown to 650 crore versus 505 crore in H1 FY'24. So lvency of the company as on 30th September was 2.24 times compared to the regulatory requirements of 1.5 times.

Now coming to the Financial Performance of Q2:

Our combined ratio for Q2 FY'25 stood at 103% versus 99.2% in Q2 FY'24. Our claims ratio stood at 72.8% in Q2 FY'25 versus 68.7% in Q2 FY'24. The expense ratio for Q2 FY'25 stood at 30.2% versus 30.6% in Q2 FY'24. Investment income in Q2 FY'25 has grown to 354 crore versus 255 crore in Q2 FY'24. The yield for Q2 FY'25 stood at 8.8% versus 7.5% in Q2 FY'24. Our investment assets have grown by 17.2% and has reached 16,431 crore in Q2 FY'25.

Our profit before tax stood at 149 crore in Q2 FY ’25 versus 167 crore in Q2 FY'24. Our PAT stood at 111 crore in Q2 FY ’25 compared to 125 crore in Q2 FY'24.

Basis th e combination of ABCD growth engine and our 3 competitive moats, which are cost leadership, paralleled distribution network and superior in -house claim servicing, we are confident of achieving our aspiration of 30,000 crore and tripling our PAT to 2,500 c rore by Financial Year ‘28.

Before we open for questions, we want to address the recent cyber incident that we experienced. As you are aware, we were the victim of a cyber attack, and although this situation has attracted much attention, we wanted to assur e you that we have responded swiftly and decisively. We are working very closely with cyber security experts, regulatory and law enforcement authority to thoroughly investigate the breach, and we have succeeded in taking down the data exposed. We are also fortifying our systems with advanced security measures and controls to prevent any future incidents. More importantly, our claims processing and customer services has remained fully operational throughout this period. The trust and security of our customer s is our top priority and we remain committed to upholding the highest standards of data protection. In fact, the trust that our customers placed in us is borne out by the robust fresh growth, renewal growth, agent activation and agent recruitment for the month of September and October 2024.

With all these updates, we can now open the floor for Q&A. Thank you so much.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee: My first question is on the claims experience and the loss ratio. Our loss has gone up sizably not just on sequential but year -on-year basis as well by around 400 -odd basis points or so. Just wanted to understand wha t are the factors driving this? Is it only the seasonal illness claims that is driving this or has anything spilled over from the previous quarters, on the claims management side, are there any challenges if you could highlight that and what corrective mea sures are you taking, what would be our loss ratio expectation as we move ahead in the year and any glide path that you may think in the upcoming quarters? I also wanted to und

erstand how the situation is in October related to the claims? So that is the fi rst part.

My second question, sir, is related to the impact of the price hike, at least in the financials, it is not mentioned that the price hike is percolating in terms of increasing growth in the earned premium level. Could you highlight why the premiu m growth is still in and around 15% -16%? Can we expect it to go up sometime in future, if you could highlight this?

Amitabh Jain: Thanks for the question. There are two, three reasons for the increase in LR. One is for the seasonal impact that happens in Q 2 which you are aware about. We have roughly seen a 10% increase in our severity in Q2 and about 6% increase in frequency, largely led by increase in medical claims. Apart from that, there are two other factors that have played out in terms of the increas e in LR. One is our increasing share in the group business ,you know group operates at a higher loss ratio and in group we see a slightly higher impact in this quarter. There is also some amount of the net loss ratio, there's some impact of the higher insu rance arrangements for our long -term business that we had taken last year after Q2. That also has an impact. There are obvious concerns on medical inflation and that's an issue for the industry. We've been also seeing across media as you would have noticed that there are several challenges on that. We continue to invest on our network capabilities and better negotiations with hospitals. But some of these are industry wide issues and are being taken at that level and we believe that we continue to do better than most other players as far as the overall network management is concerned. If you've seen, typically in Q3 & Q4, the loss experience is better and we hope that the same trend will continue this year. The extended monsoon obviously has not helped us thi s year because it started pretty early and it has continued well into October which also had an impact. Some of the incidence patterns have changed this year compared to the previous years maybe because of the post -COVID era, the way it is evolving, height ened outreach by hospitals as far as marketing themselves and trying to also convert outpatients to inpatients and so on. There has also been a lot of awareness among the customers because of the cashless availability and availability of overall healthcare services. All of those factors are playing out. I think this is a year of change that we are going through and maybe we'll have to readjust to the new normal.

Swarnabha Mukherjee:
Just a follow up. Would it hence be fair to assume that in Q3 and Q4, I understand that the loss ratio experience as the seasonal illnesses weigh in, might not be as much as what we have seen in Q2 but compared to say Q3 and Q4 last year, ideally because of the other factors you mentioned, should we see an increase in loss rat io anyways over the next two quarters as well and then as a structural element, should we now think about the industry operating at a higher loss ratio and Star Health by extension?

Amitabh Jain: See, it will obviously have correction in 2 -3 different ways . One is obviously more price corrections will be required and that is something that we've already started beyond what we had earlier planned. So that is something that we are doing. Also, we believe that the overall investment in wellness and telemedicin e and home care services will start paying us some amount of returns over an extended period, and we are already witnessing some amount of impact in the way we are able to manage some of the medical cases. So, I believe obviously there will be some amount of changes in the way the industry operates. And finally, we have to work towards profitability as an industry. So I think loss ratios hav

e to be controlled and managed in all these ways.

Swarnabha Mukherjee:
Your aspiration of taking group in the mix is higher. You have mentioned that it has shown some impact this quarter. Would you be able to like split the loss ratio between retail and group this quarter?
Amitabh Jain: We generally do not publish this. We see the point in group is that finally what mat ters is the combined ratio and typically in group as you know the expenses are lower. What we look at is the overall picture and not simply the loss ratio there. Therefore there will be some readjustment in the loss ratio versus expense ratio combination g oing forward as the group part grows.
Swarnabha Mukherjee: I have another question unanswered. So if that management could address it, that would be very helpful in terms of the price hike and NEP growth?
Anand Roy: See, as Amitabh alluded to, we have decided to take price hikes on products. These were earlier not as per plan. But having seen this elevated, loss ratios in some of the pockets, we have decided to go ahead with that. We have already taken a price revision in two products. One is a senior c itizen and one is the young star, but of course, we are also contemplating price increases in a couple of other products this month and the next. We will keep you informed as and when we go ahead with that. Having said that, I think the growth of business is very

encouraging and we are seeing growth across all the channels and we believe that whatever we are doing as far as the business strategies are concerned is paying off on all the channels that we are operating in and we believe that with the higher gr owth coming in, in terms of registration, the loss ratio will also fall under control over a period of time.
Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.
Prayesh Jain:
Just to contin ue on the point of loss ratio and combined ratio, at the beginning of the year we had mentioned our aspirations to improve the loss ratio by 50 basis points YoY and combined by 100 basis points which seems to be a stretch now. Any color on what kind of com bined ratio or loss ratio should we expect for the full year of FY'25? Also Anand, you mentioned about price hikes. Would you also consider another price hike in Family Health Optima?
One more question on the group business. While you mentioned that group business is high for us, but I would assume that a large portion of that group business is banca -based because your contribution from banca is almost like 8%, so in that sense that particular piece of business ideally has a lower loss ratio versus the emp loyer, employee. In that sense it would be great if you could give us a split between the employer, employee and banca -led products and relatively how the loss ratio kind of impact happens from the banca channel because that is something which has seen a s ignificant increase rather than the employer, employee.
Anand Roy: Yes, there are four parameters that we track very closely as far as our business outcomes are concerned. Number one is the fresh renewal business growth. We also track the ICR and the OPEX ratio. Out of these four parameters, we are well in control on three parameters. The claims ratio is definitely elevated beyond what we had anticipated due to the seasonal effects which Amitabh mentioned. I think we will be able to deliver the target that we have set for ourselves in terms of improving combined ratio by 100 basis points for this financial year, on the OPEX side of it. On the claim side, as you rightly mentioned, it looks a little challenging. We'll have to see with our pricing strategy how we are able to bring it under control. Coming to the pricing of other products including Family H

ealth Optima, we are considering all of this right now. We are not able to give exact dates when we will go through with this, but we are looking at all the pr oducts in terms of price correction. You might have seen that the medical inflation in the industry is very high and unfortunately, we are seeing that it is happening consistently across board without any let up, so, we will have to take price corrections when necessary. As far as group business is concerned, our bancassurance business continues to operate at a healthy level, but we are definitely seeing significant competition in the corporate groups, because of some reset and tariffs as far as property an d casualty insurance is concerned, it has gone down, and we have also seen the group business prices becoming more competitive. We have always tried to focus on the smaller corporates, but there seems to be lot of pricing

competition there as well. We are evaluating the corporate business strategy as we speak, how we are going to play out in the future given the pricing market the way it is operating. Having said that, I think we are very confident on achieving the annual target that we had set out to achie ve 18,000 crore and we are also looking forward that the next four years will be good for the company.

Prayesh Jain:

Anand, my question was very specific on the banca share. The banca is already at 8% and that is the kind of mix on the group business. Wh y should the group loss ratio be impacted by increase in banca because that's generally a lower loss ratios business? That was my understanding. Correct me if I'm wrong.

Anand Roy: No, no. See in banca, we are not talking about the loss ratios. When we spo ke about the group loss ratio, it is more on the corporate loss ratio, not on the banca.

Moderator: The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani:

Sir. I wanted to understand if you can share the loss rati o or the combined ratio trend for the retail industry? I believe that data is available for you because we tend to get this data on the motor side from some of your peers. At least that will help us understand how the whole industry and the retail book is moving. If that data is available, it will be very useful.

Anand Roy: Retail for the industry?

Shreya Shivani:

Yes. The loss ratio or the combined ratio for the retail health industry, if that data is available on 1Q versus 1Q, 1H versus 1Hand could be s hared, it would be an interesting data point.

Anand Roy: Yes, we can give it to you offline. We have market intelligence, but we have to go by what is published by various companies and what we have is market intelligence. We can share it with you.

Shreya Shivani:

We were talking about our equation with the hospitals and that is something which is happening across. Any updates on any kind of changes in the industry practices or the private

health insurers coming together to have better negotiation with hos pitals, any updates on that because we continue to hear hospitals versus insurers very frequently?

Amitabh Jain: The way we are taking this up is that the industry wide effort is happening through the GI Council and there has been some progress on that. Th e Council has taken up the matter with specific hospitals. First of all, we are looking at how we can as an industry have a common set of understanding on various billing patterns, the billing heads, the understanding of room rent, how that can get standar dized and also that across the industry it helps everyone and starts making lot of improvement in the hygiene as far as hospital pricing goes. We can then get to the next l

evel of actual negotiation of prices across the industry or across a set of players. That is the kind of progress that is happening. These things take time, but there's been some improvement on this area.

Shreya Shivani: When can we hear something finally shaping up from the GI Council, in couple of months, quarters, any timeline, and will it be publicly available?

Amitabh Jain: I would suggest that where we can have a direct connect with the GI Council team there. Mr. Sekar is driving this on behalf of the Council and we can have that discussion but a couple of meetings have happened already and we look forward to that gaining traction.

Moderator: The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh:

My first question is around your experience so far in the medium term, the doubling of premium and tripling of profit. The doubling of premium is something you are on track probably with what is happening so far. On claim side, the question here is that yo u have done whatever you could, I mean, you took price hikes across portfolio last year, you have been increasing your agreed hospital network, your fraud detection systems are helping you control cost. You have been taking all the measures, but the outcom e is going in the other direction probably because I mean in the post -COVID world there is perhaps a big behavioral shift, one, from the hospitals in terms of the persistent price hikes, that one expected that okay post -COVID would normalize, so that is co ntinuing. Second from the population insured pool, probably the behavioral change in terms of seeking hospitalization even for something that can be taken care at home or OPD but there again you cannot control because that creates controversy and if you sa y that, okay, this particular malaria case was not to be hospitalized. Now on these two things, I mean, you do not have a control on your hospitals inflation, you do not have a control on this big behavioral shift that is perhaps leading to rising in claim s frequency. You have one choice which is price hike, but price hike is so far, not being able to overcome that. Now, what are the triggers, that will make you feel that you can still be on the right track because, you have very limited

levers available, s o I mean the tripling of profit over the medium term, if there is so much of uncertainty in the near term, how it's going to play out? That's one.

My second question, if you can just help me with what's going to be the impact of some accounting changes re garding long -term policy, what kind of a policy gets affected and what could be the impact on growth?

Anand Roy: Avinash, I think you articulated it beautifully. This is the challenge the industry is facing in terms of the shift in consumer behavior as wel l as the medical inflation. In all the forums that we are participating, we are taking this up with the regulators, with the government bodies and we are hoping that something will be done, and as we have mentioned there's some effort being taken at the G I Council level as well to bring some control over this. But our immediate solution is on pricing the products as per the risk that we are exposed to and we are looking at options of cohort -based pricing where consumers will be priced differently based on their experience. I think this is something which is in the works and we plan to introduce this very quickly. Other than that, the shift in consumer behavior will be managed to some extent through our investments in wellness and prevention, which we are do ing consistently, and as we have mentioned almost more than 60 to 70 basis points of our loss ratios are currently accounted in our investments on these wellness and prevention platforms. We believe that

over a period of
time this will start showing result s and we are already seeing results presently by heightened persistency of these consumers who are engaging better with us. There are definitely green shoots here. The answer to your question is right now we have to go for more proactive product pricing wh ich we are probably going to do in the immediate future. As far as the long -term accounting is concerned, I'm requesting Nilesh to answer it.

Nilesh Kambli: In terms of long -term accounting, it will be effective 1st of October. What will happen is the long -term policy related premium will be reported on a yearly basis. So, if it's a three -year policy, only one year GWP will be reported, one year NWP will be reported. For us the impact is NEP since we are on 1x365 basis, there is no change in the on -premium. What will happen is because the net return premium will reduce, it will have an impact on the expense ratio, the reported expense ratio while there will be no impact on the underwriting profits to be reported going forward. We believe in the industry, it will have some impact in the way things are done in terms of long -term policies.

Avinash Singh: What's your share of this long term premium currently?

Nilesh Kambli: It's around 4% to 5%.

Avinash Singh: Could you also help me out on what is the proposal of benefit product in your entire mix? Typically that would help your claims ratio, so currently what's the benefit product in your mix?

Nilesh Kambli: The benefit will be around 2.5% to 3%.There are two long term products. One is the benefit product which c omes from bancassurance channel and second is the long term retail. That is also picking up. So it's a combination of both these products.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanket Godha: I want to understand will the 31 % also include long -term business? If I do a clean analysis, trying to understand indemnity growth, and one year policy growth, then this 31% will translate into what kind of a number in that sense? Secondly, just wanted to und erstand this 31% includes how much contribution from both if it is there any? Second question is that to what extent of your business have you already taken a price hike? Assuming you are planning for a couple of more products to take price hike, then if y ou add up those couple of more products then eventually for the entire year what portion of business can potentially see a price hike and induction? Lastly, what portion of your investment income in the current quarter is driven by capital gain?

Anand Roy: Sanketh, couple of data points. Our policy related growth is also in double digits as far as new business is concerned. The growth is coming both in value as well as in volumes and that's what we keep tracking. We have always maintained that our business operations are more towards expanding the scope of health insurance. We are not so much dependent on portability and so on. Our portability share has remained the same as much as last year, which is around 12% -odd in our overall contribution to fresh busin ess. It was the same last year, it continues to be the same this year. We are aggressive in markets where we want to be, but we are selective in markets where we believe it won 't make sense. As far as the pricing is concerned, we have already taken produc t repricing in almost 10 -12% of our product contribution as we speak and we plan to take in a few other products. As we exit this year I think almost 50 - 60% of our product GWP will be repriced. That's what we're doing.

Aneesh Srivastava: Sanketh, in first half of this financial year, we have booked 110 crore of profits and these profits are looking at the market conditions.

Sanket Godha: And will

the second quarter be similar, including first half?

Aneesh Srivastava: So you're asking me to tell you forward -looking. -

Sanket Godha: No, I'm asking for the current quarter. You said for first half it is 110 crore.

Aneesh Srivastava: Second quarter is 80 crore.

Sanket Godha: With the 31% growth, just wondering, your 14% growth is in number of policies, so that 3 1% growth is maybe because your long -term contribution would have gone up. So if I assume fairly that one year -to-one year product growth will still be more than 14% as a whole?

Anand Roy: Yes Sanketh, that 31% growth what we are talking about is coming fr om both. We are definitely pushing for long term also because we believe that long term is good both from the consumer point of view as well as the insurance company 's point of view in terms of persistency. Both of long term policies is very, very kosher i n our scheme of things. We are pushing for it., but, yes, if you go by only annualized policy, we will be around upwards of 25% kind of a growth rate.

Moderator: The next question is from the line of Mohit Surana from HDFC Asset Managers. Please go ahead.

Mohit Surana: The figure you mentioned around the increase in severity and frequency is of 10% and 6%. Please tell me if I'm reading this correctly, if the net incurred claims for the first half has increased by 21% YoY . Of that 10% and 6% is explained by increasing severity and frequency then around 6% to 7% will be normal volume increase. Is that the correct way to read it?

Amitabh Jain: Yes.

Mohit Surana: Can you give some color on how should we see both parameters, severity and frequency going forward?

Amitabh Jain: So as I said earlier this is basically seasonality that has played out maybe to a higher extent than what was expected. Q3, Q4 we generally see lower impact and we hope that the same will play out this year as well.

Mohit Surana: What you me ntioned on seasonality will be truer in case of increase in frequency. Do we believe that the increase in severity part of it is the more structural than seasonal or do you think there is some seasonality in severity part of the increase?

Amitabh Jain: Yes, in severity also I think it's more of some correction that has happened in set of our network pricing and therefore some of it will be one -time and we believe that the impact will be lower going forward.

Moderator: The next question is from the line of Prakash Kapadia from Spark PMS. Please go ahead.

Prakash Kapadia: Two questions from my end. Earlier, we were targeting combined ratio being lower and we were also looking at retail growth being higher than SAHI players and industry. So, what are we are missing as a leader? Is it just the seasonality impact or underwriting? And from here on, if I were to look at slightly medium term, obviously, you have your target of longer term profitability and GWP doubling, so profitability tripling. In the medium term, how do we evaluate you? Is it going to be a slowdown in business and the trade -off of profitability? What is the game plan because it's slightly confusing, despite the leadership we have, we've not been able to get better combined ratios or profitability. Are we okay in slowing down growth in the

near term and focusing on profitability or we think the balance of profitability and growth will be there, How do we look at say the next few quarters from here on?

Anand Roy: See, there is absolutely no thoughts or no plans to slow down the growth. Our growth continues to be the main focus area. As I've mentioned earlier, we are looking at an overall growth of 18% this year to achieve our target of 18,000 crore, for whi

ch we are very much on track. We are looking at the company's growth rate to be in line with the industry's growth rate. We are slightly behind on the retail side as we speak, but on the new business side on retail, we are definitely up there, but on the renewals because of the price impact we had la st year the base effect, it's a large base, we are seeing a little slower growth in GWP . However, our persistency has definitely improved significantly over last year in terms of number of policies even on renewals, so, the growth engine and the growth asp irations continue. We don't have any thoughts of compromising on that. As far as the outcome in terms of financial, in terms of overall combined ratio and claims ratio is concerned, on the OPEX side, the company continues to be the best in the industry as far as our expense of management rates are concerned and I think it will only improve going forward with our investments that we are making in tech and other areas. As far as the claims ratio is concerned, this is a challenge the entire industry is facing and obviously being a market leader, we also face this challenge, Q2 is typically quite most impactful, but we expect that the loss ratios will improve in Q3 and Q4,. In addition to that, we are taking proactive measures in terms of product pricing, in ter ms of investments in our various wellness and prevention facilities which we believe will help us in keeping the claims ratio under control as what we are planning to.

Prakash Kapadia: All of us know group business always is the trade -off between lower exp ense ratio, but higher claims ratio. Would you still continue to grow group at a low base obviously for us, but would the growth rate continue?

Anand Roy: Yes, group business, we will continue to grow, but as I mentioned earlier, there has definitely been a very significant pricing correction in the group portfolio at the industry level. We are recalibrating our strategy on group. We will probably not like to do business which are definitely going to be loss -making, we would not like to participate in those areas, but we will continue to focus on group, especially the small and medium corporates which comes through our regular distribution channels like digital and agency.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital. Pl ease go ahead.

Supratim Datta: My first question is on the group business. Could you give us a split of what is your employer, employee and what is your attachment product, split of GWP and how both of them have grown, if you could give us some color on th at, it would be helpful?

Moving to the next step, on the digital side, it seems like the digital channel percentage contribution has reduced in the second quarter. Just trying to understand what is the reason

for this fall? On the loss ratio side, one poi nt you mentioned was a long -term policy reinsurance also adversely impacting the loss ratio. Just wanted to understand that because my understanding was that this long term reinsurance actually help you offset some of the losses. So what has happened, if y ou could give us some color on that, it would be very helpful?

Anand Roy: Our digital business has definitely shown much higher growth in the second quarter than the first quarter and in fact it is now the fastest growing channel for us and we are investin g heavily into our digital business. We probably have one of the best digital business books in the entire industry with a very significant contribution to our top line as well as to our bottom line, so we continue to invest very heavily on the digital sid e of things. As far as the group business is concerned, as I mentioned earlier, we have a very small portion of group business in GMC,that is employer, employee which cont

ributes around only 3% of our overall book right now. But even in that, we have exper ienced deterioration of rates when it comes to mid -corporates and large -corporates which is an even smaller portion of the 3%, so, we are evaluating whether we should continue in those areas. But, as far as small corporates and the MSME is concerned, definitely, that is our focus area and we'll continue to keep investing there. As far as the long - term numbers are concerned, Nilesh, can you take that.

Nilesh Kambli: So long term RI, if you remember last year we had done it in December. So this is for long t erm retail policies. What we're saying is compare H1 compared to H1. Last there was no long term whereas this year it is and we have said its 50%. There is a reduction when it comes to net earned premium for long -term once the benefit comes to RI Commissio n. That's the comparison we're talking about, H1 versus H1. There optically because the loss ratio is seeded on an earned premium basis the loss issue gets impacted vis -à-vis last year, but in terms of profitability of that business, it continues to be a v ery good business line and it's just a comparison of loss ratios.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Most of my questions have been answered, but just coming back on our growth part and our target of tripling profits 3X, right, so given how things are playing out, it seems that the industry is facing this problem of high claim ratio. Are we seeing any signs that this can change, how can we drive this change or shou ld we settle for the fact that this retail health and health SAHI is in particular, right, that sort of 12% -14%, ROE business, even if there is some improvement?

Second, you mentioned that you're looking to take price hikes on almost 60% of the portfolio. So, what extent will the price hikes be? Can you quantify? And you've already taken price hikes on about 12% of the portfolio if I'm not wrong. What is the price hike over there? What is the quantum average work there?

Anand Roy: See, you're right, we hav e taken price hike of 12% and the average price increase was around 10% in these two products. As far as the future products are concerned, it might be on the similar lines or slightly higher, but as I mentioned, we are also looking at a differentiated pri cing model like based on cohorts of customers experience and we are evaluating that as we speak. As the medical inflation keeps increasing in India unfortunately, insurance companies have to reprice their products to pass on the cost to the end consumers,s o that will happen. But I think going forward, the way in managing the situation is by driving more traffic towards our preferred network of hospitals, by investing more in our wellness and customer engagement activities, and finally, of course, by making sure that there is a very strong industry -wide engagement with the healthcare ecosystem which we are driving definitely, which we believe will play off for the benefit for the entire industry.

Madhukar Ladha: Do you change your guidance after seeing this given that the loss ratios are so high in this year and we are seeing this problem in the industry over the next couple of years, would you like to sort of revise your guidance?
Anand Roy: So see, it's like this. I think this year we were expecting 100 ba sis points improvement in the combined. We had kind of planned for 50 basis points improvement in OPEX and 50 basis points improvement in claims. On the OPEX side we are confident that we will be able to do what we have planned. On the claims side that the re is a heightened medical outgo for the entire company and the industry.We obviously will have to look at that as we speak.

But Q3 and Q4 is
typically better for all of us in the industry level and we hope that will help us,but whether we'll get to that, I would not like to comment on that. As far as our medium -term is concerned, we stick to our plans. We definitely believe that we are on track to achieve our 2X GWP by FY'28 and 3X PAT by FY'28. Those two numbers, we definitely believe we are in a position to deliver given all the corrections that we are taking.

Moderator: The next question is from the line of Himanshu Taluja from Aditya Birla Sun Life. Please go ahead.
Himanshu Taluja: Just a few questions., you hosted an Analyst Day towards June end and you've given some guidance on the combined ratio as well three -fourth. You have an adverse effect in the month of June itself, also you know that second quarter typically remains high from both severity and the frequency of the claims, at the start of the year, you decided to get in some of the group businesses, which will eventually lead to a higher loss ratio. What has typically changed so that you see more loss ratios guidance looks? Secondly, at the start of the year you always think that probably the normal combined ratio would be around 95%, 96%. We typically end up at a

higher number. Is that a structural change and should one probably change the assumption and take the combined ratio towards the higher end of the assumption?
Second part to the ques tion. Congrats for the new business premium because this is one area that you really wanted to achieve that, but you have probably taken various price hike in the past as well. Despite that we see the growth coming down from 20 towards 16, even in the past price hike your loss ratios has gone up, but you are again taking the price hike with the new business premium, but again it can eventually lead to a problem of a portability like situation where higher portability and the renewal premium growth will be s ubdued again. So how would you address them both and what is the new normal for us to understand?
Anand Roy: As far as our new business growth is concerned where the strategy hasn't changed, we continue to focus on new to Star Health and new to industry gr owth as a main driver. Portability has never been the main strategy of this company, so we don't intend to change that and thereby there is no adverse selection if you are asking about that. That is the main agenda. The second one, as far as our price revi sions are concerned, yes, we did take a price revision in our FHO last year, but we did not get the full impact of it as we had anticipated, but since we are considering looking at all products for the current financial year as I mentioned, we are looking at repricing almost 50% to 60% of our products in the next couple of months. As far as the long -term outlook of this business is concerned, we strongly believe that the business growth, the opportunity of increasing insurance penetration continues to be ve ry high. Health insurance is the focus area for all industry players, including us. As an industry leader, we think that we are in a good position to capture the opportunity which is available and with multiple things which is present, the tailwinds which is coming up for this industry in terms of a hopeful GST reduction in the health insurance products and all of that and if some kind of regulations or some kind of arrangements can be done between healthcare providers and payers, I think that will also be

good for the industry. We do not see any specific long -term challenges, but we are going through a short term pain because of the heightened medical inflation we have seen and we are taking corrective measures to control that.

Himanshu Taluja: Sorry sir, I 'm just trying to understand more from a combined ratio aspect. Has that probably chang

ed because severity of the claims are rising, medical inflation is there, because what happens typically is we think that the loss ratio is likely to sustain between 60 -65% where probably you will end up at 4 -5% in core operating profitability eventually. I'm just trying to understand, has it changed, do you believe that potentially one should think given the medical inflation right now, one should tend towards the higher end of the curve?

Anand Roy: These are factors of multiple things. See, loss ratio cannot be looked upon in isolation, right. We have to look, as you rightly said at the combined ratio levels, and if we are able to operate in the combined ratio bands that we are comfortable in, because loss ratios are different for different lines of business, so, yes, I think structurally there has been an increase in loss ratios

for the entire industry and we are nowhere away from that, so we are also experiencing the same. But at a combined ratio level, our sweet spot, we ideally want to achieve a certain level, but definitely the first half of this year is heightened. If you ask me, are we confident of getting to that level, which we want to be in, maybe a 95 -96% combin ed ratio, which is what our end objective is, as I told you, probably, in the short -term it may be difficult, but in the mid -term it is doable for us.

Himanshu Taluja: Just one last question not pertaining only to Star Health, just for my understanding, wh at we are seeing post -COVID the actual number of the lives is not growing, it remains stagnant, the volume growth has not been there. Do you believe, is there a change where people are moving more towards the corporate end of the policy, the younger genera tion is moving towards the corporate end of the policies rather than individual? And given your market share is too high as well, unless the volume growth picks up, it will be difficult for things to normalize. Can you just put some area why the number of the lives in the industry is not growing? Has it changed people's thinking of having a more corporate version, younger generation shifting towards more of the corporate end of the policies rather than going to an individual policy?

Anand Roy: In fact, I wo uld put it the other way. We are experiencing a very high growth in the younger generation. We are seeing our digital business growing rapidly. I don't think that's the concern right now. I can't speak for the industry. Yes, the industry is facing challeng es on volume growth. But, as far as we are concerned we track volume growth closely and we are seeing good outcomes there, our volume growth is there in double digits and much higher in the digital side of things. So I don't think that's a challenge for us right now. Having said that, , most of the companies are looking at health insurance business from a top line perspective and so competition is quite intense. As a leader in the industry we believe that it is our duty to not only grow our business but to also expand the market which we are doing and we are investing more in tier 2, tier 3 cities, smaller towns, expanding our distribution in terms of branches, in terms of agents, all of that. This year also we are on track to add 100,000 new agents who will contribute to our business in the future. Hence I think these are some of the basics that we continue to invest in and we are quite confident that this business will continue to grow.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to Mr. Nilesh Kambli for the closing comments.

Nilesh Kambli: Thank you everyone for joining the call. As mentioned, we are confident of our long -term objective in terms of doubling our revenue and tripling of PAT growth. These are some of the short com

e challenges and we are working towards answering these challenges. Thanks a lot.

Moderator: On behalf of Star Health and Allied Insurance Company Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Jan 2025

Date : January 31, 2025
Place: Chennai
Ref: SHAI/B & S/SE/ 186/2024 -25

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra -Kurla Complex
Mumbai – 400001 Mumbai – 400051.
Scrip Code: 543412 Symbol: STARHEALTH

Dear Sir/ Madam,
Sub: Transcript of Q3 & 9M – FY2025 Earnings Call
Further to the Company's letter SHAI/B & S/SE/ 174/2024 -25 dated January 10, 202 5 regarding Earnings Call Intimation for Q3 & 9M – FY2025 , please find attached transcript of the call dated January 29, 2025 for your information and records .
The above information is being hosted on the Company's website at www.starhealth.in

Thanking You,

For Star Health and Allied Insurance Company Limited,

Jayashree Sethuraman
Company Secretary & Compliance Officer

Encl: as above.

Star Health and Allied Insurance Company Limited
Q3 & 9M -FY2025 Earnings Conference Call
January 29, 2025

Management:
Mr. Anand Roy – Managing Director & Chief Executive Officer
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Aneesh Srivastava – Chief Investment Officer
Mr. Amitabh Jain - Chief Operating Officer
Mr. Aditya Biyani – Chief Strategy & Investor Relations Officer

Moderator: Ladies and gentlemen, good day and welcome to the Star Health and Allied Insurance Company Limited Q3 & 9M -FY2025 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need

assistance during the conference call, please signal an operator by pressing ' *' then '0' on your touchtone phone. I now hand the conference over to Mr. Pratik Patil from Adfactors PR - Investor Relations team. Thank you, and over to you.

Pratik Patil: Thank you, Yashashri. Good morning, everyone.

From the senior management, we have with us, Mr. Anand Roy – Managing Director & Chief Executive Officer, Mr. Nilesh Kambli – Chief Financial Officer, Mr. Aneesh Srivastava – Chief Investment Officer, Mr. Amitabh Jain – Chief Operating Officer and Mr. Adi tya Biyani – Chief Strategy & Investor Relations Officer.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financial and operating performances, benefits and syne rgies of the company's strategies, future opportunities and growth of the market of the company's services. Further, I would like to mention that some of the statements made in today's conference call may involve risks and uncertainties.

Thank you, and over to you, Mr. Anand Roy.

Anand Roy: Thank you, Pratik, and a very good morning to all of you. As we begin today's earnings call, let me take a moment, first of all, to wish everyone a Happy and Prosperous New Year 2025. I know it's towards the end of January, but it's the first time we are connecting so, it's a privilege to connect with you today as we step into what promises to be a year of very positive changes and welcoming regulations for our industry.

To take you through the details, I would like to hand over to our colleague Aditya, over to you, please.

Aditya Biyani: Thank you, Anand. Good morning, everyone, and wishing everyone a very happy and prosperous 2025.

The insurance landscape is evolving rapidly, shaped by significant regulatory and accounting developments. These changes, while complex, are a reflection of our industry's maturing framework, one that emphasizes transparency, global alignment and customer -centric approach.

Let me take a moment to outline how each of these regulatory changes will impact the industry and why they are critical.

Firstly, the new reporting framework for long -term policies, effective October 1st, 2024, marks a shift in premium recognition. Previously, insurers could account for the entire premium of a long -term policy in a single year, reflecting a higher gross wri tten premium. Under the new framework, the premiums will be annualized, with the total premium divided by the policy tenure and recorded proportionately for each year.

For instance, for a three -year policy, only one -third of the total premium will be recognized in the first year's gross written premium. This change will lead to a reduction in the reported gross written premium, which in turn will reflect changes in net earned premium and net written premium having an impact on the expense ratio and loss ratio of the insurer. At Star Health, we are following "1 /365" days unexpired risk reserve method resulting in no deviation in net earned premium under the new regulatory framework.

Secondly, the adoption of IFRS standard is on the curve for implementation in the next couple of years which marks the pivotal shift in how insurers align revenue and expenses. This transition will enhance clarity in key fina

ncial metrics including net ea rned premium, investment income and acquisition cost.

Under IFRS, net acquisition costs will be deferred in line with the policy tenure and will reflect true economic return on equity. Additionally, these updated standards will enable greater transparency and improve comparability between industry players. W ith implementation of "1/ N" methodology mentioned above, there is a partial move towards the IFRS reporting in terms of net acquisition cost which gets accounted in future.

Thirdly, the expenses of management regulation, which came into force from 1st April 2023, mandates maintaining an EOM to gross written premium cap of 35% for SAHI players. At Star Health, we are well below this requirement, which enables us to strategica lly focus on retail market expansion and enhanced service delivery.

Moving on to the industry performance on "1 / N" basis:

In 9-months FY '25, health insurance industry has grown by 11% and has reached Rs. 94,908 crore. This robust growth was driven by 14.3% growth in retail health and 12.4% growth in group health. In order to maintain consistency, clarity and comparability o f numbers, we will be showcasing our business numbers in "1 / N" and without "1 / N" for this financial year.

Coming to Star Health Performance:
In 9-months FY '25, without "1 /N" framework, on an overall basis, our GWP has grown by 16% and the fresh GWP grew by 27%.
Coming to our retail health segment:
Our overall business has grown by 14%, and the fresh retail health GWP grew by 22%. We have retained our retail health market share, which now stands at 32.2%, which is three times larger than the second player in the industry.
Fresh retail number of policy growth stood at 13%, emphasizing our focus on volume growth and value growth. Our fresh to renewal ratio for 9 -months FY '25 is 24:76 as against 22:78 over the same corresponding period last year.
We continue our focus on the "risk first, growth later" strategy, and these numbers are in context of this strategy with prudent and tighter underwriting standards.
Now, moving on to our four engines of growth ABCD without " 1/N" basis for the first 9 months.
Firstly, I would like to highlight A, Agency:
Our agency vertical contributed around 80% of our overall business in 9 -months FY '25. Our agency strength has increased to 7,61,000 agents with net addition of 19,000 agents in the December quarter. The agent recruitment number has now reached 66,000 in the first nine months of this financial year. We have also seen a strong 14% increase in fresh GWP in 9 months FY '25 over last year through this channel. Agency activation for 9 -months FY '25 has grown by 13% over 9 -months FY '24.
Coming to Banca:
In 9-months FY '25, our Banca channel contributed 8% to our total business and the business has grown by 20% on overall basis. Our number of Banca partners now stands at 69. In this quarter, we added names like Bajaj Finance and NeoGrowth to our portfolio .
C is for corporate:
In 9-months, FY ’25, our corporate business contributed 4% to overall business. Our proprietary over -the-counter SME calculator has strengthened our association with intermediaries who have been generating new business focusing on SME and MSME business se gments.

Coming to digital business:
Our digital business comprises of our own direct -to-consumer, online brokers and web aggregators which contributed 8% to our overall business in 9 -months FY ’25. Our own direct -to-consumer channel contributes 72% to the digital business and the remaining 28% comes from online brokers and web aggregators. Our fre

sh business from digital grew by 58%.
Coming to the financial performance for 9 -months FY '25 on "1 / N" basis:
Our combined ratio for 9 -months FY '25 stood at 101.8% versus 98.3% in 9 -months FY '24. I would just like to highlight our combined ratio without "1 / N" stands at 101.3% for 9 -months FY '25. Our claim ratio for 9 -months FY '25 stood at 70.7% versus 67.3% in 9 -months FY '24. We would also like to highlight our retail loss ratio for 9 -months FY '25 which stands at 69.2% and group loss ratio is 90.4%.
Expense ratio for 9 -months FY '25 stood at 31.2% versus 31% in 9 -months FY '24. I would like to highlight the expense ratio without 1 / N. It stands at 30.6% for 9 -months FY '25.
For 9 -months FY '25, PBT stood at Rs. 862 crore. PAT for 9 -months FY '25 stood at Rs. 645 crore. Our non -annualized ROE for 9 -months FY '25 stood at 9.7%.
Our investment income in 9 -months FY '25 has grown to Rs. 996 crore versus Rs. 790 crore in 9-months FY '24. Our investment assets have grown by 15% and has reached Rs. 16,666 crore in 9-month FY '25.
Solvency of the company as on December 24 was 2.22x compared to the regulatory requirement of 1.5x.
Coming to the other key highlights:
Our NPS scores stands at 56 for the quarter ended on December 24. Our claims NPS stands at 63 as on December 31, 2024 versus 53 on September 30, 2024.
Our claims rejection rate stands at 10.22% for the quarter ended December 31st, 2024. Our renewal persistency has improved to 87% on number of policies.
Our app downloads have reached 8.6 million as on 9 -months FY '25. Our monthly active users have crossed 1 million as of December 24. The organic traffic to our website has grown by 28% over last 9 months. The digital issuance as a percentage of premium col lection stands at 70% in 9-months FY '25 versus 65% in 9 -months FY '24.

The PHC and wellness contribution to total claims outgo stands at 0.6%. Our home healthcare initiative has now been expanded to 100 locations and has been widely embraced by customers steadily gaining recognition. With support of trusted partners like Apo llo, Max Home Health and Portea, we ensure reliable personalized care that meets the diverse needs of customers across India.

The average sum insured of new policies has increased by 10% to 10.6 lakh per policy. Rs. 5 lakh and above sum insured policies now constitute 82% of our retail health portfolio versus 77% in 9 -months FY '24. The share of long -term policy within our GWP h as increased to 10% in 9-months FY '25 versus 7% in 9 -months FY '24 without 1 / N.

We have had to align our product pricing strategy to match the market reality. Up to Jan 25, we have implemented price increase across 5 products which is approximately 65% of our retail health portfolio.

Our recently launched new product "Super Star" offering unparalleled flexibility and customization offers 21 optional covers in addition to its exhaustive list of base covers. Unique benefits such as freeze your age, limitless care, Super Star bonus, well ness program and premium waiver make it stand out in the market.

We are proud to share that Super Star has achieved remarkable success driving fresh growth for the business. It has also become the top selling product on our digital platform and also on the leading web aggregator and digital partners.

And with all these updates, we can now open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. We will take our first question from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: I have two questions. First, I wanted a clarification. You mentioned that your GWP growth without "1 / n" is 16%. However, in your sub -notes in the P&L, you have given the exact amount of premium

s that have been deferred because of this "1 / N" accounting. If I adjust for that, which is about 30 lakhs or so, the growth looked more like 13.5% to 14%. I just wanted a clarification if what I heard was correct.

Second, what I wanted to understand was on the commissions and how it may have played out in this quarter. So, clearly, your reinsurance also got deferred along with the 1/N long -term policies, which means that the income that you were earning from the re insurance commission has become smaller. Ideally your commission absolute amount should have picked up in the quarter or should have at least been larger than the last quarter. I mean, that was the rough math I was arriving at, but that's not the trend tha t has come up. Can you help me understand why that hasn't played out?

Also the way the expense ratios have become elevated, it's fair to say that this is going to be the standard going ahead. Are we looking at a fourth quarter where with the reserves being added, our PAT can be much lower? In fact, could it be a very weak f ourth quarter? Those are my questions.

Nilesh Kambli: On the GWP growth, the number you are talking about is quarter 3, which is 13.7%. For 9 - months with the "1 /N" impact, it is 16%. In terms of RI Commissions, yes, for long -term policies there will be no RI Commissions, but if you are comparing it with last year, last year we had the RI Commission treaty, which came in Q3 itself, which was effective from 1st April 23. From April 23 to December 23, there was a onetime impact in Q3 last year, which is spread out in all the quarters this time and in Q3, we had an impact because with "1 /N" on long -term policies there is no seeding and there is no reinsurance commissions.

Shreya Shivani: The Reinsurance Treaty itself has changed this time. There is no change because of the way the accounting is done. Is my understanding correct?

Nilesh Kambli: No, because of the change in accounting, there is a deferment of Reinsurance Commission which has happened. As I am not booking the top line, hence there is no seeding and no RI commission. There is a change.

Shreya Shivani: The reinsurance ceded is about 6.3% or so. Will this be the steady state going ahead?

Nilesh Kambli: Yes, it will be in the similar range going forward.

Shreya Shivani: What about the fourth quarter?

Nilesh Kambli: On the fourth quarter, with the "1 /N " accounting coming in, there will be a deferment of cost in terms of the long -term policies so, there won't be much impact on the PAT with RI commission and the cost also getting deferred.

Shreya Shivani: In this quarter we got a bit of support because it's a quarter when we release reserves. The change in URR is negative. Fourth quarter is usually when that number becomes much bigger, right? The PAT is always sequentially or fourth quarter PAT is always w eaker. Now your expense ratios are also elevated. Unless there is a very sharp improvement in the loss ratio, the quarter can look very weak, right?

Nilesh Kambli: I will explain it to you on one -on-one basis, but what will happen is because there is deferment of GWP, there will be a lesser impact on the URR as well. The earned premium will not change and expense ratio is only an accounting number. Due to lower NWP, the expense ratio shows an increase. On a like -to-like basis, there is no increase. In fact, we are doing well on the expense ratio.

Moderator: Thank you. We will take our next question from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: The first question is with regards to data keeping. If we look at this impact on GWP from "1/ N " that's close to Rs. 300 odd crore or l

ike say 8% decline in the quarter. If I do sort of a very crude simple math assuming that the average tenure of the long -term policy to be 3 years, is it correct to assume that nearly close to 12% of your entire GWP in this quarter was kind of, impacted by this "1 /N " accounting? Broadly, is 12% a figure for 1 /N? So, that's question one.

Secondly, and this is more from a very fundamental and directional perspective, you have been taking actions in terms of pricing or whatever you can do with your network hospital. Yet the claims ratio remains way beyond the comfort zone for a model as a s tandalone health insurer. I mean, you would like it to at least go below say 67 odd percent. Currently, you are running at 70 plus for the 9 months. The question is how long do you see your action and the market reality is going to take before we are anywh ere closer to the desirable sort of a range in terms of claims ratio? I mean, expense and all are sorted, so, there is not much I think that you can do there. It becomes imperative to do whatever you can on the claim side and there, of course, despite your actions, things are not kind of improving the way you would like to.

What kind of a timeline would you see before these things start to play out and the numbers looks somewhere where you could be comfortable relatively?

Amitabh Jain: On your second question regarding the loss ratio, if you look at sequentially, the loss ratio has come down from quarter 2 to quarter 3 by almost 1.4% but if you look further, if we segregate between retail and group, retail has actually come down by almo st close to 2%, roughly 180 basis points so, clearly there is an improvement.

Yes, we would like it to be better than this and some of the actions that we have been taking are towards that but there has been a consistent increase in frequency and severity largely driven by heightened awareness in cashless availability, accessibilit y, active reach out by hospitals, and generally more higher preference for going for surgical interventions rather than going for conservative treatments and all.

Keeping that in mind, we have taken consistent price increases across our products and by the time we enter Q4, which is our biggest quarter, we have already re -priced close to 65% of our retail portfolio so, to that extent, you know, I think whatever we need to do given all the changes we are seeing, we have done most of that and we should start seeing the impact of this coming in the next few quarters.

As far as Banca and group business is concerned, yes, there has been more worsening on that side and those are annual policies where we can intervene much faster and do corrections

much faster, those corrections we have already taken in Q3 and therefore going forward that would look better.

Nilesh Kambli: Avinash, in terms of your first question, there is a mix of two years and three years as well. The long term for Q3 will be 9% of our portfolio. 91% continues to be one -year policy.

Avinash Singh: Just as a follow -up, if it was 9%, then the impact, I mean, because of "1 /N" that is coming close to 7-8%. I mean, if it was 9%, then typically you will account nearly, say, assuming that it took 2-3 years, so, 3 -odd percent you will account, so, impact should have been lesser, because the impact appears to be close to 8% of your premium. That's why I sort of asked that, if it is higher.

Nilesh Kambli: Yes it will keep on normalizing as we keep on booking the premium going forward.

Avinash Singh: Just a quick follow -up. I mean, how has been the growth trend looking so far in Jan? Because I mean, today we are on 29th, you would have senses because December for whatever reason, despite it's just more of a year end, was weak for industry, and you have sort of taken the price hike as well

. What does the growth trend look like in the month of Jan?

Anand Roy: As you rightly said, there has been a lot of changes in the quarter 3, both from regulatory framework as well as the macro situation so, we saw some disturbance that time but quarter 4, January growth looks very positive. In fact, on all the areas, on the retail side we are doing very well and we hope to close this year on a very positive note.

Moderator: Thank you. We will take our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: First question is on the expense ratio, right, that has stagnated around 30%, and we have been growing at 15 -16%. Do we conclude out of this that the incremental acquisition is coming at a higher expense cost versus the, you know, what was the trend previ ously? And this is the levels or possibly even we can see some increase as the fresh -to-renewal ratio kind of increases further. Do you think that this expense of management ratio would continue to trend flattish

or we can see some scale benef its if we grow at 15 -16%?
Nilesh Kambli: While it looks flattish, we have been improving our share of Banca business, which is benefit product, which is a higher procurement cost. The second factor is for retail business also the proportion of long term has been increasing for us so April to September also has a proportion of long -term business, and that gets accounted upfront under the erstwhile before "1 / N" rule. Hence, the expense ratio looks to be flattish as we implement 1/N, as we are getting scale benefits, this will keep o n coming down as we speak. We feel we will continue to get the 0.5%, 0.75% benefit going ahead especially with "1 /N" implementation as well.
Prayesh Jain: You are saying including 1/N, there will be still benefits of 0.5%, 0.7%?

Nilesh Kambli: No, we have to normalize it for 1 /N. On a like -to-like basis, there will be a benefit which will come in. It will move, the weight has moved up, and then it will keep on coming down again because the base has changed.
Prayesh Jain: If you can share the combined ratio of group and retail for the nine months that would be helpful. The suggestion was to start giving "1 /N" numbers on a monthly basis, excluding "1/ N" numbers on a growth basis on a monthly basis. That would be helpful to us. That was the suggestion, but the question is on the combined ratio of group and retail.
Aditya Biyani: Duly noted. I think we have already shared the retail loss ratios and group loss ratios. Considering retail is more driven by an agency, we are a retail -driven organization so, more or less if you see our combined ratio for the organization will reflect t he retail loss ratios and retail combined ratios too. In the future we will make a note of it and if possible we will try to share the combined ratios too but no commitment right now on the conference call.
Moderator: We will take our next question from the line of Supratim Datta from Ambit. Please go ahead.
Supratim Datta: My first question is on the loss ratio. You have repriced 65% of your portfolio and you expect that to positively impact loss ratios, but if I remember last year as well, you had repriced the FHO product, which contributed around 40% of your portfolio by around 25%. However, we haven't seen that positive impact come in this year. Your retail loss ratios for nine months is around 300 -350 basis points higher than what we were doing last year. Just wanted to understand why do you think this tim e the pricing actions will be different from what happened last year? If you could give us some color on that because from a regulatory side, what we are seeing is the regulator keeps tightening, be it the kind of policies that you underwrite, that there i s tightening on that or on the

claims and claim repudiation, there seems to be more focus on that, both from a regulatory as well as political standpoint. In this backdrop, why do you think these current price hikes should be sufficient to drive an improve ment? If you could give us some color on that, that's the first question.
On the second one, I look at the Group business of yours, you went out of this in FY23. Again, you went in in FY24. You know, the idea was that SMEs will result in better loss ratios. However, that experience hasn't really played out. Now from here do you think that it’s better to exit th is business again or do you think a price hike will be sufficient enough to address the issue because this is again a very highly competitive business at the overall level so just wanted to understand what our strategy going to be here from this point onwa rds, that again would give us some clarity.
Lastly on the New business growth and the fresh business growth that you pointed out in the 2nd Quarter you had indicated that the first half fresh business growth was around 31% and this time you are saying nine months is around 22%. Has there been a slowdown in the 3rd Quarter

or how should we read that or have I gotten my data wrong, if you could give some clarity on that it would be helpful.
Amitabh Jain: What is very clear is that pricing alone cannot solve for the entire portfolio loss ratio management and therefore along with price increases, we are taking various portfolio correction measures based on micro segmentation of our portfolio, which is to do with which products, which market, what kind of add -ons, etc, also, the overall strategy on what we do for specific markets in terms of the way we handle our distribution. All of that will go along with pricing to make some of these impacts a nd of course the work that is happening on the supply side, which is how we deal with the providers and so on. It's a 360 -degree approach that we have to take and you know we are working on all of that to make things happen. We are aware that pricing alone won't and see we also have to be conscious that price increases beyond the point can be counterproductive because they might either lead to lower attention or may impact fresh sales. You know that also to be kept in mind while we are doing this, the whole idea is that we get to a cycle of good growth on the fresh side as well as have good retentions with the desired heed that we have designed in the increases, so that's how we are approaching it.
Anand Roy: On your other two questions on Group and New Business growth, I think on the group side the

strategy was always very clear to focus on the SME and mid -corporates and that's what we have been doing but as you have rightly pointed out even in those areas we have seen an elevated loss ratio compared to what we had initially planned for, and that's largely if you consider the whole industry's loss ratio on the group side, it has increased and Star Health also as has felt the impact of course so, we c ontinue with our strategy. There is no change in the strategy. We will keep focusing on the SME and the mid -corporate segments and as we have already mentioned in our opening remarks, it's a smaller portion of our overall business plan but we will continue the same strategy. As far as new business is concerned, we are growing very well. In fact, we are very confident of doing much better as we go forward because this new product of Superstar has really taken off very well for us on all the channels and we e xpect this to become even better going forward. First half and second -half comparison cannot be maintained because bulk of the business comes in second -half so the growth rate on new business seems to be very comfortable for us.

Moderator: Thank you. We will take the next question

from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Good morning and thank you for taking my question. First, what is the extent of price hike that we're looking at and this again gives me some fear that we may lose market share as a result of taking continuous price hikes. I think we're taking a price hike on Family Health Optima, last year we had taken 25%. On top of it again, we're taking a price hike, right now. How are we going to contain that element?

Can you also, maybe I missed this what is the fresh business growth for nine months and for Q3, if you can give those two numbers. Lastly loss issues remain, sort of. Elevated so what is your expectation of the trajectory going forward into '26 and '27, so me sort of guidance could help us as to what sort of numbers you as management are probably going to be looking at or are working with. Those would be my questions.

Anand Roy: See, the price hike is the reflection of the market reality, which for us mostly, obviously, is driven by medical inflation. You know, as long as India continues to have a very high medical inflation, insurance companies will have to keep pace with it so, this is not the first court of call as we have always mentioned, but even if you look at it, the annualized yield that we are targeting on every product price that we do is between 10% to 12%, so I think inflation is a reality and customers have to unfortunately pay for that, and that is how we are planning our strategies. We are very mindful of the sensitivity of this whole business. We know that retaining customers, making sure that they don't feel aggrieved is important so, we have also design ed our pricing strategy in that manner so that you know most customers do not feel aggrieved by this whole incident. As far as FHO is concerned, yes, you know, we had taken a price increase two years ago, but we have decided to take one more this year so, that will continue. As far as retail fresh is concerned, we have grown at 22% or nine month on a GWP basis and 13 percent on NOP basis. Our strategy continues to be pushing both on the volume side and the value side led growth, which will continue, and we are very happy to see these numbers coming back on track.

Madhukar Ladha: On the loss ratio sir what should we sort of start thinking? How should we think about it over '26-27 like any improvement numbers that we should target at?

Aditya Biyani: The price hikes have been taken and as we follow 1/365 method, the impact will be seen in the next 18 to 24 months. What's more important is the claim rejection rates have gone down and our customer NPS has gone up so, we are very cognizant of the fact that how the customer service delivery can be enhanced in these times. Price hikes have been taken only to mitigate medical inflation and this will continue going forward too so we will wait and see how it goes. The initial numbers when we have taken up a price hike the retentions have been good. We don't see any issue in our retention portfolio in the coming year.

Madhukar Ladha: Got it. If I could squeeze in one more question on the commission side. I understand that the larger aggregators are still not willing to accept yearly commissions and IRDAI does not allow deferring of this cost. In that context how have we dealt with this ? It seems that we have managed to convert this for ourselves to a sort of yearly commission payment mechanism but I would like to hear your comments on that. Second is given this do you see industry dynamics changing in anyway because the EOM ratios for your competitors will then go up a lot more sharply than they would go up for yours. Does that help you in any way?

Anand Roy: I think you answered the question yourself. The EOM regulations do not put any cap on the payment of commissions, the accounting method for your gross written premium is what is changed so, on a case -to-case basis, we are discussing with our partners and w e are taking decisions based on what is beneficial to start it. Yes, we do have some headroom on the EOM side as compared to some of our peers when we will utilize it strategically wherever needed. Thanks.

Moderator: We will take our next question from the line of Uday Pai from Investec. Please go ahead.

Uday Pai: Thanks for the opportunity. I have a couple of questions. The first one is can you quantify the blended impact of the price hike that you have taken in FY25 on your total portfolio? Second would be you had introduced premium discounting for customers with no claims, a product with that feature. Can you share what is the contribution of that product to GWP? And also, if I can squeeze in last one, what would be the loss ratios in the Banca channel? You mentioned that it is a high procurement cost ch annel, but can you also share the loss ratios in that Channel? Those would be my questions.

Nilesh Kambli: The price hikes that we have taken are in the range of 8% to 9% of blended basis. In terms of Banca channel, you know we maintain a combined issue target which is below certain levels so very difficult to comment on the loss ratio, but these are very low l oss ratios. These are attachment products, which are very beneficial to the customer. In the case of any need, these claims are paid out.

Uday Pai: What is the contribution of the no claims premium discounting product.

Nilesh Kambli: It's introduced for one of the products which is 30% of our portfolio as of now. It is introduced for SIP product.

Moderator: Thank you. We will take our next question from the line of Prakash Kapadia from Spark PMS. Please go ahead.

Prakash Kapadia: Thanks for the opportunity. If I were to look at nine months combined ratio it is 101.8 versus. 98.2. This is largely due higher loss ratios and you know, this quarter we have seen OPEX and commission being higher, you partly alluded to the 1/N impact whic h is, started recently. What I wanted to understand is we are already following 1/365. What is the impact of 1/N for us and from here on how does the trajectory of combined ratios look forward on a ‘26 or you know near term basis for us be cause, we were already 1/365 in terms of revenue recognition, so with 1/N is the impact still there, lesser? Are we better off? If you could give some insights that will be helpful.

Nilesh Kambli: When we calculate the loss ratio the numerator is claims and the denominator is net earned premium and hence for loss ratio purposes, the 1/N stage will not create an impact When it

comes to expense ratio, that denominator is net written premium. While the NEP does not get impacted because of 1/N, the net premium does get impacted because GWP is going down and hence the expense ratio looks to be elevated by 1.6% for the quarter that i s on a like -to-like basis, we see that the expense ratio is flat.

Prakash Kapadia: Are you saying that for Q3, if I were to take this impact, it is higher by 1.6%.

Nilesh Kambli: Yes because of the 1/N impact otherwise last year it was 30.3% expense ratio, now it is 30.2% which is flattish.

Prakash Kapadia: As you know, we build the book end and we are looking at growth coming forward from Q4 onwards. I'm not looking at a specific guidance but ideally in what direction should we be looking at for the combined ratios going forward, how lower can they be? Some kind of a direction?

Aditya Biyani: When we started this year, we had given that we would like to double our top line and work towards an IFRS path.

Right now, at this critical juncture where there are so many regulatory and accounting changes happening, I think what's more important is whet her the segment is growing and for us as retail players, whether the fresh business is going up or not. I think that is where the agency, the digital, the Banca retail, everyone is focusing on it and our growth has been very good. In fact, o ur retail fresh growth has been almost in the range of 22% -odd and is followed by a very good volume growth. More than anything, I think we should be focusing more on the IFRS path towards Financial Year ‘28 and whether we can keep growing at the rate which we have envisaged, which is 18% -odd, reaching and doubling our top line from Financial Year ‘24.

Moderator: Thank you. We will take a next question from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi, good morning, Sir. So, just a few questions. First, you know, when I look at your renewal premium growth, that tends to be in the retail health side, my calculations say that it should be around 10% to 13% range and you also mentioned the blended price hikes that you have taken over the last nine months is around 8% to 10%. Broadly speaking, I just want to understand how has the retail persistency ratio been holding up if I look at the number of policies? That will be my first question.

Secondly, What I understand is in your Group business you have scaled up the Banca business over the past maybe 8 to 10 quarters. Despite that, the claims are standing at like more than 80%. I just wanted to understand on the employer -employee side what would be the mix today in your Group Health and how has that segment really behaved including large corporates.

And last question one is on the overall book, let's say that you have originated post let's say FY22 or maybe in the last 10 to 12 quarters. What would be the composition of this new book?

Anand Roy: We have seen definitely an improvement in the renewal persistency this year at 87% in the number of policies as compared to 84% in the last quarter of FY24. I think you know the focus is on ensuring that customers renew their plans. We put significant eff orts in reaching out to customers, giving them the ease of payment options and also most of these renewals happens digitally. I think this is something that we will continue to focus on. Our aim is to make sure customers continue to get the bene fit of having a Star Health policy and do not fall out of the franchise. On the Banca side, there has been a slowdown in the PSU banks. You are aware that there has been multiple challenges on the Bancassurance business in terms of regulatory interventions , in terms of oversight by the ministry on insurance sales in banks. All of this has definitely affected the business growth than what we had planned, but we are very positive of the partners that we have, we continue to add new partners on the Bancassuran ce space and I definitely think this is an area on which we will remain focused. On the Group side, I had mentioned in my opening remarks is a small business that's 4% of our portfolio, focusing largely on SME and mid -corporates but yes, there has been a d eterioration in the loss ratios on the Group side for industry and as well as for Star Health. We are taking some corrective measures in terms of the pricing and selection of business so that you know this business can continue to be profitable in the long run.

Moderator: Thank you. We will take our next question from the line of Jayant Kharote from Jefferies. Please go ahead.

Jayant Kharote: First question is regarding volume growth. If you could quantify the volume growth for this quarter for the firm and for the nine months and how is that shaping up? I'll come back with the second one.

Nilesh Kam

bli: 50% continues to be volume growth for the first nine months and 50% is the value growth that we are seeing you know with the price increase, which is effective December and Jan, we will see higher proportion of value going forward, but for the 9 months it is 50/50.

Jayant Kharote: Can you just quantify the number for the quarter, for the Retail Health?

Nilesh Kambli : It's around 7% volume growth and 7% is the value growth.

Jayant Kharote: One the claim side one thing is clear that this claims is not a Star issue, it is a broader industry issue and over the last three quarters is becoming more and more apparent. So, a slightly longer -term question that how do we address this issue that there's not dispersion of patients across hospitals and of course the issue of supply of the bed size, we see a lot of P/E investments coming in for the next but these hospitals take time to scale up and mature. So, what role can you, as a market leader play to sort of accelerate these hospital maturity cycles

so that the supply of beds increases and at least the severity can if not decline, at least stop growing at this pace?

Amitabh Jain: This is something that Star and of course industries really trying to kind of get solutions for and it is not one particular thing or one particular strategy that will work, but one of the things that we have been working with the GI Council is to get to d iscussion with the major hospital groups to agree on certain basic hygiene, for example, the way billing happens, the kind of billing heads that get bill to customers and to insurers. What could be the basic protocol for medical admissions? S ince we are seeing a heightened reach out to have admissions even for very basic medical requirements like simple fevers and so on. That is one. Two is of course, you know, how we sort of combine as an industry to look at what we can do on creating more aw areness amongst customers to be more aware of wellness and health conditions and make that as a first protocol., In the long run ultimately, a healthy customer base will lead to a healthy portfolio so those are some of the things that we are doing. Third i s specifically, Star is going all out to kind of use all the preventive measures that can be done, for example, we have been running a program on containing re -admission rates where we have seen a very appreciable movement of roughly 20% reduction in re -admissions that we have been driving post admission happen so, those are the kind of measures, a 360 -degree approach that we will have to take to kind of contain some of this and of course we have been talking to the government for a regulator for the hosp ital industry, which I think is very essential for some of these things to fall in place.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Nilesh Kambli from Star Health and Allied Insurance Company Limited for closing comments. Over to you.

Nilesh Kambli: Thank you everyone for joining. We are experiencing good growth in our retail business with expansion in our product and distribution profile. We are excited about Quarter 4, which is the largest quarter in terms of the premium for us. With the pricing intervention taken in December and Jan ‘25, the financials will continue to improve going ahead. Thanks for join ing the call. Thank you.

Moderator: Thank you. On behalf of Star Health and Allied Insurance Company Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2025

Date : May 7, 2025
Place: Chennai
Ref: SHAI/B & S/SE/ 27/2025-26

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra -Kurla Complex
Mumbai – 400001 Mumbai – 400051.
Scrip Code: 543412 Symbol: STARHEALTH

Dear Sir/ Madam,
Sub: Earnings Call Transcript -Q4 & FY 2025
Further to the Company’s letter SHAI/B & S/SE/ 09/2025-26 dated April 16, 202 5 regarding Earnings Call Intimation for Q4 & FY2025 , please find attached transcript of the call dated April 30, 2025 for your information and records .
The above information is being hosted on the Company's website at www.starhealth.in

Thanking You,

For Star Health and Allied Insurance Company Limited,

Jayashree Sethuraman
Company Secretary & Compliance Officer

Encl: as above.

Star Health and Allied Insurance Company Limited
Q4 & FY2025 Earnings Conference Call
April 30 , 2025

Management:
Mr. Anand Roy – Managing Director & Chief Executive Officer
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Aneesh Srivastava – Chief Investment Officer
Mr. Amitabh Jain - Chief Operating Officer
Mr. Himanshu Walia – Chief Marketing Officer
Mr. Aditya Biyani – Chief Strategy & Investor Relations Officer

Moderator: Ladies and gentlemen, good day and welcome to the Star Health and Allied Insurance Company Limited Q4 and FY 2025 Earnings Conference Call.
As a reminder, all participant lines will be in the listen only mode, and there will be an

opportuni ty for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pranay Prem kumar from Adfactors PR Investor Relations team. Thank you , and over to you Pranay .
Pranay Premkumar: Good morning everyone , from the senior management we have with us , Mr. Anand Roy – Managing Director & Chief Executive Officer; Mr. Nilesh Kambli – Chief Financial Officer; Mr. Aneesh Srivastava – Chief Investment Officer; Mr. Amitabh Jain – Chief Operating Officer; Mr. Himanshu Walia – Chief Marketing Officer and Mr. Aditya Biyani – Chief Strategy & Investor Rela tions Officer.
Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financial and operating performances, benefits and synergies of the company's strategies, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's conference call may involve risks and uncertainties.
Thank you and over to you Mr. Anand Roy .
Anand Roy: Thank you so much and good morning to all of you. Thank you for joining the Star Health and Allied Insurance Earnings Call. It's been a year of ups and downs for us, and we close the year FY 2025 on a positive note. To give you the script, I am requesting my colleague, Aditya to take over, and t hen we will take your questions -and-answers as well. Thank you.
Aditya Biyani: Thank you Anand . Good morning everyone, and thank you for joining us on ou r Q4 and FY 2025 earnings call. Firstly, wishing everyone a very Happy Akshay a Tritiya . We closed Financial Year '2025 by further strengthening our position as India's largest standalone health insurer. We continue to lead decisively in the retail health insurance segment, commanding a 33% market share, nearly three times that of our nearest competitor as per GI Council data . This performance underscores our clear and consistent leadershi p in retail health , a segment that remains the primary growth engine for the health insurance industry. Our domain expertise and indemnity products, combined with our strong distribution network and digital first approach , reinforces our position as a pref erred partner for customers seeking comprehensive health coverage. In FY 2025 India's general insurance industry reported a 6.2% growth in GDP I year -on-year. Health insurance segment remains the largest segment within the general

insurance industry, with t otal premium reaching Rs.1.18 lakh crore in FY25 markin g a 9% increase from last year.
Retail health insurance segment recorded the fastest growth, expanding by 12% to Rs.47,000 odd crore accounting for 40% of the total health insurance premiums . In FY 2025 the insurance sector has embarked on a path of comprehensive reforms aimed at realizing the goal of insurance for all by 2047 . The introduction of the master circular has emphasized customer centricity, aiming to improve transparency, simplify insurance products and standardize claims processes. These initiatives are designed to foster greater trust and accessibility for policy holders. Complementing these regulatory strides the union budget 2025 has int

roduced pivotal
reforms to fortify the insurance se ctor. The FDI cap in insurance has increased from 74% to 100% , a move anticipated to attract global capital and expertise. The GST Council also had discussions around rationalization of GST on insurance premiums. Currently, health insurance premiums attrac t an 18% GST, which possesses a challenge to affordability, particularly for middle income and vulnerable groups . Reducing or exempting GST on retail health insurance and micro insurance product will not only promote wider insurance adoption, but also alig n with the government's vision of universal health coverage and s trengthen financial protection. Furthermore, the budget has placed strong emphasis on healthcare with increased allocations aimed at strengthening medical infrastructure, expanding coverage u nder schemes like Ayushman Bharat and promoting digital health initiatives. These measures are expected to enhance insurance penetration and awareness across the country. As a leading standalone health insurer, we have proactively aligned our strategies wi th these reforms . Our sustained investments in technology and customer centric solutions position us well to capitalize on the evolving regulatory environment and to continue delivering value to our stakeholders . As awareness and demand for retail health insurance continue to rise across India, especially in the semi urban, rural and smaller towns , we are well positioned to capitalize on this structural growth opportunity .
Coming to business performance numbers for Financial Year '2025:
We would like to hi ghlight that we will be presenting our numbers without "1 by n" to provide greater clarity. FY 25 was a year of focused execution where we made measurable progress across key focus areas. Despite external challenges, we delivered strong growth in our core retail business, saw healthy traction in new products and continued to strengthen customer

engagement. We saw strong growth in our fresh retail GWP, which grew by 25% for the year. This success was driven by renewed agent productivity, sharper campaign and the acceleration of our digital channels. A key product innovation this year was the launch of our superstar policy, which has garne red more than Rs.550 crore in Financial Year '2025. This product offers 21 optional covers and unique features like freeze your age and limitless care. It did become a top seller across digital platforms too. Its customization, wellness integration and competitive pricing set it apart in the market. We also made significant improvements in our claims net

promoter score, which was driven by enhancement in service quality, faster turnaround times and technology based pre authorization.

While we recorded strong gains across many areas, there were some challenges that impacted our performance. Our overall claim ratio stands at 70. 3% driven by higher severity and frequency of claims, particularly with increased surgical intervention and hospitalization rates . The group segment, though a smaller portion of our portfolio, continued to face pressure. Loss ratio rose to 89.8% from 77.3% last year . We strategically recalculated our group segment strategy since Quarter 2 Financial Year 2025. The contribution of this segment to our total GWP, has reduced to 7% as on Quarter 4 Financial Year 2025 from 9% as on Quarter 2, Financial Year '2025.

In Financial Year '2025 our overall GWP has grown by 15% , our fresh GWP grew by 22% , Renewal GWP premium growth was at 12.5% . The fresh retail number of policy grew by 11% . Our renewal growth in number of policy grew by 5% , the overall number of policy growth stood at 6% for the Financial Year '2025. This clearly emphasizes our focus on both volume and value growth. The average sum insure d of new policies has inc

reased by 10% to 16 lakh per policy . 5
lakh and above some insured now constitute to 87% of our overall portfolio, versus 83% in Financial Year '2024. The share of long term policy has increased to 10% in Financial Year '2025 versus 7% in Financial Year '2024. The ratio of fresh to renewal has improved to 23 :77 in Financial Year '2025 from 22 :78 in Financial Year '2024.

Now moving on to four engines of growth – ABCD .

Firstly Agency :

Our agency channel continues to be the cornerstone of our business, contributing 82% to our overall gross return premium in Financial Year '2025. Agency fresh business growth stood at 16% . We would also like to highlight that for Quarter 4 fresh growth from this channel stood at 19% , thus reflecting the channel's strong momentum and productivity. During the year, we added 74,000 new agents, taking our total agent count to 7.75 lakh . Over the next three years, we aim to expand this network to a million agents. This expansion is a key l ever in our strategy to deepen insurance penet ration, particularly across non -metro cities and emerging towns .

Coming to Banca :

For the Financial Year '25, the Banca channel contributed 7% to our overall business. With fresh business growing by 13% year -on-year . We are privileged to have an access to a robust network of over 20,000 partner branches offering us significant opportunities to scale distribution and enhance reach. Bancassurance has traditionally been a strong distribution channel . The "1 by n" guideline and the Department of Financial Services views on this segment have led banks to concentrate more on refining their core banking products. As a result, Bancassurance growth had moderated with banks prioritizing regulatory compliance

and cor e business focus over insurance distribution . Given the evolving healthcare needs and rising awareness , indemnity health insurance products remain a core offering to the bank, supporting both customer demand and business growth .

On Corporate Business :

In this segment, we are focusing primarily on serving micro, small and medium enterprises . In Financial Year '2025 the corporate business contributed 3% to our overall portfolio with fresh business from this group segment growing by 21% year -on-year . This ref lects our continued efforts to deepen engagement and drive value within the MSME ecosystem . Our proprietary over the counter SME calculator has strengthened our association with agents who have been generating new business focusing on SME and MSME business segment .

Coming to the Digital segment :

Our digital business comprises of our own direct to consumer online brokers and web aggregators, which contributed to 8% in Financial Year '2025 to our overall business. Our own direct to consumer channel contributed 72% to our digital business, and the remaining 28%

comes from online brokers and web aggregators. The fresh business from digital channel grew by 71% .

Coming to the financial performance for Financial Year ‘2025 as per IFRS :

Our combined ratio in Financial Year ‘2025 stood at 101.1 % compared to 97.3% in Financial Year ’2024. Claim ratios stood at 70.7% in Financial Year ‘2025 compared to 66.5% in Financial Year ’2024. The expense ratio in Financial Year ‘2025 stood at 30.4% compared to 30.7% in Financial Year ’2024. Investment income in Financial Year ‘2025 has grown to Rs.1,260 crore versus Rs.1,171 crore in Financial Year ’2024. The yield for Financial Year ‘2025 stood at 7.7% , our investment assets have g rown by 15.5% and has reached Rs.17,898 crore in Financial Year ’2025. For Financial Year ’2025, our profit before tax stood at Rs.1,054 crore versus Rs.1,480 crore in Financial Year ’2024. Our PAT for Financial Year ‘2025 stood at Rs.787 crore, compared to Rs.1,103 crore

in Financial Year ’2024. Our ROE for Financial Year ‘2025 stood at 9.5% .

Solvency of the company as on March 31 st, 2025 was 2.21 times compared to the regulator y requirement of 1.5 times.

I would just like to highlight some key highlights for Financial Year ’2025:

We launched India's first health insurance policy in Braille, making protection more accessible for the visually impaired. Star Health was rated as India's most sustainable insure r in S&P Global 2024 assessment with an ESG score of 53 for Financial Year ’2024. Our NPS company score stands at 54 for Financial Year ‘2025 versus 42 in Financial Year ’2024. Our claims NPS stands at 55 for Financial Year ‘2025 versus 47 in Financial Year ’2024.

In terms of claims amount , our cashless claims lesser than 3 hours at 96% in Financial Year ’2025. Our claim rejection has come down to 10% in Financial Year ‘2025 versus 13% in Financial Year ’2024.

We have been consistently increasing our engagement with customers on prevention and wellness. Our preventive health checks have increased by 48% in Financial Year ’2025. Our home health care initiative expanded to 156 cities, helping reduce hospitalization and lowering treatment cost. This is an other step in making healthcare more accessible and affordable for our customers. We continue to yield savings in terms of claims outgo due to our anti fraud digital initiatives, which are proprietary to Star Health. In terms of saving, we are able to attribute 2.6% to the claims outgo . Our app has seen strong traction, with total downloads reaching 1 crore as of Financial Year ‘2025 up from 57 lakh in Financial Year ’2024. Our substantial investments in technology and automation enables us to achieve i ndustry leading metrics for low operating cost and exceptional customer experience. We also took re -pricing on six products this Financial Year ‘2025 constituting to around 60% of our portfolio.

Looking ahead, Financial Year ‘2026 marks a pivotal chapter i n our journey, and we are defining it as the year of the customer, reflecting a strong focus on delivering protection that is personal, relevant and seamless for every individual we serve. Our roadmap is built on three strategic pillars. First is profitabl e growth , driven by sharp underwriting , focus on high return markets and stricter pricing discipline . Smarter cohort based pricing and deeper actuarial insights will help us balance margi n expansion with affordability. Second is customer centric innovation. We will introduce tailor products for Gen Z, early earners, senior and underserved geographies designed around life stage needs, health trends and regional insights. Third is digital first execution . Financial Year ‘2026 will bring a more seaml ess digital experience with real time claims , AI led pre -authorization and robust self -service on our app . This will enable customers to access care, wellness and support anytime, anywhere.

Lastly, we are moving from a transactional to a transformational s ervice model . Referral- led growth , loyalty programs and faster turnaround time will be poured to this shift. Every customer touch point will reflect our belief that health insurance must be personal, inclusive and future ready. Thank you so much and with all these updates, we can now open the floor for question -and-answers.

Moderator: Thank you very much, sir. We w ill now begin with the question -and-answer session. The first question is from the line of Shreya Shivani from CLSA . Please go ahead.

Shreya Shivani: My first question is on the claims. I was also looking at the outstanding claims reserve and the IBNR reserves, the combined number that you give out in the Q4 result , that as a percentage of the claims paid is now 14% this trend and this nu mber used to be abou

t 11 %, 12% earlier. I

wanted to understand, since I don't have the breakup of IBNR reserve s, have we build higher IBNR reserves ? are we concerned about more claims coming through ? Does that mean that

any improvement in loss ratio in the coming years is under a question right now ? How much can 70.3 move to in FY’2026 and 2027? Some idea on that would be useful.

Second, I wanted to get an update from you on the common empanelment that GIC council was working on . There was a media article recently that it's progressed a bit. If you can help us understand how that's moving and how much benefit can it give to us ?
Third, if you can help me understand the IFRS ROE is lesser than the I GAP ROE, and I am guessing it's because the deferred acquisition cost got impacted by the long term regulation and long term policy . If you can help us understand that math as well, it will be useful. Thank you.
Amitabh Jain: Hi Shreya, Amitabh here. We have seen an elevated frequency and severity that we observed in Q3 also . It’s largely led by carcinoma obstetrics and gyn aec cases. The preference for hospitalization over conservative treatments, aided by easier access availability , early screen ings, and, of course, the cashless availability is, all playing their role. That is one of the reasons why we see those loss ratios. Yes, we have strengthened our reserves this quarter . See we don't have to go by one particular quarter. This business is no t about quarterly numbers , its annual business is in fact more than annual . It can be a business which corrects over a period of time , so we are seeing some of those trends, and we are ensuring that we have healthy reserves to meet any exigency.
On the GI Council, common empanelment , there has been substantial progress on that, and there are various sub committees and groups created which are now divided geographically to reach out to set of hospitals that we are targeting in the first round. Substantive ta lks have happened at various levels, and we are seeing early signs of some breakthroughs. I wouldn't want to add further to that at this point in time, and the GI Council spokesperson would be the right person to talk about that , but it's a good progress . Not only that, the industry is also trying to work out on various other measures, on the fraud control perspective and as well as building better efficiency. All of this will play a big role in the coming year. On the ROE question, I would request Nilesh to respond .
Nilesh Kambli: On the RO E part it is largely like marginal reduction was because when it comes to IFRS, the mark to market o f the investment portfolio is also considered. There was a slight decline in Q4 which had resulted in lower RO E in IFR S.
Shreya Shivani: Yes, but even the deferred acquisition cost was 525 last year, and that has come down. Is there something to read over there ?
Nilesh Kambli: No, absolutely not , see that's a function of the “1 by n” , because now the booking itself is not coming

Shreya Shivani: Got it. Just a follow up on the first question on the loss ratio, on building reserves and I understand that you might have built reserves basis the trend we are seeing right now, but any guidance or any outlook on how the loss ratios can move over next year, or anything on that side would be helpful. Thank you.
Amitabh Jain : While we wouldn't want to give a guidance around loss ratio but we have taken some measures on improving our fresh busi ness . Our fresh business is really growing strongly now. We have done pricing corrections on the retail side and it’s more than 60% of our portfolio. We have done pricing corrections on our Banca portfolio as we

ll, in the range of 20 % to 40%, and along with that, w e have taken a lot of measures on micro segmenting our markets, focusing on profitable markets, ensuring that we are picking up risks more prudently. Some of those measures will also play out because underwriting efficiencies build over a period of time. On the claim side what we have done is that now we have digitized more than 50% of our hospital billings, and those efficiencies will start to flow in. We are also undertaking a complete transformation of our core claim system , which will happen by Q2. That will again help us for better efficiencies in claims processing, preventing leakage and better fraud control. All of that, will help us manage the situation much better going forward.

Moderator: Thank you. The next questio n is from the line of Krishnan ASV from HD FC Securities . Please go ahead.
Krishnan ASV: I wanted to understand kind of what you answered to the previous query as well you said 20 % to 40% hike , you have taken price corrections in the agency portfolio, in th e Banca portfolio, and this 70% loss ratio is despite all of that . You have been taking price corrections for nearly two, two and a half years now, starting from the family floater. I just want to understand how bad the current portfolio is ? Is it largely backed book underwriting which had gone wrong, which is now causing all this pain , is there any reason to believe that your flow in the book that you have seen in the last year, year and a half is any better?
Anand Roy : The price corrections that we have t aken over the last few years has helped us to retain the loss ratios where we are today. We are an 18 year old organization, and we are operating currently at 68% loss ratio on the retail side, and overall 70% . There has been a n increase in loss ratios for all players in the industry if you would compare, and I would say that, amongst

most of those we are comparatively much better off. Having said that, we agree to your point that, the loss ratios have elevated because of the reasons which Amitabh had menti oned in the earlier answer as well. We are quite confident on maintaining the overall loss ratios and combined ratios , as we have seen significant green shoots in our new business growth , the loss ratios of the different cohorts that we monitor. The health insurance business is undergoing

lot of transformation, and we have to accept that there are multiple interventions from various regulatory bodies, from various government bodies. This is a period of some kind of transformation which the industry i s going through and this is some pain that we have to live with in the short term, but we believe that the corrective measures we are taking, in the long term we will be much better off.

Krishnan ASV: Understood. The other thing is, you mentioned both seve rity and frequency which have seen structural changes , can you just walk us through or quantify this a little bit for us ? What do you see on ground today, vis-à-vis what you expect say three years back, both in terms of frequency as well as in terms of sev erity, because what we find is incidence rates have gone up , but just want to understand if you could kind of help us to quantify that, what did you expect in three years back , what is the reality today?

Amitabh Jain : On frequency, the increase, while still in single digits , is closer to 10%, on the higher side of the single digits and that's a bit of a n increasing trend than what we have earlier observed in the previous year. I wouldn't be able to comment exactly on three years, but we used to note see more than 3% to 4% increases in frequency earlier. That's the change and on severity yes, while the market continues to see medical inflation at +15%, but we are holding that to well belo

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10% as of now. In fact, ours would be one of the better controlled book as far as medical inflation is concerned.

Krishnan ASV: I am sorry to interrupt you, I find that this is a misconception I don't think anybody in the industry is close to 15% . Whether it's a listed company, whether it's an unlisted company, whether it's a TPA, listed TPA, all of them are claiming that medical inflation is actually in mid-single digits . I can't understand this misconception around why you believe the industry is a t 15% and you are doing any better ?

Amitabh Jain : No, I am talking about the medical inflation in terms of what the industry is maintaining versus what we see actually happening in the hospitals. If you come across a ny published number on medical inflation , it talks, well about , anywhere between 10 %-15% . I am not commenting on what the insurance industry is maintaining it at. Obviously, all the players are doing their bit to keep it at sustainable levels.

Krishnan ASV: You are saying severity is not a big problem. At least Star Health has controlled severity far better than the industry that's your assumption ?

Amitabh Jain : See it is not at the level that we want it to be at , obviously that is why we are not seeing the impact that we w ant to see on the loss ratio . I am not saying that it is at a level that we want, but it is much lower than what the overall industry trends are. Even within the industry, while you are saying, and I am going by what you are stating, but in terms of our nu mbers, we are maintaining a number which is better than most other players.

Krishnan ASV: Thank you. I do have a suggestion, if you don't mind a constructive suggestion . When things do go wrong, it's better not to play smoke and mirrors. You might as well own up. Unfortunately, whatever changes you have done in the deck doesn't really help. You probably should be upfront, because you are the market leader , it helps when you own up w here things went wrong. Thanks.

Moderator: Thank you. We will take the next question from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh: A few questions from my side, first obviously when you did the price hike first time around, the quantum was high. It also led to adverse selection in hindsight afte r 24 months almost . Now given that you have been taking price hikes for the past five to six months, just want to get some sense of the quality of persistency now, in terms of over the last few months where the cohorts have taken price hike, you would have done some analysis of the customers who have been retained versus those who have probably coded out , so just wanted some qualitative color on the cohort that remains with you, versus the trends that you saw in F HO once you have taken the price hike for the first time, versus this time around and second, what would be the policy persistency levels after the price hike?

The second question would be, on this entire rise in claims ratio for FY ’2025 if you can split it between FHO and non -FHO , we will get the data in the disclosure , but it would be great if you can split that up .

Two more small data keeping questions. One, given that now your new business growth has revived. Would you be categorical in explaining the gap between less than three or four year bucket claims ratio versus more than that , that will give us some color in terms of how to extrapolate this new business growth through claims ratio trajectory. Lastly, on the claims frequency, you quoted that it has been increasing at 5%-6% but what would be the annualized number?

Anand Roy : Let me take the question on persistency first. When we took the price correction in the traditional manner two years ago in FHO , we found that customers obviously, every time we

take a price correction we have always articulated that 5% to 6% of consumers do drop off. Now we are noticing a big difference between the consumers that dropped off earlier, and the consumers that drop off now in the latest manner in which we have taken the price correction, because this time we have done it in a little bit more nuanced fashion, where we have given discounts to customers who have had better claims experience. We are seeing a much better persistency on consumers who have not made claims, because their price corr ections have not been that much higher. I would say that, forthe FHO price correction last time versus this time , we are seeing much better results this time as far as underwriting standards are concerned . As far as the loss ratio of FHO is concerned, it c ontinues to be closer to 80 odd percent , and we hope that with this price correction, that will come down by 2% to 3%. We have to understand

that every price correction that we take actually takes 12 months for it to fully get reflected on the books of the company, and only then the whole NEP earnings comes in, and then the future months reflect the loss ratio of that particular book. It is a long process, but it is something that we have to be more proactive and that's why when we made our opening remarks, we have told you that we have taken the price revisions in almost 60% of our products, and we expect that, given the way the industry and the markets and also, to some extent the guidance we have been receiving from the regulator, we will be taking a soft annual price increase to keep up with the medical inflation that we notice on our books . On the claims frequency, Amitabh if you want to add to it.

Amitabh Jain: As I mentioned in the last question, we are basically experiencing higher frequencies, and the annual increase is upwards of 7% in frequency . That's primarily led by movement from secondary to tertiary care hospitals also more pre ference for hospitalization vis -à-vis conservative treatments. More ac cessibility and screenings are happening , we have seen a lot of increase in cancer frequency because early screenings are happening now. Some of those trends have come in, and that will obviously take its time to settle in and as a new sort of benchmark fo r us to price, because when all of these show up in the data, and actuarial methods kind of go through those trends which is then built up as part of our pricing so , some of those corrections happen with time, and we hope that it will settle at a level where we can sustain it at this pricing and the future pricing correction s.

Dipanjan Ghosh: I am sorry, the question on claims ratio in the newer cohort of less than three, four year versus others, what would be the gap, and has that materially changed?

Aditya Biyani: Dipanjan , we will take this question offline on the fresh and the renewal vintage loss ratios.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: I am j ust trying to connect the dots out here . You had taken a family health optima price hike of 25% a couple of years back, and at that time, we were told that the benefit of that will start flowing in a year's time. While we haven't seen those benefits any time , now you are saying that you have taken a price hike and over and above that you would be giving discount to good customers. From a claims loss ratio perspective, does the current price hike benefit us in any form in terms of loss ratio going ahea d?

Amitabh Jain: Yes, see that price hike helped us to an extent, and we managed the book in the last one and a half years basis that . What we realized is that , the way some of the price hikes are happening also leads to challenges in retentions of, g

ood risks, which are non -claiming customers so that's the importance of cohort based pricing where you can incentivize non -claim . That's what we have done in the recent change that we did, and since it has been done very recently , obviously the impact will com e only next year . The price hike, the latest hike happened only in January

for FH O, so that will take its time to build , but we are seeing good trends as far as retentions are concerned in that particular hi ke.

Prayesh Jain: Amitabh , honestly the only poin t that we have been trying to ask is , the previous benefit s have not come in and what kind of confidence do you have that these price hikes will help you to maintain loss ratios or even improve for that matter. Just another question on that , at the beginning of this year FY’ 2025 you had guided for a 100% improvement in combined ratio, 50 basis points on loss ratio and 50 basis points on the OPE X. None of them seems to have come

through in this year , what should we think about it from FY' 2026 or from a longer term perspective , how should we think about loss ratios and combined ratios going ahead?
Anand Roy : See Prayesh , we had guided for 50 basis points improvement in OPEX and 50 basis point on claims . On the OPEX, we have achieved that but of course, because of the "1 by n" reporting , optically it may not be available, but if you look at the overall GWP reporting basis, it is definitely something that we have worked on. As you know, there has been a consistent improvement in OPEX year -on-year . We continue to focus on that through our investment , tech and automation. We believe that it will continue to happen in the future years, as well. As far as loss ratio is concerned of course, this has been a bad year for us. We saw that, the loss ratio d eteriorated 400 basis points to where we want ed to be. We have told you that the loss ratios are now broken into three different cohorts , there is retail, there is group, and there is the Bancassurance fees. On all these three areas we have taken correctio ns, and we are quite confident that going forward, loss ratios will only improve from here. We have been seeing that trend for the last 3 Quarters. Every quarter there has been an improvement over the previous quarter , but I don't want to give any guidance for the future. We have also guided for an FY' 2028 medium term kind of vision where we would be doubling our top line and tripling our profit on the IFRS basis. We continue to stand by that guidance.
Prayesh Jain: Just one last question, could you please mention the loss ratios on the renewal and the new business separately for the retail book?
Anand Roy : Sure we do that offline , and I can tell you that we are very encouraging and we c an share that with you offline.
Moderator: Thank you. We will take the next question from the line of Madhukar Ladha from Nuvama Wealth Management Limited . Please go ahead.
Madhukar Ladha: Just on the loss ratio , they continue to be elevated and even from a nine months to a full year, the loss ratios have only increased. Up nine months, this is about 340 basis points, and now it's again up to sort of 380 basis points. On a year -over -year basis, when should this trend start looking better ? Where this is actually sort of coming off ? And in the group business, it should be an easier fix , and there loss ratios are elevated so, what sort of improvement can we build at least on the group side ? That will be useful to know . Also some data keeping questions,

because the deck has changed substantially and the consistency of information is lost every sort of quarter , so while you have given a lot of channel

wise fresh business growth, but I have tried to do some back calculation, the total fresh business for FY' 2025 is about Rs.40 billion is that correct? Finally, if you can give your ABCD split and GWP split between retail and group for FY' 2025 that would be helpful.
Anand Roy : Yes, Madhukar to your second question, your numbers are somewhat correct in terms of the volume of business that you are projecting of Rs.40 billion fresh . For the loss ratio side over last year there has been a 400 basis point increase for the full year which was 66.5 %, this year we landed a bit around 70.1 %. It has been a bad year in terms of the elevated loss ratios . What w e are trying to articulate here is that quarter -on-quarter basis, if you look at the previous quarter versus this quarter, we have seen improvements in loss ratios, and we believe that all the interventions that we have taken will improve the loss ratios further going ahead . We remain to be very positive loss ratio increase has multiple reasons, but there is no point in discussing those reasons again . I just want to tell you that the steps the company has taken in terms of pushing new business, in terms of underwriting strat egies retail versus group, as well as provide management that we are doing with our hospitals, we are quite well placed to have better outcomes in the future years.
Madhukar Ladha: Any comments on the group side, because group should be more easily fixable , and the loss ratios there have also increased substantially ?
Anand Roy : Absolutely, our ratios of group business has come down significantly. We have been highly selective on the group business from last 3 Quarters, and loss ratios will come down on that since we are writing better business and being very selective about it.
Aditya Biyani: Madhukar , we have been showcasing our overall loss ratio split into retail and group . Retail obviously stood around 68 od d percent and we have consciously recalibrated our group business since Quarter 2 '2025 and from Quarter 1 '2026 our large group business contribution will go down in a big way from our top line and earned premium. This will obviously help our LR in the co ming year . Our retail fresh growth, along with the price hike taken, is almost of 60%-65% of our portfolio, and this will be followed by our annual re -pricing also. The full impact on NEP is due to one by 365 accounting will at least take probably a 12 month period, but we are very confident that all the proactive actions which we have taken in the last six months will show good results in the coming days. Our fresh growth has been very encouraging, and that also will be a very big point . Coming to the r etail and group split just in Q uarter 4, our retail contribution to the total premium was 95% and the group was only 5% .

Moderator: Thank you. We will take the next question from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh : The question is more, I would say broader level, if we see ag ain, I am going back to the pre -COVID area to now almost five odd years. If we look at the industry level of course, whatever we had seen in the frequency and severity is known, partly due to hospital. Now, my question is very basic , now if we see not just you, your peers also when the growth sort of slows down, this reasonable spike in claims cost and the claims ratios have been going upward. Now in this, all this changes in frequency and seve rity, is there a fundamental shift, because at the end of the day, even retail or group, it is all about the health care cost of frequency and severity. Is there a fundamental change that you are witnessing in the population cohort, in terms of the lifest yle or chronic diseases ? How has the medium term trend been? A pre-COVID, post -COVID ,

are these spikes led by say a typical Dengue, Malaria or Chikungunya kind of a thing that is seeing extreme rise or is it that okay, a cardiac care, cancer care, these ki nd of a lifestyle, or chronic diseases, because both will kind of have a different repercussion and pricing impact. If there is a kind of a structural change in, a morbidity profile of your cohort, whether due to doing the pollution or whatever, if there i s a kind of the outcomes in or frequency in cardiac , cancer and all these life threatening diseases lifestyle is increasing, then probably this is going to be a chicken and egg scenario where I can price hike and expectation claims experience worsening. What has been, when you analyze the data over five years, because of course you are the largest one, what kind of a thing, or which bucket of the morbidity has changed, seen a bigger change ? Is it the lifestyle, chronic diseases, or it is just some spike coming, just because of some incidences of the summer heat or Chikungunya, Dengue kind of a thing ? Thanks.

Amitabh Jain: For the quarter, if you are talking about, we have seen more incidence on the surgical interventions, not so much on t he medical and for the year also, while there's been increase both on medical and surgical but we have seen a larger increase on the surgical incidences . This is led by more of cancer, gynaec, obstetrics and urological issues . Whether it's a structural change or not, we will come to know only with some passage of time, because we are still observing some building up and trend changes. Whether it will reset to a new normal is something that we will know. Usually actuarial pricing is based on trends over a pe riod of time, and that's what we have taken into account when we do any re -pricing of a portfolio. Whatever changes in frequency or severity that happens is generally accounted for in all pricing changes that we undertake . Now, sometimes there could be some surprises in that when the expected frequencies go up more than what was actually estimated while pricing the product. That could be one of the issues, but largely whenever a reset happens, it mostly settles down in a year or two. Generally, that's the trend. We will continue to monitor this very closely and ensure that we are taking adequate, precautions on both sides. One on the underwriting side, as we said, we continue to focus to ensure that we are micro segmenting our risk. We are focusing on the profitable cohorts, taking due precautions in whatever we underwrite. On the other side, as I said, we continue to negotiate and ensure that we get the best pricing arrangements at the hospitals, and ensure that our ability to leverage on claims analytics, with all our last 18 years of understanding of this business helps us stay ahead . That's what the effort is.

Anand Roy : Avinash , just to add to that, to what Amitabh said, we have to understand that health insurance is a busi ness that is almost not a n optional coverage anymore. People have to buy health insurance, and we are glad that that kind of understanding has come into the population. With more and more awareness, more and more people are coming forward to buy health insurance, and that's why all health insurance companies continue to grow. Now, how can this growth be profitable, and how can this growth be sustainable is a challenge we are facing for the last two years. Yes, people buy health insurance because they want to go for higher quality of treatment. There are multiple studies which shows that people who have health insurance have better health outcomes in the long run, because they obviously seek timely treatment which otherwise they would not have , so, it is som ething that is evolving . What we would like to tell you is that we are studying these trends, and we are

definitely pricing products and
restructuring or underwriting to make sure that we stay ahead of the curve and not pla y a catch up game at all times.

Moderator: Thank you. The next question is from the line of Varun from Kot ak Securities. Please go ahead.

Varun: I just had a question on the divergence between fresh and overall growth that we have been reporting. If you look at fresh growth, retail grow th, you are saying that is about 25% for the year, and that translates about 33% for a quarter. When we look at renewal rates, they seem to be on a decline, particularly in 4Q. Is there anything off in the base that is causing this

decline ? It's about comi ng to close to 90% instead of 95 %-97% is what is there for a full year?
Aditya Biyani: Varun, let me just reassure that the 25% growth is on without “1 by n” . Coming to the renewal , I had already mentioned that, the renewal growth has in value terms, been 12.5% and on the volume side, it's been 6% on the number of policies , so the growth has been on volume and value both .
Varun: I think the number you are talking about is for the full year. I am saying in 4 Q there is a trend of sharp decline in renewal rates. Are you seeing the same or is there something else?
Nilesh Kambli : The renewal ratio is Q4 also continues to be 19% for us.
Varun: Okay. In terms of investment yield, this slight moderation in investment yield, bond markets have rallied , so what is the reason for this moderation?
Aneesh Srivastava: Hi, Varun, this is Aneesh here. If you look at the book, what we have done in last so to say, one and a half years is that , as our solvency levels have stabilized, we have started building equity book. The equity book was 6.7% of the AUM at the beginning of the year , this is at the end of last quarter of last financial year, and today this stands at approximately 15% . What happens is that , if we get an opportunity in between to book profits that gets counte d, declining yield is not a good scenario, but we are fully invested as far as fixed income is concerned, and I don't think that we would be needing to buy too much of incremental fixed income, except for the

maturities that would come in. Now if you disse ct the last 4 Quarters, we have booked in Rs.33 crore , kind of investment book profit . 2nd Q uarter was Rs.85 crore , and 3rd Q uarter was Rs.55 crore . Intent of booking profit was that there had been exuberance in the market, and hence we had pare down some exposures. We were not expecting that we would get reinvestment opportunities so quickly , but fortunately, we got reinvestment opportunities in the fourth quarter, and we have scaled back over exposures. That's the reason why, in fourth quarter we have just booked Rs.11 crore , and we have not booked large quantum, because that was time when we were re -increasing our equity investment book. Due to the Rs. 11 crore of booked profit only, as compared to Rs.85 crore and Rs.55 crore in the previous quarters, you are seeing that overall investment income for 4th Q uarter is low , but what you have to look at is that full year which is Rs.1,281 crore investment income out of this Rs.184 crore is the book profit and overall investment deal is 7.8% which is actually a good yield from insurance perspective. This is where we stand and what I would say is th at, given the fact that we have the equity book now, and we may not very consistently book profits, we would see as and when there are opportunities in the market we will pare down equities or book profits , else there may be some variability , but from the fixed income perspective, I don't th ink that there would be any variability . 15% of portfolio would be a function of how market behaves. That's the reason why you are seeing this, so to say relatively a lower

income as compared to the previous quarters ,
but if you look at 7.8% kind of a yiel d, this is, the highest in last four years. This is where we stand and we will continue to do well as far as this investment book is concerned .
Moderator: Thank you sir. Ladies and gentlemen, due to time constraint s, that was the last question for today . I would now like to hand the conference over to Mr. Nilesh Kambli for closing comments. Thank you and over to you sir.
Nilesh Kambli: Thank you everyone for joining the call early morning . We are geared up and confident for a profitable FY ’2026. Thank you very much.
Moderator: Thank you members of the management . On behalf of Star Health and Allied Insurance Company Limited that concludes this conference. We t hank you for joining us and you may now disconnect your lines.
This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2025

Date : August 05, 2025
Place: Chennai
Ref: SHAI/B & S/SE/ 71/2025-26

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra -Kurla Complex
Mumbai – 400001 Mumbai – 400051.
Scrip Code: 543412 Symbol: STARHEALTH

Dear Sir/ Madam,
Sub: Earnings Call Transcript –Q1 FY 202 6
Further to the Company's letter SHAI/B & S/SE/ 52/2025-26 dated July 11, 202 5 regarding Earnings Call Intimation for Q1 FY 2026 , please find attached transcript of the call dated July 30, 2025 for your information and records .
The above information is being hosted on the Company's website at www.starhealth.in

Thanking You,

For Star Health and Allied Insurance Company Limited,

Jayashree Sethuraman
Company Secretary & Compliance Officer

Encl: as above.

Star Health and Allied Insurance Company Limited
Q1-FY2026 Earnings Conference Call
July 30 , 2025

Management:
Mr. Anand Roy – Managing Director & Chief Executive Officer
Mr. Amitabh Jain - Chief Operating Officer
Mr. Himanshu Walia – Chief Marketing Officer
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Aneesh Srivastava – Chief Investment Officer
Mr. Aditya Biyani – Chief Strategy & Investor Relations Officer

Moderator: Ladies and gentlemen , good day and welcome to Star Health and Allied Insurance Company Limited Q 1-FY2026 Earnings Conference Call.
As a reminder, all participant s' lines will be in the listen -only mode, and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to M s. Devyanshi Dave from Adfactors PR Investor Relations team. Thank you, and over to you , Ms. Devyanshi Dave .
Devyanshi Dave: Good morning , everyone . From the Senior Management , we have with us, Mr. Anand Roy – Managing Director & Chief Executive Officer; Mr. Amitabh Jain – Chief Operating Officer; Mr. Himanshu Walia – Chief Marketing Officer ; Mr. Nilesh Kambli – Chief Financial Officer; Mr. Aneesh Srivastava – Chief Investment Officer; and Mr. Aditya Biyani – Chief Strategy & Investor Relations Officer.
Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financial and operating performance , benefits and synergies of the company's strategies, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's conference call may involve risks and uncertainties.
Thank you and over to you , Mr. Roy.
Anand Roy: Thank you so much and a very good morning to everyone. Thank you for joining us for Star Health's Earnings call for the 1st Quarter of FY2026.
Over the past 2 years, during my tenure as the CEO, our strategy has been grounded in four fundamental pillars. A risk -first approach, customer -centricity, a digital -first mindset, and a steady ROE focus. All the measures that we have been implementing in the pursuit of long - term sustainable and profitable growth are no w yielding results.
The key pillars of the strategy has been emphasis on businesses , geographies and channels that meet our ROE thresholds , our focus on improving claims and customer experience , various initiatives that we have taken are demonstrating bet ter NPS trends , product innovation and shift towards risk -based pricing with prudent underwriting .
Products such as Super Star and Health Assure incorporate innovative features and have been very well received in the market. They constitute nearly 80% of our new business now. Our Super Star product is probably the first product in the industry to cross Rs. 1,000 crore s of GWP within 10 months. Initiatives such as discount based on claims experiences, shift to zonal

pricing from Pan -India pricing, these are all a marked shift in our pricing strategy to ensure that we select the price /risk appropriately.
We would also like to reiterate here that our long -term competitive moats remain very much intact. We have the widest agen cy-led distribution with our agency base now at 7.89 lakh, which is 2x of the next largest competitor. Our diversified distribution mix with our direct digital channel is now growing the fastest at 73% on new business. We have more than 11,300 crores agree d network hospitals , which are supported by better negotiated pricing. Our lowest claims processing cost in the industry, less than a percent of our GWP also holds us in good st ate in terms of our competitive advantage.
Finally, the IFRS expense ratio has also reduced by 100 basis points to 30.1% from 31.1% the previous year. I would like to reiterate here, for the last two years,

we have been reporting
annual IFRS numbers. As mentioned in our last call, we are moving towards quarterly IFRS reporting. A s per the latest IRD AI guidelines , IFRS is expected to go live by 1st April 2027 , we would like to emphasize that all our business and investment -related decisions are nowadays taken, considering the IFRS reporting only.
We have closed Q1 -FY2026 with a g ross written premium of INR 3,936 crores , a 13% year -on- year growth over the previous quarter. These numbers are on N basis. There are multiple reporting standards now , so, for ease of understanding, we are reporting our premiums on N basis.
Our retail health GWP grew 18% to INR 3,667 crores in Q1 -FY2026, fueled by a 25% growth in fresh retail premiums and a strong renewal persistency of 98% on premiums. Despite our very large base, we have successfully maintained our market share in retail health at 31% . Retail now contributes to 94% of our overall portfolio, which used to be 90% in the last year. Retail fresh NOPs grew by 8% . Overall NOPs grew by 5%, reaffirming our strategy to drive business through both value and volume -led growth.
We c losed Q1 -FY2026 with an IFRS PAT of INR 438 crores , marking a 44% Y-o-Y increase over the last quarter of the last financial year. Our net incurred claim ratio for Quarter 1 stood at 69.5%.
We will now cover the highlights on the strategy of our various channels and the steps we have taken for improving outcomes. Finally, we will close with an overview of the key financial metrics for this quarter.

The growth updates of our various channels are on N basis, for ease of understanding. Our agency channel, our largest channel, contributed 82% of our overall GWP, with both fresh and overall growth standing at 16%. The agency fresh growth comes despite a very low share of portability business, which we have maintained as a conscious decision in pursuit of qual ity growth. Our portability share is around 10% only.

In Q1-FY2026, we added 14,000 new agents, taking our total agency base to 7.89 lakh, which is the largest in the industry, and agency productivity also improved by 13%.

Our preferred geographies are now growing at 1.5 x faster than the overall business. These preferred geographies obviously demonstrate better ROEs , and that is why we are focusing on these areas.

Our digital business now contributes around 20% of our new business versus 12% in the first quarter last year. Our digital business, fresh business is growing at an impressive 73%. We witnessed a 75% year -on-year growth in brand search volumes in Quarter 1, a clear reflection of the rising brand equity of Star Health Insurance.

Additionally, our organic rankings for long tail keyword s has also improved by 75% , significantly enhancing visibility amongst high intent customer segments. These gains have enabled us to meaningfully increase our digital leads. The quality and performanc e of the digital business is very promising and we plan to create a digital SBU to accelerate this business. Details of this will be shared in due course.

Our Bancassurance channel contributed 7% to overall GWP in Q1-FY2026 . We have made a significant shift towards our preferred product offerings, which are basically retail and benefit plans, which now contributes 92% of our fresh business versus 74% last year. With this improved mix in business, we envisage that Banca margins will improve i n the coming quarters.

Our corporate business channel contributed 2% of our mix. This is in continuation of our strategic decision to focus on profitable SME segments, which now contributes 65% of our corporate channel versus 40% in the previous year.

In the corporate group segment, as we have communicated earlier, we decided to exit from large corporates and co -insur

ance segments, including both large and mid -sized group accounts, which were not viable.

A few updates on the claims. The industry conti nues to witness very high healthcare cost escalation in the recent years. We have seen claim ratios increase across industry players, forcing health insurance industry players to pass on a portion of this inflation to the end customers.

On the retail side, we have implemented pricing corrections, covering nearly 65% of our book in the last fiscal year. This will be followed by an annual repri cing strategy, which we have communicated earlier as well. On the group and Bancassurance side, we implemented p rice corrections in some of our low profitability accounts. Our vigilance and in -house fraud detection models, which are proprietary to Star Health, have delivered great value. We continue to invest in our efforts to reduce fraud, waste and abuse. Our FWA savings improved by 30% in Q1-FY2026 over the last year.

Star Health claims NPS has improved consistently over the last quarters. We now have a claims NPS of 57 from 46 in the same quarter last year . Our claim settlement ratio also now stands at 90% vers us 85.7% in the first quarter of last financial year.

Some of the key financial metrics for the quarter under IFRS reporting standards were as follows . Our combined ratio for Q1-FY2026 stood at 99.6% compared to 99.2% in the last year. Our claims ratio stood at 69.5% in Q1 -FY2026 compared to 68.1% in Q1 of last year. Our retail loss ratio stands at 68.5% and group loss ratio stands at 85.1%.

The investment income in Q1-FY2026 has grown to Rs. 586 crores versus Rs. 388 crores in Q1-FY2025. We accounted for Rs. 292 crores of mark -to-market gains in our investment income under IFRS accounting. Please note that the mark -to-market gains has been applied only to non-debt portfolios, which are now 17.5% of our investment book. On the debt book, our MTM gains f or the quarter is around Rs. 200 crores , which is not considered under IFRS reporting.

Our PAT for Q1 -FY2026 stood at Rs. 438 crores compared to Rs. 304 crores in Q1 -FY2025. Our return on equity non -annualized for Quarter 1 stood at 4.9% versus 3.8% of Quarter 1 of last financial year. Our solvency as on June 30th of 2025 was 2.22 x versus the 1.5 x minimum requirement.

On the management side , I am happy to announce and extremely pleased to welcome Mr. Rajeev Kher , former Commerce Secretary, as the new Chairperson of our Board . Mr. Kher's extensive experience in public policy and governance will bring invaluable support and

guidance to our business. This appointment further reinforces our commitment to strong
corporate governance.
In addition to Mr. Kh er's appointment, I am very thrilled to announce the elevation of my colleagues , Mr. Amitabh Jain, our COO, and Mr. Himanshu Walia, our CMO, to the Board as Executive Directors , of course, subject to regulatory approvals. They have been instrumental in ste ering this company, handling various business functions over the last few years.
I again thank you all for your continued trust in Star Health Insurance. With that, I am happy to now open the floor for your questions. Thank you very much.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shr eya Shivani from CLSA. Please go ahead.
Shreya Shivani: I have three questions. Sorry, I missed the part on fresh and renewal growth. Did you say 98% persistency in renewal and retail business? Can you give the breakup of your premium growth into fresh and renewal once again?
My second question is on reinsurance treaty. It seems like your reinsurance ceded is down to 4%. This number has been quite volatile over the past couple of quarters. Can you help us

understand what the new treaty that started from this quarter is ? As this is probably one of the reasons why your commission expense has also been slightly higher.
My las t question is, based on your public disclosure data. It is on your claim rejection ratio that I was seeing. There has been quite a significant improvement over there. It is down to about 11% on volume basis in FY2025. I don't have the Q1-FY2026 numbers. Can you help us with Q1-FY2026 and how much more improvement can possibly come over here? Since you guys have improved, this is still slightly higher than some of the other players in the industry. These are my three questions.
Anand Roy: Thanks, Shivani. L et me just reiterate. The new business has grown in retail for us by 25% on an N basis , and our GWP persistency is 98% on value basis, as you rightly put it. We continue to have a very strong performance on new business, and we hope to maintain this moment um in the months forward as well.
As far as our claims rejections are concerned , as a principle, we have always been quite clear that all genuine claims will be paid , which we have been doing. Our business mix is quite different from the rest of the players in the industry. We are a 95% retail -oriented business which has different terms and conditions , so we are continuing to see good traction in our claim settlement ratios a nd our rejection rates are going down as well . We hope to improve as we go forward with the multiple measures we are taking.
As far as the reinsurance is concerned, that's largely the obligatory se ction that is available right now. We used to have a treaty last year which we have exited. Nilesh, you want to add anything more on that ?
Nilesh Kambli: Yes, for long -term treaty, basically, now the reporting is on 1-by-N basis , we have not reviewed the long -term treaty , but here again, I would like to reiterate that th is is where IFRS becomes important because with 1-by-N reporting, the last results are not comparable to the current year. That is the reason we have moved to IFRS basis where both the commission paid, and the reinsurance commissions are based on the policy period basis. All the decisions that we are taking are based on IFRS financials.
Shreya Shivani: Understood. On long -term polic ies, we don't have any reinsurance treaty. The only obligatory part is there. Is that the correct way to understand this? Only the obligatory 4 %-5%.
Nilesh Kambli: Correct.
Moderator: The next question is from the line of Madhukar Ladha from Nu vama Wealth Management Limited. Please go ahead.
Madhukar Ladha: Our loss ratios continue to sort of remain elevated despite having taken a lot of price corrections on the retail portfolio . Yet on a year -over -year basis also, our claim ratio continues

to be on the higher side. I wanted to get some sense, is there any sort of abnormality in this quarter or are we being more on the conservative side given what we saw last year happen over here.
The second question on the digital side, how much of the business that y ou have acquired is through your own digital channel and how much is it from partners like Policybazaar etc.?
Third, our underwriting profit under IFRS is lower than our IGAAP underwriting profit. Is that mainly because in the previous quarter, we have written a lot of business, and the amortization of acquisition cost is happening right now ? These would be my three questions.
Anand Roy: Thanks, Madhukar . As far as the loss ratios are concerned, let me answer that. You k now, if you look at the trend in our loss ratios, we are seeing some improvements quarter -on-quarter, but all the measures that

we have taken in terms of our price corrections, in terms of our
underwriting strategies and also in terms of recalibrating certain businesses that probably
there were some mistakes in the past which we have exited. I think these are the corrections
that will flow over a period of time into the books , and I am very confident that loss ratios will
improve going forward.
Having said that, you know, the focus of the business is not only on the loss ratios but also to
grow profitably and also to ensure that the customer experience becomes better and better. I
hope that we will be able to deliver all the three areas consistently.
To answer your second question on the share of business between digital direct and partners,
it is around 70 -30. 70% of our business is digital direct and 30% is coming through our partners.
As far as the underwriting profits are concerned, you were right. I mean, you kind of answered
the question. The growth of new business, which has been demonstrated in the last few
quarters, will flow into the earned premiums in the quarters ahead and definitely the
underwriting profits should get better , so, it is a function of both earned premium growth as
well as the improvement in loss ratios, which will help us improve our underwriting profits.
Moderator: The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh: Three questions from my side. First , in terms of the persistency number that you have given,
would it be possible to give some clarity of the persistency across customer behavior or cohorts
for the segments where you have taken price hikes over the past six to nine months? I just
wanted to get a sense of the quality of persistency out here.
The second question is on the claims ratio part. W hile you have given the retail health claims
ratio number and I know that, you know, your price likes normally take around a year or more
to flow through to the NEP , but even for the first six to nine months, can you give the claims

ratio or some qualitative understanding of the claims ratio increase on a Y-o-Y basis for the
cohorts where price hikes are taken versus others and a similar referen ce for F Y2025 ?
Lastly, on the claims part, in terms of the rise on a Y-o-Y basis, how much would it be driven by
medical cost inflation and how much would it be by claims frequency or intensity? Those were
my three questions.
Anand Roy: Thanks for the question. Let me just answer the persistency part and I will request my colleague
Amitabh to answer the other two questions.
On the persistenc y, I would say that, given my knowledge of the industry, Star Health has
probably the best persistenc y in the bus iness. As we have always demonstrated, very high
persistenc y rates in terms of value and both volumes.
As far as value is concerned, we have 98% persistenc y on value, but in terms of even on volume,
we have seen high levels of persistency, upwards of 84 %-85% in terms of volume. Given our
large base, I think this kind of speaks very highly about how customers perceive our services
and the trust in the brand that they have. We take persistency very seriously.
We are also seeing good traction in our various cohorts of customers in terms of R1, R2 . We
track them obviously at different cohorts, claimants, non -claimants, geography -wise, channel -
wise , and in all the parameters, we are seeing an upward trend. We can have a separate
discussion on one -to-one basis too with you in case you want to get deeper into it.
Amitabh Jain: With regard to your point on loss ratio movements , so if you look at last year, Q1 was higher
by more than 350 basis points over Q4 of the previous year. Whereas this year, the incr ease
has been less than 100 basis points in Q uarter 1 over Quarter 4. If yo

u look at the last few
quarters, we are getting more stable and the trend is improving. We hope to continue that
trend and we expect to improve further.
As far as combination of what has caused the increase, that is always a mix of frequency and
severity. The good part is that we are seeing better trends on frequency. Severity also is more
or less in line with our expectations. We hope to be controlling th e portfolio going forward
more and more and on expected lines.
Dipanjan Ghosh: Just one small follow -up on the second part. In terms of the claims ratio between products
where price hikes have been taken versus products where price hikes have not been incu rred,
any color on the trajectory of claims ratio in these two different product baskets?
Amitabh Jain: Yes. See, a s you yourself mentioned that it takes time for the earned premium to start showing
and bringing the LRs under the targeted numbers. What is also very important to look at is that
the granular underwriting approach that you have taken in terms of focusing on various
profitable cohorts and micro -segmentation of the market, all those cohorts, we are seeing very

healthy growth in our business mix, as well as de-growth of some of the unprofitable segments.
That is also driving the loss ratios and the full effect of that will come over a period of time.
Moderator: The next question is from the line of Avina sh Singh from Emkay Global. Please go ahead.

Avinash Singh: A few questions. The first one would be, again, on a trend that , I mean , anecdotally and some commentaries from some of the lenders and all , it seems like there is a kind of a divergence in terms o f how patients ' flow are, whereas large corporate hospitals continue to see good kind of growth across all the parameters, whereas smaller nursing homes or maybe shops are seeing challenges.

Now, in terms of, of course, you have been taking price hik es, but if this trend continues to sort of incremental flow going towards the bigger corporate -led hospital, I mean , do you think or do you see right now the trend is stable so that your current price hike should be taking care of that? And what else could be your kind of incremental move if this trend continues because that will continue to have an impact on the average claims cost? That's a similar kind of problem going to a smaller nursing home versus going to a large corporate hospital. What are the kind of measures taken that can kind of address these concerns ? And of course, you can also tell that if the trend is there or not, because, I mean, I will have a limited anecdotal point o n what I am seeing. That is one.

Second, in terms of the fresh vers us renewal, and t his is more of a, I would say, data -keeping request, this fresh and the renewal retail premiums, if you can help, I mean, I will separately get in touch. The absolute numbers in terms of the quarterly trends, these premiums, because many t imes, since this 1 by N has come into picture , and then there are certain other things mixed up. The actual number looks a bit difficult because for the quarter, the number says 25% fresh retail growth, despite a 97.7% kind of a premium persistency , but ba sed on that, because the last year, same quarter, your premium persistency was lower. What I am getting is a higher base number for fresh last year. Could you provide the absolute number?

Anand Roy: Yes, Avinash, thank you. We can definitely provide that to you offline. As far as your first question is concerned on the trends in utilization of services of large corporates versus regular hospitals , see, let us accept that people buy insurance so that they can go for higher quality of treatment than they wou ld have otherwise been able to afford from their pockets. Okay , so that is one of the main r

easons why people buy health insurance. I think that is, to be fair to the consumers, they do look for that options. Having said that, how are we mitigating our business outcomes with this trend? We see that, as I spoke in my speech, the company has very granular risk -based pricing now. All our products are based on zone pricing. Customers in higher zones obviously pay higher premiums to match that trend.

Similarly, now there are products which are also having facilities like network -based discount. If customers so choose that they want to have an affordable premium, they can opt out of

certain network of hospitals and take a lower premium, which is more affordable. All these options are available to consumers. Ultimately, it is what the consumers want that we have to solve for , and we are making our products and pricing strategies to reflect that trends .

Avinash Singh: Just a quick follow -up on this. How are you see ing the traction of that product, you know , or rather rider that kind of allows the premium to reduce by excluding a certain set of hospitals? Is that traction, I mean, if you can quantify, I mean, how has that traction been where, I mean, a customer can c hoose to sort of buy and add the rider that excludes certain hospital and premium become affordable ? There has been kind of, I would say again here, a bit of a diversion commentary, some of the large distributors saying that there is a good traction , whereas some insurers saying that it is not really seen. What is your experience on that front?

Anand Roy: We launched this Fl exi Rider only about a couple of months ago. It is too early to comment as far as our business is concerned , but what we are do ing is we are obviously promoting that as a concept , and if the customer so chooses, he or she can opt for it.

While we do that, Avinash, you are aware that there are multiple other efforts going on at a larger level, both at the company side as well as a t the industry side, to create some kind of discipline in the hospital in terms of the pricing and in terms of protocols and so on and so forth. I hope that as the days go by, things will become better in that management as well.

Moderator: The next question is from the line of Aditi Joshi from J.P. Morgan. Please go ahead.

Aditi Joshi: In the comments, I think you have shared that the share of Super Star, Health Assure in the new business is roughly around 80%. Are you also able to share the portion of those policies in the already written business and in the existing book of policies, if you are able to share the portion of other products like family health optima, if that's possible?

The second question is, again, if you are able to share the number of multi -year policies in the new business as well as in the already existing business that would be helpful. Yes, that's all from me.

Anand Roy: Thanks , Adit i, for that question. In my spe ech, I have said that Assure and Super Star combined contributes 80% of our new business. If you want product -level data, we are one of the few companies that is publishing product -level data on our public disclosures. We can share it with you. That is not a problem.

As far as multi -year policies ' numbers are concerned, multi -year policies on the retail side now contributes 8% of our overall Volume . In terms of value, it is obviously higher.
Aditi Joshi: In the new business or in the fresh business, what is the share of multi -year policies? Is it 8% based on the fresh business ?

Anand Roy: No, this is our total business. On o ur new business, it is around 30%, in terms of number of policies.
Moderator: The next question is from the l

ine of Sanketh Godha from Avendus Spark . Please go ahead.
Sanketh Godha: We have been following IFRS profits , but if I exclude honestly mark -to-market gains from IFRS, then we see that a ctually, in your IFRS, the profit has deteriorated a little higher compared to what you have reported in the accounting profit because it has shown a decline by 18%. If I exclude mark -to-market, it has declined by 31%. Given you are getting that benefit, still the pain point seems to be claims , so, obviously, again, it circle back s to the same point that on claims any respite we can see in foreseeable future ? And if it is, how will it play out.
Anand Roy: I will ask Niles h to answer , Sank eth, but before that I just want to again reaffirm that we are as an organization now tr acking only IFRS reporting numbers because we believe that is a true reflection of our business. I am requesting Nilesh to answer more.
Nilesh Kambli: Sanket h, you know, if for Q1 you are excluding MTM ga ins, for Q1 -FY20 25 also you will have to exclude MTM games to have a better comparison. One more point to stress is, if you see our portfolio mix, it has moved 17.5% when it comes to equity , ETF, AIF . There is a loss of interest incom e also on that . You cannot completely exclude the MTM gains. Even if you had 2.5% as income of that, you will clearly see that there is a good improvement in the IFRS results like-to-like compared to last year. You will have to consider all the factors.
Sanketh Godha: Actually, when I did that math, I excluded MTM gain in Q1-FY2025 too, but I understand that if you are structurally moving towards more equity and then benefit is real, then you can factor in the gain. The reason I am asking is that typically MTM is not appreciated by the street if profit is driven by MTM. Excluding MTM, it seems to be still weak. That is the reason I asked that question in the sense.
Nilesh Kambli: Excluding MTM also, we have an underwritin g profit . The drop is marginal. While the claim ratio has been higher, we have seen a 100 basis point reduction in the expense ratio, which is quite substantial and all the measures , be it the procurement cost, be it the CAG for digital businesses, be it o ur manpower cost , we have taken a good reduction over the years, which is helping us in terms of reduction expense ratio.
Sanketh Godha: My second question is on discount -based pricing to our portfolio. Just wanted to understand the two -three colors there. Basically, today, have you taken any price hike on any other product in the current quarter? If yes, whether it has been on discount -based pricing approach? Can you tell me today how much portion of the book is already mo ved to discount -based pricing? Subsequently, when you take price hikes for other products, if you follow the same approach , by when do you feel the entire book will move to discount -based pricing ?

Anand Roy: Sanketh, let me give you the principle here before I get into t he numbers. As an organization, we believe that we have to be fair to two populations in insurance. We spoke about this when you met me in person. There are two populations, right? Cl aimants and non -claimants . We have to be fair to both of them while we are doing our pricing strategy , and that is why this model of discount -based pricing which is now allowed under the regulations is also something that we are pursuing.
Specifically to your question, have we introduced this in any other product in this qu arter? Not yet. We are looking at, as I told you, an annual price increase , so when the pricing comes up for reconsideration, at that point we will probably move most of our products into this model. We are happy to tell you that this model is well accepte d in the market and also giving us the results in terms of yie

lds and customer retention.
Sanketh Godha: Maybe from data point of view, how much is the entire book under discount -based pricing today ? Maybe you might have plans to take price hikes in subsequent quarters for the other products. Maybe by end of next year or early next year, that is FY2027, the entire book will move to this pricing approach because this is ultimately a very good solution for the entire health insurance industry. Just want ed to understand when we will see the entire book to get reprised on this pricing model.
Anand Roy: Right now around 30%, the FHO is the only product which is of this pricing, which now constitutes around 30% of our book. As we end this year, hopefully tha t number will become

more , you know , when we move towards other products as well , but we will keep you informed, Sanketh. Right now not able to give any particular number to it.

Sanketh Godha: Perfect . And last one. Just if you can give a bit of color of your loss ratio, maybe on new and renewal book in total. Maybe I don't want bucket -wise cohort , but 60-odd percent is loss ratio, what you have reported. Any color, how you are seeing the trend in new and renewal moving , whether new is improving and renewa l is deteriorating or it is both moving in tandem ? Just to understand whether we are getting granularity right to understand that maybe today the loss ratios are not that great, but eventually with the mix change or renewal improving, then loss ratios can structurally see an improvement going ahead.

Anand Roy: Sanketh, we can discuss that offline, but what I can tell you is that we track cohorts on combined ratio basis. Obviously w e take decisions based on that. But I am happy to discuss that with you offli ne.

Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities . Please go ahead.

Swarnabh Mukherjee: A couple of questions on the loss ratio side. First of all, I think we have net claims number of around Rs. 2,700 crores this quarter. I just wanted to understand that in the subsequent quarter now, because first quarter is not seasonally high for claims, how should we think about

this for the subsequent quarter? And maybe if you can give some indication in terms of how the situation is there in July, given the monsoons and the period for seasonal diseases, that will help us understand maybe how we should expect the numbers to move over the next quarter. Also, if you can maybe, highlight that on the FWA savings, what is the impact that is there on the loss ratio, if you can give some number on that ? That is the first question.

Secondly, sir, in terms of the new customers acquired and the fresh growth that is there, if you could give some color on how the customer cohorts ar e, maybe in terms of age profile, and how is the expected loss ratio from these customer cohorts vis-à-vis, say, maybe c ustomers who used to acquire maybe 2 -3 years prior because our channel mix up has, kind of , also moved quite substantially. Some color o n that would be useful.

In the digital channels, sir, I see that the fresh premium growth is around 73%, but fresh NOP growth is 16%. Just wanted to understand, has there been any substantial product change in the digital channel or price hike if you cou ld give some color?

Lastly, data keeping question , sir, on the persistency side , can you give the persistency or the renewal ratio on the volume basis? I mean, in terms of NOP, if you could. So, these would be my question s.

Anand Roy: I will answer from the last question. Our persistency on volume basis is around 85% for the retail business that we have. On value basis it is around 98 -odd percent.

On the digital channel, Swarnabh, as you rightly said, our digital channel continues to grow at 73%. We have see

n an uptick of multi -year policies on digital channels, which we welcome because multi -year policies give us better retention and persistency in the R1, R2 years, which is the most critical years.

As far as age profiles are concer ned, we can discuss that offline. Obviously, in this conference, we don't have time to get into those details. I am requesting Amitabh to talk about the FWA piece , which you had asked.

Amitabh Jain: Hi, Swarnabh. On the first point that you made on claims, yes, Q2 as a quarter has a seasonal effect and claims will be higher , but so will be our provisioning for the premium and the growth that we are going to get over the last year's premium because of the price hike we took from Q2 onwards till the end of the year. That will also play out.

What is good to know is that July is on expected lines and we have not seen any abnormal trends so far. We expect that it will continue and that will help us manage the overall loss ratios on expected lines that we had budgeted.

On the FWA, we have been working on this now for the last more than one year. As stated, we have got roughly a 30% increase because of our improvement in the models, etc., in the overall savings. We will continue to work on that to make an impact.

Swarnabh Mukherjee: Any quantification on loss ratios from FWA ?

Amitabh Jain: We can take that offline and discuss that separately. As far as all the efforts that we have been taking is not simply because of FWA but also a lot of work that we have been doing on telemedicine and wellness that has helped us in managing the medical frequency much better. Due to our outreach to our distribution and our customers to offer telemedicine, home health care, and all the oth er wellness solutions , that's also now started playing out in both our frequency as well as severity.

Swarnabh Mukherjee: Just if I may ask a quick follow -up on the long -term product. Just wanted to understand how are we paying the commissions on that? Is it on N basis or a 1/N basis? How are you seeing the situation in the industry in terms of commission payout for long -term product s?

Anand Roy: Swarnabh, why do you want to know our trade secrets? You look at our EOM (Expense of Management) . That is the only thing that will give you guidance about how we are paying or not paying.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Hi, everyone. There are similar questions to what have been asked previously. If you could highlight some parts on whether a fresh combined ratio versus the renewal combined ratio on the retail book that would be helpful for us to understand as to how are things really operating between fresh and renewal.

Second, Anand, when you had mentioned about the growth aspects of when the longer term guidance of doubling the premiums and tripling the IFRS PAT, w hat was the assumptions with respect to investment versus underwriting in that number to kind of understand as to w hether we are on track for it or whether the mark -to-market is helping us more rather than the underwriting profit and we are kind of deviating from the underwriting assumptions that we would have made in that guidance ?

And lastly, from my expense standpo int, while we see that the employee cost has not grown materially, even not in line with the inflation, what are the thoughts there as to whether we have not hired enough or we are not hiring more , or we have not given pay hikes? What is the thought? I am happy to see that number, but what's the thoughts behind the employee cost not going so much? Those are my three questions.

Anand Roy: As far as th

e guidance that we have given for FY2028 on Rs. 2,500 crores on IFRS basis, I think the broad split would be 20% on underwriting and 80% on our investment returns. Having said that, we will come back to you with more details on that.

What I would like to call out here is that there has been a change in our strateg y in terms of corporate business going ever since we were looking at the numbers for the last two years. Probably , we will have to revisit that overall guidance of Rs. 30,000 crores may be moderated to adjust for the corporate business. On the bottom line side, we are quite confident to move that, but coming on your other question on fresh and renewal co st, we don't give those kind of data in the public domain, but we can have this discussion on a one -to-one basis.

Prayesh Jain: And just on the cost front ?

Anand Roy: On the cost front, see, a s you said, we are focusing more on productivity gains and increasing the existing manpower efficiency itself. All the investments that we have been making through technology over the last 2 -3 years, which we have been c alling out, is showing results as we speak. If you look at our digital business itself, we have been able to demonstrate such a large increase in growth with actually a lesser number of people. I am very confident that this efficiency will continue to be b etter and better and we will be able to do more business with same or lesser manpower.

Prayesh Jain: Last question on sum assured . Any thoughts as to how has the sum assured been moving for us on the retail side, especially on the fresh, are we writing more Rs. 10 lakh plus kind of sum assured ? Some data around it would be helpful.

Anand Roy: I am requesting Himanshu to just answer the question.

Himanshu Walia: Our average sum insured is increasing consistently at a 15% and on the total basis, we are at Rs. 11 lakh on an average. When it comes to fresh that is growing at about 15 % to 16%, about Rs. 12 lakh to Rs. 12.5 lakh. We are seeing consistent growth across all segments and year -on-year basis.

Moderator: The next question is from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: Just one or two questions. See, one was on the Banca side, what we can see is that fresh GWP has come down a little bit on a year -on-year basis. Anything to read in this?

Himanshu Walia : Bancassurance continues to contribute 7% of our overall business , and in this business, we are largely focused on preferred segment across partnerships. We have seen a significant shift towards our preferred product portfolio. The fresh mix of preferred portfolio has increased to 92% from 74% over last quarter. On the non -preferred segment, we have exited a few accounts , and there we have seen de-growth. Overall, on the preferred segment, our growth rate is upwards of 20%.

Nischint Chawathe: Anything to read in the reduction in telecallers?

Aditya Biyani : We have been doing this telecalling direct digital business for the last couple of three years with a very good focus. We have realized that we probably have the better efficiency towards

the number which we are moving towards the 1 ,500 to 1 ,600. The leads are increasing, the
efficiency is improving and you must have seen the direct digital growth also. We are
comfortable with this number , and that is where we want to be for a longer time too.

Nischint Chawathe: Just one clarification . You mentioned that around 30% of the new business volume and
probably a much higher proportion on value comes in from multi -year policies.

Anand Roy: Yes, that is correct.

Nischint Chawathe: And what would this ratio be like two years back? I believe you wer e not focused much on
multi -year policies in the past.

Anand Roy: Two years back data , we will g

et back to you , but this has been growing rapidly over the last
few years. And I think it is good for all players in the ecosystem, whether it is the customer o r
the insurance company, because it helps everyone, you know.

Nischint Chawathe: I mean, numbers apart, fair to say that there is a change in the strategy out here.

Anand Roy: Of course . That's what I mentioned, because see, multi -year plans give two benefits to the
customers. First is, of course, they get a visibility for three years in terms of their premiums.
Second, for the insurance company, first year, second year, persistency is th e most important ,
and this helps us to attain that. Even for the distributors, it is an assured business model. I think
everybody gains, and we are focusing more on pushin g multi -year plans.

Moderator: The next question is from the line of Nid hesh Jain fro m Investec. Please go ahead.

Nidhesh Jain: My question is on the investment yield, which has declined roughly around 100 basis points
from the previous years. In that light, if I assume that the decline in investment yield will be
there for some time because interest rates have declined, how do we change our pricing
strategy to deliver the reasonable ROEs? Do we take into account investment yield when we
are pricing the product?

Anand Roy: Of course we do, but I would request my colleague An eesh to ela borate on that.

Aneesh Srivastava: Hi, Nid hesh. Obviously, whatever investment yields are, there are certain assumptions when
we are doing a product pricing. Investment yield decline, from fixed income yield perspective,
would be visible, b ut what we perceive is that over a, say, three -year period, investment yields
would remain attractive, actually. Rather, because of equity being a higher yielding asset, our

sense is that overall yields of the portfolio would be higher than what the strate gy that we had
so far of largely focusing on f ixed income book.
Basically our equity book has grown from , say, 10% of AUM to , say, 15% somewhere around
March. Today it stands at 17.5 %. This includes equity, AI F, REIT, I nVITS . Our sense is broadly
that this would lead to, on a three -year rolling basis, higher yield. As I mentioned, obviously
there are certain yield assumptions which go into product pricing.

Nidhesh Jain: Secondly, we have seen improvement in, I think, a lot of m etrics, like fresh growth has picked
up in FY2025 that continued, that has been quite a healthy trend in Q1. Then we have taken a
decent price hike last year. This year also, I think we will be taking some price hike.
When do we expect our loss ratio traj ectory to improve and reach, let's say, 65% sort of rate?
Do we expect now loss ratios to consistently decline on a quarter -on-quarter basis? Since we
have been seeing these improving trends for almost last three to four quarters now .

Anand Roy: Yes, I think you rightly put it, Nid hesh. We have taken multiple measures to improve the quality
and the strategy of our book. I think , the loss ratio improvements are an outcome of multiple
things, right? As you rightly put it, price increases, underwriting stra tegies, risk selection, and
so on. We would expect the loss ratios to improve. We are not willing to give any guidance this
year, but we stick to our long -term guidance of FY2028, which is the goal with which we are all
working towards.

Moderator: Thank yo u. Ladies and gentlemen, due to time constraints, this would be our last question. I
would now like to hand the conference over to Mr. Nilesh Kambli for closing comments.

Nilesh Kambli: Thank you all for the questions and joining us today. To summarize, Q1-FY2026 has been a
quarter of consistent executions. We have delivered a healthy growth in our retail portfolio ,
maintain focus on profitabilit

y through calibrated pricing and business selection and continue
to invest in our technology , distribution and claims infrastructure. Thank you all for joining the
call.

Moderator: Thank you. On behalf of Star Health and Allied Insurance Company Limited, that concludes this
conference. Thank you for joining us and you may now disconnect your lines.

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takes no responsibility for such errors, although an effort has been made to ensure
high level of accuracy.

Call: Nov 2025

Date : November 03, 2025
Place: Chennai
Ref: SHAI/B & S/SE /116/2025-26

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra -Kurla Complex
Mumbai – 400001 Mumbai – 400051
Maharashtra, India Maharashtra, India
Scrip Code: 543412 Symbol: STARHEALTH

Dear Sir/ Madam,
Sub: Earnings Call Transcript –Q2 & H1 - FY 202 6
Further to the Company’s letter SHAI/B & S/SE/ 104/2025-26 dated October 10, 202 5 regarding Earnings Call Intimation for Q2 & H1 - FY 2026 , please find attached transcript of the call dated October 29 , 2025 for your information and records .
The above information is being hosted on the Company's website at www.starhealth.in

Thanking You,

For Star Health and Allied Insurance Company Limited,

Jayashree Sethuraman
Company Secretary & Compliance Officer

Encl: as above.

Star Health and Allied Insurance Company Limited
Q2 & H1 -FY2026 Earnings Conference Call
October 29, 2025

Management:
Mr. Anand Roy – Managing Director & Chief Executive Officer
Mr. Amitabh Jain - Chief Operating Officer
Mr. Himanshu Walia – Chief Marketing Officer
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Aneesh Srivastava – Chief Investment Officer
Mr. Aditya Biyani – Chief Strategy & Investor Relations Officer

Moderator: Ladies and gentlemen, good morning and welcome to Star Health and Allied Insurance Company Limited Q2 & H1-FY2026 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * ’ then ‘0’ on your touchtone

phone. Please note that thi s conference has been recorded.
I now hand the conference over to Ms. Devyanshi Da ve from Adfactor s PR. Thank you and over to you, M s. Dave.
Devyanshi Dave: Thank you. Good morning, everyone. From the senior management, we have with us on the call today Mr. Anand Roy – Managing Director & Chief Executive Officer , Mr. Amitabh Jain – Chief Operating Officer , Mr. Himanshu Walia – Chief Marketing Officer , Mr. Nilesh Kambl i – Chief Financial Officer , Mr. An eesh Srivastava – Chief Investment Officer and Mr. Aditya Biyani – Chief Strategy and Investor Relations Officer.
Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financials and operating performances, benefits and synergies of the Company's strategies, future opportunities, and growth of the market of the Company services. Further, I would like to mention th at some of the statements made in today's conference call may i nvolve risks and uncertainties.
Thank you and I would now like to hand over the call to Mr. Roy. Thank you.
Anand Roy: Thank you, so much and good morning , everyone, and thank you for joining us for Star Health earnings call for the second quarter of FY2026 . I truly appreciate your indulgence during this early morning time. I hope you and your families had a wonderful Diwali. Thank you again.
So, at the outset, let me just first remind everyone that we continue to take all our business and investment decisions with the IFRS principles in mind, and all our numbers shared are as per IFRS. So, I request all of you also to kindly align with that. We have been reporting this for the last few quarters consistently. On the business side, we maintained good traction during the second quarter. After steady progress across all key pillars, we maintained a risk -first approach, a consistent focus on ROE, customer centricity, and a digital -first mindset as an organization.
We were able to achieve all of this by maintaining market leadership and despite heavy competition. We closed H1 FY2026 with gross return premium of Rs. 8,809 crore on n basis, representing a 12% YoY growth. The retail health GWP rose almost 17% to Rs. 8,332 crore in the first half of the financial year, fueled by a 24% growth in fresh retail premiums and very strong renewal persistency of 98% on value in the retail he alth book. Our overall policy count grew by 3% for the year. Happy to let y ou know that we continue to maintain our ret ail health market share at 32%.

As I have called out earlier, we have been diligently working on the following key levers towards ensuring sustainable and pro fitable growth of our business. The first point that w e have been working on diligently over the last 12 months is the portfolio recalibration. Happy to let all of you know that we have now fully exited the unprofitable group employe r-employee portfolio and repriced almost the entire high claims Banca Group book . As a result, our net incurred claim ratio for H1 FY2026 stood at 70.6%, a 30 basis points decrease from H1 FY2025 . And more importantly, for Q2 FY2026 , our net incurred claim ratio stands at 7

1.8% versus 73.7% for Q2
FY2025 . This is a 190 basis point s decrease over the last quarter. So, we are able to see early results in the efforts taken in terms of reduction in loss ratios. We expect this to improve further in the quarters ahead. The retail loss ratio for H1 FY2026 stands at 69.9% and 71.3% for Q2 FY2026 . Whereas the group loss ratio for H1 FY2026 stands at 82.1% and 79.3%. All of this data is available on our investor deck, so I am sure you will be a ble to access it there as well.
The retail business now contributes to 95% of the total book of the Company and the group portfolio contributes 5%, which used to be 9% in the last year. On the distribution mix, our agency vertical remains very strong with a growth trajectory of almost 20% on fresh business.
The digital vertical continues to be our fastes t growing channel at 47% fresh premium growth and contributing close to 20% of our overall fresh business now. We are a clear leader in terms of digital business in the market as far as retail health business is concerned and this also remains our most pro fitable channel.
On the operating costs, we have further reduced our operating costs in H1 FY2026 due to various investments made earlier in tech and automation and through of course the manpower productivity gains that we have achieved. Our expense ratio has improved dramatically to 29.7 % from 31.1 % in the previous H1 FY2025 . This is all as per IFRS results.
The investment book continues to be yielding good results for us at 8.3% yield including the MTM gains on IFRS basis for H1 FY2026 . This is due to our healthy mix of equity, ETFs, REITs and INVITs now contributing close to 18% of the portfolio. The health insurance industry as we know has now seen some very positive tailwinds with the exemption of GST on retail health indemnity policies. We would defini tely like to take this opportunity to thank the government of India for this wonderful reform on GST which benefits the entire Indian economy. We as an organi zation see significant upt ick in demand post the GST waiver which is especially positive for us gi ven our retail health focus. Our lead generation, our new policy sales, the GWP growth

in October are reflecting encouraging momentum. We are seeing almost 50% growth in fresh business in October reflecting growth, strong underlying demand and also improve d affordability in the retail health segment. We also believe that persistency rates will improve given that GST has been waived off on the retail health as well. So, we continue to focus on our preferred geographies, on the products which are more profita ble for us and of course on the channels that meet our defined RO E thresholds. Our preferred geographies strategy is working well and we are see ing faster growth of almost 1.5x than the Company's average on the fresh business.

Coming quickly to our distrib ution channels on agency which continues to be the backbone of our retail business has delivered 16% YoY growth during H1 FY2026 and now contributes close to 83% of the total business. The new business growth in agency has been 20%. Our agent productivity g rew 21% on fresh business and the total ag ent base now stands at 8 lakh. We added more than 30,000 new agents in the first half of this financial year. 46% of our agency business now comes from non -metro and semi -urban rural markets where Star has always h ad a very very strong presence.

The Digital business, contributes as I mentioned earlier almost 20% of the Company's fresh business and growing at 47% year -on-year. Within this, the direct digital, the D2C channel contributes 77% of the overall fresh busin ess and our digital partners are contributing the rest 23%. The organic web traffic for Star has continued to grow very strongly at 37% and we do have a very large direct -to-consumer channel telemarketing infrastructure of almost 1 ,800 plus telecallers eng aging across 15 languages that is ensuring deep reach and local engagement. Our YouTube channel, I am happy to let you know, has now crossed 100,000 subscribers probably the first one in the insurance industry to reach this milestone. We have been given so me award also by YouTube. This effective use of customer engagement and digital innovation was recently recognized securing two prestigious digital marketing awards for us on the Pitch BFSI marketing awards for our effective mobile marketing and brand initiatives.

-Our Bancassurance channel contributed 7% of total GWP. As you know we have made significant shift towards our preferred product offering focusing more on retail and benefit plans which now contribute 92% of our fresh business in the Bancassur ance books versus 79% last year. We have also successfully repriced all the PSU banks portfolios with more focus on profitable growth. On the corporate side, our corporate channel contributed 1.5% of our mix and the focus of course has kind of scaled down , and focused more on the profitable SME segments which now contributes 66% in the first half of this year versus 34% last year.

As mentioned in the previous calls, we have exited from all non -profitable large corporate accounts from last year Quarter 2 and hence no loss from this segment is expected to come in the months forward. Our corporate group loss ratios have improved from 94% in Quarter 2 of last year to 79% in Quarter 2 of this year. The net incurred claim ratio for H1 FY2026 stood at 70.6% versus 70.9% of the last year and as I mentioned earlier, our Quarter 2 has improved more significantly at 71.8% versus 73.7% of the last year quarter. It is the result of our targeted underwriting, pricing and also processing actions that we have impl emented ove r the last one year.

On the retail side, we have taken a price correction in almost 65% of our book in the last year. We will keep following an annual repricing strategy as mentioned earlier. In the group and Bancassurance side, we implemented price correc tions in the low profitability accounts. On our fraud detection models which is driven through our in -house AIML technology platforms which we have created which are proprietary to Star Health have delivered savings growth of almost 35% over last year.

We continue to invest in our efforts to enhance vigilance and reduce fraud, waste and abuse. We have consistently ende avored to serve our customers in the best possible way and that reflects in our claim settlement ratio which is now improved to 90% versus 85 % last year. Our claims NPS now stands at 61 points versus 52 points in H1 FY2025 and overall company NPS also stands at 61 points versus 59 points of the same period last year. We track the NPS scores with more than 14 to 15 touch points and we have a very close watch over t he customer experience and NPS.

Coming to the profitability of the Company, our overall combined ratio on IFRS basis is 100.3 % for the first half of the year. This represents a decrease of 170 basis points over the first half of last year. On the Opex side, we have focused on manpower productivity and process improvements. Apart from this, the senior citizen renewal commission deduction which was an industry -wide move has had a meaningful impact on our overall commission caps. We cont inue to maintain operating costs comfortably below the 35% regulatory norms. Our investment yield stood at 8.3% for H1 FY2026 . We have closed H1 FY'2026 with an IFRS PAT of Rs. 518 crore

marking a 21% year -on-year increase over H1 of FY2025 .
So, quickly on the financial performance for H1 FY2026 as per IFRS, underwriting loss reduced to Rs. 27 crore versus Rs.

149 crore in H1 FY2025 . Combined ratio is at 100.3 % versus 102.1 % of last year H1. Claim ratio stands at 70.6 % versus 70.9 % of the previous year. Retail loss ratio is 69.9 % versus 69.8 %. Group loss ratio is 82.1 % versus 85.9 %. Expense ratio is 29.7 % versus 31.1% of the last year and the profit after tax is Rs. 518 crore versus Rs. 428 crore of last year. Investment income is a t Rs. 752 crore pinned by our long -term asset management philosophy. And our solvency ratio is 2.15x , well abo ve the regulatory requirements.
Quickly on the financial performance for Q2 FY2026 . Underwriting loss is at Rs. 43 crore versus Rs. 178 crore in Q2 FY2025 . Combined ratio is at 101% for Q2 versus 104.8 % of Q2 of last year. Claim ratio is at 71.8 % versus 73.7 % of Q2 of last year. Retail loss ratio is at 71.3 % versus 72.1% in Q2 of last year. Group loss ratio is at 79.3 % versus 91.6 % in the Q2 of last year. Our expense ratio for Q2 of current financial year is at 29.3 % versus 31.1 %. Our profit after tax is at Rs. 79 crore compared to Rs. 124 crore in Q2 of last year. The profit for Q 2 FY2026 was impacted by MTM loss, pre -tax of Rs. 122 crore and post -tax of Rs. 91 crore .
So, this summarizes the financial results of the first half and the Quarter 2. We also have made significant progress in enhancing the digital experience of all our users during the quarter. I will quickly read out 2 -3 import ant items. We have implemented a new claims platform and now almost 40% of our claims traffic has been migrated to this new platform. Our in -house AI enabled platform will further enhance our claims productivity, customer satisfaction and improve our fraud detection mechanisms as well. We have launched a new agency app with solutions that equip our vast advisors of 8 lakh footprints across the country. This new app is going to give faster codes, personalized sales pitch and real -time performance dashboards to strengthen our service engagement and association with our advisors. All of this is done in -house with our technology team. Our customer app which is also developed in -house now has touched the milestone of almost 12 million downloads. 9% of our retail NOPs are now coming from the customer app itself. So, the engagement has really gone up significantly. We have also launched

several new features for self -service experience on our app like Know Your Policy as well as various Wellness features and hooking up preventive Health Checks and so on and so forth. We are able to see significant traction on engagement whether it is MAU and DAU on the customer app side. I request all of you to download our customer app and give us your feedback as well.
On Home Healt hcare , we have expanded our presence to 250 plus cities while our daily medicine facilities have grown by 121%. So, we continue to invest in these wellness related activities which we believe will be good for the customers as well as the organization in the long run.
As we navigate the rest of Financial Year 2026, we continue to remain focused on disciplined underwriting, strengthening our digital business and digital platforms and improving our fraud analytics capabilities. We also have made significant progress in deepening our partnership with our hospital networks and other distributors. We are fully committed to empowering our customers by building awareness around evolving healthcare needs and offering product clarity across every touch point.
In clo sing, I would like to say that we remain steadfast in our mission to deliver responsible, resilient and customer centric health insurance while focusing on long term sustainable and profitable model. I thank you once again for your continued trust in Star Health Insurance and thank you for joining us today. With that I now open the

floor to Q&A. Thank you.
Moderator: Thank you. We will now begin the questio n-and-answer session. The first question comes from the line of Supratim D atta with Jefferies. Please go ahead.
Supratim Datta: Thanks for the opportunity. My first question is on the loss ratio side. So, there has been an improvement versus last year, but it's still higher than where we were in say, in FY 2023 or pre - COVID. So, just wanted to understand that, is there a pathway for the loss ratio to go back to those FY 2023 levels or has structurally something changed which will prevent us from going back there? That's the first question. Secondly, on the GST part, wanted to understand what has been the i mpact of GST and now going ahead, given your new business growth is fairly strong and from your 2Q numbers, it seems like the long -term policy growth has been around 30 %, I wanted to understand that is there g oing to be a near -term drag on earnings on an IGAAP basis because of the strong new business growth and particularly in long -term policies? That's the second question. Lastly, you know, post the GST waiver, does OPD become an interesting opportunity for you to expand into? If that's the case, then what would be the strategy there and would it be in -house or outsourced, how are you approaching that segment? Those are my three questions. Thank you.
Amitabh Jain: Hi, Su pratim . So, on the loss ratio, as we've been reiterating that the journey we have under taken

and we are focused on the FY '28 targets of what we've been talking about, of overall combined , and therefore, we are not only looking at loss ratio as one of the parameters, but clearly the turnaround is visible and we are seeing an upward trend over the last couple of years which was building up. So, that's a good trajectory that has started. And we are looking at significant reduction in Q2 that we have spoken about in the investor presentation. This has come because

of three major efforts that we h ave taken. We've seen a clear reduction in our medical frequencies driven through better availability of telemedicine, home healthcare services, sensitization of network on the admission protocols, a nd better control through frau d, waste and abuse. So , all of that has helped us in this journey. The other action that we have started is repricing of the portfolio since last year. Once that cycle sets in, that will further help us in m anaging the loss ratio towards the trajectory that you've been indicating. S o, I think that's how we hope the loss ratio to go forward. On the GST, I would request Nilesh to respond.

Nilesh Kambli: So, on the GST, to begin with we see that it's an overall positive impact for us. The multiple impacts are intermediary, GST input tax credit, which is not available. So, based on our interactions with the regulator there is an unsaid direction that the intermediary cost needs to be controlled to achieve the EOM at an industry level. So, from 1st of October, we have decided that intermediary commission will be inclusive of GST. So, on the books of the Company, there will be no impact. In terms of pharmacy, the GST has reduced from 12% to 5% on life -saving drugs from 18% to 0%. We see this as a huge benefit. We have started our interactions with healthcare providers and we see some benefits that will flow through.

On the Opex , the ITC is not available, and that is something which we are working on. But the benefits of pharmacy cost should offset the Opex ITC, which is not available. The other benefits we see is the persistence improvement on our existing portfolio and we see some early green shoots for October. The new business as well has now become much more affordable, and we see some good tailwin ds coming for new business as well.

On the third qu

estion on the gap between IGA AP and IFRS, you are right with the LTT business and some of the good agents we have decided to pay on n basis. The RI commission treaty which we had last year, we don't have the voluntary quota share treaty because we have taken all our decisions on IFRS basis. The investment portfolio also , last year it was largely focused on fixed income. Now, we have an 18 % equity and ETF book versus last year and we are focused on long-term returns. So, all these three factors, we see that the gap between IGA AP and IFRS will continue to increase along with the growth in business. IGA AP all the costs are upfront whereas IFRS , it is deferred over the policy period. So, yes, last year the gap will increase.

Supratim Datta : Thanks Nilesh for that. Before y ou address the third question, just wanted to understand on this that, on your negotiation with or discussion with the distri butors, has there been any pushback from the larger banks or say digital distributors or have everybody agreed to these new terms?

Anand Roy : So, I will take that question. Supratim , there is a multiple discussion we have had at various levels and the cost of acquiring business and insurance has to come down and this is a single kind of agenda which seems to be spoken about at various forums. So, irrespective of the kind of distributor we are looking at, the commissions are to be considered inclusive of GST . Of course, the full benefits of GST are being passed on to the consumer which is good for the growth of the business , and in the effort to reduce distribution commissions, commis sions will be inclusive of GST.

Supratim Datta : Okay. T hank you.

Anand Roy : If that answers your question. As far as the third question of OPD is concerned, I will just quickly touch upon it. I hear you and I totally agree with your assumption that OPD business will definitely become a very strong new line of business for us. We are working on this. That 18% waiver of GST is definitely a welcome move in this area especially be cause that was the single reason why people were not buying OPD plans. So, I think you will see some significant work on this in the quarters ahead including dental insurance, OPD insurance and many other such innovative items.

Supratim Datta : Got it. Thank you.

Moderator: Thank you. The next question comes from the line of Dipanjan Ghosh with Citi. Please go ahead.

Dipanjan Ghosh: Good morning, sir. Just a fe w questions from my side. First, obviously we have seen the improvement in claims ratio but correspondingly on the other side we have also seen sustained strong new business growth over the last many quarters now. So, just wanted to get a sense of when you look at your back book claims movement versus the impact of new business growth being high and that kind of helping your claims ratio. Is there any divergence that you see and if you can give some color on that, how the cohorts are behaving? Maybe not qua ntify but at

least give some qualitative color.
Second, on the new business growth side, obviously it has been holding up at very strong levels. I wanted to understand in terms of your portability mix, does that remain at the low levels or has there been any further tweaking, be it in terms of relaxation or tightening on the portability side? And do you have any color of what your new business market share would be, let's say ex of portability for the industry, at least for the first half? My third questio n is a follow -up of the previous participant's question on the pass -through of the GS T rate cuts and while you give an elaborate response to it, I wanted to understand if there is a one -size-fits-all approach that you are going for and if you can shed some color on that ?
Amitabh Jain: On the loss ratio, we clearly

see a differential on fres h versus the old business and that's always a substantial difference because of the fresh business coming with waiting periods and other factors. Along with that, we've been working on various segmentation from an underwriting point of view, whether it's p referred geography, sum insured, younger customers and so on. All of that is helping us write a better book over quarters but all of that, as you know starts showing up over a period of time as claims from that kind of earned premiums take time to reflect. So, that differential will start showing up. The good story is that our earned premiums have now seen an upward trend from a fresh to overall mix perspective. That's the first sort of green shoots that we are seeing and that will start building up from he re on.
Himanshu Walia: So, with respect to portability business, I would like to clarify that we are absolutely focused on driving our growth from profitable pools. Portability, we have always maintained low touch and

there is no change in the mix over th e last quarter. Our growth is driven largely by fresh to industry which is operating at a very healthy loss ratios.
Nilesh Kambli: On the GST point, one size fits all question that we've asked. I think the approach is to pass on the ITC which is not availa ble now equitably. I know you cannot create any distinction across various intermediaries. So, that's the standard approach.
Dipanjan Ghosh : Just one follow up on the first question. What I wanted to understand was more like if you were to look at let's say cohort. Let's say if you look at the 4th year plus cohort or let's say the 6th year plus co hort or 2nd year plus cohort, l et's say standing in 1H '23, 1H '24, 1H '25 and now 1H '26 and look at the YoY trajectory across these cohorts , ex of the new business obviously. Are you seeing the trajectory improving? We understand that price hikes incurred take time to flow through. But at least on a YoY trajectory basis, is there any gradual impro vement across the older cohorts? That is something I think we want to know to get some color on the incremental trajectory of the claims ratios.
Anand Roy : So, Dipanjan, Anand here. I think your question is valid and de finitely yes, we are seeing that and that's why the improvement i n the loss ratios are coming in Q uarter 2, as you have seen this long, almost 300 basis point improvement in the retail loss ratio. I think we can come to on a one-to-one basis and we can discuss this.
Dipanjan Ghosh: Got it. Th anks for the clarification and all the best.
Anand Roy: Thank you.
Moderator: Thank you. Next question comes from the line of Shreya Shivani with Nomura. Please go ahead.
Shriya Shivani: Hi, thank you for the opportunity. I have a question from the IFRS di sclosures. I was just checking the disclosures in the PPT that came out in 1Q and last year full year and right now in 1H. I wanted to understand the cyclicality of the deferred acquisition cost because you start with a negative in 1Q, then eventually in 1 H it becomes a positive number. This is the movement from profit as per IGAAP to profit as per IFRS. If you can explain that.
Nilesh Kambli: : So, Shreya that is the nature of IFRS. Q1 is a very small quarter for us and the IFRS cost is based on past trend. So, if you come from IGAAP to IFRS, there will always be an increasing trend. As you mentioned in Q2, the growth has picked up, and we are paying some of these commissions on n basis as well. Under IFRS, there will be a positive impact compared to IGAAP because of the growth in business as well as the volume of the business in quarter 2.
Shreya Shivani: Got it. So, any quarter where you have a smaller volume coming in, your movement from IGAAP to IFRS, the deferred acquisition cost becomes negati

ve. What does the net mean over here? It is deferred acquisition.
Nilesh Kambli : It is commission paid versus commission received. The R.I. commission.

Shreya Shivani: Alright. This was my only question . Thank you.
Nilesh Kambli : Sure. Thanks.
Moderator: Thank you. Next question comes from the line of Madhukar Ladha with Nuvama Wealth. Please

go ahead.
Madhukar Ladha : Hi. Morning, everyone. One, this quarter I see quite a bit sharp increase in commission ratio. I know part of the impact is also because of 1/n, but also absolute number has been higher than what I expected it to be. So, I wanted to understand what is really driving this? Is it that we are paying more upfront or long term policies or is it the impact of GST? Second, how are we managing the GST impact in the interim until we sort of reprice the products? I believe that we will probably require up to 3 %-3.5% sort of a repricing to fully absorb the ITC impact and so that our commission structures are unchanged like pre -GST. But that repricing will probably take some time. So, how should we think about the interim period profit ability or hit on combined ratio?
Anand Roy: So, Madhukar, let me answer this. The commission part, you are seeing an increase on the IGAAP basis. But as I mentioned in my presentation, we are now looking at all our financials on the IFRS basis, which has a deferred acquisition cost model. So, I request you to consider that as well.
We are seeing a definite uptick in our long term business. Customers are now preferring to buy long-term policies which is beneficial for them and we believe it is beneficial for us as well because, as you know, the persistency in the R1 and R2 are the lowest for all industry players including for us. So, once you have a long-term contract for the three years, the customer is committed to stay wit h us for the first three years, which is the most important part of any new customer. I think it works well for the consumer as well as for the insurance company so, we are focusing on that. That is why you might be seeing optically the commission ratios g oing up on the IGAAP basis. But that is part of our strategy.
On the repricing thing, as I have already mentioned, we are now following an annual repricing model. We have a repricing calendar. On senior citizens, as you know, the regulator has told that 10% repricing can be done every year. On similar lines for all other age groups also, we plan to do repricing every year. Now with the current quarter, of course, because of GST and introduction, that was the focus area. So, probably there is a couple of mo nths of delay in the calendar. But we will be going ahead once we have regulatory approvals in place. I think these are the two questions.
Madhukar Ladha : Just a follow -up, what is the sort of GST impact that we felt in September? I understand even in IFRS accounting, because ITC is not available, even there, while there is deferred acquisition cost, the acquisition cost has gone up. So, how should you look at it in terms of commission ratio, even over there? Maybe if you can explain both IGAAP and IFRS, it will be helpful.

Nilesh Kambli: See, Madhukar, what we mentioned is from 1st October, the GST payments to intermediaries will be inclusive of GST. So, there is no cost impact of intermediary commission coming to the P&L as we move forward in H1 and above. We see some benefits coming from the reduction in GST on pharmacy bills from 12% to 5% and 18% to 0% on life -saving drugs .On the Opex part, we see an impact coming in the books of accounts, but that will be offset with the pharmacy benefits coming in, as well as the other b

enefits in terms of persistency improvement and new business growth that we see. So, again, for IGAAP , it was an imp act only for nine days from 22nd to 30th September, which was not material when it comes to Opex.
Madhukar Ladha : Have the distributors really accepted? Because I hear that, for example, the multi -line general insurers are probably not reducing the commiss ions as much, or the entire GST cut is not, or the ITC non -availability is not being sort of passed on to the distributors by multi -line general insurers. So, is this actually getting implemented across the industry? I know the GI Council sent that notice to all the distributors also, but I am not sure whether it is being followed. Especially with online channels, I do not think that they are really accepting that as well.
Anand Roy: So, Madhukar, obviously we will not talk for others. What we will tell you is that the GST waiver is a welcome move done by the government, and definitely it will lead to an increased demand. We are already seeing that happening in our books, and when we speak to our other peers, we have seen their numbers go up as well. So, I do not think anybody will lose once the business increases, both on new as well as on persistency. Everybody will be compensated more than enough. We as a company have obviously taken this call, and we are not seeing any impact on our business as yet.
Madhukar Ladha : Great. Just one final question now. Given that because the prices have come down, there can be some further volume upticks. Is there a way that we are able to increase the sum assured for our existing policyholders? Are we thinking on those lines, adding some riders, so that the payout sort of remains the same but we are able to offer a higher sum assured? Are we doing anything there ? If we are, then if you can give sort of your early acceptance rate as to how many customers or what sort of value addition can be given of there .
Himanshu Walia: As we mentioned that we are seeing positive trends as far as our renewal business is concerned. We are seeing better persistency rates, and also customers are on themselves, they are opting for

higher s um assured. Because they are getting better sum assured at a similar price level. So, that is a very, very good sign, which will also reflect in our loss ratios going forward.

Madhukar Ladha : Understood. Thank you. All the best.

Moderator: Thank you. Next question comes from the line of Sanketh Godha with Avendus Spark. Please go ahead.

Sanketh Godha : Thank you for the opportunity. Anand, in the presentation we have 17% growth in retail. But you told that NOP growth is 3%. So, the divergence in the growth is predominantly because of

increase in the contribution of long -term plans or just the ticket sizes have gone up even in the regular plans has led to that divergence in NOP growth and the GWP growth in the retail health ?

Anand Roy: Yes, Sanket h, I think that is a good point. See, we have always been telling that our growth is coming on the back of value as well as volume growth. And we have been seeing that trend in this current financial year as well, up to August. September w as a month where almost half the month business was almost zero. So, all your NOP numbers all came down to zero. So, if you look at the H1 and Q2 numbers, definitely they are distorted. But as we speak about October, we are seeing very robust growth both o n NOP and value and volume. So, we will continue to maintain our strategy as value -led and volume -led growth. But having said that, I have already mentioned that there is a significant uptick on long -term business, which we believe is good for the organiza tion and good for the customer and we will continue to focus on that as well.

Sanketh Godha : So, Anand, today in the enti

re retail health, what portion of your business is long -term in 1H of current year compared to 1H of last year or full year of last yea r?

Anand Roy: Around 13% is the number of policies in long -term and in terms of value, it will be much higher, close to 35%, 40%. But in number of policies, it is around 13%.

Sanketh Godha : That number corresponding to last year, if you have it handy, if y ou can

Anand Roy: I will give it to you offline.

Sanketh Godha : Okay, sure. Second thing Anand was that I think you have around 15 %-18% of the portfolio in senior citizens. You cut the commissions from 15 % to 10 % there, on renewals especially and you alluded to the point that because of GST, you have passed on the commission cut. So, I believe it is largely being passed on to renewal, not on the fresh. And it has been done across the channels.

If everything is implemented, both senior citizens and your retail part, if blended, we can easily say that it will be 3%, 4% savings for the company, which could be more than enough to negate the impact of input credit. So probably you do not really need to take a price hike ?

Nilesh Kambli : So, yes, when it comes to intermediary cost, the answer is yes. There is no impact on the financials of the company. If you include the senior citizen reduction, which came from 15% to 10%, and 20% of portfolio citizens, and compare it to the Opex, the answer is again y es. You know, if you put that benefit in place. But as mentioned, there is a benefit on pharmacy as well and we see the improvement in persistency in new business growth . So, the overall impact is positive.

Sanketh Godha : Okay. But I just wanted to check that ultimately you will be required to take a price hike or all these mitigants will be good enough to achieve the targeted combined ratio you had for 2026 and 2027?

Anand Roy: The price increases will be mainly for medical inflation and consistently that will be taken.

Sanketh Godha : My question was more only for GST, whether you will be able to, you want to take a price hike or it is business as usual, regular price hikes what you take?

Anand Roy: Yes. There will be no price increase for GST. It will be regular price hike that we take for medical inflation.

Sanketh Godha : Got it. And lastly, your IFRS combined is still more than 100 %. Internally, in my view, you should have somewhere at least on IFRS 97 %, 98% combined to have a 14%, 15% RoE kind of a mode l. So, how far are we, in your view, to achieve that 97 %, 98% combined so that we become mid-teens RoE ? Whether it could be achieved in 2027 or 2028? If you can give a bit of color on that trajectory, it will be helpful.

Nilesh Kambli : So, Sanket h, you know, we do not want to give any guidance. But what we see is a positive trend. You know, Q2 is seasonally higher. Quarterly loss ratios are higher. We have seen an improvement in the loss ratio for Q2 as well. So, whatever strategy that we are implementin g in terms of price increases, recalibration of portfolio that is working in our favor. As mentioned, you know, we see a gradual improvement coming through in 2026, 2027 and 2028 as well. So, we are sticking to a long -term strategy of improving the RoE.

Sanketh Godha : Got it. Lastly, if I can squeeze one, compared to last year and in the current year, maybe due to some bit of differential pricing method what you adopted, have you seen your porting out

meaningfully coming down compared to last year?
Anand Ro y: Porting out coming down?
Sanketh Godha : Yes, because of the price hikes or differential pricing approach what you adopted. See, the reason I am asking is this. Whether, in my view, the anti -selection which probably led to higher loss ratios with porting out reducing for the good customers, at least in your view, that might

structurally improve the loss ratios for you or not. So, actually the logic of asking that question is whether the porting out in the good quality customers has come off relatively com pared to last year with the change in strategy.
Anand Roy: Sanket h, we discussed in detail on the FHO strategy and definitely we are seeing better quality retention if that answers your question. Porting out, as you have seen, our retention rates are the best in the industry despite being a very, very large -scale player. We are maintaining almost 86%, 87% volume -wise and close to 98% value -wise retention. So, we have not seen any uptick in porting out. But quality of port, as you rightly put it, because of our strategy, we are definitely seeing better quality retention.
Sanketh Godha : Understood. Thanks, Anand. Thanks for the answers.
Moderator: Thank you. Next question comes on the line of Swarnabha Mukherjee with B&K Securities. Please go ahead.

Swarnabha Mukherjee : Hi, sir. Thank you for the opportunity. Most of my questions have been answered. I have just a couple of things. So, first of all, sir, NEP growth in this quarter has kind of slowed down from where it was like that 12% , from the previous two qu arters. Just wanted to understand the reason for that. Plus, given that it has been, I think, about three -odd quarters since we have taken the price hike. So, when do we expect the NEP growth to maybe, match or exceed the GWP growth if you can show some li ght on that?
Second is, sir, given the 2Q being normally the seasonally heavy quarter in terms of claims, just wanted to understand what was your reading in terms of the severity and the frequency element? Because I believe that given your loss ratios and your claim output, that it is not as challenging as it was maybe last year 2Q. But, your readings on that and then based on that, how should we think about the overall claim scenario improving? Some comments on that would be very helpful. Those are my que stions.
Nilesh Kambli : So Swarnabha , on the NEP growth, if you are talking about, while we see a good uptick in the retail business, we have mentioned that on the group business, we are coming down by 50% and the degrowth, because this group business is only one -year business and you see an immediate impact when it comes to NEP growth. If you exclude the group business, the NEP growth has been pretty stable and it is improving, because of the long -term busin ess as well as the inflow of the NEP is coming through. As Amitabh mentioned, the mix between fresh and renewable NEP that is also working in our favor.
Swarnabha Mukherjee : Right. So, would it be possible to share the number of retail health NEP growth?
Nilesh Kambli : See, it is not in the public domain , we have started disclosing the loss ratio, which is a good indicator, of what it is looking like. Okay. Understood.
Swarnabha Mukherjee : Thank you.
Moderator: Thank you. Next question comes on the line of Neeraj Toshniwal with UBS. Please go ahead.
Neeraj Toshniwal: Hi. So, if you can quantify the net impact of the GST input tax rate after listing for the assumptions for the commissions with GST. So, what is the net impact sales which will be left on the bo ok? What is the timeline we think that we can be able to utilize that?
Nilesh Kambli : Neeraj, I think it was slightly not clear, but what I understood is the impact of GST on the books of accounts. Correct? That was the question.
Neeraj Toshniwal: Yes, if we can quantify on the combined. What I am asking is basically commissions you are sounding confident that you will be able to pass on, but ex of that also there is some impact which will probably be left on the book. So, just want to understand ho w much or what levels we are taking to utilize that and what

will be the impact, net impact.
Nilesh Kambli : As mentioned, commissions we are passing on to the intermediaries. If you see Schedule C, our commission cost is roughly 15% to 16% last year, whole put together. If you put an 18% GST

on that, it is roughly 3.1% commission cost, which will be passed on to the intermediaries. On the Opex part, if you include the employee cost, the depreciation and other non -GST related expenses, the impact for the ful l year is roughly around 0.6% - 0.7% of the GWP, which again, we see the benefits coming from the reduction of pharmacy bills . So, that is the kind of impact that we see.

Neeraj Toshniwal: So, net impact, you do not think anything will be left on the book post, benefit to see on the drug side and the pharmaceutical side?
Nilesh Kambli : Yes, while the line items will differ, yes, the net impact will not be there .
Neeraj Toshniwal: On commission, obviously, this has been largely debated. Since we hear that most of the players or there is an argument like, how can you call it out? Like, Policy Bazaar has been denying that they are not taking any hit on the book. In that context, it is quite contradictory to what we are articulating. So, where is the gap or is it still under discussion? Just wanted more color on that or is it already being done? How should one think about it?
Anand Roy: See, obviously, we will not comment on any particular channel, but the intent and the, you know, the principle that we are fol lowing is cost of commissions has to come down and this is the direction given directly by the regulator also in our recent meeting. So, I think at an industry level, it is an effort by everyone to reduce the cost of commissions. We are participating in th at and giving the benefit to the consumer. That is the only thing we would like to say here. But, what Nilesh mentioned, the overall GST, we do not see any major impact on the P&L. Having said that, the benefit that we are expected to accrue from reduction in GST cost on life -saving drugs and other drugs, has to be passed on by the healthcare providers to the consumer as well, just like we are doing for our business. So, we are going to keep a watch on that and I do not know whether we can expect 100% compl iance, but we will be definitely trying to maximize that as much as possible.
Neeraj Toshniwal: If we refresh FY 2028, our targets in new context, as in with the revised GST, with revised commissions and with higher growth expected in health, already menti oned we have seen some green shoots in October. In that context, are we on similar guidance what we had or we are looking to revise it with whatever new information we have?
Nilesh Kambli : These are many changes that have taken place. As mentioned, we have recalibrated our group approach as well. So, we will come back with the guidance, but we are well on course to achieve that, maybe to the extent of the group business reduction that we see.
Himanshu Walia : Also, as we mentioned previously during the call, that our preferred markets are growing 1.5 times more than the other markets, right . So, we are seeing a healthy trend in terms of our growth rates on the retail side and we are quite confident that we will deliver good results going forward.
Neeraj Toshn iwal: Got it. Thank you. I will join back in the queue.

Moderator: Thank you. Next question comes from the line of Shobhit Sharma with HDFC Securities Limited. Please go ahead.
Shobhit Sharma : Hi, sir. Thanks for the opportunity. Sir, my first question is on your retail LR. Though for the second quarter it has improved, but if I compare it to last year H1, it has broadly remained similar.

So, can you give some color around how the incidence rates and the average claim size has moved? Also, what is the aspir ation for the second half because of the GST impact both on the topline and the bottom line? You mentioned that there has been an improvement in the persistency, increasing sum assured . So, can you quantify how much improvement is there in the persistency and it is in which cohorts? Is it the 13th or the 25th or the 3rd renewal? And lastly, on the fresh business that we are acquiring right now. So, can you give some color around the customer profile? Is this customer profile similar to our existing portfoli o in terms of the average age, demographics , premium per life, etc?
Amitabh Jain: On the loss ratio, Q2, obviously, you have seen it has improved substantially. But in Q1, we did not have that kind of differential. So, therefore, H1 is looking like what it is. Overall, as a combined effect of frequency severity, we see that somewhere in middle single digits. So, that is something which is very much under control given that this was a season which is typically much higher than the first quarter. Given all th e efforts that we put 360 degree across premium increases, better underwriting, better controls on FWA as well as all our wellness initiatives, this has happened. And we hope and are confident that this trajectory will continue in the coming quarters. So, that is on loss ratio.

Himanshu Walia: As far as renewals are concerned, we are seeing good signs. Overall, there is a 200 bps improvement in the renewals and the cohorts that we are very focused on , which is R1 and R2, there improvement is about 300 bps.
Moderator: Mr. Sharma, are you done with the question?
Shobhit Sharma: Just two more things about the fresh business that we are underwriting. So, if you can comment upon the customer profile, is this better than the existing portfolio or it is more or less similar?
Anand Roy: I will take this question. See, on the fresh business side, we have always been very, very calibrated and very disciplined. Our underwriting and loss ratios of the customers that we acquire is probably the best in the industry. We know this from market intelligence in terms of the onboarding of customers that we do. So, fresh business, our new to insurance continues to be in the significant portion which is almost 85% of our new business and only 14%, 15% comes from

portability whic h is also very calibrated and profitable markets and profitable cohorts. In case
you want more details, I would request you to come and meet us personally and we can give you
more detail s.
Shobhit Sharma: Okay . Thank you and all the best.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question -
and-answer session. I would now like to hand the conference over to Mr. Nilesh Kambli for
closing comments.
Nilesh Kambli: So, thank you everyone for joining the call. We have seen an improvement in LR in quarter 2
which is quite encouraging. With the GST exemption, the retail health business sees positive
tailwinds. We are focused on profitable growth going forward. Thanks a lot for joining the call.
Moderator: Thank yo u. On behalf of Star Health and Allied Insurance Company Limited, that concludes this
conference. Thank you for joining us. You may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no re sponsibility for such errors,
although an effort has been made to ensure high level of accuracy.

Call: Feb 2026

Date: February 03, 2026
Place: Chennai
Ref: SHAI/B & S/SE /161/2025-26

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra-Kurla Complex
Mumbai – 400001 Mumbai – 400051
Maharashtra, India Maharashtra, India
Scrip Code: 543412 Symbol: STARHEALTH

Dear Sir/ Madam,
Sub: Earnings Call Transcript –Q3 & 9M - FY 2026
Further to the Company's letter SHAI/B & S/SE/ 146/2025-26 dated January 14, 2026 regarding Earnings Call Intimation for Q3 & 9M - FY 2026, please find attached transcript of the call dated January 29, 2026 for your information and records .
The above information is being hosted on the Company's website at www.starhealth.in

Thanking You,

For Star Health and Allied Insurance Company Limited,

Jayashree Sethuraman
Company Secretary & Compliance Officer

Encl: as above.

Star Health and Allied Insurance Company Limited
Q3 & 9M -FY2026 Earnings Conference Call
January 29, 202 6

Management:
Mr. Anand Roy – Managing Director and Chief Executive Officer
Mr. Amitabh Jain - Chief Operating Officer
Mr. Himanshu Walia – Chief Marketing Officer
Mr. Nilesh Kambli – Chief Financial Officer
Mr. Aneesh Srivastava – Chief Investment Officer
Mr. Aditya Biyani – Chief Strategy and Investor Relations Officer
Mr. Sombit Bhattacharyya – Head Investor Relations

 Moderator: Ladies and gentlemen , good morning and welcome to the Star Health and Allied Insurance Company Limited's Q3 and 9M FY2026 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing " *" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Devyanshi Dave from Adfactors PR, Investor Relations team. Thank you and over to you, Ms. Devyanshi.
Devyanshi Dave: Good morning, everyone.
From the Senior Management , we have with us Mr. Anand Roy – Managing Director and Chief Executive Officer, Mr. Amitabh Jain – Chief Operating Officer, Mr. Himanshu Walia – Chief Marketing Officer, Mr. Nilesh Kambli – Chief Financial Officer, Mr. Aneesh Srivastava – Chief Investment Officer, Mr. Aditya Biyani – Chief Strategy and Investor Relations Officer, and Mr. Sombit Bhattacharyya – Head Investor Relations.

Before we begin the conference call, I would like to mention that some of the statements made during the course of today's call may be forward -looking in nature, including those related to the future financial s and operational performance , benefits and synergies of the company's strategies, future opportunities and growth of the market of the company services. Further, I would like to mention that some of the statements made in today's call may involve risks and uncertainties.

Thank you and over to you, Mr. Roy.

Anand Roy: Thank you very much and a very good morning to all of you. Thank you for joining Star Health's earnings call for the 3rd Quarter of FY26. I know we are late in January, but I would take this opportunity to wish you and your l oved ones a very Happy New Year' 26.

So, let me set the context :

India's insurance industry is moving beyond penetration catch -up zone to a phase of sustained compounding reinforcing its role in the core pillar of economic infrastructure. We welcome the recent "Sabka Bi ma Sabki Raksha " that is the amendment of the Insurance Laws Bill 2025, and we believe it is a significant policy milestone towards further deepening of insurance penetration. The Bill institutionalizes trust through the establishment of policyholder education and protection funds , strengthening the foundations for sustainable trust -led development. We believe that health insurance in India is entering a structurally advantaged phase with policy tailwinds and rising consumer intent translating into sustained demand Page 3 of 19 growth. Health insurance is already the largest and the fastest growing segment within the non-life industry. Within this, retail health is the most consequential value pool voluntarily purchased by families across the country to protect their household balance sheets from medical shocks. IRDAI's annual report for FY24 -25 reinforces this momentum with the lives covered under retail health has grown at 7.7% year -on-year versus 5.6% year -on-year in FY23 - 24. The number of lives covered exceeded 6 crore by Marc h 31, 2025. So, on the policy front, the recent landmark GST exemption on retail health has been a structural catalyst lowering the all-in insurance cost for households. This is already visible in the category growth. While overall non-life insurance grew at 11.5% in Q3 FY2026 , retail health insu rance grew 33.6% , that is 3x more over the same period. Amidst this conducive backdrop, I think Star Health remains focused on maintaining its leadership in retail health and compounding a durable value - accuracy fra nchise anchored on our four pillars, which is a risk -first approach, a consistent focus on ROE, customer -centric executi on and a digital -first mindset.

With this, let me come to the quarterly performanc

e highlights of our company :

Before I share the updates on our quarterly performance, I would just like to kindly remind you that we continue to take all our business and invest ment decisions based on the IND AS accounting which is aligned with the IFRS principles. IFRS is designed to capture the value creation over the policy lifetime rather than a short -term accounting outcome and we have been following the IFRS -aligned re porting structure consistently.

So, now coming to the headline statements for Q3 FY2026 :

In Q3 FY2026 , our top -line i.e. the GWP on N basis increased by 23% year -on-year to Rs. 5,047 crore . We ensured full pass -on of GST benefits to our customers with very strong distribution alignment on the revised economics and absorption of the Input Tax Credit impact . On the IND AS PAT for the 3rd Quarter , increased from Rs. 87 crore for Q3 FY2025 to Rs. 449 crore for Q3 FY2026 . We reported IND AS underwriting profit of Rs. 46 crore in Q3 FY2026 as compared to an underwriting loss of Rs. 79 crore in Q3 FY2025 . This was driven by improvement in combined ratio by almost 320 basis points from 102.1 % in Q3 FY2025 to 98.9 % in Q3 FY2026 . As in the previous quarters, we have demonstrated loss ratio decline continuously in successive quarters with a 301 basis point decrease from 71.8 % in Q3 FY2025 to 68.8 % in Q3 FY2026 . The retail loss ratios also have decreased by 103 basis points year -on-year to 68.4% in this quarter. Also, as in the previous quarters, our expense ratio declined further by 16 basis points from 30.3 % in the last year to 30.1 % in Q3 FY2026 .

So, the headline statements for 9M FY2026 :

I would like to mention here. On YTD basis, our top line, the GWP, increased by 16% year -on- year to Rs. 13,856 crore . Our IND AS PAT increased 87% year -on-year from Rs. 516 crore during 9M FY2025 to Rs. 966 crore for 9M FY2026 . We reported IND AS underwrit ing profit of Rs. 20 Page 4 of 19 crore in 9MFY2026 as compared to a loss of Rs. 227 crore in 9M FY2025 . This was driven by significant improvement in combined ratio by 2 22 basis points from 102.1 % in 9MFY2025 to 99.8 % in our current 9M FY2026 . The improvement in combined ratio was driven as a mix of both expense and loss ratio. Our loss ratio improved by 124 basis points to 70% and our expense ratio also improved by close to 100 basis points to 29.8% for the nine -month period.

Our PAT growth was driven by both operating profit and investment income. We registered an investment yield of 9.6% for 9M FY2026 , supported by a diversified profile of assets. As on 31st December 2025, 18.7% of our book was in high -yielding assets such as equities, ETFs, REITs and InvITs . We believe our Q3 and 9M FY2026 performance reflects our disciplined execution and the positive impact of the corrective actions that we have been taking both on the underwriting

and the claims management side.
Now c oming to the business details :
Operationally we continued to build a very diversified and granular retail franchise while maintaining the category leadership. Our market share in retail health segment was 31.3% for 9M FY2026 . As the market leader, we view insurance penetration augmentation as both an opportunity and a responsibility.
Continuing with N basis on the business metrics during the quarter, our gross premium increased 23% year -on-year by fresh business growth of 45% and the renewal premium growth of 17%. On the nine -month basis, our GWP growth stood at 16% with fresh premium growing at 18% and renewal premium growing at 16%. We remain focused on certain preferred geographies, demographics, products and channels that maintain and meet our defined ROE thresholds. Our preferred segments are growing faster at 1.3x than the company 's average on the overall fresh business.
Coming to the details of our distribution channels :
Let me start with agency which is the backbone of o

ur business with 83% business contribution
coming from our agency force. Our GWP in agency channel grew 19% year -on-year during 9M FY2026 . Our fresh business in agency channel grew 35% year -on-year on the nine -month basis. We registered an accelerated growth of almost more than 66% in Q3 FY2026 which was supported by robust 16% growth in fresh policies. Our granular market reach continues to convert consumer demand into growth with 60% fresh business emerging f rom semi -urban and rural markets. So, Star Health is as we know very strong in the semi -urban and rural markets as well and we continue to invest in the agency channel with overall agent count exceedin g 8 lakh by December 31, 2025.
Coming next to our digital distribution channel which continues to grow from strength to strength :
 Digital business is structurally our most profitable channel with digital D2C operating at industry leading scale. In terms of mix, 77% of our digital business emanates from our in -house digital channel D2C channel while the remaining business comes from our strong digital partners. Digital channel contributed 9% of our overall business and 20% of the fresh business for 9M FY2026 . Our GWP from digital channels grew 35% year -on-year basis for nine months driven by a strong fresh premium growth of more than 4 6%.
Coming next to our Bancassurance channel :
Banca contributed 7% of our overall GWP and 5% growth on a year -on-year basis. We have deliberately upgraded the mix of our bank assurance products towards certain preferred products which is now making almost 94% of our fresh premium contribution in 9M FY2026, which used to be 76% in last year nine months. We continu e to expand our base of Banca partnerships. We have added six new Banca partners during the current fiscal. Our corrective action on certain loss-making accounts in this channel will fully reflect in our profitabil ity during the coming quarters.
On the corporate distribution :
Corporate contributed 1% of our overall GWP owing to our recalibrated channel strategy as we have articulated earlier. In this phase, we are focusing on the higher quality SME segment with 73% of the corporate business coming fro m the SME segment during these nine month compared to 44% in the previous year. Our corporate group loss ratios have significantly improved from 94.6% i n 9M FY2025 to 83.5% in 9M FY2026 . This is a result of our recalibration on the group distribution which we have mentioned before as well.
So, coming to the overall portfolio maintenance and calibration :
We have implemented diligent measures towards qualitative recalibration of our portfolio and ensuring delivery of sustainable ROE outcomes.
On a YTD basis, our reta il to group business mix was 95:5 as against 91:9 for 9M FY2025 . So, 95% of our business now comes from retail across all the channels mentioned earlier. Our claims ratio for the retail book declined further to 69.4% in 9M FY2026 as a result of our targeted underwriting, pricing and associated corrective strategies being i mplemented since the last year. We continue to invest towards enhancement of our vigilance and reduction of FWA which is Fraud, Waste, and Abuse as a core operational priority.
Medical inflation in India continues to be at a very elevated level. Various studies conducted by leading firms like Aon and Willis Tower s Watson expect medical inflation in India to be higher than 12 % to 13% in 2026. Unless there is a structural cost moderation through government
 interventions, price increases by insurance companies would be essential to preserve sustainability.
So, Star has continued to serve our customers with utmost fairness with outcomes demonstrated in the consumer behavior . We have settled more than 2 million claims amounting to Rs. 8,900 crore during 9M FY2026 . These numbers will give you an idea about the operational rigour and effic

iencies of this organization. Our claims settlement ratio
consolidated at 90% for 9M FY2026 . Our grievance ratios for 10,000 policies reduced from 22 in 9M FY2025 to 20 for 9M FY2026 . Our renewal retention trends which is also indicator of the consumer satisfaction were robust during 9M FY2026 with 99.2% persistency value -wise . Our claims NPS improved to 63 in December 2024. More importantly, our cas hless claims NPS improved to 72 f rom 63 during the same period last year. So, our cashless claims NPS probably is the industry leading right now with 72 points. Our overall com pany level NPS improved from 55 at December 2024 to 64 at December 2025. This continued lift in persistence and NPS coupled with the reduction in incidence of grievances are validated of improved customer experience and strengthens our resolve to compound this momentum w ith more disciplined execution.

Coming finally to our digital initiatives on both service side and the sales side, as you know we have been making significant investments in technology. Probably, we are the largest investor in technology in the health insurance business. So, we are able to deliver tangible progress on both productivity and service outcomes. Digital is now embedded across the value chain through our modernization of legacy platforms, our workflow automation and enablement of multiple straight -through journe ys at scale. Let me give you some numbers. Starting with the streamlining of acquisitions, 94% of our new policies are now originating digitally. 76% of the premiums were collected through the digital route during the year. In quarter 3, our distribution app, which is ATOM , facilitated 85% of the fresh policy acquisitions indicating very high digital adoption amongst our distribution partners as well.

On the claims and wellness side, our AI -powered claims platform continues to scale and has now enabled migration of around 57% of our claims traffic, translating to better productivity outcomes and also reduction in FWA. We expanded our home healthcare ser vices to more than 300 locations from around 250 at the close of last quarter. Expansion of doctors and specialties has driven 73% growth in our telemedicine numbers, indicating strong adoption of our wellness initiatives by our consumers.

On our customer app, we are happy to let you know that with the enhanced features and increased adoption, our customer app downloads have crossed 13 million by December ‘25 and our monthly active users have also scaled more than 1.5 million mark. So, this is becoming more and more important in the way we are servicing our customers. We have observed that desirable levels of self -service adoption with 60,000 -plus claims have been submitted on our customer app. There is an absolute digital experience on claim submission on the customer app, which is actually more than double o f what we did in the last year nine months. More than 3 lakh policies a re renewed through the app now.

So, stitching together everything, as we enter into the last quarter of the current fiscal, our priorities remain very clear to deliver value -driven growth, disciplined underwriting, very strong fraud analytics, deeper partnership with our hospital partner s and distributors, and sharper customer engagement across the life cycle touch points. We remain steadfast in our mission to deliver responsible, resilient and customer -centric health insurance. I again thank you very much for your trust in Star Health. And with that, now we open the floor for Q&A. Before we go into Q&A, I would also like to take this opportunity to introduce Sombit , who has joined us as the Head of Investor Relations, and he will be interacting with all of you. I would like to also take this opportunity to thank Aditya, who has been your face of the company, meeting all of you. He will continue to be with Star Health to play a very import

ant role on the
business side of things.

All of us are always available to all of you for any questions you may have about the business. Thank you so much. Looking forward to your questions.

Moderator: Thank you very much. We will now begin t he question and answer session. The first question is from th e line of Swarnabh a Mukherjee from B& K Securities. Please go ahead.

Swarnabh a Mukherjee: Hi, sir . Good morning. Thank you for the opportunity and congrats on a good set of numbers. I have three questions. First of all , I just wanted to understand the trajectory of earned premium growth because I think last year from 3Q onwards, you had started increasing the price across products and by January, you had repriced 65% of the portfolio. However, I think on an earned premi um basis, the growth is still lower than what our top -line growth is. So, I just wanted to understand when do we see that last year's price hike in the e arned premium growth. So, that is the first one. Second is on the fresh business growth and I think com mendable numbers. I just wanted to understand the commission for this fresh business, how it will be placed vis -à-vis renewal business. So, what I also noticed is that net commissions have remained stable despite the fresh growth, but DAC has come up in the IFRS. So, I just wanted to understand how should I read this or whether we are doing a lesser proportion of long -term products now if you put some light. Thirdly, in terms of agency, I think you have reported 6% fresh NOP growth while premium growth is 3 5%. So, is this led by higher -ticket -size products? What is happening? If you can put some light on this. Yes, sir. This is my question.

Anand Roy: Yes, thanks a lot. Thanks a lot for those questions and thanks for y our good wishes. So, see, the NEP growth is a factor of multiple things. One is on the group side, as you know, we have recalibrated our business strategy and t hat is also reflecting on the N EP growth. On the retail side of things, while we are on a conservative 1 /365 accounting and as a result of which the NEP growth flows into the books over a period of time. But if you look at the way the growth Page 8 of 19 is coming in terms of top -line and also renewal retention, N EP growth will improve in the coming quarters and I am sure that will be demonstrated.

On the commission side, on fresh, we are paying commissions. Our long -term business has increased and we have spoken in the past, customers are preferring long -term plans and which we are quite happy to offer. For the simple reason, I believe it is a win -win for all stakeholders. So, commissions are paid to agents and distributors on long -term plans depending on certain business outcomes that they have to deliver. So, as you have rightly mentioned, despite significant growth in business, our net commissions have remained stable and under the IFRS accounting, the deferred acquisition cost is one of the main contributors which helps us to achieve this.

Finally, on the 6% NOP growth, I think we have been focusing on profitable growth. Growth with profit has been our agenda. Certain markets we have taken some calibration, but this is on a YTD basis , if you look at our growth for quarter 3, it is significantly higher. So, I think we are delivering more than 16% growth in volume in quarter 3. So, things are improving on the NOP as well.

Swarnabh a Mukherjee: Okay, sir. Very useful. Just one last follow -up. So, in the presentation, the sum -assured number which you have provided, average sum -assured, last quarter it was around Rs. 17 lakhs. That has come down to around Rs. 12 lakhs for nine months. This is because we are now excluding a group from the calculation. Is my understanding correct?

Nilesk Kambli y: Yes, the group is excluded. Correct.

Swarnabh a Mukherjee: Okay, understood. Thank you so much, sir, and all the best.

Mod

erator: Thank you. We have the nex t question from the line of Prayesh Jain from Motilal Oswal Financial Services Limited. Please go ahead.

Prayesh Jain : Yes, hi. Good morning, everyone. Congrats on a great set of numbers. Firstly, on the loss ratio, how much of the improvement would you attribute to the fact that we have a very strong fresh growth and probably that kind of comes in the impact or probably the loss ratio on that kind of increases going ahead. B ut what I a m basically trying to figure out is, how is the loss ratio pannin g out in the renewal book? What i s the trajectory there? Because the fresh contribution has gone up and that could have played a part in reducing the loss ratio. So, is the loss ratio kind of coming down also on the renewal book, is my question.

Amitabh Jain : Yes, hi, Pr ayesh. Yes, the impact of price changes last year is clearly showing and we are seeing a reduction in the loss ratio of our renewal book as well. Of course, increasing of fresh will also have a role in terms of bringing down the loss ratio, but that will pla y out over a period of time because the fresh growth has gone up significantly in this quarter.

Page 9 of 19 Prayesh Jain : Could you give some numbers on your, say, a three -year book loss ratio or what would be the three -year loss ratio compared to, say, a year back and today?

Anand Roy: Prayesh, I think these things we can have it offline. You can come and meet us.

Prayesh Jain : Got that. Second question was, attention to what Swarna bha asked earlier on the commission bit. There is a stark improvement on the commission ratios given that fresh growth was so strong. What really kind of played into it to bring down the commission ratios into that quantum?

Nilesh Kambli: So, Pr ayesh, when you talk about commission ratio, what you are looking at IGAAP numbers, the gross commission to GWP. So, if you see, for quarter two, it is 17.1 % and for quar ter three also, it is 17% . So, it is consistent. You know, the reduction that we had done on the senior citizen that is playing out, vis-à-vis which is getting offset with the long -term business that we are writing. Long-term business, a large p art of it still is on 1/N basis. So, it does not impact the commission ratios.

Prayesh Jain : Okay and the last question is on, again, the regulations where now there is so much discussion on commission bit, that commission has to be brought down in the system. And the other part is the healthcare system, right? What are the developments on both the fronts with respect to negotiations with hospitals or anything that you can share on what are the developments both on the commission front as well as what the regulator is talking about commission front as well as the healthcare regulator front?

Anand Roy: Yes. So, see, Prayesh that is a good question on both on the commission front and on the expenses of management. I think there is, we expect that the regulator may be reviewing this. This is what we have been also hearing. We await for some final clarity on that. But at a macro level, I think in the larger interest of the consumers, expenses of management have to be adhered to and we beli eve that it has to be implemented very, very strictly. This is something that is definitely desira ble for the industry performance on a sustainable basis. So, if any reduction in expense of management is articulated by the regulator, obviously, we will be prepared for it. As far as the hospital negotiations are concerned, this is an ongoing process. We are seeing good interaction with hospitals with multiple partners like AHPI and all of that.

We are talking to all of them. We are meeting them. We are also able to see some acceptance of, you know, from their side to find a solution wh ich is a win -win for all of us . There is a lot of work going on at the GI council level, as you know, in terms of common empanelment of hospit

als and so on. So, I think in the next few months and years, we should see some good movement in this area.

Prayesh Jain Got that. Thank you so much. I wish you all the best.

Anand Roy: Thank you.

Page 10 of 19 Moderator: Thank you. We have the next question from t he line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: Yes, hi. Good morning. Thanks for the opportunity. Good set of numbers. Anand, a question I will stick to the one particularly on the claims ratio side. Certainly, there is an improvement if we see sequentially on a YoY basis. But if we look at more on the nine -month basis and the retail claims ratio, because a significant portion of improvement has come from group. Now, on the retail side, I mean, versus 69.6 % of last nine months to this nine -month 69.4 %. The improvement is there, but it is kind of a minimal and it is on the back of also the price hike has been taken , a lot of remedial exercise were taken.

So, the question is that, if we were to look, say, over maybe two, three years kind of a thing, where maybe a desirable number for you on the claim side would be even lower from here. So, how do you see this panning out? Given that apparently medical inflation has started to bit of a cool down in recent quarters. You have taken the price hike and remedial action, and you also ha ve a very impressive fresh growth and overall growth. Yet, you know, the claims ratio improv ement over these nine months YoY basis on retail side is still a 20 basis point. So, how do you see the journey over next two, three years and where would you see or your desire to settle this claims ratio piece? Thanks.

Anand Roy: Yes, thanks, Avinash. So, see, I think, on the retail claim ratio, you have to, I mean, obviously, you understand equally well, the price divisions that we have taken and all the underwriting changes that we have made, these things to flow into the loss ratio and the earned premium takes 18 to 24 months. So, we are still not even 12 months done. I think, more importantly, you have to look at the quarter three claim ratio of retail. If you see the trends of the quarter three, there is a 103 basis point improvement over last year. So, on the trend side, we are seeing encouraging signs. But on the YoY, yes, the decrease may not be that sharp. But we believe that this will trend downwards going forward. Now, as I have told, we are not targeting any specific loss ratio as such. We are hoping to deliver a mid -teens ROE business and that is what we are focusing on. This will be a blend of both loss ratio and combined r atio so that we are able to meet those objectives.

Avinash Singh: Got it. Thank you.

Moderator: Thank you. We have the next question f rom the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: Hi. Thanks for taking my question. T his is essentially on the acquisition ratio. This ratio has go ne up to around 26.9 % versus 23 % in the second quarter or probably even 23 % in the 3rd Quarter last year. So, how should one think about this?

Page 11 of 19 Nilesh Kambli: So, Nis chint , on the IFRS side the fresh growth that we had in the current quarter had some impact in terms of the ratio. So, it will keep on normalizing as the growth normalizes.

Nischint Chawathe: So, at a cohort level, has the acquisition expense ratio gone up?

Nilesh Kambli: No, not really. But yes, I mean, the fresh cohort for this quarter will have a hig her acquisition cost which will pan out over a peri od of time.

Nischint Chawathe: The fresh commissions would be higher.

Nilesh Kambli: Correct. Which will keep on normalizing.

Nischint Chawathe: And in terms of GST impact?

Nilesh Kambli: As we have mentioned we have passed on the GST to our intermediaries . There is no impact of GST in this. All the commissions that we have pa id are inclusive of GST.

Nischint Chawathe: Got it. Thank y

ou very much.

Moderator: Thank you. We have the next question from the line of Sanket h Godha from Avendus Spark. Please go ahead.

Sanketh Godha : Thank you for the opportunity. My first question is again on the loss ratio for the 3rd Quarter . See, we have a reserve release of Rs. 142 crore and that played a significant role for delta improvement in the loss ratio. If I ignore the reserve release, then your loss ratios probably are very similar to what you reported in second quarter. So, I just wanted to understand this release, how sustainable it is and from which product you have seen this releas e. Because the release clearly benefited on the loss ratio is my read. The second question is that even if the improvement has happened in loss ratio, any role was played by the GST cut with respect to consumables on the bill s, which I believe is around 20%, 25% of every bil l on an average, the GST cut of around 7% change had any additional benefit on the overall loss ratio what you

repo rted in the 3rd Quarter . That i s my first question on loss ratio.
Nilesh Kambli: So, Sanket h, the outstanding claims is the functions of the claims we paid during the period because you know 85% of the claims are cashless. While the customer is discharged, the hospital payment happens with the lag of one month. So, whatever we have paid in the current quarter is the claim outstanding as on 30th September. So, whenever the c laim ratio goes down, it i s automatically the outstanding claims also goes down because the claim outstanding or the claims reported during the quarter are lower and hence the outstanding claim is lower and the paid is for the last period. So, there is no impact of the reserve release or the outstanding claims reduction on the loss ratio. In fact, we have been strengthening our IBNR quarter -on-quarter to take care of any volatility .
 Amitabh Jain : On the GST side, we have seen some impact of that coming on the bills but see the overall ratio of that vis -a-vis our overall spends on claims is a very insignificant amount. I mean it will have some role in offsetting some of our other GST outgo in the ar eas w here our services, GST, etc we wi ll have some extra cost but to that extent, the loss ratio improvements are more structural in nature in terms of our pricing improvements, our continuous work on improving our loss cost in terms of managing our book b etter.
Sanket h God ha: Understood. Maybe that part might be getting reflected in the Opex side. So, only on the claims, whether you had 20, 30, 40 odd basis point positive or above because of the GST benefit?
Amitabh Jain : No, no. Not because of GST benefit.
Sanket h God ha: Understood. Other two questions are basically given your growth has been very strong in the new business. I just wanted to understand the color of the mix i n the new business, how much it is long -term compared to previous quar ter or even maybe 3Q to 3Q and 9M to 9M, how much delta has been driven by increase in the contribution of long -term plans. That i s one thing I wanted to understand. Second thing is on investment book side, in the IFRS, Rs. 413 crore of fair value change, what you have reported, it is largely related to equity or it includes fair value change meaningfully coming from bonds too?
Himanshu Walia: Let me answer the long -term proportion answer first. We are definitely seeing an uptake in our long -term policies. Such policies are beneficial for both consumers and the company because the consumers are protected against the price hike for the tenure that they have opted for and there is continuity which is intact and the health is secured. Additionally, we are able to lock in the customer early especially at R1, R2 stage where generally the retention rates are better. Further, long -term policies also impr ove our capital efficiency as the customers pay up front. So, from a business standpoint

, our approach is very clear. We go for businesses which meets our ROE thresholds. Now, coming to specific numbers o f long -term policies, on the fresh side, it has contributed about 23% versus 14% in terms of NOP and in terms of GW P, it is at 51% versus 34% on nine -month basis.
Sanket h God ha: Sorry, can you repeat on GWP basis?
Himanshu Walia : On GWP basis, it is 51% versus 34% on nine months last year .
Sanketh Godha : Understood. On the investment book side, on IFRS Rs. 413 crore of fair value change?
Aneesh Srivastava: Yes. Sanket h our fixed income book is held to maturity in IFRS. Any mark -to-market change in equities, REITs, InvITs and AIF flows through profit and loss. This is how the accounting of IFRS is done.
 Sanketh Godha : So, in simple words, what you are trying to say is that entire Rs. 413 crore is only related to equity market, nothing to do with bonds.
Aneesh Srivastava: Equities, AIFs and REITs, InvITs .
Sanketh Godha : Understood. But the proxy equities, I mean to say. Okay. Understood. Thanks. That i s it from my side.
Aneesh Srivastava : Thank you.
Moderator: Thank you. We have the next question from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.
Shobhit Sharma: Yes. Hi, sir. Thanks for the opportunity. Sir, my first question is on the GWP side. Sir , if you can give some color around the RI acceptance which we have done during the quarter. Does this relate to group business? And if it pertains to group business, what is the nature of that business? Is this employer -employee or non -employer -employee? Now, second, coming to the commission issue, it has improved drastically, if you look at. So, what is driving that? Is this because of the first install ment of the long -term premium, which we have received this year? Or is this something else? Because we have not written any kind of group business also, major group business during the quarter. So, just want to understand that. On the expenses side, it seems to have elevated a lot during the quarter. So, can you give some light on that? Because there is some impact of the labor code also there. And there seems to be some ESOP cost, which has been accounted for. So, if you can help us understand that. And la stly, on your Slide 13, you have mentioned number of claims which has been paid during the first nine months. If I compare that with the full FY2025 number of claims that seems to be significantly lower, almost 50% of what you had paid in FY2025 . So, can you help us understand that as well? Yes ,

these are my questions. Thank you.

Nilesh Kambli: On the Reinsurance inward side, for the quarter, the number reported is Rs. 22 lakhs. We had some treaty done in the last year. There is some adjustment because this treaty will get over on 31st July. There is no new treaty that is written. And it is hardly Rs. 22 lakhs number that is got reported in the current quarter. In terms of labor code, the one -time impact for the quarter is Rs. 16.5 crore , whic h is reported in Opex, and that i s again, which is the point for impact on the expense ratio for the quarter. In terms of number of claims reported in the investor PPT for nine months, there is a typo. I think i t is only the IPD claim s. So, including OPD, we will just revise it. It is higher for ni ne months period, while the last year's numbers are including OPD and PHC.

Shobhit Sharma: What i s the ESOP cost which has been accounted during the quarter, sir?

Nilesh Kambli: ESOP cost gets accounted under IFRS.

 Shobhit Sharma: IGAAP .

Nilesh Kambli: There is no impact of ESOP cost on IGAAP . Only if you have issued the ESOP less than the market value, there is an impact with IGAAP numbers. We have not been doing that . In the past I think it is hardly again Rs. 5 to Rs. 10 lakhs when there was a timing difference. That impact is coming, but nothing

substantial.

Shobhit Sharma: On the claims ratio, it has improved now on the retail side as well. So, what kind of loss ratio if you look at on a sustainable basis, would you be looking at? Would it be the mid -60s kind of a range or would it stay at the current levels only? I am talking from a next two, three years point of view, not on a short -term basis.

Anand Roy: No, so see, we do not want to give any number and be guided for that. We are looking at running this business with a little combined rati o which is viable and mid -teens ROE. That is our target that we are focusing on. To achieve that claim ratio and expense ratio, both will play a role. So, I do no t want to give any number on that.

Shobhit Sharma: Okay. Thank you and all the best.

Anand Roy: Thank you.

Moderator: Thank you. We have the next ques tion from the line of the Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh: Hi, good morning, sir. A few questions from my side. Fi rst, in terms of, you took the last round of pr ice hike somewhere from October'24 to maybe March' 25. Now, we are almost 12 months down the road. So, in terms of an incremental price hike strategy on the back book and what can we expect out there, maybe blended price hikes or claimant versus non -claimant portion or portion of the book that will see a price hike. The second question is a data -keeping question in terms of your new business mix within the net earned pr emium. How would that look like from 3Q to 3Q and 9M to 9M? Third question is, we are already 12 months out in terms of repricing of FHO based on claimant and non -claimant. So, just early indicators on persistency and claims ratio of the book.

Amitabh Jain: So, on pricing, we took up last year in Q4 and we will be following the annual price cycle as it is. As far as the cohort -based pricing approach that we took for FHO, that has given us very good results. We are clearly seeing a good lift in terms of the no n-claimants and the risks that are giving us better retentions. So, that i s clearly playing out and we will follow this approach going forward as well.

Nilesh Kambli: In terms of new business earned premium, the growth in business does not get reflected in the earned premium. So, if we see, it will gradually keep on growing. The proportion is in the range

 of aro und 20% fresh NEP and 80% renewal NEP. That ratio has been in a similar range because whenever we take a price increase in renewal business that also lea ds to higher earned premium on renewal business. As long as it i s a healthy mix and the loss ratios are coming down, we are happy to manage that.

Dipanjan Ghosh: Got it. Sir, just one follow -up. Could you quantify the price hike anticipated in this calendar year?

Anand Roy: So, Dipanjan, the guidance says that 10% senior citizen is the number that has been guided by the regulator. So, you can assume that that will be the number for almost all the products in that range, maybe slightly higher or lower depending on the product portfolio.

Dipanjan Ghosh: Got it. Thank you and all the best.

Anand Roy: Thank you.

Moderator: Thank you. We have the next question from the line of Ansuman Deb from ICICI Securities . Please go ahead.

Ansuman Deb : Yes, hi. Thanks for the opportunity. My question is on the mix of long -term as well as the mix of high -yielding assets on the AUM. Long -term is now, as you said, around 23% and high -yielding assets around 19%. From a balancing act, there would be a certain limit to these two numbers because otherwise, at some point, we might have some other related issues. So, I was just wondering, is there any limit which we are working on these two fronts?

Aneesh Srivastava : So, Ansuman , high -yielding assets, as of now, we cons ider equity, REITs and InvITs , AIF as high -yielding assets. For equities, currently, we have kept this cap of 15%. And obviously,

it would
be a function of opportunities. So, that is one. As far as REITs and InvITs are concerned, there is a regulatory cap of 3%. We are currently operating close to 3. On AIFs, we have started investing. Drawdowns are small, but we do have intent to scale up the book slowly. So, REITs and InvITs kept at 3%. AIFs, we have started just the activities. Equity is kept at 15%. This is where we stand today and broadly, only in exceptional situations we would take any aggressive step on equities from here on .

Ansuman Deb : On the IFRS, some MTM losses on equity can happen on Q4. It will continue as it is. But on a steady -state basis, ideally, non -equity mix should yield around 6.5%, whereas the rest will be a function of equity. Is that the right understanding?

Aneesh Srivastava : Not exactly. Non -equity has two components. One is a core fixed income, and another one is the liquidity that we maintain for day -to-day operations. As far as core fixed income is concerned, we are currently operating at 7.71%.

Ansuman Deb : Okay. So, sustainable rate that you can tell us in terms of non -equity portfolio?

 Aneesh Srivastava : See, l inearly, we would not like to give any comment on this because it is a function of opportunity. For example, as you are seeing today in the market, there is a sell -off in the G - Secs. Long end of the bond curve or long end of the yield curve of G -Sec is ext remely attractive. So, if I build up my book there, you would find that there would be some pressure and then maybe the yield should marginally decline from 7.71%. But that would give me an opportunity tomorrow when credit spreads expand. At that time, I w ould ramp up my credit book. So, it is a function of opportunity. It would not be very linear, but as and when opportunities are there, we try to tap those segments so that 7.71% is sustained. Now, it is also a function of maturing book. Maturing book may have higher yielding assets. So, if we are in position to replace those assets with equally or higher yielding assets, then it would sustain. Broadly, our endeavor is to maintain it to 7.71% or take it higher. But there may be time gaps and mismatches here and there.

Ansuman Deb : So, 7.71% you are saying, we will try to maintain that on the non -equity or maybe it will go up also?

Management : Depending upon the opportunities, yes, absolutely.

Ansuman Deb : Okay. On the long -term mix, any limits?

Himanshu Walia : See, on the long -term business, we do not work on any limits. As mentioned earlier, we look at all our businesses. The decisions are made on IFRS basis and we go behind businesses which meet ROE thresholds. We believe that long -term business is deliverin g mid -teens ROEs.

Ansuman Deb : Okay. Thank you. That will be all.

Moderator: Thank you. We have the next question from the line of Satvik from Jefferies. Please go ahead.

Satvik: Thank you for the opportunity and congratulations on your set of results. Just a couple of bookkeeping questions from my end. Firstly, on the share of long -term policy mix in 3Q and what was it in 2Q and what was it last year, if you could help with? And the second one on how much of advanced premiums are we carrying now versus 1H and last year? That will be from my end.

Anand Roy: Can we take this separa tely with you offline?

Satvik: Sure. No problem. Thank you.

Anand Roy: Thank you.

Moderator: Thank you. We have the next question from the line of Raghvesh from JM Financial. Please go ahead.

 Raghvesh: Hi, good morning, sir. Congrats on a good quarter. I just wanted to understand the Rs. 140 odd crore which was released from the outstanding claims. So, how do we look at this number going forward in terms of is it that we have pai d a lot of the claims which are outstanding from earlier or is it a function of the TAT or the company itself reducing? And going forward, should the numbers

or total IBNR number as a percentage of the net earne d premiums be lower than the 8%, 9 % where we have traditionally operated?

NIlesh Kambli: Outstanding claims is a function of seasonality. Q2 where the claims ratio is higher, the claims get reported and they stay in the books till the time it is paid. 30th September, there is an outstanding which gets paid in October. So, as the loss ratio reduces, there is an im pact on the outstanding. But it i s also a function of the business volume. As we keep on growing the business and the number of claims, earned premium grows, the number of claims increases. So, the re is no value to it. It is a function of quarterly claims reporting that happens and the payment of claims that happens in a period. But we believe it should be in that range of 8.5% to 9.5%, 10%. It should operate in that range. So, we tried it on a trailing 12 -month basis also which is the right metric.

Raghvesh : Okay sir. Have we se en a meaningful reduction in TAT which should reduce this number sustainably ?

NIlesh Kambli: See, there are two things. One is the cashless claims continues to be 85% of our book. The customer gets discharged from the hospital. The claim payment to the hospital happens within the defined time limits on the contract to the hospital. It can be 50 days, it can be 30 days also. So, that happens subsequently the customer is discharged. So, the TAT and the claim payment

is independent because of the cashless and the payment to the hospital.
Raghvesh Okay, sir. Got it. Thanks a lot.
Moderator: Thank you. We have the next question from the line of Nidesh from Investec. Please go ahead.
Nidesh : Thanks for the opportunity, sir. First question, if you can share the breakup of investment book in terms of government securities, central government securities, state government securities, corporate bonds and equity.
Aneesh Srivastava: So, it is like this that as on 31st December, central government securities would be approximately 22% of the book. Central government and state government put together would be approximately, so basically IRDA I defines it that minimum central government has to be 20%. So, we are keeping minimum 22%. So, as of now, marginally higher 22 point something. On central government and state government put together, IRDA I says that should be 30%. It would be somewhere around 33%. Rest is all corporate bonds and equity as you know that is around 14.9% . REITs, InvITs and AIF another 3.8%. So, total is 18.5%. This is how the breakup of book is.
 Nidesh : And what are the plans to take up the equity share higher? Is there a plan to further increase the share of equity and REITs , InvITs in the book?
Aneesh Srivastava : REITs and InvITs cannot be because regulation says that we can be up to 3%. So, we are there. Regulator has talked about increasing this up to 6%, but we are waiting for the final regulations on this. So, REITs and InvIT s as of now at the upper cap. As far as equity is concerned, we have some internal models where we do risk appetite testing and based on which we ultimately take a call that how much of equity exposures that we would take. So, there would be a possibility that yes, we can increase equities by some quantum. It is a function of the solvency of the company and the capital requirement. So, broadly, these are the factors which de termine that how much of risk that we can take in the book. This is where we stand as of now currently capped at 15%.
Nidesh : Sure. Secondly, on the long -term policy, is the share of long -term policy at 51% of GWP today in Q3?
Himanshu Walia: Yes, of fresh.
Nidesh : Of fr esh is 51%?
Himanshu Walia : Yes.
Nidesh : In the IFRS accounting, because the deferred acquisition co st is getting deferred, but let u s say, I am assuming that most of these will be three -year long -term policies. So, the loss ratios will ke

ep on increasing. So, in IFRS, does it give a true picture of the profitability of long -term policies or it overstates the profitability in the first year and then in the second, third year, we will see slightly lower profitabili ty on these policies because loss ratios may increase in year two, year three.
Nilesh Kambli: See, there are two things. One is the deferment happens over the policy period, but the operating cost is very high in the first year itself, which is in the P&L in the first year. So, on a combined ratio basis, it is still in a similar range. You know, while the commission ratio remain stable and the loss ratios increases, there is no Opex in the second and third year, which is there only in the first year.
Nidesh : Sure, sure. And the last question is on IFRS. Thanks for the det ailed disclosure on IFRS IND AS financial. So, two, three questions. One is that how should we look at the investment in come? Should we remove the, let u s say, mark -to-market gains and then look at the profitability or we should look at the reported profitability? That is number one. Second , what is the difference between insurance revenue and NEP? I thought that insurance revenue and NEP would be similar in case of IFRS.
 Nilesh Kambli: See, I will answer the second question first. Insurance revenue is typically the gross earned premium. You know, the NEP is net of reinsurance. In IFRS, if you see net results of reinsurance is a single line. You know, so, and the claim reported is gross linked, you know, the acquisition cost is the commission paid deferred over a period of time. The RI recovery on claims and RI commission is as a single line item as net results of reinsurance, basically. So, that is the difference between earned premium and insurance revenue. On the investment income, what I would suggest is while there is volatility, you know, we have been talking about, to take zero is not the correct thing. You know, we have a Rs.3,000 crore of equity portfolio. One can take an average return o f 10% and calculate stable revenue or the profits over a period of time. That is how one can look at it, which is also quite strong.
Aneesh Srivastava: So, Nidesh , see, we have to understand that equity markets would remain volatile. But what we have realized is over a longer period of time, equi ty returns are very closely correlated to nominal GDP growth. So, on an average, we can assume that 10 % to 11% kind of nominal growth would be there and hence that would get translated into equity returns as well. But yes, quarter -to-quarter, there would be volatility. That is the problem of IFRS, you know, that P&L accounts would become volatile. But that does not mean that we should stay a way from high yielding assets, especially when we are long term investors in the market. So, that is what our approach is, that we look at this asset class and from 7% moving to, say, 11% kind of asset

class and that would be perfect for long term investors. So, this is what we are trying to do. We are reasonably hopeful that over a longer period of time, that 15% or 19% of the book would deliver reasonably good returns, much higher than what the fixed income book would deliver.

Nidesh : Sure, sir. Very useful. Thank you, sir.

Moderator: Thank you very much. Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand the conf erence over to Mr. Nilesh Kambli for the closing comments.

Nilesh Kambli: So, we have experienced a strong quarter in terms of top line growth and an improvement in our operating results, both reduction of losses and expense ratio. We are focused on execution to maintain consistency over performance. So, thank you everyone for j oining the conference.

Moderator: Thank you very much. On behalf of Star Health and Allied Insurance Company Limited, that concludes this conference. Thank you for joining us and

you may now disconnect your line.

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